Aditya Birla Capital Ltd. (ABCAPITAL)

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Aditya Birla Capital Ltd. (ABCL)
Q1 FY24 Earnings Conference Call Transcript
August 2, 202 3

Moderator:
Ladies and gentlemen, good day and welcome to the Q 1 FY 2 4 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during t he conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded . I now hand the conference over to Ms. Vishakha Mulye, CEO, Aditya Birla Capital Limited. Thank you, and over to you, ma'am.
Vishakha Mulye :
Good evening everyone and welcome to the earnings call of Aditya Birla Capital for Q1 of FY2024.
Joining me today are senior members of my team Bala, Rakesh, Tushar, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Sanchita. I will cover our strategy and approach across businesses and Vijay will cover key financial highlights followed by discussion on performance of our key businesses by respective CEOs.
The Indian economy continues to remain resilient amidst a slowi ng global economy. This is reflected in various indicators such as increasing manufacturing and services PMI, real estate buoyancy, resilient urban demand and continuing government led capex. There were net FPI inflows of about USD 12.5 billion in Q1 compa red to outflow of USD 5.9 billion in FY23. Indian financial sector remains healthy and stable. Though there has been a pause in monetary policy tightening in India, trend in inflation needs to be monitored closely. We expect these positive trends in indus try to continue and Indian economy to perform well in FY2024.
At Aditya Birla Capital, we follow "One ABC One P&L" approach, to focus on quality and profitable growth by leveraging data, digital and technology. This approach has helped us to accelerate our growth trajectory, build scale and increase market share across businesses. I am pleased to share that during the quarter our total lending portfolio of the NBFC and HFC business crossed 1 lakh crore Rupees.

We follow an omni channel architecture for distribution and provide complete flexibility to our customers to choose the channel through which they wish to interact with us.
We had 1,331 branches across all businesses as of June -end. We have 621 co - located branches across 182 One ABC locations wher e customers receive assistance to achieve their financial goals. We will continue to increase presence of One ABC locations.
We follow a digital first approach for product innovation, customer selection, seamless onboarding and improving service delivery. We have seen a strong response to our comprehensive B2B platform for MSMEs, Udyog Plus. There have been more than 48,000 registrations and more than 13,500 loan applications since its launch. We have recently launched Payments lounge, which is an omni chan nel collections platform for merchants. It can be integrated with ecommerce platforms and digital platforms of merchants enabling them to make collections seamlessly.
During the quarter, we raised equity capital of 3,000 crore Rupees including 1,250 crore Rupees via preferential allotment to promoters and 1,750 crore Rupees via QIP. The QIP saw participation from marquee foreign portfolio investors, sovereign wealth funds and domestic institutional investors. The proceeds from the fund raise will be predominantly utilized for augmenting the capital base and, improving the solvency margin and leverage ratio, meeting the growth and funding requirements based on the opportunities across businesses and strengthening our IT infrastructure and digital platform s. We are deeply honoured and grateful for the incredible

support and faith
reposed in us by our promoters and investors, which demonstrates their full confidence

in the strength of the franchise.
Looking ahead, we see favourable prospects for the Indian e conomy in the near and medium term. We expect India's domestic consumption and investment drivers to continue to support healthy GDP growth. Our strong parentage provides us seamless access to capital both equity and debt and the extended ABG and ABCL ecos ystem give us multiple opportunities to accelerate our growth. Going forward, we will follow our One ABC, One P&L approach to continue to grow and build scale in each of our key businesses.
Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarter.
Vijay Deshwal :
Thank you Vishakha

Coming to the financial performance, consolidated profit after tax grew by 51% year -on-year to 649 crore rupees. The total revenue grew by 39% year -on-year to 8,144 crore Rupees in Q 1 FY24.
In our NBFC business, we continued with a strong momentum of disbursements and granularization of book. Disbursements for the quarter grew by 65% year -on-year to 13,237 Crore Rupees in Q1 of FY24. This helped the loan portfolio to grow 49% year -on-year and 7% sequentially to 85,891 Crore Rupees as of June -end. The NBFC business had a healthy RoA of 2.54% and RoE of 17.89% in Q1 FY24.
In our Housing Finance Business, disbursements increased by 83% year -on-year to 1,620 crore Rupees during Q1 of FY24. The loan portfolio grew by 19% year -on-year and 5% sequentially to 14,509 Crore Rupees as of June -end. RoA was 1.90% and RoE was 13.23% in Q1 FY24.
Coming to our AMC business, the average AUM increased by 8% sequentially and 5% year -on-year to 2,96,937 crore Rupees, of which equity AUM was approximately 40% in the current quarter. With our continued focus of growing passive and alternate asset segment , passive AUM was about 28,675 crore Rupees at June -end which is about 2.3 times the passive AUM as of June -end last year.
In life insurance business, we were among the fastest growing life insurance companies in terms of individual first year premium wi th a growth of 32% year -on-year. Group new business premium grew by 20% year -on-year in Q1 FY24. Our net VNB margin was 11.8% in Q1 FY24.
In our health insurance business, our unique and differentiated "Health First" model helped us to deliver a growth of 22% year -on-year in Q1 FY 24. The market share of ABHI among standalone health insurers was 11.6% in Q1 FY24. Combined ratio was 117% in Q1 FY24.
With that, I will now hand the call over to Rakesh to take us through the NBFC business performance in deta il.
Rakesh Singh :
Thanks Vijay, and Good evening, everyone.
In our NBFC business, we saw a sustained momentum across all segments in Quarter 1 of FY24 contributing to a 7% quarter -on-quarter and 49% year -on-year growth in our AUM, taking it to Rs 85,891 Crore. Our Retail and SME segment AUM grew 56% year -on-year and now stands at Rs 57,518 Crore contributing to 67% of the AUM Mix. Our active customer base grew to 6 million compared to 4.8 million last year, a 25% growth year on year.

New business sourcin g was strong in Q1 FY24. We disbursed Rs 13,237 Crore which is 65% higher than Q1 last year. All product segments supported this growth with our Business Loans segment being the biggest contributor in terms of disbursement mix at 40%, followed by Personal and Consumer loans segment at 36%. 88% of loans in the Personal and Consumer loans portfolio have a credit score of 700+, which speaks about our strong sourcing quality in this segment.
Our Net Interest Margins expanded by 43 bps year on year to 6.98% in Q 1 FY24. Also, while the Opex to AUM ratio stayed flat year on year, our CIR reduced by 224 bps year on year to 30.

48% for the quarter. And this is despite us adding 141 branches in the last 12 months increasing our geographical presence to 332 branches. Ou r Profits After Tax for Quarter 1 was Rs 516 Crore, growing by 54% year on year. As a result, the ROE for the quarter expanded by 441 bps year on year and by 134 bps quarter on quarter to 17.89%.

The asset quality has shown a consistent improvement over l ast year with (Stage 2 + Stage 3) book coming down from 8.91% in Q1 FY23 to 5.46% in Q1 FY24. Gross Stage 3 book has dropped to 2.8% from 3.7% in Q1 last year. Our Stage 3 PCR increased to 46.6%, which is higher by 4.4% over Q1 last year. I also want to emhpasise that more than two -third of our portfolio is secured.

As I had mentioned in the last quarter earnings call, we launched “Udyog Plus” - our unique and differentiated unified platform for MSME customers. It is built to cater to holistic needs of MSME s through a complete paperless digital journey. In addition to financial assistance, Udyog Plus also offers a host of value -added services for MSMEs to manage and grow their business. Through this platform, we are now in the process of integrating with Dig ital Public Infrastructures such as OCEN and ONDC as well as our wider ABG Ecosystem. In a short span of 3 months, we have over 48,000 MSMEs registered on the platform as on date. We will continue to scale this platform as well as invest in strengthening o ur distribution capacity in FY24 to propel our next leg of growth.

To conclude and reiterate our performance, we had a strong quarter in terms of growth leading us to a Return on Assets of 2.54% in Q1 FY24. Going forward, we will continue to build a granu lar portfolio and enhance our Retail and SME Segment Mix. As we forge into deeper customer and product segments, strengthen distributions capacity and invest in technology, we remain committed to deliver sustainable returns in the forthcoming quarters.

With that, I will now handover to Mr Pankaj Gadgil, MD and CEO of Housing Finance business

Pankaj Gadgil:

Thank you, Rakesh, and good evening, everyone. I will cover the performance of ABHFL in Q1FY24. We have achieved a consistent growth in our loan book, profitability, and asset quality. We continue to invest in the areas of technology, digital re-invention and analytics for superior customer experience and customer advocacy.

Q1 key highlights are as follows:

• Disbursements of ■ 1,620 Cr., which is an incr ease of 83% YoY
• Loan book as of Jun’23 is ■ 14,509 Cr., an increase of 19% YoY and a customer base of ~56,400
• Net interest margin (NIM) is 5.11%, an increase of 34 bps YoY, and our profit before tax (PBT) for the quarter is Rs. 84 Cr, which is our highest ever in a quarter, with an increase of 18% YoY
• On asset quality, Stage 2 + Stage 3 has reduced by 21 bps QoQ and 401 bps YoY
• The PAT for Q1FY24 is ■ 65 Cr., an increase of 17% YoY
• The ROA for FY23 is 1.90% and ROE is at 13.23%.

You can refer to t he detailed financials on slide 26 of the presentation.

During our previous earnings call, we introduced our new loan origination system, 'Finverse.' I’m happy to share that we have successfully deployed ‘Finverse’ in 33 branches as of June 2023, and our p lan is to implement it across all branches by the end of August 2023. Finverse embraces a low -touch, digital -first approach, supported by advanced analytics, bringing greater efficiency and depth to our processes. Put simply, this means higher face time, e xpedited decision -making, accelerated disbursements, and customer satisfaction. Furthermore, the platform streamlines the onboarding process for distribution partners and integrates real time dashboards and verification module delivering a seamless experie nce to all stakeholders.

We are building our analytics capability in the areas of data engineering, data science, and decision scien

ce. We are integrating application score cards for customer onboarding and AI/ML led behavioural scorecards for portfolio ma nagement.

We now have a nationwide presence, with 130 branches across twenty states covering 80 to 85% of the TAM of housing finance industry. We witnessed 30% growth in channel partners QoQ. ABG ecosystem now accounts for 6% of new disbursals. With ticket size of ■ 25 -30 lakhs, we remain focused on granularity.

Now coming to Portfolio Quality, our approach comprises three primary components:

risk control at the origin, pre -delinquency management, and in house collections team supported by decision science .
With focus on quality of origination, 95% of our disbursements in Q1FY24 are towards 700+ CIBIL or new to credit. The contribution of 730+ CIBIL to origination is at 74% which is significantly higher than the industry average of 50%.
Our Gross Stage 3 has shown significant improvement, decreasing from 3.69% in June 2022 to 2.67% in June 2023. We are maintaining stage 3 PCR of 33%. The details of the same are provided on slide 24.
Lastly, moving to treasury Management. We have maintained an average cost of borrowing of 7.60% for the quarter, prioritizing diversified borrowing mix. The contribution of NHB to our total borrowings has increased from 14% in June 2022 to 20% in June 2023. We have maintained positive ALM across buckets, and CRAR stands at 21.0 1%. Further details are mentioned on slide 25 of the presentation.
In summary, we are focused on ensuring risk calibrated growth, healthy profitability, all while maintaining customer centricity at the core.
With that, I now hand over to Bala, MD and CEO of our Asset Management Company.
A. Balasubramanian :
Thank you and good evening to everyone attending. I would like to share some highlights of ABSL AMC during the first quarter of FY24.
ABSL AMC's total Average AUM including alternate assets for Q1 FY24 stood at Rs. 3.08 lakh crores showcasing quarter -on-quarter growth of 8%. Within this our MF AUM was at Rs 2.97 lakh crores and Equity MF AUM was at Rs. 1.19 lakh crores.
As a part of ou r customer acquisition strategy, we added approximately 1.2 lakh new folios. Our overall folio count as of June 2023 was at 79 lakh. Our SIP book size has witnessed a 10% Year on Year growth amounting to Rs 987 Crores. We have strengthened our sales ecosys tem and distribution network by bringing together the key levers like Virtual Relationship Manager, Sampark, Service to Sales, Direct HNI Channel and Digital Distribution.
On the passives front, our product offerings grew by ~2 times to Rs. 28,675 crores as on June -23. We have expanded our passive bouquet to encompass 40 products, attracting a growing customer base of around 5 lakh folios. On the PMS and AIF front, we successfully raised commitment of Rs. 893 Cr in India Equity Services Fund (CAT III AIF) by leveraging our multi -channel distribution footprint.

In addition, after setting up of GIFT city, we have launched "ABSL Global Emerging Equity Fund" which will feed into the "ARGA Emerging Market Equity Fund" providing our investors access to and oppo rtunities in emerging market.
On the real estate front, we have successfully deployed two investments for the Aditya Birla Real Estate Credit Opportunities Fund (Category II AIF), and one more deal is in the pipeline.
Our Financials for the quarter –
• Our Revenue for Q1 FY24 was at Rs. 389 Crore versus Rs. 2,74 Crore in Q1 FY23 up 42% Y -o-Y.
• Profit after Tax (PAT) for Q1 FY24 was at Rs. 1,85 Crore in Q1 FY24 versus Rs. 103 Crore in Q1 FY23 up 79% Y -o-Y.
Kamlesh Rao:
The consistent growth journey of ABL SI in both the Individual and Group Life Insurance businesses continued in the first quarter of Financial Year 2024. Individual LI grew by 32%, compared to the private i

ndustry's growth of 8% making us the fastest
growing LI company for the quarter in the top 10 ranked players . Our success in launching new products was key to our growth, with the new products launched in last 12 months contributing to 44% of Individual FYP for Q1 FY24. In the current quarter we launched 2 new successful products under our Nischit Brand in the area of savings as well as Pension
The success of our new products, combined with PASA contribution of 19%, were the hallmarks of our business in Q1 FY'24. The individual business with a healthy product mix of 81 % traditional busines s resulted in strong gross margins for the firm
In the Group Life Insurance segment, the private industry saw a growth of 13% in Q1 FY'24, while ABSLI registered a growth rate of 20%. We continue to remain No.1 in Group ULIP business with a growth of more than 100% over last year's base.
Our total premium of 3,105 crore has registered a growth rate of 19% over last year same period, with a 2 -year CAGR of 33%, demonstrating our consistent business growth. This growth came from new business growth as well as renewal premium

growing at 12%. Our digital collections now account for 79% of our renewal premium, and this growth is seen across persistency buckets from the 13th month, right upto the 61st month, with the 13th month now at an industry best of 88% and th e 61st at 57%. Our Assets under management now stands at close to 74,500 crore, with a YoY growth of 23% with a 74:26 composition of debt v/s equity. Our investment performance has

been better than respective benchmarks across all three categories of Equi ty, Debt, or even Balanced funds, either from a 1 -year or 5 -year perspective.

Our digital adoption across various areas is demonstrated in Slide "46". 100% of new business customers are onboarded digitally, 83% of all our services are now available digital ly, covering 56% of our customer transactions, and our customer self -service ratio now stands at 86%.

We continue to manage the net margins story well, as seen in Slide "42". Last year In Q1 we achieved VoNB of 2.5% and have closed Q1 FY24 at 11.8% net mar gin. We have shown a growth of 935 bps in our net margins compared to last year same period.

Our approach is to continue the growth trajectory of this business ahead of the industry, backed by both productivity and capacity. Our forward guidance is that th e quality of our book will get better across the 13th till the 61st month persistency from current levels. Growth will come from a diversified mix of both proprietary and partnership channels, and we will continue to be best -in-class in our digital infrast ructure, cutting across prospecting and onboarding in sales at the front end, underwriting in the middle, and all customer touchpoints in service as well as claims.

With this now, I hand over to Mayank, who will give you details of Health Insurance.

Mayank Bathwal:

Thanks Kamlesh and I would like to now present the performance of our Health Insurance Business.

In Q1FY24, we have registered gross premium growth of 22% year on year. This compares to an industry growth of 21% and SAHI at 27%, slightly lower because of the large base effect of a 71% growth in the Q1 of last FY.

We saw good growth in our larger retail channels with the proprietary channel growing at 31% backed by the capacity additions over the last 12 months and a focus ed geography strategy . Our Corporate business grew at 37% year on year, driven by our strong focus on cross sell and upsell and the industry leading OPD business enabling higher margins for our business. We continue to focus on Mid Corporate and SME segments to create a sustai nable profitable Corporate and affinity business.

We continue to add new capacities in Bancassurance channel with the activation of PSB, UCO Bank and onboarding of India Post and Payment Bank . I am

very confident

that as we fully activate these new PSU banks partnerships, we wi ll be able to serve a wider customer segment across the deepest parts of the country.

The new Expense of Management and commission guidelines, we have made some strategic choices in terms of customer segments and channel to further consolidate our retail strategy. We expect GWP growth to normalize in the coming quarters. By prioritizing both growth and profitability, we are building a resilient franchise.

Our Net loss has reduced to Rs. 62 Cr from Rs. 71 Cr in same period last year. Claims and expense ratios across both retail and group businesses have tr ended well overall at a company level. Our combined ratio for Q1 FY24 is higher compared to same quarter previous year, mainly due to the impact of seasonality of growth over the last 12 months. We expect the combined ratio to normalize in the coming quarters.

As a tech and di gital-enabled data -driven health -first business, we remain committed to investing extensively in our tech and digital capabilities. Our digitally powered scale hyper personalized engagement allows us to gain deeper insights into our customers, accessing a wealth of health and lifestyle data. In the last quarter, we launched first of its kind digital face scan assessment feature to augment our customer health data gathering working with a health tech partner . Our digital health and wellness eco system which now has 60 plus partners across physical and digital platf orms . 77% of our interactions with customers happen digitally. Our investment in building analytics capabilities, has helped us increase opportunities for better customer selection, increase the size of relationships with existing customers by way of upsell and cross sell which we ha ve already demonstrated in our corporate business and is underway in our retail b usiness and our health management interventions for high risk

customers. Similarly we have developed strong machine learning enabled models to help us in Fraud, waste and abuse management and also customer retention efforts. Looking ahead, we remain hig hly optimistic of the opportunities in the health insurance industry and our vision is to expand our franchise aggressively while maintaining best - in-class unit economics.
Thank you and I will now pass it back to Vishakha for her closing remarks.
Vishakha Mulye:
Thank you, Mayank and t his concludes our comments on Q 1 FY24 performance and now we will be happy to take any quest ions.
Moderator
Thank you very much. We will now begin the question -and-answer session. We have a first question from the li ne of Anuj Singla from Bank of America. Please go ahead .

Anuj Singla :
Yea, thank very much for the opportunity. Vishakha, congratulations on the quarter. A very strong performance. So, three questions on the lending business first. We have seen 5% to 7% sequential growth across the businesses, and this does not even include the contribution from Udyog Plus which we will ramp during the course of the year. So, when you look at the growth target for FY '24 and beyond that, what kind of number should we be looking for?
Rakesh Singh :
We have stated that we will double our book i n the next three years and so that means 25% plus the kind of growth is what we are strategically looking at.
Anuj Singla :
Okay. And given the strong performance, is it fair to assume it can be more front - loaded with the higher growth in FY '24 and then ta pering down to maybe 25%, 26%? Is that trajectory something we can look at?
Vishakha Mulye :
Anuj, it is always a function of the opportunities in the market and our aspiration. So, as Rakesh said, strategically he expects to double our lending books in the next three years. So, on an average, of course, one expects the bo

ok to grow at around 25%. In
few quarters , depending upon the opportunity, it could be slightly higher . But we believe that over a period of time, i.e, next three years, we should double that book.
Rakesh Singh :
And it will be risk -calibrated growth. So that's the reason why we are saying we will double it in the next three years.
Anuj Singla :
Got it. The second question is on NIMs. So again, a positive expansion there despite the funding cost pressures across the two businesses, 8 basis points to 10 basis points Q-o-Q. Can you talk about the factors which have supported this and during the cour se of the year, do we expect this NIM levels to sustain at the current levels despite the funding cost pressure?

Rakesh S ingh:
If you look at our last quarter, our cost of funds went up by 19 basis points. Our yields went up by 30 basis points. So, that is the reason you see the expansion of around 10 basis points on the NIM. Again, as stated, we have stated that we are looking at expansion of margins to 7.5% over the next two to three years with the change in the product mix. Most of the cost in terms of c ost of funds have already been factored in . But there will be some marginal increase in cost of funds in the coming quarters, but that will be mitigated through the change in the product mix and the higher yields coming from the retail and SME segment.
Anuj Singla :
Got it. And lastly, on the asset quality, while the overall GNPA has declined for the NBFC side, the forward flow seems to be strong in personal and consumer loans, where GS 2 plus 3 combined has gone up by 50 basis points Q -o-Q. So, two question s there. One, is it possible to give colour on the customer cohorts which are driving this and secondly, can you also give some colour on how the sourcing done through digital

partners is performing versus the direct and the DSA channel? If we can share some details here?
Rakesh S ingh:
So, in terms of if we look at the forward flows, I think it's very stable, and it's in the range which we have guided. It's within the guardrails or the rates which we have really defined. So, even if you look at GS 3 is 2% which is where I think a best -in-class compared to the personal loans in the NBFC industry. Yes, it's gone from 1.7% t o 2% . I think, I’s just some pool moving in certain quarters. We are very confident that we will be able to maintain this quality, and it will be in the same range. So, at this point in time, the bounce rates and everything else is looking quite stable and quite good.
In terms of performance, Anuj again, we acquire customers on a similar scorecard , whether it comes through our channel or through the partner. So, the policy is the same. The credit bureau, which we have mentioned here is the same for both our direct channel and through the digital partners. So, we don't see too much of a difference between digital and physical channels. W e review this on an ongoing basis. And if we see anything, any partner, which is -- if it's going up, we really tighten it, control it, or if we have to stop it, we do that. So, we are not seeing too much of a variance between the two.
Anuj Singla :
Got it. Thank very much. All the best

Moderator :
Thank you. We have our next question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal :
My question is also on the personal and the consumer loan book. Understandably partly answered what I was trying to ask. But sir, I just wanted to understand, I mean, incrementally, what we've been seeing over the last two quarters and more particularly this quarter in terms of some of your peers who have reported there is some anxiety around personal loans. There are peers who have started talking about the FLDG arrangement now kicking and recoveries under FLD

G arrangements now coming in.
So, have we also had similar experiences where FLDG arrangements are getting triggered? If at all they are getting triggered, I mean, what are you seeing being covered under FLDG or is it also coming, and getting your balance sheet is the first thing that I am trying to un derstand here?
Rakesh Singh :
So, your first question on competition and players . See today, our personal and consumer book is only 20% of our overall portfolio. A lot of the players is much higher at 50% and higher. So, we are still much within the range which we have defined for ourselves. I had mentioned in my initial comments also that two -third of our portfolio is secured. And so, it's still within the range which we had defined, and we track it very, very closely. In terms of your question on FL DG, yes, we are evaluating. We are discussing with our partners, and we are reviewing with all our partners in terms of leveraging the FLDG, which is now being provided by RBI. So yes, for sure, we are discussing and evaluating, and we will leverage that.
Abhijit Tibrewal :
Secondly, speaking right now whatever arrangements we have with our digital partners, we don't have FLDG arrangement in place, is it .
Rakesh Singh :
No. Right now, and we have not dipped into any FLDG. We didn't ha ve any FLDG. The guidelines, which came in December of 22 by RBI, did not allow any FLDG. So, we haven't dipped into any FLDG at this point in time. Right now, it's all the commercial arrangement, the sourcing arrangement which we have with the partners, and the credit cost. The actual credit cost is sitting in our balance sheet. So, yes, as I said recently, RBI has come with the guidelines and allows 5% FLDG, which we are evaluating and assessing, and we are discussing with our partners .

Abhijit Tibrewal :
Got it. Glad to hear that. And just a follow -up question, in your opening remarks you kind of share d that two -third of the book is secured? But very clearly, I mean, if I look at the disbursement mix, right, I mean the proportion of personal and consumer loa ns

has been increasing very, very strongly from March 22, where it seemed to be 15% of the disbursement mix.
Today, it's almost 35% of the disbursement mix. So, very clearly, in terms of your loan mix as well, right, I mean, maybe three quarters, four quar ters back what used to be 15% of the loan mix is to be close to 20%, 21% of the loan mix. So, what is the comfort level where you want to keep personal and consumer loans . Another question on housing loans, understandably you've kind of gone through the tr ansition where you have implemented a new LMS, so now is it now time that we passed those sticking issues and loan growth even in your housing business can start accelerating just like it has done in the NBFC business?
Rakesh Singh :
Yes. So, first question on consumer and then I will ask Pankaj to address your housing question. But if you look at still yes 35% of the disbursement is from personal and consumer, and I will throw some light in terms of these loans. T hese are small ticket short tenure products . We acquire customers at scale, we see their performance over a period of time, and then only we cross -sell our personal loans to these customers. So, clearly, not only looking at the credit performance in the marketplace throu gh the credit bureau, but also the performance with us. And that gives us comfort in terms of the growth in this segment. Also, if you look at our secured business also is growing the same. So, if you look at 31% of the mix on disbursement mix is coming fr om secured business.
And then the corporate also is completely secured. So, if you combine the two are still secured . The stated strategy is that there will be a cap in terms of how much of unsecured business which w e will have. So, clearly, the secured also has grown quite well i

n the same period .
Vishakha Mulye :
And on your question on ultimate product mix question , today, retail and consumer is around 67% of our portfolio balance is corporate. And within 67%, around 50% is SMEs and small business loans, and the balance is consumer and personal loans. We believe going forward this segment, which is consumer and personal loans and SMEs and small business loans, will be around 75%, and the corporates will be around 25%

over the next three years. So that's the final thing that we would expect the product mix to be.
Pankaj Gadgil :
Pankaj here. On the housing business, I think over the last few quarters, you would have seen that the loan growth has been picking up. And in fact, the last financial year, we grew at 14% Y -o-Y, which was slightly higher than the overall housing finance industry growth, which was about 11% Y-o-Y. I think the first quarter has been even more promising as we've touched 19% Y -o-Y loan growth and housing finance industry.
Your point on the LMS, would say, it's the fastest implementation of loans origin system that we have done in the hou sing finance space . We've done this in 6 months. And this is just not a standalone LOS. It's the engagement platform that we are trying to create, which has the entire CRM also in build, and it has a single sign on which ensures one experience, one custome r which we've been propagating as ABCL as a platform.
So, it allows our distributors, our connectors, our relationship partners, our employees, all to come on a one single platform and log in their cases. And most importantly, the anxiety of where the case is lying. I think that anxiety it kind of quells because there is a dashboard which is very intuitive, interactive, which allows the customers to check where is he or she in a low life cycle.
So, I think that's stabilized in 33 branches . I already spoke a bout it. We have already gone live with the platform and by the end of August, we should be going live Pan India. And also, you spoke about the ramp -up of distribution that we are seeing. Obviously, interest levels are being created in the channel fraterni ty and ABG ecosystem is contribution to about 6% of our disbursements now. So yes, looking forward to a healthy growth in times to come and leverag ing the opportunity with the entire housing sector presents to us.
Rakesh Singh :
And Abhijit, if I can just add on the secured and unsecured in the business loan s, if you refer to Slide 12, of the Rs. 8,574 crores , 21% is supply chain, which is in a way receivable and if there is an underlying trade which is there. But the remaining Rs.

5,000 crores, I think the business loan is all backed by the credit guarantee provided by SIDBI. So that also, in a way, is secured. So, you can just keep that i n mind .

Abhijit Tibrewal :

Yes. Thank you so much. This has been very useful and thankful for patiently answering on my questions. Best wishes to the ABCL team.

Moderator :

Thank you. We have a next question from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh :

I have a few questions. First one would be on the NBFC, if you can just help with some kind of a data around your disbursement mix via direct and ecosystem, particularly in the retail and consumer and unsecured SME. So, that's on NBFC. On housing, the question would be that, I mean, in your strategy, you have stated your sort of ambition to have a balanced towards affordable as well as, I mean, the prime home loan.

But if I sort of look at your bureau score mix, that is m ore or less suggesting you are more going towards prime -- I mean mostly going towards a prime customer. Then the question is how are you going to sort of maintain your profitability here because I mean housing to prime is a very, very kind of a thin mar

gi n business and there is enough sort of balance transfer that keeps happening because banks are also aggressive.

One more question on the capital you have raised Rs. 3,000 crores, what sort of a deployment plan, of course, the two lending businesses will re quire capital . But likely health insurance , the business will also require some capital a year or so. So, I mean, is there some sort of a plan for you to again find outside investor for health insurance or I mean if you can just provide some broad colour around t he deployment of the Rs. 3,000 crores capital?

Rakesh Singh :

So, if I can start by giving on the sourcing mix. If you look at our direct sourcing at a company level , 45% is direct, 23% comes through the DSAs, and 32% of the business comes through the digit al. So, this is the mix at the company level. In terms of personal and consumer, 11% comes through direct, 10% comes through the DSAs and 79% comes through digital channels.

Avinash Singh :

Yes, and same for unsecured business, if you can

Rakesh Singh :

So, on unsecured business, 60% comes through DSA, 35% comes through digital, and 6% direct. And as we mentioned in our opening remarks, once the Udyog Plus is, I think once we have a start, we hav e many more registrations on these platforms and MSMEs starts coming on this platform, we expect that the direct sourcing to go up in this segment.

Pankaj Gadgil :

In the second question, Pankaj was on housing actually and I think you made observation on t he mix. So, if you see the slides also which are there in the investor presentation you will see the mix that we have kind of got today. So, at the end of quarter 1, we have 50% of our book is prime about 42% is affordable and 8% is construction finance . So, we have been leveraging opportunities across all the segments.

We have stated that we are going to grow in the most meaningful way and leverage opportunities across the segment. I think the strategy that we have kind of articulated earlier also is to m aintain the right mix, and we've been speaking about the right balance of the value segment and the growth segment and to be fair, I think with Aditya Birla as a group. I think we are amongst the top quartile and the cost of borrowings also you will see that we are AAA rated . I also spoke about the NHB refinancing. The percentage of the borrowings from NHB has moved up from 14% to 20%. So, I think the real crux is balancing the mix there. And very surprising when you are speaking on a bureau scores , 88% of the book is 700 +, but we'll be surprised also within the affordable segment which is I would say slightly higher than the informal segment, which is below 15 lakhs, but in 15 lakhs to 50 lakhs, there are customers who have 10 lines very surp risingly and when you scrub you find out that they are very conscious also on the credit score. So, we're actually finding out in our portfolio also we have given the detailed breakup also of what bands of bureau that we have got today. So, we have only 7 % customers who are new to credit and 88% customers or 700 plus. So, that's the shift, which is happening in the country, that's real. Especially even in the metros and outskirts of metros, people are conscious. So, it's -- I would say, judicious mix. And last but not least, again, when you're speaking about prime, I think there are internal sourcing also which happens, which is in the prime . It could be the employees of ABCL. It is also the large distributors that we have only mutual fund, life insurance a nd also health insurance who are able to leverage the in -house customers that also really helps us in building the prime. So, it's going to be a judicious mix of all the segments, leveraging all the opportunities with risk calibrated growth that i spoke of.

Avinash Singh :

And i

f you can give some in terms of balance transfer out and I mean in your response what I mean, sort of any balance transfer in is how much?

Pankaj Gadgil :

Balance transfer is always going to be there. It comes in on two counts. It may be situations where somebody is giving you a higher limit, somebody's taking higher exposure, and sometimes it also happens to rates, but what I can say very confidently is I spoke about customer advocacy. I spoke about superior customer experience. We are also seeing with the process es improving with the turnaround times improving and with the overall, I would say, mindset improving of customers, of Aditya Birla Home Finance in the last 10 months to 12 months, I am seeing that trend also going down. So, I think that's very clearly coming in. We are in the business, and there will be – we also better transfers in, in the business as well. So, it's a part of the business that you have to focus on both side of the business.

Vijay Deshwal :

I think your ne xt question was on capital allocation that how do we look at the deployment of the capital that we have raised?

Avinash Singh :

Yes

Vijay Deshwal :

So, first thing that the majority allocation of capital will be towards the lending businesses depending on the market opportunity. Secondly, whatever growth capital requirement will be there from our LI and HI businesses, we will provide that. We'll not starve any business for capital. That's our stated policy. In terms of getting an outside partner for health insurance, see, right now, we already have two strong JV partners in MMI and ADIA, and we feel that they will support all the growth capital require ments in their proportion whenever it is required. That's how we plan the way forward.

Avinash Singh :

And just if you can give some -- I mean a question for health insurance. If you can just give the breakup of combined ratio of 117% in terms of the claim s ratio and opex?

Mayank Bathwal :

Avinash, we don't discuss the breakup of this . We can maybe subsequently look at addressing it .

Avinash Singh :

Okay. Thanks

Moderator :

Thank you. We have a next question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh :

Firstly, two questions on the health insurance business. First, if you can quantify your retail new business growth on a Y -o-Y basis. That would be great or give a split between the new business versus renewals. Second, you mentioned that you have made some strategic charges post the change in expense of management guidelines. So, if you can give some colour on how has the payout strategies changed across

different channels and how are the distribution -- or how w ill the distribution mix incrementally change based on that or what are the parameters based on which you kind of made the strategic choices maybe you can answer this, and then I'll have two questions on the life insurance business?
Mayank Bathwal :
Yes. So, I think our overall retail business grew at about 17% Y -o-Y as I mentioned earlier already. The choices was about some of the segments that we said we need review in terms of overall economics. You would have seen from our numbers that our rural b usiness has come down, and there are some parts in the retail broking side that we sell that we need to review.
Otherwise, we remain optimistic on all the other channels, especially proprietary. Our agency channel is growing very well. We have grown about 31%. Our bancassurance channel continues to grow. We are adding new capacities there. Our digital alliances businesses we remain optimistic, which will grow well in the future. So, there were some segments which we felt that looking at -- given our experi ence over the last 5 years now and where we forecast future economics where we feel that it may be a good idea to review our strategy. And we will continue to explore that op

portunity
because we feel that some of these opportunities remain large, but we go into that segment once we have finalized our approach.

Dipanjan Ghosh :
Sure, just a follow -up on the first question I wanted to like if you can split the growth between new business versus renewals?
Mayank Bathwal :
I would not have that data completely re ady. We can come back to you separately on that.
Dipanjan Ghosh :
Sure. And just 2 questions on the life insurance business. If you can give the w alk of your VNB margin movement over the last trailing 12 months between product mix volumes or assumption changes or something like that. Second, on the product mix, if you can kind of give some colour on the traditional non -linked business and the mix within that and how the guaranteed written product has been doing on a Y -o-Y basis or even in July for that matter?
And lastly, I think across one of your major bancassurance partners, which has now kind of merged with its erstwhile parent , the sister concern seems to be suggesting continued counter share gains at that particular count. On that context, do you see any volume pressure from a medium -term basis out there, those are my three questions?
Kamlesh Rao :
Hi Kamlesh let me answer your last question first. We spoke about the largest banca partner. If you look at the numbers for the first quarter, in fact, as compared to last year, we have gained a little bit of mindshare in the counter. In that counter, obviously, the size of the premium is so high, and the re is aspiration for that line to grow on a consistent basis. At this point in time, we are not seeing any change in approach. It's a function of how good your products are, and processes are and whatever has been there for the last three -four years we hav e not seen any change in stance over the last three or six months. And therefore, like I said, we registered about 30% plus growth rate there in the first quarter in that counter. So, that's the answer to your last question.
The answer to your question on traditional products , so, we have used the interest rate scenario during the period that it has remained stable and benign for increasing the share on our guaranteed savings products. But the average guarantees that we have in all our products put together roughly is at about 5.1% -5.2%. We follow a very dedicated, focused risk mitigation strategy through FRAs , where 100% of our expected maturity benefits are fully hedged.

So, once we keep looking at every opportunity of the guaranteed savings products, we also make sure on the risk side, they are fully taken care of. During the period in the quarter, as I said, when the interest rates have started going down, we repriced some of our guaranteed savings products downward, which is in line with a bulk of what the competitors have done, and therefore, we haven't seen much impact in the area.
Your first question on the bridge, I mean, normally, we give a bridge on embedded

value movements and give sub -components of that. But I think you're focusing on the net VNB margins, and the bridge for margin which we were playing -- came largely out of our net VNB margins as well as all our operating assumptions were positive, and that's the reason we added about Rs. 800 crores of net VNB margins last year and are embedded v alue grew about Rs. 9,000 crores.
But for the VNB of the first quarter is largely driven by a product mix strategy. Also, it is driven by our strategy of significantly larger productivity, which is coming across our various channels. Our proprietary business grew at about 30% plus. Our direct business grew at about 40% plus . Our Banca business grew at about 35% -40%. So, a combination of productivity -led growth as well as the product mix has actually contributed to the expansion of margins in th

is quarter on the same quarter last year .
Dipanjan Ghosh :
Sure. Just if I can just squeeze in one small question. Similar to the health insurance business, have you taken any strategic calls on the life insurance side also with respect to the EOM guid elines
Kamlesh Rao :
Actually, on the guidelines that came in for whatever business that we were doing through our various channels, we only capitalize on that more. Some of these channels like Mayank mentioned, we never did a large amount of business. So, there has not been any need for any change of strategy for us as far as life insurance is concerned .
Dipanjan Ghosh :
Sure. Thank you and all the best
Moderator :
Thank you. We have a next question from the line of Saurabh from JP Morgan. Please go ahead.

Saurabh :
I just had three questions. So, one is what will be your target mix of this unsecured business? I'm just asking because an incremental disbursement basis it seems to be something nearly 45%
Moderator :
I am sorry his line is disconnected. I'll take the next question from the line of Renish from ICICI. Please go ahead.
Renish :
Just two questions, first on the NBFC. So, if you look at the credit provisioning, that has been a little steep at around 1.5% of the lending book, despite the fact that stage 3 and the lead indictors of the asset quality metrics keep on improving on a qua rter-on-quarter basis. So, it is fair to assume that given the book mix change, the 1.5% credit cost is the new normal for us?
Rakesh Singh :
So, credit cost, yes, we have said that it will be in this range with a change in the product mix and unsecured business, which has grown over the last couple of years. Yes, we expect the credit cost to be in this range. But as we mentioned, we will evalua te the FLDG, and we are assessing that, and we'll come back in terms of how we leverage that.
Renish :
Got it. And secondly, on the housing finance piece, okay, if you look at the asset yield, which has been increasing over the last two quarters, three quar ters, again, despite of the fact that, let's say, the customers of more than 700 CIBIL score are getting acquired incrementally. So, what is driving these high yields in home finance?
Pankaj Gadgil :
Yields are anyways on the portfolio is also a function of what have you been able to pass on in the last year. So, last year the given the repo rate increase d by 250 basis points. We had the ability of passing those rate hikes to the customers there. As yo u will note at the borrowing rates, there's always a trailing impact of how the borrowing rates increase. And now you are seeing those in Q4 and Q1 specifically. The reason why we've been able to hold the NIMs , one, obviously, like I mentioned, it has been a very, very sound treasury management that we've been able to do. So, the cost of borrowing is really top quartile amongst the HFCs that we have got and maintaining

the right mix on onboarding on the affordable , informal and CF portfolio with the prime segment has been able to get us the requisite net interest margin and also the yields.
Renish :
So fair to assume that this 12% blended yield on let's say the effective interest rate, what we are seeing in the PPT is more or less sustainable going forward?
Pankaj Gadgil :
I think we had mentioned this last time as well that NIM looks at we spoke about 5% NIM which was also there close to 5% at the end of the year. It will be a range bound. But I think you will see that range anywhere looking about 470 to 475 points as the NIM that we should be able to see in times to come as the cost of borrowings likely keep moving up .
Renish :
Got it. And just last question on home finance. So sequentially, we have seen the cost to income as well as the opex to AUM increasi ng very sharply, almost 40 - 50 basis p

oint on the opex to AUM side. So, of course, we do understand that we'll be investing on the tech side. But in terms of the incremental investment towards the franchise build -up, why do we stand as on the June quarter?
Pankaj Gadgil :
I think that's the right observation. I think we had spoken about this earlier as well. I think we are making investments on technology, digital, and analytics, and the contribution of our expenditure obviously disproportionate in these three areas. And in my assessment, as the book size keep s growing, the operating leverage will kick in and you will see that showing up in times to come. So, I think that is where the investments are actually going.
We have n't added too many b ranches . But within the location, I think we have expanded the locations. And now we are present in a significantly higher number of pin codes that gives us access to a very large opportunity in the housing finance space, which is the TAM that I spoke of earlier.
Renish :
So, it is fair to assume that this 3% I mean roughly 3% you have said is at peak level

Pankaj Gadgil :
That's right. These are peak levels.
Renish :
That's it from my side and best of luck for following quarters .
Moderator :
Thank you. We have a next question from the line of Shubranshu Mishra from Philipcapital. Please go ahead.
Shubranshu Mishra :
So, two questions, three questions the first one on the personal loan and consumer loan. We onboard customers for the Paytm postpaid, what is the run rate on a monthly basis or maybe on a quarterly basis, we can speak on that and make any kind of FLDG we have with Paytm on that particular piece. Second is thanks for the update on how we onboard customers according to CIBIL. But is there any specific rules around having any customer onboarded who has done more than 30 DPD across lenders at any point of time in a credit history?
And the third is that we see the GS3 increasing as well as the PCR decreasing for the personal loan as well as consumer loan and especially with the ticket sizes, we operate along towards various fintechs, that is a cause of concern, which has been highlighted by various industry leaders and as well as credit Bureau. RBI has put out a cauti onary note around it. So, what are we going to curtail that? So, these are the three questions?
Rakesh Singh :
There are quite a few questions. So, let me just recollect. In terms of sourcing through partners, as I would have mentioned earlier also, we source small ticket loans, short tenure loans and once we establish their performance on our portfolio, then only we go and give a personal loan. So, that's what our sourcing strategy is with our partners. In terms of your question on certain partners with FLD G, I had mentioned it earlier also. Right now, we don't have any FLDG because the December guidelines of RBI did not allow FLDG. Recently, the FLDG has come in. So, we are evaluating, we are assessing, and we are in discussion with partners in terms of lev eraging the FLDG.

Shubranshu Mishra :
What is the run rate in Paytm?
Vijay Deshwal :
We don't discuss individual -specific partners' run rate . As Rakesh mentioned that it's a part of the overall strategy and we onboard customers through this channel and then once the credit history is established with us, we look at expanding the relationship.
Shubranshu Mishra :
And I've got two more questions. The second one was on if we onboard customers who have done 30 DPD across lenders at all?
Rakesh Singh :
Yes, sorry, I missed that. We never onboard any customer who has DPD. So, if they have and their DPDs are seen in the credit bureau, we never or in their bank statement, if we see anything, we don't onboard any one of these customers.
Shubranshu Mishra :
All right. And my third question is still unansw

ered what are we doing to curtail the
disbursements in these kind of ticket sizes that we operate in and personal loans?
Rakesh Singh:
So, completely, if you look at -- and I think I will just refer to a slide , slide 12. If you look at our portfolio, which is there in personal and consumers, 77% of the portfolio is in personal and 23% of the portfol io is in consumer. And I think in the consumer segment is a small ticket and short -tenure loan. We onboard customer s through that. We establish their credit behaviour and then only slightly larger ticket and longer tenure. So, it's quite well calibrated in terms of after looking at the performance of these customers is what we are.
As I mentioned earlier also, we re view these customers through the door in terms of any bounces, it starts with onboarding through the door -analysis then the bound trend, what is causing that and if we find any cohort or any product or any partner where it's beyond the threshold, we take i mmediate corrective action. And we will -- and that's the reason we mentioned that we want to grow in a risk -calibrated manner. Even though currently, our growth is much higher, but we are giving in terms of direction that in the next three years, we will double our books. So, I think all the growth will be risk calibrated .

Shubranshu Mishra :
Understood. Thanks.
Moderator :
Thank you. We will take the last question from Sanket Chheda from Dam Capital. Please go ahead.
Sanket Chheda :
Yes. Sir, just wanted to know the sourcing mix again on the personal and consumer and unsecured . If you can again share this.
Rakesh Singh :
So, Sanket, I will again give this at a company level, 45% of our sourcing is direct, 23% is through the DSAs and 32% is through the digital channel. In terms within that, the for personal and consumer 10% is through DSA, 11% is direct and 79% is through t he digital partners . In unsecured business, 60% is DSA, 6% is direct and 35% digital, and as we build and enhance and strengthen our Udyog Plus, this 6% direct on MSME business will go up, and that will be our direct acquisition for MSME customers. Secured business 46% comes through DSAs and 54% comes directly.
Sanket Chheda :
Sure, sir. That was helpful. And just one question on the FLDG thing that you eluded to that as of December 22, based on the RBI circular we didn't use to have FLDG. But is it right t o assume that in terms of the pricing we offer, there will be a markup baked in to take care of the delinquency rate? So, to put it another way, if somebody offers the FLDG, the pricing would be lower compared to what you were getting earlier?
Rakesh Singh :
So, Sanket the pricing is determined by the customer profile, credit history, cash flow, everything, and we have built scorecards on the basis of that which we price to our customers. So, basis the product in terms of whether it's secured, unsecured, whe ther what is the credit profile of the customer, the pricing is a range bound. So, that's how

we price the customer.
Sanket Chheda :
No, it is more towards say pricing for the sourcing done to ecosystems or digital partners.

Rakesh Singh :
Again, the basis projected the credit risk of that customer profile, that customer cohort, we price to the customers.
Sanket Chheda :
Sure sir. Yes, those were the only two questions, sir. Thanks.
Moderator :
Thank you. I would now like to hand the conference over to Ms. Vishakha Mulye for closing comments. Over to you.

Vishakha Mulye :
So, thank you so much all of you. And if there are any pending questions, and Vijay and Pramod and Aashwij are available. Of course, I'm also available. Please feel free to contact us. Thank you so much.
Vijay Deshwal:
Thank you .
Moderator :
Thank you sir. On behalf of Aditya Birla Capital, that concludes this c

onference. Thank
you for joining us, and you may now disconnect your lines.

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Call: Nov 2023

Aditya Birla Capital Ltd. (ABCL)
Q2 FY24 Earnings Conference Call Transcript
November 3, 202 3

Moderator:
Ladies and gentlemen, good day and welcome to the Q 2 FY 2 4 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during t he conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded . I now hand the conference over to Ms. Vishakha Mulye, CEO, Aditya Birla Capital Limited. Thank you, and over to you, ma'am.
Vishakha Mulye :
Good evening everyone and welcome to the earnings call of Aditya Birla Capital for Q2 of FY2024.
Joining me today are senior members of my team Bala, Rakesh, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Sanchita. I will cover our strategy and approach across businesses and Vijay will cover key financial highlights followed by discussion on performance of our key businesses by respective CEOs.
The Indian economy continued to be resilient amidst the uncertainties in the global environment. The underlying growth momentum is visible with expansion in manufacturing and services PMI, real estate buoyancy, and higher demand for travel. GST collections increased by 13% year -on-year to 1.73 lakh Crore Rupees. Passenger car sales increased by 16% year -on-year in October. Though there has been a pause in monetary policy tightening globally and in India, trend in inflation needs to be monitored closely. We expect positive macroeconomic trends to continue and Indian economy to perform well in FY2024.
At Aditya Birla Capital, we follow "One ABC One P&L" approach, to focus on quality and profitable growth by leveraging data, digital and technology. The three pillars of our approach are "One Customer", "One Experience" and "One Team". This approach has he lped us to accelerate our growth trajectory, build scale and increase market share across businesses. Our total lending portfolio across the NBFC and HFC business grew by 41% year -on-year to 1.09 lakh Crore Rupees. The total AUM across

mutual fund and insurance businesses increased by 12% year -on-year to over 4 lakh Crore Rupees. The total consolidated revenue grew by 22% year -on-year to 8,831 crore Rupees in Q2 FY24. We are happy to share that our consolidated profit before tax grew by more than 46% year -on-year and crossed the 1,000 Crore Rupees milestone in Q2 FY24. Consolidated profit after tax grew by 44% year -on-year to 705 crore rupees.
Our endeavour is to provide "One Experience" to our customers across all channels. We follow an omni channel architecture for distribution and give our customers the complete flexibility to choose their channel of interaction.
'Digital First' is at the core of our strategy for product innovation, direct acquisition and seamless transacting experience. In our AMC business, about 78% of customers were onboarded digitally. In life insurance, 80% of renewals were done digitally. In our Health Insurance business, 85% of the business is delivered by auto -underwriting.
As you are aware, our comprehensive B2B platform for MSME ecosystem, Udyog Plus went live earlier during the year. I am happy to share that we have seen a very robust response for Udyog Plus with more than 164,000 registrations as of September -end. It offe rs paperless digital journey for small ticket business loans along with PIFA solutions and various value -added services to MSMEs. We have integrated Udyog Plus with several government and private ecommerce websites via OCEN to provide various credit facili ties to sellers on these platforms. We have started integrating Udyog Plus with

ABG ecosystem to provide channel financing to dealers. Udyog Plus
has reached a monthly run rate of 50 Crore Rupees disbursement with ABG ecosystem contributing two -thirds of t he business. We will continue to scale up the business in ABG ecosystem as we expand our market footprint in B2B segment.
As we continue to strengthen our digital offerings, we are also focused on expanding our physical footprint. Our branch expansion is targeted at driving penetration into tier 3 and tier 4 towns and capturing white spaces across customer segments. Our overa ll branch count increased by 71 and we had 1,403 branches across all businesses as of September -end. In line with our One ABC approach, we continue to expand our co - located branches which increased by 70 during the quarter to 691 branches across 201 locati ons as of September -end.
We are also leveraging the extended ABG and ABCL ecosystem to accelerate our growth trajectory across various businesses. ABG and ABC ecosystem contributed about 7% of total disbursements in our housing finance business Q2 FY24.
We follow “One Customer” approach through which we build deep understanding of customer profiles and provide them best -in-class solutions across PIFA for their financial and business stage needs. We had mentioned in our previous earnings calls

that we are developing an omni channel D2C platform with various touchpoints through which will acquire new customers and provide holistic financial solutions to our existing customers. We are progressing well in this journey and the mobile app of this pla tform is expected to go live in the next 90 days.
Going forward, we will continue with our One ABC, One P&L approach to grow and build scale in each of our key businesses.
Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarter.
Vijay Deshwal :
Thank you Vishakha
Coming to the financial performance, consolidated profit after tax grew by 44% year - on-year and 9% sequentially to 705 crore rupees. The total revenue grew by 22% year-on-year and 8% sequentially to 8,831 crore Rupees in Q2 FY24.
In our NBFC business, we continued with a strong momentum of disbursements and granularization of book. Disbursements for the quarter grew by 32% year -on-year to 16,477 Crore Rupees in Q2 of FY24. This helped the loan portfolio to grow 44% year - on-year and 9% sequentially to 93,522 Crore Rupees as of Sep -end. The NBFC business had a healthy RoA of 2.51% and RoE of 18.0% in Q2 FY24. During Q2 FY24 we infused equity capital amounting to 750 crore Rupees in our NBFC subsidiary to support the growth momentum an d maximize our share of opportunities.
Our Housing Finance Business continues to see healthy momentum with disbursements increasing by 52% year -on-year and 16% sequentially to 1,882 crore Rupees during Q2 of FY24. The loan portfolio grew by 23% year -on-year and 6% sequentially to 15,439 Crore R upees as of September -end. RoA was 2.03% and RoE was 14.5% in Q2 FY24.
Coming to our AMC business, the average AUM increased by 10% year -on-year and 5% sequentially to 3,10,899 crore Rupees, of which equity AUM was approximately 42% in the current quarter. Our passive AUM grew by 68% year -on-year to 28,438 crore Rupees at Sep tember -end.
In life insurance business, our individual first year premium grew by 13% year -on-year. Net VNB margin expanded by 195 basis points year -on-year and 240 basis points sequentially to 14.2% in H1 FY24. Embedded value increased by 13% over March 2023 and cros sed 10,000 Crore Rupees.

In our health insurance business, our unique and differentiated “Health First” model helped us to deliver a growth of 23% year -on-year in Q1 FY 24. Combined ratio was 119% in Q2 FY24.
With that, I will now hand the call over to Rakesh to take us through

the NBFC business
performance in detail.
Rakesh Singh :
Thanks Vijay, and Good evening, everyone.
In our NBFC business, we saw a sustained momentum across all segments in Quarter 2 of FY24 contributing to a 9% quarter -on-quarter and 44% year -on-year growth in our AUM, taking it to Rs 93,522 Crore. Our Retail and SME segment AUM grew 49% year -

on-year an d now stands at Rs 62,577 Crore contributing to 67% of the AUM Mix. Our active customer base grew to 5.9 million compared to 5.3 million last year, a 13% growth year on year.

New business sourcing was strong in Q2 FY24. We disbursed Rs 16,477 Crore which is 32% higher than Q2 last year. All product segments contributed this growth with our Business Loans segment being the biggest contributor in terms of disbursement mix at 41%, followed by Personal and Consumer loans segment at 32%. Our strong sourcing quality in this segment is demonstrated by 87% of the portfolio having a credit score of 700+.

Our Net Interest Margins expanded by 16 bps year on year to 6.87% in Q2 FY24. While, our Opex to AUM ratio reduced by 26 bps year on year to 2%, our CIR reduced by 428 bps year on year to 28.76% for the quarter. Our Profits After Tax for Quarter 2 was Rs 5 48 Crore, growing by 53% year on year. As a result, the Return on Equity for the quarter expanded by 425 bps year on year to 18.01%.

The asset quality has shown a consistent improvement over last year with (Stage 2 + Stage 3) book coming down from 8.50% in Q2 FY23 to 5.24% in Q2 FY24. Gross Stage 3 book has dropped to 2.64% from 3.53% in Q2 last year. Our Stage 3 PCR increased to 48.3%, which is higher by 5.2% over Q2 last year.

As I had mentioned in the last quarter earnings call, we launched “Udyog Plus” - our unique and differentiated unified platform for MSME customers. In a brief duration of 6 months, we have over 164,000 MSMEs registered on the platform as of Sep’23. To deep en our geographical reach through physical presence, we added 43 branches this quarter and 154
branches in the last 12 months taking our branch count to a total of 375 as of Sep’23. We will

continue to scale Udyog Plus and invest in enhancing our distribution capacity to fuel our growth momentum.

I’m happy to share that we successfully concluded the Maiden Public Issue of Non-Convertible Debentures for Rs 2,000 crores in October, 2023. The issue received an overwhelming response and was oversubscribed by 1.22 times with over 10,000 applications across all categories of investors. With that, I will now handover to Mr Pankaj Gadgil, MD and CEO of Housing Finance business .

To conclude and reiterate our performance, we had a robust quarter in terms of growth leading us to a Return on Assets of 2.51% in Q2 FY24. In the next few quarters, we will continue to build a granular portfolio and enhance our Retail and SME Segment Mix. As we venture into newer customer and product segments, enhance capacity and invest in technology, we remain committed to delivering sustainable returns for the forthcoming quarters.

With that, I will now handover to Mr Pankaj Gadgil, MD and CEO of Housing Finance business .

Pankaj Gadgil:

Thank you, Rakesh, and good evening, everyone. I will cover the performance of ABHFL in Q2FY24. We maintained strong momentum in disbursals and book growth. Robust financial performance and focus on portfolio quality led to consistent improvement across al l return metrics. Q2 key highlights are as follows:

• Disbursements of ■ 1,882 Cr., which is an increase of 52% YoY
• I am happy to announce that we have crossed 15,000 Cr. mark in AUM and as of Sep’23 it stands at ■ 15,439 Cr., an increase of 23% YoY.
• The customer base grew by 18% YOY and is now at ~58,400
• Net interest margin (NIM) is 4.88%, and our profit before tax (PBT) for the quarter is Rs. 97 Cr, which is our highest ever in a quarter, with an increa

se of
28% YoY
• On asset quality, Stage 2 + Stage 3 has reduced by 38 bps QoQ and 390 bps YoY
• The PAT for Q2FY24 is ■ 75 Cr., an increase of 26% YoY
• The ROA for Q2FY24 is 2.03% and ROE is at 14.50%.

You can refer to the detailed financials on slide 2 5 of the presentation.

On portfolio quality, with focus on quality of origination, 96% of our disbursements in Q2FY24 are towards 700+ CIBIL or new to credit. The contribution of 730+ CIBIL to origination is at 74% which is significantly higher than the industry average of 42%.

Our Gross Stage 3 has shown significant improvement, decreasing from 3.75% in Sep 2022 to 2.63% in Sep 2023. We are maintaining stage 3 PCR of 34%. The details of the same are provided on slide 23
Moving to treasury Management. We have maintained an average cost of borrowing of 7.60% for the quarter, prioritizing a diversified borrowing mix. The contribution of NHB to our total borrowings has increased from 16% in Sep 2022 to 21% in Sep 2023. We ha ve maintained positive ALM across buckets, and CRAR stands at 20.38%. Further details are mentioned on slide 24 of the presentation.
You can see that we demonstrated consistent improvements across all aspects of book growth, asset quality, and core profitability.
Now, I'd like to provide you a brief six -month update on the organizational roadmap that we presented during our discussion in April 2023
• Firstly, coming to the growth and distribution network, we have been growing at consistent pace in both prime and affordable segments. We now have a nationwide presence, with 131 branches across twenty states covering 80 to 85% of the TAM of housing finance industry. We witnessed two -fold growth in channel partner onboarding in last six months. The ABG ecosystem now accounts for 7% of new disbursals.

• Secondly, on digital reinvention of entire customer journey, I'm pleased to announce that as of August 2023, we have successfully deployed our new unified digital lending platform 'Finverse' in all branches as per plan. This expansion follows our discussio n during the last call when it was initially deployed in 33 branches back in June 2023.

Within just one month of its pan -India launch, 'Finverse' adoption is more than 40% in Sep 2023. Finverse offers unified interface for all stakeholders like customers, partners, employees and vendors with 95+ API integrations and built in data led algorith ms for easy credit assessment. It also has additional capabilities like real time dashboard and customer portal. This simple and intuitive user -friendly interface ensures the benefits like easy login, real time query resolution, digital collection and val idation, access to loan status for customer and faster payouts amongst other features.

• Lastly on the analytics front, we are well on course. We have built the team in the last six months. The adoption of our initial models including the attrition, pre-delinquency management and lead scoring models is consistent with our envisioned plan, whi ch is quite promising.

In summary, we continue to invest in long -term growth while maintaining robust profitability and a quality portfolio, all while maintaining customer centricity at the core. With that, I now hand over to Bala, MD and CEO of our Asset Management Company.
A. Balasubramanian :
Thank you and good evening to everyone attending. I would like to share some highlights of ABSL AMC during the second quarter of FY24.
Our overall average Assets under Management, including alternate assets, reached Rs. 3.24 lakh crores growing 10% on a year -on-year basis. The Mutual Fund quarterly average AuM has crossed Rs. 3 lakh Crores and Equity quarterly average AuM crossed Rs. 1.30 lakh Crores.
SIP flows have increased from Rs. 931 Crores in September 2022 to Rs. 968 Crores in September

2023 with an overall folio count of around 80 lakhs.
Our strategic efforts across channels have enhanced market presence, with the "Focused Fund Offer" campaign gaining traction and driving an upswing. The sales ecosystem, including VRM, Sampark, Service to Sales and Digital Distribution, has also been yield ing positive results.
On the Passives front, our offerings grew by 68% to around Rs. 28,400 crores as on September 2023 and has a growing customer base of around 5.4 lakh folios.
On the AIF front, fund raising is underway for ABSL India Special Opportunities Fund (CAT III AIF). After setting up of GIFT City, we have launched the industry -first "ABSL Global Emerging Equity Fund," which strategically feeds into the "ARGA Emerging Market Equity Fund," enabling our investors to access and benefit from emerging market opportunities. We have closed the first tranche of this fund and garnered a

collection of 11.2 million dollars.
Moving on to the financials for the quarter:
• Our Revenue from Operations for Q2 FY24 was at Rs. 3,350 million versus Rs.3,111 million in Q2 FY23, up 8% year -on-year.
• Operating Profit for Q2 FY24 was at Rs. 1,811 million versus Rs. 1,728 million in Q2 FY23, up 5% year -on-year

Kamlesh Rao:
The first half saw a growth rate of 13% for the individual life insurance business in line with private industry growth and higher than the overall industry growth of 8%, the growth in value was supported by a 19% growth in polic y count .
Our growth was driven through higher growth in our proprietary channels at 22 % we saw de -growth in our largest partner bank in Q2 which was driven by their strategic shift for a quarter to contribute more to their subsidiary Life insurance partner. Other bank channels saw a robust 39% growth in Q2 .
During the quarter, we commenced business at IDFC First Bank counters and Bank of Maharashtra will go live in November . We are hopeful that by Q3 we will further strengthen our banca proposition to drive growth going forward.
Products launched in the last one year contributed 44% of the business in H1 FY24. In the individual business traditional products contributed 79% and ULIP contributed 18%. This has resulted in strong gross margins. Upsell to existing customers contributed 28% of t he business in H1 FY24. This helped productivity growth in both proprietary and partnership channels.
The Group Life Insurance segment for the industry saw a de -growth of 23% in H1 FY'24, while ABSLI de -grew at rate of 10%. We continue to remain No.1 in ULIP segment with an AUM of Rs.10,455 crores . We maintain our guidance of growth for the full year projections for this business for FY 24 .
Our total premium of Rs. 6,827 crore has registered a growth rate of 7% over last year, this growth came from new business as well as renewal premium growing at 19%. Digital collections now account for 80% of our renewal premium .
Persistency across all buckets did well with the 13th month now at 87% and the 61st at 59%. We continue to maintain an upward bias in our forward guidance for these persistency numbers.
Our Asset under management now stands at close to Rs. 76,994 crores, with a YoY growth of 19%. 25% of this AUM is in equity and the balance 75% in debt. Our investment performance has been better than respective benchmarks across all three categories of Equity, Debt, or even Balanced funds, either from a 1 -year or 5 -year perspective.
Our digital adoption across various areas is demonstrated in Slide 44. 100% of new business customers are onboarded digitally, 83% of all our services are now available digitally, covering 62% of our customer transactions, and our customer self -service ratio now stands at 89%.

Our net VNB margin continues to grow well with an expansion of 195 basis points to 14.2% in H1 FY24 as s

een in slide 41. We expect to deliver 23% plus Net VNB margins in FY 24
Our approach is to continue the growth trajectory of this business ahead of the industry, backed by both productivity and capacity. We expect continued improvement in the quality of book. Growth will come from a diversified mix of both proprietary and partnership channels. We will continue to be best -in-class in our digital infrastructure, across prospecting and onboarding in sales, underwriting, and customer service as well as claims.
With this now, I hand over to Mayank, who will give you details of Health Insurance.
Mayank Bathwal:
Thanks Kamlesh and I would like to now present the performance of our Health Insurance Business.
In H1FY24, we have registered a gross premium growth of 23% year on year, in line

with the market. We have seen good traction in retail sales towards the end of the quarter and we saw an overall growth of 38.1% in Sep 23 against the SAHI growth of 22.9%. Post the changes we had done in our channel strategy in the first half of the year we now expect the growth traction to continue.
Our Market share in SAHI has improved from 10.4% in FY 23 to 10.7% in H1 FY24. We saw good traction in our larger retail channels, with the proprietary channel growing at 34% backed by the capacity additions in over the last 12 months and a focused geography strategy. The share of proprietary channels is now close to 30% compared to 25% (H1 FY23). Our advisor count crossed 1 lacs for the first time, demonstrating the large scale of the Agency channel.
Our focus on driving superior product mix has led to contribution of Fixed benefit products growing from 12% in H1 FY23 to 16% in H1 FY24, which will positively impact profitability in the forthcoming quarters.
We continue to add new capacities in Bancassurance channel with the onboarding of YES Bank. Activation of new partners added in the last few months will support our retail business growth.
Our Corporate business grew at 37% year on year, driven by our strong focus on profitability. This is enabled by sharp selection of customer segmentation, cross sell/upsell business, corporate wellness and the industry leading OPD business. We

continue to focus on Mid Corporate and SME segments to create a sustainable and profitable Corporate and affinity business.
By prioritizing both growth and profitability, we are building a resilient franchise.
Our Net loss has reduced to Rs 140 Crs from Rs 149 Crs in same period last year. Claims and expense ratios have trended well overall at a company level. Our C oR for H1 FY24 is higher compared to same period previous year, mainly due to the impact of seasonality of growth over the last 12 months. We expect the C oR to normalize in the coming quarters.
As a tech and digital -enabled data -driven health -first business, we remain committed to investing on a sustained basis in our tech and digital capabilities. Our digitally powered scale hyper personalized engagement allows us to gain deeper insights into our customers, accessing a wealth of health and lifestyle data. Our App downloads have increased by 67%YoY and our monthly average users have also g rown by 35% YoY. Self -service transactions stand at 79% now compared to 67% in Q1.
Leveraging high -end analytics tools, we drive better business outcomes, enabling us to make informed decisions that positively impact our customers' lives. This involves personalized product offerings, targeted health and wellness interventions, and a personalized service approach, all aimed at enhancing overall customer experience.
In addition , the investment in data augmentation and analytics is helping improve our cross sell, retention and fraud, waste and abuse management.
We continue to bolster our digital health and wellness ecosystem which now has 60 + partners and we are now working with multiple insur

e techs and health tech players to
enhance customer value and operational efficiency. We launched a first of its kind digital face scan based health assessment feature to augment customer health data, working with a health tech partner. It now contributes more than 15% of the total Health Assessments, signaling good acceptance by customers.
Looking ahead, given the compelling opportunity, and enabling regulatory environment, we remain optimistic on the growth potential of the health insurance industry. Our vision is to expand our franchise aggressively while maintaining best -in-class unit economics and a clear focus on profitability.
Thank you and I will now pass it back to Vishakha for her closing remarks.
Vishakha Mulye:
Thank you, Mayank and t his concludes our comments on Q 2 FY24 performance and now we will be happy to take any quest ions.

Moderator
Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Anuj Singla from Bank of America. Please go ahead .
Anuj Singla :
Thank you. Good evening everyone so the first question I have i s on the personal and the consumer segment with the average ticket size of Rs. 33000 . Now we get a lot of

queries on the bureau data which shows stress in the less than Rs. 50,000 category but when I look at our earnings the GS3 has been stable Q -o-Q. So there does not seem to be any kind of stress in our portfolio, so can you talk about the early delinquency trends in this quarter and any action we have taken on the customer cohorts for the new sourcing in this segment?

Rakesh Singh :

So if you look at it Anuj, our unsecured and personal consumer loans with ticket size less than Rs 50,000 and tenure less than 30 days is only 1% of our total loan book and unsecured personal and consumer loans with ticket size less than Rs. 50,000 and tenure less than 30 days which comprises BNPL through partners is only 2% of our overall loan book . So clearly I think the portfolio is very small for both these segments and in terms of what as you rightly mentioned our portfolio looks very stable but we have been monitoring this portfolio closely in terms of taking decisions , the tightening we are doing in our underwriting and we are tightening the scorecards. So all the indicators are looking fine at this point in time and we have no cause of concern but we have started tracking the leverage of these customers . So to give an example , of customers who are onboarded nine months back, 12% have now leverage which is one-and-a-half times of what they had nine months back . So clearly we are tracking the leverage o f these customers also and keeping a very close watch on this portfolio . So very calibrated growth or business is what we are looking at in this segment.

Anuj Singla :

Got it Rakesh. Thank you very much and the second question is on the sourcing from the digital ecosystem partners . Now one of the peers today commented that the delinquencies in this portfolio sourced through the digital ecosystem of the fintech partners are higher versus traditional partners . Can you talk about your experience here in your portfolio and secondly there is a slide here as well where you mentioned that you are using the customers acquired through the digital ecosystem for cross -sell. So can you talk about the cross -sell rate what have we achieved till now?

Rakesh Singh :

So, I think the cross -sell is almost 40%+ of the new personal loans which comes through these consumer loans, so that is our cross -sell conversion. Your first question in terms of what we are seeing through the digital partners so again we are not seeing any deterioration in terms of credit quality. Yes we have calibrated . If you look at our personal and consumer loans, in Q4 was growing at 21% Q -o-Q whi

ch came down to 15% Q -o-Q and then in last quarter it has come down to 9% Q -o-Q. So we are calibrating and we are really tightening wherever we need to take proactive measures we are doing it. At this point i n time we do not see any deterioration and the portfolio looks quite stable but we are being very proactive in terms of through the door analysis, looking at the boun ces, looking at the resolutions and in terms of the leverage as I mentioned earlier we are looking at it very closely and taking calibrated calls in terms of doing business.

Vishakha Mulye :

Anuj one more point is that I am not sure what the others are doing but as far as we are concerned as we said in our remarks that we follow an ‘Omni channel approach’ So irrespective of the fact which channel the customer approaches , as far as our credit standards and underwriting standards are concerned they are identical . So that is a very important point which is there . So even though they come through the digital channel for us , we treat them like any other channel and our underwriting standards are sam e across our channel s so that also kind of helps us to manage . So it is not that because it is coming from one particular channel that our asset quality is not as good as it is from our own channel or through a DSA channel or through a direct channel and of course as Rakesh said that we are very proactively managing th is portfolio wherever required we are also tightening it out.

Anuj Singla :

So Vishakha would it be fair to assume that the delinquency trends irrespective of the challenge will be quite similar so, not exactly it will be similar across channels?

Vishakha Mulye :

Yes, for the similar customer segment it is identical .

Anuj Singla :

Got it and the last question is on the capital . So while we injected capital in the NBFC in this quarter like Vijay mentioned , the Tier -1 is still 13.8 & capital adequacy is 16.3 and this business has been growing impressively and I think the trajectory also remains strong so how should we look at the capital requirements of this business maybe over the next two years?

Rakesh S ingh:

So, Anuj we raised Rs. 3000 Crores of capital if you recollect during the month of June which at a franchise level we are confident that it will suffice us for two years which is closure of FY25 and within that a large part of the allocation will continue to go towards our lend ing businesses so we see the trajectory clear and for next two years we are sufficiently funded.

Anuj Singla :

Got it. Thank very much

Moderator :

Thank you. We have our next question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal :

Good evening, everyone and congratulations on a good quarter. Just wanted to understand though we have already spoken about personal loans, consumer loans and business loans what we are doing aside that we are calibrating I just wanted to understand given that we have a fairly good tie -up with some of the Fintechs digital players, we have good number of partnerships in the digital ecosystem through which you source personal loans, so have you had a chance to check what proportion of your personal, consumer or unsecured business loans is being originated through this Fintech ecosystem and likewise what is the average ticket size of these loans and currently as on September what was your gross stage 3 in this portfolio?

Rakesh Singh :

A total of Rs. 19200 Crores which is our personal and consumer. The consumer which is around Rs. 4200 odd Crores which is 22% of our retail and consumer business that is where the digital partnership really plays out and I also mentioned about the proportion and the percentage of less than 50,000 ticket sizes in our overall portfolio which is less th an 50 ,000 and more than 30 days is only 1% of our overall portfolio so that is how it

is Abhijit.

Abhijit Tibrewal :

Got it and currently in these loans like you said consumer is predominantly the portfolio originated through digital partnerships , what is the gross stage 3 numbers that you are seeing right now?

Rakesh Singh :

If you look at the asset quality slide which is there, slide number 1 5 if you look at both at our Stage 2 and Stage 3 is quite stable including Stage 2 and Stage 3 last quarter was 4.1% and this quarter also it is 4.1% and if you look at 2.1% was the Stage 2 and 2% Stage 3 so it has been very, very stable now.

Abhijit Tibrewal :

Got it so essentially this entire consumer portfolio that you are talking about is it fair to assume large part of it is originated through digital partnerships?

Rakesh Singh :

Consumer business and apart from that some ecosystem and internal ecosystem and all also but yes these are small ticket loans.

Abhijit Tibrewal :

Got it and just one last question just trying to understand because our asset quality is still holding up very well and the fact that you have already shared that you have already calibrated your underwriting are you not seeing any Fintech partners where you are evaluating whether we should continue that partnership or whether you should not in other words what I am trying to understand when there is so much that is being discussed at the industry level there are no early warning indicators that you are see ing in your consumer portfolio at this point in time?

Rakesh Singh :

We review these portfolios on a regular basis and on a weekly basis, we have a monthly cade nce with our partners . We review the portfolio, whichever cohort partnerships or segments which are not looking good we close it and tighten it then and there . So it is not about that so we would have taken a call maybe 12 months back or 15 months back with few of the partners quite a few partners so this is an ongoing

process we keep reviewing this, so you are right there are certain partners where the portfolio quality might not be good but we do not wait for long. We take a decision then and there and we just tighten it or stop that partnership and there are lot of examples where we have stopped doing any business with them.
Abhijit Tibrewal :
Got it. That is all from my side. Thank you so much and all the very best to you and your team

Moderator :
Thank you. Our next question is from the line of Parag Thakkar from Anvil Wealth. Please go ahead.
Parag Thakkar :
Basically my question is what kind of margin picture you see and RoA picture you see on the NBFC side as well as housing finance side because generally we are seeing this new moderation across the sector in the lending space and the other point is that as everybody is alluding to the asset quality which is related to Fintech or digital partnerships so what kind of red flags are there in your system for example bounce check rate or whatever if you can highlight will give us comfort that on the consumer side especially in the digital partnerships and Fintech our asset quality will remain robust?
Rakesh Singh :
So Parag I will just address the NBFC and then I will ask Pankaj to add for the housing but in terms of the margins I think first point was the margin so if you look at our cost of funds went up by 14 basis points sequentially, though our yields improved f or the quarter but because cost of funds went up that is the reason why the margin is in the same range and we are quite confident that with the change in the product mix we will be back to the normal margins which we have delivered previous quarter and wh atever we have committed going forward so with the change in the product mix we should be able to. Also, we believe that we are at the fag end of the increase in cost of fund and once that stabilizes the change in the product mix will

start really deliveri ng the
improvement in the margins so that was your first question.
Parag Thakkar :
Sir our guided range is about 6.5% to 7% NIM and 2.5% to 3% RoA?

Rakesh Singh :
Yes so 2.5% RoA is what the last quarter also we delivered 2.54% and this quarter also is in the same range 2.51% very similar range so I think we will continue and deliver these RoAs and continue to as our commitment is we will continue to improve the RoA over the next couple of years.
Parag Thakkar :

Great and what was your loan book based on the economy and based on the economic momentum what kind of loan book growth you envisage in the NBFC will come to housing later on your NBFC PAT what kind of loan for example this quarter I think you have grown a bout 44% right?
Rakesh Singh :
Yes Parag.
Parag Thakker :
So, what kind of sustainable growth we can assume with improvement in RoA trajectory as you rightly said in the coming two years I would say?
Rakesh Singh :
So Parag again if you look at we invested in our distribution, we increased our branch footprint, if you look at our branch two years back was 119 branches that has gone to 375, we are looking at 500 odd branches, we have increased our headcount in terms of manpower, so we have built in the capacity and which is what is playing out but yes going forward the growth will be slightly moderated if you compare to what we have delivered last quarter. Our guidance which we have always given is that we will double our book in the next three years and that is what we are really working to deliver .
Parag Thakker :
With this improvement in RoA from 2.5% to say what level in next two years, I am just asking about the approx numbers not necessarily I will hold on to that, RoA

improvement as you are saying from 2.5% so what kind of RoA we are targeting in next two years, we are doubling our two and three years RoA?

Rakesh Singh :

So, Parag our committed guidance on this front is that we will double our book in the next three years and we will improve our RoA to 3% in the next three years with the change in the product mix and improvement of margins.

Parag Thakker :

Correct perfect and second question was on the red flag how do you see for example if there is a loan given through a digital channel how do you see that there is a red flag, and this zone can turn bad so what is the first check, it is the bounce rate right?

Rakesh Singh :

So, Parag I mentioned earlier I think we are tracking the leverage. See when we give the loan we know what is the kind of debt the customer has because you have access to the credit bureau score and everything but post that how many more loans a customer t akes and increases the leverage and debt I think that is what we are really watching very closely and I mentioned that 12% of our customers over the last nine months we have seen that their leverage has gone up by one -and-a-half time so we are tracking the se customers this 12% of the customers we are tracking it very closely and we will continue to track the customers where leverage is going up. Also, we track the vintage delinquency very closely and as I said the first indicator is the bounce rate and our bounce rate is still improving and it is quite stable so I think that is the first indicator, things are looking stable and we will continue to monitor very closely the leverage, the vintage delinquency and all these parameters we will continue to look at very closely.

Moderator :

Thank you. Our next question is from the line of Shloka from Carnelian Capital. Please go ahead.

Kunal Shah :

This is Kunal here. I had two questions. One was on this corporate and mid -market book we have had a very good growth of about 37% on year -on-year basis and 8% on quarter -on-quarter basis so within this construction finance from

about Rs. 4000 odd

Crores it has gone up to like Rs. 5500 odd Crores right so two questions to this part one was specifically on construction finance what kind of lending is this and to help understand the growth that is coming here and second on the overall corporate and mid-marke t how do we see the growth in this particular segment is the competitive intensity out there which will kind of impact the NIMs going ahead, some highlight on this particular segment of the overall book growth would be really helpful?

Rakesh Singh :

If I can address that, then maybe you can ask the second question so if you look at the developer finance Rs. 4200 Crores which went to Rs. 5300 Crores to Rs. 5400 odd Crores we had growth of Rs. 1000 odd Crores in that portfolio . This is a very, very stable portfolio for us. See the drawdown in this business is dependent in terms of how the project is moving and when the requirement is so that is the reason I think the drawdown in this quarter has been slightly higher and majority o f our exposure in this portfolio is to category A developers across the country primarily focused on Mumbai, Pune, and Bengaluru . So these are the three markets where our prime exposures are and it is a very stable and well performing portfolio for us . On the mid -market and corporate see again corporate book is looking very good at this point in time. The

corporate portfolio and the leverage with the corporate businesses are looking very good. We are looking at a very calibrated growth in this business, our growth drivers will remain retail and SME and, in this business, we will not miss an opportunity but clearly the growth drivers will be retail and SME.

Kunal Shah :

Got it and in the construction finance is there a concentration and again it is kind of spread out about Rs. 1000 Crores increase and if I compare it from last year so from Rs. 3,000 to almost doubling of the book to about Rs. 5500 so is there concentration here or it is fairly diversified between the lenders and between the projects or how is it?

Rakesh Singh :

These are very well diversified. See last year's comparison, it was coming out of COVID, and a lot of projects were slow at that point in time. If you look at just before COVID also our portfolio used to be Rs. 4000 crore+ so from that point of view there is no significant over the two to three years because the construction activity was slow that is reason the portfolio has come down . But now the real estate has picked up and construction activity has picked up so that is the reason you see a uptick in thi s and it is quite well diversified as I mentioned category A developers primarily focused on Mumbai, Pune and Bengaluru, yes some amount of Hyderabad but primarily these are the markets which we really cater to.

Kunal Shah :

Got it interesting. The other question that I had was again in the NBFC that the active customers number for the last four quarters has been more or less hovering around the same number but we have had robust growth when it comes to the unsecured piece, th e personal and consumer loan piece, so how should one read this while active customers number more or less remain the same in the last four quarters if I read the numbers correctly but then we have had robust growth on the asset side so how should one read these two data points together?

Rakesh Singh :

We mentioned this we are looking at a very well calibrated business with our digital partners so small ticket loans you have been that has come down I mentioned it to you that in Q4 it is 21% and 15% then 9%, so it has been coming down. We are really looking at mining the existing customer base and cross -selling on to the existing customer base, the customers who are performing well, so our clear focus is that we cross -sell to the existing customers and we are churning the small ticket wherever very

calibrated in terms of so that is the reason why you see though customers in terms of customer acquisition would be higher but active customers has been slightly and because that is a very, very strategic call which we have taken in terms of calibrated growth in this segment.

Kunal Shah :

No but if I understand correctly cross -selling would be of different products the other businesses that we have that would be something which we will be cross -selling particularly about the NBFC customer base growth and the loan book growth?

Rakesh Singh :

Again, I think cross -sell is maybe not the right term. Upsell is the correct term. So a consumer loan customer who comes and once we see and track the performance of these customers then we upsell a personal loan so a consumer loan customer moving to a personal loan, but the number of customers is not increasing.

Kunal Shah :

Basically average ticket size for one customer is going up there could be different segments of loan for that particular customer and therefore the active customer base is not going up but the loan book growth would be right to understand average outstanding for one customer going up in the last few quarters is one of the reasons which is driving growth is that the fair understanding the n?

Rakesh Singh :

Yes, that is a fair understanding.

Kunal Shah :

Fair enough. I will join back in the queue. Thank you.

Moderator :

Thank you. Our next question is from the line of Bhaskar Basu from Jefferies. Please go ahead.

Bhaskar Basu :

Good evening. I just had two questions. Firstly, what were the write -offs in the NBFC book this quarter and the prior quarter?

Rakesh Singh :

Prior quarter was Rs. 419 Crores and this quarter is Rs. 369 Crores.

Bhaskar Basu :

Which of the segments is the write -offs coming from?

Rakesh Singh :

Primarily it will come in the small ticket unsecured loan.

Bhaskar Basu :
My second question was basically within the Rs. 19000 Crores of personal and consumer loan book what percentage is basically Fintech originated I think you answered to it in the earlier question but especially in the cases where the loan is originated at the Fintech and you subsequently also kind of up sell them to PL that would also part of Fintech originated loan so what proportion of the total book would be Fintech originated?
Rakesh Singh :
So, Bhaskar we mentioned this most of the Fintech origination comes in the consumer segment where we acquire customers which is the small ticket loans in the consumer segment.
Bhaskar Basu :
Because my understanding is a lot of this upsell loan effectively again goes back to the Fintech in a way right so that is where I am coming from?
Rakesh Singh :
So, Bhaskar that is I think we have an analytics team, and which builds the score card and all. The majority of the customers the upsell is done by us, in certain cases if it is done by the partner there is fee to it with a commercial arrangement which is ther e with them. That is how the arrangement is.
Bhaskar Basu :
So, do you kind of approach the customer directly or through Fintech?
Rakesh Singh :

Again see the score card and I think Vishakha also mentioned this we have a clear Omni channel in terms of our score card which is very, very similar even we acquired for the same customer segment and for the same ticket size will be acquired through direc t or through the digital partners so all of the score cards and BREs are built on our system and by us.
Bhaskar Basu :
Where do you kind of reflect the FLDG or the performance guarantee, etc., for some of these Fintech arrangements where in the P&L does it come in?
Rakesh Singh :
We have two partners where we have signed FLDG. We are factoring in others. It’s very early days but yes.
Bh

askar Basu :
No FLDG on your arrangements is that a fair understanding?
Rakesh Singh :
So, the way it happens is like recovery so if the FLDG is recovered it will be shown as a recovery.
Vishakha Mulye :
So Bhaskar as you know there were various eras of digital lending so there was a FLDG era after that the digital new guideline of RBI came where we moved to that lending where FLDG were not allowed but as we had explained before it gets adjusted in the lending rate and the fees that we pay to our digital partner. Recently RBI has again come up with a guideline according to which 5% we can have FLDG. We are engaging with our partners. In terms of two of our partners we have kind of concluded and moved to an FLDG kind of an arrange ment. In terms of accounting the way it happens is FLDG is recovered in cash from the partners and therefore that is considered as a recovery. It is actual cash that you collect on FLDG, and it is considered as recovery and therefore is booked in the provi sion item as a write back. We do it on a cash basis when it is never accrued. You receive it and only then it gets booked as a write back so that is how it happens, but it is not since the guideline is quite new and just six to nine months back the whole s ystem has moved from an FLDG era to a normal lending era. Again, going back, it involves a discussion, it involves a negotiation and actually implementation on the ground which is what is happening right now.

Bhaskar Basu :
Understood thanks.
Moderator :
Thank you. Our next question is from the line of Nischint Chawathe from Kotak

Institutional Equities. Please go ahead.
Nischint Chawathe :
Thanks for taking my question. The first one for Pankaj and if I look at the housing business yields, the yields have been sort of flattish or in fact have gone down a little bit sequentially how should one read this and some of the players have been kind of talking about increasing competition in the space so maybe if you could share some thoughts on that and even f or that matter any slowdown in demand that you will be seeing in the prime segment?
Pankaj Gadgil :
So the question is around the Effective interest rates so like you rightly said I think the rates that you are having in Q1 was 11.56 % EIR which is now about 11.37 % EIR that is where the year is so here like you know is obviously will come down because of compression of the margin, because we had the ability of passing on the rate that was increased on the repo side into our customers last year so to a point that you had increase of repo rates obviously they were passed on but on our side of it the banks which lend to us obviously there is a lag in terms of they are passing on the increase in rates to us. Now I see that cycle is almost kind of come to an end so in my assessment one compression has happened because of the cost of funds which has gone up but l ike you would have seen that amongst all the housing finance companies our cost of borrowing will be amongst the top of all time, clearly because of our ability to borrow being AAA as well as our NHB contribution you would have also seen which has gone up to about 21% versus 16% so that is one side of the story. The other side that is there is that how this will play out is that while the yields are getting a bit compressed on that side for us really the RoA tree has two other functions which is of course t he credit cost and also the cost to income ratios and I think you would have observed that the credit cost have significantly come down which is coming at the back of very smart positions and I would say a very smart recovery we have seen in Stage 2 and St age 3 also shown so sequentially also the Stage 2 and Stage 3 had come down and of course Y -o-Y it has come down very handsomely so that is really helping us on the credit cost. It is coming at the back of good quality

of sourcing. We speak
about the 96% s ourcing that we have which is 700+ and also NTC. It is also the reflection of the pre -delinquency management that we do and of course the in -house

collections, so on that count I think in my assessment of course they have slightly come down over Q1, but I think it should be broadly stabilized here. Yes, the market is very competitive. It is of course eating up but I think efficiencies are entire stac k on the digital which has gone like is also going to bring in more operational efficiencies which would help us in recalibrating the cost and that should ensure that the Ro A is within the range that we are today at and will remain rangebound in that zone of between to 2% to 2.10% that is where we are.
Nischint Chawathe :
Sir you mentioned the borrowing cost in the upper quartile but what was is the marginal cost of borrowing for the quarter I am not sure if I could see it anywhere in the presentation?
Pankaj Gadgil :
So, when I said among the best so it is not among the highest, I just want to reconfirm that so that is among the best so broadly the cost of funds will be in the range of about 6.5% for the company. Anyways on the background of our ability to borrow at be st rates on the market being a AAA consistently in the last five years and also as you will know we have a decent contribution of affordable refinance so that helps you to improve the overall cost of funds.
Nischint Chawathe :
Thanks for that is helpful. Just quickly moving on to the life insurance business I am just trying to understand most of the players have at this point of time reported a compression in margins while you have reported a fairly healthy 200 basis point sort of expansion what kind of explains that and if it is just a product mix then what kind of an optimal product mix are you looking at?
Kamlesh Rao :
So, our product margins if you look at through the year actually go up so the buildup happens through the year. If you look at last year’s same point of time, we would have been at about 12.5% range and ended the year at about 23% and that is the pattern that you will see in the first half of this year. The expansion is essentially on account of maintaining our traditional book mix. We have seen some uptake on the business

that we are doing on the protection side but also because we still continue to reap t he benefits of higher productivity as compared to what we got last year largely in our proprietary channels and direct channels we are seeing the uptake. As I said we aim to maintain our guidance for the end of the year to be like last year, when we were a t

23%, we will be around that range of 23% to 24% margins given by the end of this year.
Nischnit Chawathe :
But is it that margins in proprietary channel are higher than that of partnership and that will grow faster?
Kamlesh Rao :
It depends on what state and what size you are building on the proprietary. I think in general the answer to that question should be a yes but even in partnerships depending on different cohorts, depending on what bank relationships you have, and depending on what size some of them contribute, a lot of them functions in respect of what kind of investment that you have put in, so some of the small banks would have as value lucrative margins as what I am seeing on the proprietary side. It depends on if it achieves scale, it could be a combination of your volume as well as margin game but yes proprietary would have a tendency of bringing significantl y larger value lucrative margins in the business.
Nischint Chawathe :
Thanks, and my final question to Mayank what explains the increase in combined ratio?
Mayank Bathwal :
Yes, as I said that is the seasonality of the growth because last year our group business grew more in the first half of the year.

It will start normalizing from Q3
because individual components are all trending well. Our retail loss ratio is going down, our corporate loss ratio is in line with what we have quoted and therefore i t is a profitable segment. Our expense ratio is just so because of the N/2, so if I look at N/365 each component is going very well.
Nischint Chawathe :
Towards the end of the year probably improve a bit, is what you are saying?

Mayank Bathwal :
It will. It will start seeing the change in Q3 itself.

Nischint Chawathe :
Perfect. Thank you very much and all the best.

Moderator :
Thank you. Our next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.
Shuhranshu Mishra :
Thank you for the opportunity so I think there have been quite a few questions around the personal loan and the consumer loan part I just want to know what is the outstanding number of loan accounts in that and what was this a year ago and how many of thes e customers have two or more trade lines when you onboard them?
Rakesh Singh :
We will get back to you on this Shubhranshu.
Shuhranshu Mishra :
Sure, and also if we can have some sort of a zero plus or roll back rates for this because the average ticket size is too low to be adjusted in gross Stage 3 and those kinds of numbers so if we can probably publish that as well?
Vishakha Mulye :
Thanks. We will consider Shubhranshu.
Shuhranshu Mishra :
Sure, and just because you did not answer any of my questions you mentioned that you are going to do something like FLDG what does like FLDG mean, you either do FLDG or you do not do FLDG?
Vishakha Mulye :
No. We will have to do FLDG. As I said there were different guidelines of Reserve

Bank of India where there was FLDG before. Then they came with a digital lending guideline where they prohibited FLDG and now they have again allowed FLDG up to 5% of the tot al things so what I said is that we will engage or we are engaging with our digital partners to see whether we can get into the old arrangement which is in line

with the Reserve Bank of India guidelines so if we do FLDG it will be exactly according to the Reserve Bank of India guidelines.

Shuhranshu Mishra :
Right and these Fintech partners includes Paytm where we will do FLDG?

Vishakha Mulye :
Paytm is one of the partners

Shuhranshu Mishra :
Sure. Thanks

Rakesh Singh :
On your question number of customers, it is 59,37,141 customers.

Shuhranshu Mishra :
That is in the personal loans?

Rakesh Singh :
You want personal loans?

Shuhranshu Mishra :
Yes, only personal loans.

Rakesh Singh :
I will give you that as well. I will share that with you. I think separately I can share that.

Shuhranshu Mishra :
Sure. Thanks

Moderator :
Thank you. Ladies and gentlemen that was the last question of our question and answer session. I would now like to hand the conference over to Ms. Vishakha Mulye, CEO, Aditya Birla Capital Limited for closing comments.

Vishakha Mulye :
Thank you everybody for joining us today evening and Happy Diwali to all of you and your families. Look forward to be in touch. Thank you.

Moderator :
Thank you. On behalf of Aditya Birla Capital that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Feb 2024

Aditya Birla Capital Ltd. (ABCL)
Q3 FY24 Earnings Conference Call Transcript
February 1, 202 4

Moderator:
Ladies and gentlemen, good day and welcome to the Q 3 FY24 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during t he conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded . I now hand the conference over to Ms. Vishakha Mulye, CEO, Aditya Birla Capital Limited. Thank you, and over to you, ma'am.
Vishakha Mulye :
Good evening everyone and welcome to the earnings call of Aditya Birla Capital for Q3 FY2024.
Joining me today are senior members of my team Bala, Rakesh, Tushar, Pankaj, Kamlesh, Pinky, Vijay, Ramesh, Sanchita and Amit. I will cover our strategy and approach across businesses and Vijay will cover key financial highlights followed by discussion on performance of our key businesses.
Against the unsettled global economic backdrop, the momentum in the Indian economy continues with a strong resilience. The real GDP growth rate of 7.6% in Q2 FY24 exceeded all forecasts. GST collections continue to remain robust at more than 1.7 lakh crore Rupees in January. We expect positive macroeconomic trends to continue and Indian economy to perform well in FY2024 and FY2025.
At Aditya Birla Capital, we follow "One ABC One P&L" approach, to focus on quality and profitable growth by leveraging data, digital and technology. The three pillars of our approach are "One Customer", "One Experience" and "One Team". This approach has he lped us to grow and build scale across businesses. Our total lending portfolio across the NBFC and HFC business grew by 34% year -on-year and 6% sequentially and crossed 1.15 lakh Crore Rupees. The total consolidated revenue grew by 29% year-on-year to 9,99 7 crore Rupees in Q3 FY24. I am happy to share that consolidated profit after tax grew by 39% year -on-year and 4% sequentially to 736 crore rupees.
'Digital First' is at the core of our strategy for product innovation, direct acquisition and seamless transacting experience. In our AMC business, about 80% of customers were

onboarded digitally. In life insurance, 80% of renewals were done digitally. In our Health Insurance business, 85% of the business is delivered by auto -underwriting.
Our comprehensive B2B platform for MSME ecosystem, Udyog Plus has seen a very robust response with more than 4 lakh registrations as of December -end. We continue to integrate Udyog Plus with ABG ecosystem to provide channel financing to dealers. Udyog Plus has clocked disbursements of about 180 Crore Rupees till date with ABG ecosystem contributing more than 60% of the business. The total portfolio of Udyog Plus reached about 100 crore Rupees as of December -end. We will continue to scale up the business in ABG ecosystem as we expand our market footprint in B2B segment.
In June last year we had launched Payments lounge, which is an omni channel collections platform for merchants with customization and smart routing capabilities for higher success rates and effective reconciliations. It can be integrated with ecommerce pla tforms and digital platforms of merchants enabling them to make collections seamlessly. Payments lounge has reached a monthly run rate of 500 Crore Rupees GMV.
We follow "One Customer" approach through which we build deep understanding of customer profiles and provide them simplified and holistic financial solutions. We had mentioned in our previous earnings call, that the mobile app of D2C the platform was expec ted to go live in the next 90 days. We are happy to share t

hat we have launched
the app in a closed user group and it will go live in the next one month. Through this

app, we will acquire new customers and provide holistic and simplified solutions to our customers to suit their financial needs.

As we continue to strengthen our digital offerings, we are also focused on expanding our physical footprint. Our branch expansion is targeted at driving penetration into tier 3 and tier 4 towns and capturing white spaces across customer segments. Our overa ll branch count increased by 59 in Q3 FY24 and we had 1,462 branches across all businesses as of December -end. In line with our One ABC approach, we continue to expand our co -located branches which increased by 69 during the quarter to 762 branches across 218 locations as of December -end.

While we are focused on growing our business, we follow prudent risk management practices with a strong emphasis on return of capital. We had mentioned in our previous quarter's earnings call that we are tightening the underwriting in the smaller ticket si ze personal and consumer loans in our NBFC business by calibrating our credit filters and scorecards. I am happy to report that in line with this, the sequential growth in the personal and consumer loan portfolio has reduced from 22% in Q4 FY23 to 15% in Q1 FY24, 9% in Q2 FY24 and 1% in Q3 FY24. Within the personal and consumer loan portfolio, we brought down the consumer loan portfolio which comprises BNPL and check out financing sourced through partners from about 4,100 crore Rupees at September -end to ab out 2,700 crore Rupees at December -end. While the personal and consumer loan portfolio has stayed flat sequentially, unsecured and secured

business loans and corporate loans continue to grow well. The total NBFC portfolio grew by 35% year -on-year and 5% sequentially as of December -end. About 68% of our portfolio is secured as of December -end. Going forward, we will leverage the newly launched comprehensive platform Udyog plus, the extended ABG and ABC ecosystem and our pan -India based branch network. We will also look to grow the corporate and mid -market portfolios based on opportunities. We remain confident of doubling our NBFC portfolio in t he next three years.

Now coming to asset quality, I would like to highlight that asset quality trends in the NBFC portfolio continue to improve. The gross stage 2 and stage 3 loans have declined by 39 basis points sequentially to 4.85% as of December -end. Our total credit cost in the NBFC portfolio was 1.5% in Q3 FY24. We expect the credit cost to remain at a similar level going forward.

Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarter.

Vijay Deshwal :

Thank you Vishakha .

Coming to the financial performance, consolidated profit after tax grew by 39% year -on-year and 4% sequentially to 736 crore rupees. The total revenue grew by 29% year-on-year to 9,997 crore Rupees in Q3 FY24.

In our NBFC business, we continued with a strong momentum of disbursements and granularization of book. Disbursements for the quarter grew by 26% year -on-year to 16,548 Crore Rupees in Q3 of FY24. This helped the loan portfolio to grow 35% year -on-year and 5% sequentially to 98,603 Crore Rupees as of December -end. The NBFC business had a RoA of 2.41% and RoE of 16.95% in Q3 FY24. During Q3 FY24 we infused equity capital amounting to 850 crore Rupees in our NBFC subsidiary to support the growth momentum and maximize our share of opportunities.

Our Housing Finance Business continues to see healthy momentum with disbursements increasing by 45% year -on-year and 7% sequentially to 2,016 crore Rupees during Q3 of FY24. The loan portfolio grew by 27% year -on-year and 7% sequentially to 16,538 Crore Ru pees as of December -end. RoA was 2.01% and RoE was 14.6% in Q3 FY24.

Coming to our AMC business, the averag

e AUM increased by 11% year -on-year

3,11,509 crore Rupees, of which equity AUM was approximately 44% in the current quarter. Our passive AUM grew by 36% year -on-year to about 29,300 crore Rupees at December -end.

In life insurance business, our individual first year premium grew by 8% year -on-year. Net VNB margin was 15.6% in 9M FY24.

In our health insurance business, our unique and differentiated "Health First" model helped us to deliver a growth of 29% year -on-year in 9M FY24. Combined ratio was

121% in 9M FY24.
With that, I will now hand the call over to Rakesh , MD and CEO of our NBFC business to take us through the NBFC business performance in detail.
Rakesh Singh :
Thanks Vijay, and Good evening, everyone.
In our NBFC business, we saw a 5% quarter -on-quarter and 35% year -on-year growth in our AUM, taking it to Rs 98,601 Crore in quarter 3. Our Retail and SME segment AUM grew by 39% year -on-year and now stands at Rs 66,637 Crore contributing to 68% of the ove rall AUM Mix.

As Vishakha mentioned, we took several proactive interventions this quarter by tightening our underwriting norms ahead of any real signs of industry concerns emerging in the small ticket consumer loans segment. As a result, this portfolio has degrown by 34 % from Rs 4,100 Crore last quarter to Rs 2,700 Crore as of 31st Dec and we will continue to dial down this portfolio in Q4 as well. Our personal loans segment, on the other hand, grew at a healthy 11% quarter on quarter.

We have got a lot of queries about our exposure to loans sourced through Paytm. Paytm is one of our channel partners. We have an omni channel architecture for distribution and our underwriting for acquiring customers is identical across all our channels. T he consumer loan portfolio sourced via Paytm is less than 1% of the total loan portfolio as of today. As a part of our calibrated approach towards consumer loan portfolio which I discussed earlier, we have brought down this portfolio from about 2.5% as of June 30, 2023 to less than 1% as of today.

As I have always said, we observe the performance of customers with us and based on their performance we use our underwriting scorecards to create pre -approved offers which are communicated to the customers. The underwriting is based on our rule engines a nd the disbursement happens directly in the customer's account. The collection is done via NACH which is in our favor. I would also like to emphasize here that all our digital sourcing journeys are designed for end -to-end control from underwriting to colle ctions with minimal dependency on channel partners, giving us complete ownership of customers.

We continue to focus on growing business loans to MSME customers and this segment has grown at a healthy 9% quarter on quarter and 36% year on year and comprises 50% of overall AUM. Large share of this growth has come from secured

products and primarily through our direct sourcing channels. Today, the total secured portfolio at ABFL is at 68.5% of our overall loan book.

New business sourcing was strong in quarter 3 and we disbursed Rs 16,550 Crore which is 26% higher than Q3 last year. Our Business Loans segment was the biggest contributor in terms of disbursement mix at 45%, growing at 11% quarter on quarter and 49% year on year. Nearly 50% of the disbursements in overall business loans segment is done directly and we expect this to continue to inch upward with scale -up of our B2B platform for MSMEs - "Udyog Plus". We launched Udyog Plus in the start of this year and I am happy to share very encouraging numbers in early days of scale up. The platform has registered over 4 lakh MSMEs as of Dec'23 with nearly Rs 100 Crore of AUM sourced.

Our Net Interest Margin was maintained at 6.9% in Q3 FY24. We passed on 20 -25 bps in our new disbursement y

ields across all product segments to accommodate
increase in our cost of funds. Our Opex to AUM ratio increased by 24 bps quarter on quarter to 2.24 %. As I had mentioned in our earnings call, there was a one -time benefit due to actualisation of provision related to employee expenses in Q2. The 9M FY24 Opex to AUM is at a healthy 2.13%, despite our continued investment in branches to scale up direct so urcing in Emerging Markets. We added 25 branches this quarter and 77 branches in this financial year taking our branch count to a total of 400 as of Dec'23.

Our Profits After Tax for Quarter 3 was Rs 572 Crore, growing by 41% year on year. The Return on Equity for the quarter expanded by 186 bps year on year to 16.96%. The 9M FY24 RoA was at 2.48% and RoE at 17.6%.

We had a capital infusion of Rs 850 Cr in this quarter and our Capital Adequacy Ratio increased from 16.27% in Q2 FY24 to 16.67% in Q3 FY24, and this is despite the increase in risk weights by RBI in Personal & Consumer Loans Segment announced in November last year.

Our asset quality has also shown consistent improvement with our Stage 2 + Stage 3 book reducing by 213 bps year on year and 39 bps quarter on quarter to 4.85%. The Gross Stage 3 book stood at 2.59% in Q3 compared to 3.62% for the same period last year. We have also enhanced our Stage 3 PCR to 50.0%, which is higher by 7.0% over Q3 last year and by 1.7 % over last quarter.

Going forward, we will continue to build a granular portfolio and enhance our Retail and SME Segment Mix with scaling up of Udyog Plus B2B platform and investing in our distribution presence in emerging geographies to fuel growth. As we build scale, enhanc e capacity and invest in technology, we remain committed to delivering sustainable returns for the forthcoming quarters.

With that, I will now handover to Mr Pankaj Gadgil, MD and CEO of Housing Finance business.
Pankaj Gadgil:
Thank you, Rakesh, and good evening, everyone. I will discuss ABHFL's performance in the third quarter of FY24. We sustained robust momentum in disbursals and book growth. The consistent improvement in return metrics can be attributed to our strong financi al performance and dedicated focus on portfolio quality.

Q3 key highlights are as follows:

• Disbursements of ■ 2,016 Cr., which is an increase of 45% YoY
• AUM as of Dec'23 is ■ 16,538 Cr., an increase of 27% YoY and a customer base of 60,400
• Our profit before tax (PBT) for the quarter is Rs. 100 Cr, which is our highest ever in a quarter, with an increase of 28% YoY
• NHB refinance mix has improved from 17% in Dec 2022 to 23% in Dec 2023
• Cost of borrowing has sustained at 7.65%
• On asset quality, Stage 3 has reduced by 45 bps QoQ and 148 bps YoY
• The ROA for Q3FY24 is 2.01% and ROE is at 14.58%.

You can refer to the detailed financials on slide 24 of the presentation.
Now, I would like to provide you an update on the progress of the four pillars of our strategy
• To begin with the first pillar , growth, and distribution network. We now operate 130 branches across 19 states covering 80% to 85% of the TAM of housing finance industry. We launched a channel engagement program extending our reach to 1,600+ channel partners across 24 cities. The contribution of ABG ecosystem to new disbursals has now reached to 9%. These initiatives have led to an increase of 45% disbursements year on year.
• Heading to the second pillar, digital reinvention of entire customer journey. I am pleased to share that as of Dec 2023, our newly implemented unified digital lending platform 'Finverse' is now operational in all branches . Finverse currently hosts 35+ micro services and 120+ APIs and incorporates data driven algorithms for easy credit assessment.
In just five months since its nationwide launch, the adoption of 'Finverse' has surpassed 90% as of December 2023

• Moving to Pillar number three, which is data analytics . We made significant progress in the analytics domain evolving from the formation of the team in June '23 to having 8 live scorecards and 8 operational data marts by December '23

• Lastly on Pillar number four, portfolio quality . Our Gross Stage 3 has shown significant improvement, decreasing from 3.66% in Dec 2022 to 2.18% in Dec 2023. We are maintaining stage 3 PCR of 34%. The details of the same are provided on slide 22.

To further our collection efficiency, we have recently launched a comprehensive end - to-end debt management platform in November 2023. In the first phase customer engagement module has gone live. In the subsequent phases, we plan to automate allocation and settlement modules, with the aim of 100% adoption by June 2024.

In summary, we continue to demonstrate consistency across all aspects of book growth, digital transformation, asset quality and core profitability for sixth quarter in a row.

Throughout this journey, our commitment to robust profitability and unwavering dedication to customer -centricity remains integral to our core operations.

With that, I now hand over to Bala, MD and CEO of our Asset Management Company.

A. Balasubramanian :

Thank you Pankaj and good evening to everyone attending. I would like to share some highlights of ABSLAMC Q3 FY24 as it was presented in ABSLAMC's call.

ABSL AMC's overall Average Assets under Management, including alternate assets, reached Rs. 3.25 lakh crores growing 11% on a year -on-year basis. The Mutual Fund quarterly average AuM stood at Rs. 3.12 lakh Crores and Equity quarterly average AuM at Rs. 1. 36 lakh Crores. SIP flows have increased from Rs. 942 Crores in December 2022 to Rs. 1,005 Crores in December 2023.

On the Retail side, our efforts have worked well with the contribution of the retail franchise increasing to 52% and the contribution from B30 cities has grown to 17% as of Dec 2023. Our sales ecosystem which includes Virtual Relationship Manager, Sampark for onboarding our distributor , Service to Sales and Digital Distribution, has also been yielding favourable results.

On the Alternative Business side - Our Passives offerings grew by 36% to around Rs. 29,300 crores as o f December 2023 and has a growing customer base of around 6 lakh folios. Our current product suite consists of 43 products in the passive investments.

On the AIF front, fund raising is underway for ABSL India Special Opportunities Fund (CAT III AIF) and also opened the product for subscription in ABSL Structured Opportunities Fund (CAT II AIF) both on the pipeline and the closing will happen in next six months time.

Moving on to the financials for the quarter:

• Our Q3 FY24 Revenue was at Rs. 421 crores up by 16% year -on-year and Profit After Tax for Q3 FY24 was at Rs. 209 crores up by 26% year -on-year.

• For nine month s ended December 31, 2023 revenue was at Rs. 1,201 crores up by 17% year -on-year and Profit After Tax was at Rs 572 crores up by 24% year-on-year.

With this, I will hand over to Kamlesh Rao, MD and CEO of our life insurance business.

Kamlesh Rao:

Thank you, Bala, and I will try and spend time on the Life Insurance business, both for the industry as well as at Aditya Birla Sun Life Insurance. Over the last three years, we have built our franchise on consistent growth of greater than 20% in both our individual as well as Group Life Insurance business.

We have also ensured that this growth is value accretive from our net VNB perspective, which expanded from 6.9% levels three years back to a healthy 23% net VNB last year. In the nine months of this financial year, the Individual Life Insurance industry h as seen rising ULIP , as seen in the reported numbers of companies, partly led by upside in the equity m

arket and also due to change in taxation on traditional products last year.

At ABSLI, we have been able to keep ULIP business at levels of 21%, which is same as last year, helping us maintain our net VNB margins in line with last year same time . We will continue to focus on this strategy going forward by balancing our growth objective. During the quarter, we commenced business with our new bank tie -ups at IDFC First Bank and Bank of Maharashtra.

We are pleased to share that we have signed up corporate agency partnership with Axis Bank in December and will commence business in the coming quarter. This will further strengthen our banca proposition to drive growth going forward. Our mindshare, the largest bank partner, that we have now has improved in Q3 compared to Q2, and we will continue to work on expanding the same as we move forward.

We have grown by 8% in the Individual Life Insurance business in the nine months of this year, against growth by private players of 11% and overall industry at 7%. This has come on the back of 17% growth in the number of policies for the same period.

Our net VNB margin for nine months was at 15.6%, which is in line with what we achieved same time last year. Last year, we ended on 23% of net VNB margins for the entire year.

Our innovation on the product side continues. In the three months of this year, we have launched two plans, Salaried Term Plan - Industry first product specific for Salaried segment in the area of protection, Platinum Gain plan and Fortune Wealth Plan - Industry first product in ULIP with feature of trail commissions on AUM basis to distributors.

The individual business had a healthy product mix with traditional business accounting for 77% of our overall business. The fact that 28% of our business came from upselling to existing customers, helped productivity growth in both our proprietary as well as partnership channels. In the Group Life Insurance segment, the private industry saw a growth of 12%, while the overall industry saw a de -growth of 14% and ABSLI registered a de -growth of 2%. The de -growth is on account of seasonal nature of the group bu siness and growth momentum will increase in Q4. The business has grown by 17% in Q3 over Q2. We continue to remain No. 1 in the ULIP AUM in the Group Life Insurance business. Our total premium of Rs. 11,101 crores has registered a growth of 10% over last year's same period with a two -year CAGR of 17%, demonstrating our increasing business growth.

This growth came from our new business growth as well as renewal premium growing at 20%, and our digital connections now account for 80% of our renewal premium. Persistency across all buckets did well with a 13th month now at 87% and the 61st month at 62%. We continue to maintain an upward bias in our forward guidance for these persistency numbers.

Our assets under management now stand close to Rs. 82,043 crores with a Y -o-Y growth of 21%. 26% of this AUM is in equity and the balance 74% in debt. Our investment performance has been better than respective benchmarks across all three categories of equity, debt or even balanced funds, either from a one -year or five -year perspective.

Our digital adoption across various areas is demonstrated in the slide 43. 100% of the new business customers are on -boarded digitally. 83% of all our services are now available digitally covering 65% of our customer transactions, and our customer self - service ratio now stands at 93%.

Our approach going forward is to continue the growth trajectory of this business backed by both productivity and capacity. We expect continued improvement in the quality of our book. Growth will come from a diversified mix of both proprietary and

partnership channels. We will continue to be best -in-class in our digital infrast

ructure
across prospecting and onboarding in sales, underwriting and customer service as well as claims.

With that, I hand over to Amit Jain , to speak about the Health Insurance.
Amit Jain :
Thanks, Kamlesh and I would like to now share an overview of the performance of our Health Insurance Business.

In the first nine months of FY24, we achieved a gross written premium of Rs. 2399 crores, experiencing a strong 29% year-over-year growth. The third quarter stood out with an impressive 43% YoY growth, solidifying our position as the fastest -growing SAHI player during the quarter.

Our market share in SAHI rose from 10.4% to 10.7% in the first nine months of FY24 driven by a strong growth of 34% in retail business in Q3.

The strong growth in retail business was driven by our larger retail channels, specifically the proprietary channel, which saw a 40% YoY increase. Our proprietary channel' s share also increased to nearly 30%, compared to 26% in 9M FY23. All our large bancassurance partnerships have experienced good growth and we also activated the Yes Bank relationship in the last quarter.

Our focus on diversifying our product portfolio saw a very successful launch of Activ One, the most comprehensive indemnity product in the industry with seven variants targeting various customer segments. Positioned on a theme of 100% Health: 100% Insuranc e it further strengthens our Health first approach with a very strong insurance component responding to all customer feedback on reasons they don’t buy health insurance. Its very strong early success gives us confidence for a very strong Q4.

Emphasizing a superior product mix, our Fixed benefit products' contribution rose from 13% in 9M FY23 to 18% in 9M FY24, promising a positive impact on profitability in the upcoming quarters.

Our Group business witnessed 43% YoY growth, driven by a sharp focus on profitability through careful customer segmentation, cross -sell/upsell strategies, corporate wellness initiatives, and our industry -leading Outpatient Department (OPD) business. We are strategi cally concentrating on Mid Corporate and SME segments to build a sustainable and profitable corporate and affinity business.

Moving to profitability, we balance our growth and profitability well. Our net loss is Rs 270 Crs from Rs 217 Crs in the same period last year. The higher absolute loss is primarily on account of business seasonality . Our experience has been that our losses peak out in Q3, which was also the case in FY23. We are expecting a profit in Q4 and our overall full year FY24 loss will be lower than the last year.
Claims and expense ratios at the company level are trending well, and we anticipate the CoR to also exhibit a similar trend in the coming quarters. As a tech -driven digitally enabled, data -centric health force business, we are committed to continuous investment in our tech and digital capabilities.
Our App downloads have increased by 36% YoY and MAU have also grown by 30% YoY. Our self -service transactions stand at an all -time high of 82% compared to 79% in Q2.

Leveraging high end analytics tools, we make informed decisions that positively impact our customers' lives through personalized product offerings, targeted health and wellness interventions, and a personalized service approach resulting in a better customer experience. Inves tments in data augmentation and analytics are enhancing cross -sell, retention, and fraud management.

Our digital health and wellness ecosystem, featuring over 60 partners, is continuously expanding through collaborations with insure techs and health tech players. A first of its kind digital face scan -based health assessment feature was launched this fisca l year and has been well -received, with over 43,000 assessments completed contributing to more than 20% of our total Health Assessments.

Our Health First model is showing signs of maturity. This is driven by analytics, customer insights and personalised communications. The improved outcomes for some of the intervened cohorts are now visible. Customers participating in Activ Dayz exhibit lower loss ratios, ranging from 10% to 30% or more. Likewise, customers earning Health Returns experience loss ratios up to 50% lower than the baseline case. This is shown in slide 51. Overall, this has kept our retail loss ratio well in control and our endea vour is now how do we demonstrate this at scale.

Looking forward, given the compelling opportunity, our differentiated business model and a supportive regulatory environment, we maintain an optimistic outlook on the growth potential of the Health Insurance industry. Our vision is to aggressively expand our franchise while upholding best -in-class unit economics and a steadfast focus on profitability.

Thank you, and I will now hand it back to Vishakha for her closing remarks.

Vishakha Mulye:
Thank you, Amit. This concludes our comments on the Q3 FY2024 performance and now we will be happy to take any questions.
Moderator :
Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal :
Yes. Thank you, and good evening, everyone. Congratulations to the ABCL team for good set of result. So quite clearly, you pre-empted some of our questions in terms of Personal and Consumer Loans and what is the contribution that is coming from Paytm. I just wanted to delve a little bit on Personal and Consumer loans. I think in your opening remarks, you shared that Paytm is less than 1 % of your sourcing in Consumer loans.
So is it just incremental sourcing that's come down to less than 1% or even at your portfolio or the book level, Paytm is contributing less than 1% of your Consumer Loans?
Rakesh Singh :
So if you look at the slide on the segment -wise, the AUM breakup, we have given, that the Consumer Loan, the BNPL is now 4% of our overall Consumer Loan business, but that's around Rs. 700 odd crores as of end of 31st December, which ha s further come down.
Abhijit Tibrewal :
Okay. But my question was more around the dependence that we have on Paytm. So I can see and sir, so what you're trying to suggest is this entire BNPL book was coming from Paytm and which has kind of continued to decline, like you said, less than 4% versus December level.
Rakesh Singh :
Yes. So if you look at before, this was close to around Rs. 2,200 crores by end of Q2, which has come down to Rs. 700 crores and as of today it has further come down.

Abhijit Tibrewal :
Okay. That is one. And then, in the last earnings call, you had shared a couple of interesting details around what is the average ticket size in your Personal and Consumer Loans. And I think, you had also shared that you are tracking the leverage of your c ustomers, and I think 12 -13% of your customers had showed a significant increase in leverage over the last nine to 12 months. So if you could just share if you've done that analysis this time around .
Rakesh Singh :
Yes. So that is an on -going process. So we track the leverage, and this 11 -12% of the customers leverage was 1.5x. So what we also realized earlier, these consumer loans, let's say, people used to take Rs. 50,000 loan or Rs. 1 lakh loan. That was broken down into multiple loans. And that's a trend which we saw in the last six to nine months. So you will find because it's the end use, which is an embedded finance, That's the reason you would see a Rs. 15,000 loan and a Rs. 40,000 loan. But overall, we have not seen too much of leverage . It remains the same at around 12.7% of the customers have a leverage, which I had mentioned last time of

more than 1.5x than what they
had taken when we had given the m the loan.

Abhijit Tibrewal :

Got it. So, just a follow -up on that. Is it fair to assume that given that we have calibrated our underwriting in personal and consumer loans, the kind of deceleration in Q -o-Q growth that as Vishakha was explaining in her opening remarks, we'll continue t o see that kind of a deceleration in the near term?

Rakesh Singh :

Yes. Vishakha mentioned in her opening remarks and I also mentioned that we will dial this down further , because of the kind of concern with the regulator had on small ticket consumer loans and consumer credits. So before we could see any trend in our portfolio, we have dialed it down, and you could see that the consumer loan has come down by 34% quarter -on-quarter and we are looking at further bringing this down.

Abhijit Tibrewal :

Got it. And then maybe one last question. Thank you. Just one last question that I had on the housing side. So if you could just briefly explain how is the demand kind of holding up today in mortgages? I ask this because, there are a lot of mixed views particularly in terms of urban affordable segment, which a lot of people ascribe is not doing too well.

But if I kind of look at our disbursements, our growth continues to do very well, so congratulations to you for that. So if you could just dwell on the demand that you're seeing in mortgages in various customer segments or ticket sizes, whichever way you want to look at it. And this is a related question here. What's our sourcing mix in the HFC or the housing business?

Pankaj Gadgil :

Thank you. Pankaj here. I think on the demand side, while we look at the numbers internally, monthly, we also check what is overall demand that is coming up also on the bureau. The number of hits on the bureau also we keep tracking. We track this every mon th. We have seen that those numbers are actually stagnating. They're not moving up that dramatically, but they are also not coming down. So that's the good news that is there.

The other question you asked is all about how are the segmental shifts that are happening? First, the good news is that from a market share perspective, I think there is a good opportunity that we have as ABHFL. H ousing finance companies all put together, our estimates are that the industry size is about Rs. 8.5 lakh crore and we are currently at Rs. 16.5 thousand crores kind of a book. So I think we accelerating is coming definitely at the cost of some other competition, hopefully, because the demand is no t moving that much up. So certainly, we are taking up share.

As far as how the segments are moving for us, the overall affordable segment and that also I'm talking from a bureau perspective, I think that number is consistently for the industry is t rending between Rs. 9 to 10 lakhs and is not moving up significantly . For us, the segmental mix is what we are also talking and if you see our slides, which mentions our segmental mix broadly today, 51% of our overall mix is coming in from the value segment and 49% is coming in from the growth segment. And if you further drill down within that percentage, all inclusive, 41% is coming in the affordable HL + LAP, 10% is CF. So that is where our segmental numbers are coming in.

So we've spoken about it also that we are looking at the opportunities across all these segments because we feel that opportunities exist right from the prime to the informal segment and capitalize them with the right product market and rate mix. That's wh ere we are focusing in our standpoint.

Abhijit Tibrewal :

Just one last thing. You have carved out the subsidiary, Aditya Birla Capital Digital to kind of come up with your own super apps to associate. Are there any projects in progress there? Are there any timelines that you're working for the launch of your app

which will I think in comparison all the product offerings across the Aditya Birla Capital group?

Pankaj Gadgil :

Just to reiterate, I think this entire platform that we're talking is an omni -channel platform, which has all the four form factors, which has sourcing from the branches, virtual engagement, app and the website. The app of the omni -channel platform,

ABCD, like Vishakha mentioned in the opening comments is right now in CUG, as we speak. And what we are also saying we are going to launch this in t he next month. So that is where we are on the launch of the app.
Abhijit Tibrewal :
Great. This is useful. Thank you very much and all the very best to you and your team.
Moderator :
Thank you very much. Next question is from the line of Anuj Singla from Bank of America. Please go ahead.
Anuj Singla :
Yes. Good evening, everyone. Thank you very much for the opportunity. So the first question is on the sourcing mix of the personal and consumer loan business. Given that what has happened at the paytm side and after the risk weight increase on the other fintech partnership . Can you guide us how the sourcing mix has changed in this business on a Q -o-Q basis?
Rakesh Singh :
In terms of sourcing mix, if you look at and we track it in terms of our direct sourcing through the DSAs and through the digital, if you look at our direct has gone up. 45% of the sourcing happens through direct, 22% happens through the DSAs and 32% throu gh the digital. This is at the company level. But if I just give you personal and consumer, this is 84% of our personal and consumer through their digital journey. That's what we do and 5 -odd-percent is direct sourcing, which we have.
Anuj Singla :
And how much would be the fintech partners out of this digital journey? Do they form part of that?

Rakesh Singh :
So if you look at and I mentioned this earlier, most of our partnership is as if you look at the consumer side, the BNPL and consumer loans, which is there which is almost 14% of our loan book in the personal and consumer, and that's from these partners and once we onboard these customers, basis their performance on our portfolio over a couple of cycles, we see the performance through our underwriting forecast, then we offer them a upsell or a cross -sell products. So that's how this entire journey is. So if you want to see in terms of the fintech contribution to this, you will have to see in the consumer side, primarily the contributions which is coming new to ABFL as a customer.
Vishakha Mulye :
So, Anuj, as Rakesh said, the most of the digital partnerships and the acquisition is in our consumer side, which is a portfolio that we are actively trying to reduce and which has come down from Rs. 4,200 crore to around Rs. 2,600 crore now. And as Rakesh said that we will continue to reduce that.
So if your question is that whatever is happening, will that have an impact on our growth in the future? The answer is no, because we are actively reducing, one. Second, we believe there are alternative channels that we have already built. We spoke about we have increased our branch network, our Udyog Plus has been launched, which is gaining traction.
Pankaj spoke about D2C app, which we're launching next month. Th at has already been released it in the close d-user group. So all these channels and our direct channel is also kicking in. So we don't see any impact on our growth in the future. And I did cover it in my opening remarks that we still have a visibility as we have given you a guidance in the past, that our NBFC book we believe we will be able to double in the next three years.
Rakesh Singh :
And if I can just add. If you see, we put a lot of focus on our secured business. And our secured SME business has grown quite strongly at 9% quarter -on-quarter and 36% year -on-year. So

a lot of focus. Yes, we are dialing down one segment, but we
are growing the other segment and all the enablers which Vishakha mentioned, which will help us in terms of delivering that growth.
Anuj Singla :
Got it, Rakesh. No, this is very commendable actually. There is no impact on disbursement despite the restrictions coming. But I think another thing there is, so the

fintech partners have talked about moving from small -ticket size personals to big -ticket size. Are we also partnering with them in this initiative? And is there a meaningful portion of that in our sourcing for PL, which is now 86% of the business? Just to get some thoughts here in the personal and consumer loan segment again.

Moderator :

Please stay connected while we bring the management back to the call. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected.

Anuj Singla :

Rakesh, should I repeat the question?

Rakesh Singh :

I heard your question. I was answering. I don't know where you lost me. But let me just start. I was saying that we look at multiple channels in terms of sourcing, and that's our strategy. We are omnichannel as a platform. We look at all ecosystem, partner s and all. At this point in time, we are not looking at any fintech for large ticket sourcing because large ticket sourcing needs touch and feel and visiting the shop floor, accessing the cash flow, looking at the security and then giving the loan. So at t his point in time, we are not looking at a large -ticket tie -up yet.

If any fintech gives them any model where the leads comes in which can be fulfilled, which can be underwritten by us, we will evaluate those models . But large ticket on digital platform because the idea was that small -ticket digital journey is where fintechs play a role. But as the lead, if they can provide leads for secured products, we can evaluate that. At this point in time, we haven't gone into any partnership on a large -ticket loan, Anuj.

Anuj Singla :

Okay. Got it. That's very clear. The second question is on the cost of borrowing. So we have seen and you did talk about that, the cost of borrowings are rising for you because of the higher risk weight from the bank side on NBFCs. So can you talk about what kind of hike we are talking about on bank lending? And given the liquidity is very tight on the money market side as well, what kind of cost of impact should we be building in the coming quarters?

Rakesh Singh :

Anuj, if you look at last quarter, our cost of funds went up by 7 basis points, and our yields went up by 8 basis points. And I also mentioned that we have increased o ur lending rate by 20 -25 basis points across all customer segments and product segments.

In terms of looking at the liquidity situation and where do we see the cost of funds. Our cost of funds might grow marginally up in Q4. We are related to the risk weights, I think few banks have reached out to us in terms of negotiating for the rate s. We have not finalized anything. We are in discussion with them. We will evaluate, but we don't see any material increase in cost of funds. Yes, there will be marginal I think but we should be able to manage that with the increase in the yields, which I j ust me ntioned, we have increased our lending rates across our customer segment.

Anuj Singla :

Got it. And lastly, because of the higher risk weight from the banking side on unsecured lending, are we witnessing higher bank competition on the secured lending, and this will be maybe more relevant for mortgages? Is there some evidence of that visible o n the street or it's business as usual there?

Rakesh Singh :

Anuj, we work in a very competitive environment. We compete with the large NBFCs, we compete with private banks and so it is a competitive environment. I completel

y

agree. And especially the Jan, Feb, March quarter, again, is an important quarter for the b anking industry. So there will be competition. We have to operate in this competitive environment, and we have our differentiation, and we have a way we manage this business. We have done it over the last several years, and we will continue to do that.

Yes, there will be shift towards secured, which we are also focusing on. But we cut through the entire customer segment from a retail LAP to small ticket secured loans to micro LAP. So we have built these capabilities, the SME loans, which is all secured.

So clearly, we have built these capabilities and also the underwriting capabilities over a period of time, that has helped us in terms of managing this competition.
Anuj Singla :
Got it. And can Kamlesh talk about on the mortgage side? Is there something incremental? It's the same thing there as well.

Pankaj Gadgil :
So Pankaj here, I think if I have to reference the question back to the cost of borrowings, I think, for us as well, the cost of borrowings have gone up by about 5 bps . We also observed in our commentary as well, and I think the NHB contribution in our loan mix of liability, I think, is improving . We are right now at about 23%, and NHB as a component is just like CASA. Technical ly, that is what it is. So that really helps us in optimizing the borrowings.
To your question on competition intensity, of course, everybody wants to also build their books and especially the last quarter. So there will be competition intensity. But I think the part of the proposition that I spoke about a couple of things. We also launched a host of product propositions based on customer insights especially in the last quarter. We have built certain propositions which have really taken off well in the marketplace. Finverse, a unified digital lending partner that I have mentioned. It's really helping our teams to get better face time with customers. So that is also resulting in reduce d turnaround times, we're becoming more and more predictable.
And that is also resulting in one more aspect, which is gaining contribution of disbursements from our own ecosystem. I think that is where we've also, I think, done very well in this quarter . 9% of our disbursement actually is coming in from our own ecosystem, which is the distributors of ABCL and other companies, it's our own employees within the ABG ecosystem.
And since I spoke about the ABCD, the omnichannel platform in the beginning when we started getting initial branches that also is starting to gain traction there. So that also is helping us to get to 9%. So I think competition inten sity will be there, but I think we will have to power our propositions, work on making it more and more frictionless at the same time, make sure that the quality is paramount.
Anuj Singla :
Got it. Got it, Pankaj. Thank you very much and all the best.
Moderator :
Thank you. Next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh :
Thanks for the opportunity. A couple of questions. The first one would be regarding unsecured business. First one would be regarding unsecured business, where you have highlighted that I mean, a large part of your unsecured business is covered by

guarantee , credit guarantee schemes. Now if you can help us understand the efficacy of the guarantee schemes because I mean the guarantee schemes provide cover. But just in terms of the time taken to receive the money from the time you're sort of NPA starts, generally it has been a kind of a mix experience. And I mean the commentary has been mixed around sort of our ability to receive money from this guarantee scheme in time. You can just help us understand the efficacy of this guarantee scheme in your context of busine ss uns

ecure d loans? Then I'll just come back with the next question?
Rakesh Singh :
So I just at the start, I want to say it has worked out very well for us. We pay a certain guaranteed premium to S IDBI, which guarantees 75% of our capital, our other principal outstanding. And if there is a default, 75% of the principal, we get it back from SIDBI.
In terms of process, how much time it takes, it takes anywhere around 12 months or so, 12 to 15 months or so in terms of refunds coming in from S IDBI, at times it works even faster. At times, it will g o slightly over 12 months, but has worked out very well for us, and it mitigates our risk in this customer segment, especially when the exposure is unsecured.
Avinash Singh :

The second one is regarding the capital allocation. So if I recall out of 30 billion that AB Capital raised last year, I believe, close to 13 -14 billion has been infused into Aditya Birla finance now. So that means that, okay, additional 16 billion or capital should be with the holding company. Over the next 12 months, what is the plan out of I mean how do you see that this capital infused across your two lending subsidiaries primar ily? Or even health insurance will require some capital infusion? So what is, again, your plans with this capital currently or anything else or any other capital we will need over the next 12 months? Thanks.

Vijay Deshwal :

Avinash, as we had mentioned at the time of capital raise that we did for Rs. 3,000 crores, we had said majority of the allocation will be happening towards the lending businesses. And so far, we have infused about Rs. 1,600 crores into our ABFL. We still have Rs. 1,400 crores from that.

Over the next 1 year, we don't see or envisage any capital requirement from our health insurance because if you recollect last year itself, we had raised primary capital of Rs. 700 crores fr om ADIA which will take care of the needs of the business for the near

future. However, for our lending businesses, we will be requiring capital, which we'll be providing over the next 1 year and the amount that we have should suffice till the closure of FY25. So that's our plan. And then after that, we'll evaluate how do the things go forward and how much of capital we'll be deploying for the next 2 - 3 years.

Avinash Singh :

And as of now, the RBI sort of requirement being Aditya Birla Finance being in the, upper layers, you will have I mean as of today, the requirement is to list by September'25 ?

Vijay Deshwal :

Yes.

Avinash Singh :

Okay. Thanks.

Moderator :

Thank you. Next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh :

Thanks for the opportunity. Firstly, on the NBFC, as a secured business is expected to grow faster, corporate business has also seen a revival in growth, how should we think about profi tability , ROA, ROE going forward?

Rakesh Singh :

So our ROA is in the range of 2.5%. If you look at the first 9 months, our ROA is 2.48%. We are committed to improving the RO As in the coming years. And clearly, the product mix will drive that. So today, if you look at retail and SME contributes close to 67%. We are looking at that mix going up to 75% of the overall loan book in the next 2 - 3 years.

And that should help us improve our margins from hereon. We are almost close to 7%. And with the change in this product mix, we should be able to grow closer to 7.5%. That's what we have been working on, and that should help us improve our RO As.

Nidhesh :

Okay. Sure. So our corporate business should actually grow at a lower rate than the overall balance sheet growth?

Rakesh Singh :

Yes.

Nidhesh :

Okay. Secondly, in the secured business, what is the sourcing mix that we have secured and unsecured business? What is the sourcing mix that we have?

Rakesh Singh :

Secured,

you mean sourcing the channel mix?

Nidhesh :

Yes.

Rakesh Singh :

For secured business , 61% is direct and 39% is through D SA.

Nidhesh :
And in the unsecured business, please?
Rakesh Singh :
Unsecured businesses 53% is the D SAs, 41% is digital and 6% is direct.
Nidhesh :
And by digital, meaning fintech partners or customers are coming directly to us?
Rakesh Singh :
We also mentioned about the ecosystem, which we have within the Birla Group, which we have the Udyog Plus we mentioned, we have integrated Udyog Plus to our Ultratech app. So but those are in the initial stages at this point in time, but the supply chain business which we do within the group and outside, I think that's done digitally, and that's our digital journey.

Nidhesh :
Sure. And secondly, on the Life Insurance business, how are the trends in terms of product level margins on a Y -o-Y basis? Have you seen any changes to the product level margins on a Y -to-Y basis?
Kamlesh Rao :
Hi, this is Kamlesh here. On product level margins across various products, of course, there is no change. Like I mentioned, what changes at the net margin level, obviously, is the composition of the business. And we've been able to maintain our ULIP contr ibution, like I said at 21%, which is similar to what it was last year. So that hasn't gone up as compared to what has happened in the industry. And therefore, we've been able to maintain slightly better than last year, we are at 15.5% last year, we had 15 .6% net margins in the 9 months of this year.
Nidhesh :
Sure . And tie -up that we have done in with the Axis Bank, when we should expect that to start having benefit to our growth?
Kamlesh Rao :
So like I said, the IDFC First Bank started in the latter half of quarter three. Normally, banks start with a smaller portion of their business, which is typically non -branch banking. So you will see the real benefit because in cases like IDFC will get into the full spectrum in April of next year, Bank of Maharashtra will start earlier than that in the whole spectrum. And Axis Bank, like I said, we just signed the corporate agency agreement. We will start with few zones somewhere in the end of February, beg inning of March. And so next year, we will expand our presence in the Axis Bank counter too.
Nidhesh :
Sure. And coming to health insurance, are there historically, our combined ratio has been improving. But last 2 years, we have seen the combined ratio have started to deteriorate. So what is driving that? Are we seeing higher loss ratio or it is the opex ratio, which is impacting our combined ratio? And what is the strategy to improve combined ratio? What is the time frame that we should think about?
Amit Jain :
So Nidhesh, Amit here. So as I said, our losses and combined ratio p eak out in Q3. So we expect combined ratio will go down in Q4, both on a quarter -on-quarter and also Y -o-Y, we will show our combined ratio compared to what we have shown both

last year compared to last year, also quarter -on-quarter. But our combined ratios are going down year -on-year, they have not gone up. Yes, that's the actually, that is the position here.
Nidhesh :
And if you can also talk about, what is the loss ratio for 9 months?
Amit Jain :
Loss ratio for 9 months, I think they are trending well, both for retail and group. Though group, I must say, there is some pricing pressure because group business has become more competitive, w ith changes in the EOM, but they are trending well compared to the last financial year.
Nidhesh :
Okay. Thank you very much. That's it for my side
Moderator :
Thank you very much. Ladies and gentlemen, due to time constraint, we will take that as the last question. For unanswered questions, the team will get in touch with you. I

would like to hand the conference over to Ms. V

ishakha Mulye for closing comments.
Vishakha Mulye :
Thank you so much. I really appreciate all of you joining the call and look forward to keeping in touch. Thank you.
Moderator :
Thank you very much. On behalf of Aditya Birla Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
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Call: May 2024

Moderator:
Ladies and gentlemen, good day and welcome to the Q 4 FY24 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during t he conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Vishakha Mulye, CEO, Aditya Birla Capital Limited. Thank you, and over to you.
Vishakha Mulye:
Good evening, everyone and welcome to the earnings call of Aditya Birla Capital for Q4 of FY2024.
Joining me today are senior members of my team Bala, Rakesh, Tushar, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Sanchita. I will cover our strategy and approach across businesses and Vijay will cover key financial highlights followed by discussion o n the performance of our key businesses by our business CEOs.
The Indian economy continues to remain resilient even as overall global outlook is challenged by continuing geopolitical conflicts, disruptions in trade routes and high public debt burden. The real GDP growth rate of 8.4% in Q3 FY24 exceeded all forecasts leading to an upward revision in growth estimates for FY25. GST collections crossed 2 lakh crore Rupees in April. Inflation is moving closer to targets.
At Aditya Birla Capital, we continue to focus on driving quality and profitable growth by leveraging data, digital and technology. Customer -centricity is a key element underpinning our strategy to grow our business. We had mentioned in our previous earnin gs call that we would build on the growth momentum across our businesses with emphasis on prudent risk management and return of capital and follow an omnichannel architecture for distribution. I am happy to share our progress during the year against th ese targets.
• Growth momentum
Consolidated profit after tax, excluding exceptional items, grew by 41% year -on-year to 2,902 crore Rupees in FY24. The total consolidated revenue grew by 30% year -on-year to 39,050 crore Rupees in FY24. Our NBFC portfolio grew by 31% year -on-year and 7% s equentially and crossed the 1 lakh crore milestone during Q4 FY24. Our HFC portfolio grew by 33% year -on-year to about 18,400 Crore Rupees. Our mutual fund quarterly average AUM grew by 21% to 3.3 trillion Rupees in Q4 FY24. Total premium in the Life and Health Insurance business grew by 18% year -on-year.
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• Prudent risk management with focus on return of capital
Prudent risk management practices form the bedrock of our approach which enables us to pursue growth while protecting capital. Over the past few quarters, we have made several proactive interventions and tightened our underwriting norms to improve our customer selection. We believe that these practices have held us in good stead in this environment. The gross stage 2 and stage 3 ratio of the NBFC portfolio declined by 135 basis points year -on-year and 36 basis points sequentially to 4.49%. Our total credit cost in the NBFC business was 1.43% in Q4 FY24, which is within our guidance of 1.5%. The credit quality in our HFC business remains robust with gross stage 2 and 3 ratios declining 208 basis points year -on-year and 63 basis points sequentially to 2.91% as of Mar end.
• Omnichannel architecture for distribution
We follow an omni channel architecture for distribution and provide complete flexibility to our customers to choose the channel through which they wish to interact with us. We continue to expand our branch network to capture white spaces across cus

tomer
segments. Our overall branch count increased by 179 in FY24, and we had 1,474 branches across all businesses as of March -end. In line with our One ABC approach, we continue to expand our co -located branches, which increased by 212 during the year to 796 bran ches across 220 locations as of March -end.

While we increase our physical footprint, we are also strengthening our digital propositions and launching new platforms and channels. Our ABCD app, which has been built in a record time of 12 months, went live about a month ago and is available for downlo ad on App Store and Play Store. It offers a comprehensive portfolio of more than 20 products and services such as payments, loans, insurance, and investments along with comprehensive personal finance tracking such as ‘My Track’. We have witnessed a robust response for ABCD with more than 1 lakh registrations till date.
Our comprehensive B2B platform for MSME ecosystem, Udyog Plus has scaled up quite well with more than 8 lakh registrations within nine months of its launch. It has clocked disbursements of about 500 Crore Rupees till date with ABG ecosystem contributing ab out two -thirds of the business. The total portfolio of Udyog Plus has reached about 250 crore Rupees till date. We are scaling up the business in ABG ecosystem as we expand our market footprint in the MSME segment.
Our omni channel collections platform for merchants, Payments lounge, has crossed 2,000 crore Rupees GMV till March. We have started integrating the Payments Lounge with ABG ecosystem enabling their merchants to make collections seamlessly.
• Data, digital and technology
We leverage data, digital and technology to build deep understanding of customer profiles, provide simplified and holistic financial solutions, superior underwriting, and drive cross sell and upsell. This has helped us to increase our sourcing from the ABG and ABC ecosystem, enhance customer engagement and drive quality and profitable growth across businesses. Our business CEOs will cover some of the initiatives and outcomes in detail later during the call.

During Q4 FY24, Aditya Birla Capital and Sunlife sold about 5% and 6.5% stake in ABSLAMC respectively through an offer for sale with the objective of meeting the minimum public shareholding requirement by October 2024, as required by SEBI regulation. The s ale received an overwhelming response from investors across domestic and foreign funds. It helped us to strengthen our balance sheet by enhancing the capital base by about 570 crore Rupees.
Our Board of Directors had approved a proposed amalgamation of Aditya Birla Finance with Aditya Birla Capital in March. We have submitted our application to RBI and the stock exchanges for their consideration and are awaiting their approval.
Going forward, we will continue with our approach of driving quality and profitable growth and sustain the momentum of the past two years.

Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarter and our approach going forward , over to you Vijay.
Vijay Deshwal :
Thank you Vishakha and good evening to all of you.
The total consolidated revenue grew by 30% year -on-year to 39,050 crore Rupees in FY24.
Consolidated profit after tax, excluding one -off items, grew by 33% year -on-year and 10% sequentially to 812 crore rupees in Q4 FY24 and by 41% year -on-year to 2,902 cr ore Rupees in FY24.
In our NBFC business, disbursements grew by 16% year -on-year to 18,123 Crore Rupees in Q4 of FY24. The loan portfolio grew by 31% year -on-year and 7% sequentially to 1,05,639 Crore Rupees as of March -end. The NBFC business had a RoA of 2.46% and RoE of 17. 1% in FY24.
Our Housing Finance Business continues to see strong momentum with disbursements increasing by 64% year -on-year and 45% sequentially to 2,933 crore Rupees during Q4 of FY

24. The loan portfolio grew by 33% year -on-year and 11% sequentially to 18,420 Crore Rupees as of March -end. RoA was 1.92% and RoE was 13.9% in FY24.
Coming to our AMC business, the mutual fund quarterly average AUM increased by 6.5% sequentially and 20.5% year -on-year to 3,31,709 crore Rupees, of which equity AUM was approximately 46% in Q4 FY24.
In the Life Insurance business, our total premium grew by 15% year -on-year. Net VNB margin was 20.2% in FY24.
In our Health Insurance business, our unique and differentiated “Health First” model helped us to deliver a growth of 36% year -on-year in FY24. The combined ratio was 110% in FY24.
Going forward, we will continue to make investments in technology to strengthen our digital offerings and platforms and expand our branch network. Risk management as Vishakha mentioned will remain the cornerstone across businesses.

• In the NBFC business, we will leverage our digital platforms ABCD and Udyog plus, the extended ABG and ABC ecosystem and our pan -India based branch network to grow our loan portfolio. We will also look to grow the corporate and mid -market portfolios based on opportunities. As we have stated earlier, we remain confident of doubling the March 2023 portfolio by March 2026 and containing the credit cost within 1.5%.
• In the HFC business, we will leverage the extended ABG and ABC ecosystems to accelerate growth in prime and affordable segments. We have made significant investments in hiring people and in improving our digital capabilities to enhance customer transacting experience and reduce turnaround time. We will build on these capabilities to further accelerate the growth in the portfolio going forward.
• In AMC business, we hired a co -CIO equity to strengthen our investment team and a retail sales head to build on our strong presence in the distribut ion network. We have also strengthened our alternative assets team. We have seen strong momentum in Q4 on the back of an uptick in equity performance coupled with a well -established fixed income franchise and a robust sales engine. Going forward, we will scal e up retail franchise, leverage digital platforms for seamless delivery and grow alternative assets including AIF, PMS and real estate.
• In Life Insurance business, we will grow the traditional products in retail segment and grow credit life in group segment. We will continue to make investments in direct channels and diversify our distribution mix and increase our productivity. Our endeavour would to be grow the topline at a CAGR of more than 20% over the next three years and sustain VNB margin in the range of 18% to 20%.
• In Health Insurance business, we will follow our differentiated health first and data driven approach to for better risk selection and risk pool management and diversify distribution with focus on proprietary channels. Our endeavour is to achieve a combined ratio of 100% by FY26.
I now hand over call to Rakesh Singh MD and CEO of ABFL to discuss the ABFL performance .
Rakesh Singh :
Thanks Vijay, and good evening, everyone.

In ou r NBFC business, we saw a 7% quarter -on-quarter and 31% year -on-year growth in our AUM, taking it to Rs 1,05,639 Crore in Q4 FY24 . Our Retail and SME segment AUM grew by 31% year -on-year and now stands at Rs. 70,547 Crore contributing to 67% of the overall AUM Mix.

We continue to focus on growing business loans to MSME customers and the AUM for this

segment has grown at a healthy 13% quarter -on-quarter and 39% year -on-year and comprises 53% of overall portfolio. A large share of this growth has come from secured products and primarily through our direct sourcing channels. Secured loans to MSME customers grew 14% quarter -on-quarter and 42% year -on-year.
In Q4 FY24 , we disbursed Rs. 18,123 Cr, which is 16% higher t

han the previous quarter. For
the full year, we disbursed Rs. 64,387 Cr, which grew at a healthy 31% year -on-year despite the calibrations initiated in personal and consumer loan segment in Q3. Disbursemen ts grew by 38% year -on-year in the business loans segment and by 19% year -on-year in personal and consumer loans segment.
We continue to focus on direct sourcing. Nearly 50% of the disbursements in overall Business loans segment in FY24 was done directly and we expect this to continue to inch upward as we scale -up of our B2B platform for MSMEs - “Udyog Plus”. We launched Udyog Plus last year and as of date, we have nearly 8 lakh MSMEs registered on the platform, and we have disbursed more than Rs. 500 Cr in the last nine months on this platform .

Our Net Interest Margin was 6.90% for FY24, which has grown by 6 bps year -on-year despite an increase in cost of funds of 88 bps in FY24 . Last quarter, we passed on 20 bps in our new disbursement yields across all product segments to accommodate the increase in our cost of funds.

Our Opex to AUM ratio is at healthy 2.17% for the year and has decreased by 7 bps year-on-year despite our continued investment in branches to scale up direct sourcing in emerging markets. We added 89 branches in the year taking our total branch count to 412 as of March

2024. Our Cost to Income ratio for the year stands at 31.08% , which has improved by 104 bps year -on-year.

Our Profits After Tax for the year was Rs. 2,221 Crore, growing by 43% year -on-year. The Return on Equity for the year expanded by 233 bps year -on-year to 17.10%. The ROA for the year was sustained at 2.46%.

We infused capital of Rs.1,600 Cr in FY24. Our Tier 1 capital adequacy ratio stands at 14.13% and has improved by 21 bps year -on-year despite increased risk weights on personal and consumer loans segments in November last year.

Our asset quality has also shown consistent improvement with our Stage 2 and Stage 3 book reducing by 135 bps year -on-year and 36 bps quarter -on-quarter to 4.49%. The Gross Stage 3 book stood at 2.51% in Mar'24 compared to 3.12% in Mar'23 . We have maintained our Stage 3 PCR at nearly 50.0%, which is higher by 374 bps over Mar'23 . Credit cost for FY24 was at 1.50% and it has been on a steady decline over the last 2 quarters.

Going forward, we will continue to build a granular portfolio and enhance our Retail and SME Segment Mix with scaling up of Udyog Plus B2B platform and investing in our distribution presence in emerging geographies to fuel growth. Our growth strategy in personal and consumer loans segment will pivot to a platform -based customer acquisition approach

through our branches, ABG ecosystem and our newly launched ABCD App. All our digital sourcing journeys on the App and on Udyog Plus are designed for end -to-end control from underwriting to collections giving us complete ownership of customers. As we build scale, enhance capacity and invest in technology, we remain committed to delivering sustainable returns for the forthcoming quarters.

With that, I will now hand it over to Mr. Pankaj Gadgil, MD and CEO of Housing Finance Business .

Pankaj Gadgil :

Thank you, Rakesh, and good evening, everyone. I'm happy to share that we have made consistent progress across key aspects of book growth, asset quality, and profitability.

Key highlights for FY24 are as follows :

• We witnessed accelerated growth in disbursements across product segments. In FY24, we disbursed ■ 8,450 Cr., marking a significant 59% increase YoY
• Our AUM as of Mar'24 stands at ■18,420 Cr., an increase of 33% YoY
• The customer base is now at 64,900 and has grown by 19% YoY. We continue to focus on granularity with ticket size of about ■ 28 lakhs
• Profit Before Tax for the year is ■376 Cr., an increase of 22% YoY
• Average cost of borrowing for t

he year is at 7.66% and we are consistently rated AAA for seventh consecutive year by ICRA and India Ratings
• Asset quality has improved with stage 3 reducing to 1.82% which is 141 bps reduction YoY
• The ROA for FY24 is 1.92% and ROE is at 13.87%

For more detailed financial information, please refer to slide 28 of the presentation.

Now, let me provide you with an update on our organizational roadmap. You can find the details of the same on slide 2 9.

In terms of dis bursements , we've witnessed impressive growth across segments with a 64% YoY increase in disburs ements in Q4FY24. Also, I'm happy to share 9.8% of the retail disbursals are generated from the ABG ecosystem in FY24.

Moving on to digital reinvention, as you can see on slide 26, we've launched four significant platforms during FY24. Our flagship platform, "Finverse", an end -to-end unified digital lending platform, which had gone live in record nine months, achieved 100% adoption within three months of its launch. With over 1,800 design hours invested, Finverse further enhances our predictability t hroughout the customer life cycle. Our second platform, "Sales CRM" has also shown promising results, with a 24% increase in productivity and 2.1 times increase in our channel partner base to 12,000+ today . Our third platform, "ABHFL Finserve", aids in our efforts to be the most preferred choice for customers by ensuring service guarantee within hours, which resulted in a significant rise in our Net Promoter Score to 69 in Mar'24. The fourth platform, ABHFL FinCollect, is an end -to-end debt management platform offering

mobility -led solutions for field staff, including system -generated payment links and instant receipting. With a robust debt service framework and pre -delinquency management the collection efficiency is consistent at 99%+ in FY24.

On data and analytics, we've successfully deployed 9 data marts and 16 models during FY24, spanning across the customer journey from demand generation to collections. For example, our pre -delinquency model, and flow prediction model, has played an important role in improving portfolio quality, resulting in a 208 -bps yoy reduction in stage 2 + 3 as compared to FY23. For further details on data & analytics, please see slide 27.

As you can witness, we have demonstrated 7 quarters of consistent growth across segments with improved portfolio quality and customer advocacy. With these building blocks now in place, we would be focusing on increasing our scale of operations by accelerat ing investments in digital, technology, analytics and manpower, while simultaneously improving productivity in FY25.

Thank you for your attention, with that, I now hand over to Bala, MD and CEO of our Asset Management Company.

A. Balasubramanian :
Thank you, Pankaj . In AMC business our focus has been to strengthen our main levers of growth in the organization by bringing in the right talent and making strategic changes in certain leadership roles.

In fact, our momentum in the last quarter is on the back of:
• Uptick in equity performance coupled with a well -established fixed income franchise,
• a robust sales engine and close -to-the-ground connection,
• tech-enabled services and a growing digital business network.

Building on this synergy and energy, the business is on a meaningful momentum and our team is geared to make the most of it.

In Q4FY24, our total quarterly a verage assets under management, encompassing alternate assets, reached Rs. 3.46 lakh crores, reflecting a 21% year -on-year growth. Notably, our Mutual Fund quarterly average AuM reached Rs. 3.32 lakh crores, with Equity quarterly average AuM standing at Rs. 1.52 lakh crores.

I am happy to say that our SIP Numbers during the quarter has witnessed a good uptick moving from Rs. 1,005 crores in the month of December 2023 to Rs. 1

,252 crores in March
2024, marking a 25% quarter -on-quarter increase. We have added around 6 lakh new SIPs, which is approximately a 2.5x increase compared to the previous quarter. Individual investors, with an average AUM of Rs. 1 .73 lakh crore, now constitute 52% of our assets. Additionally, the contribution from B30 cities stands at about 17.5% as of Mar ch 2024.

On the alternative business front, our good investment performance experience in PMS helped us in getting our products being sold in some of the organized channels through the launch of ABSL India Special Opportunities Fund (CAT III AIF). Our passive asse ts stand at around Rs. 28,900 crores and have built a strong customer base of around 6.85 lakh folios to our passive offerings .

Moving on to the financials, we at ABSLAMC are happy to inform you that we have achieved our highest ever profitability in FY24.

• Profit before Tax is at Rs 1008 Cr; up 27% Y -o-Y and Profit after Tax is at Rs 780 Cr; up 31% Y -o-Y
• For FY24, Total Revenue is Rs. 1641 Cr; up 21% Y -o-Y
• In Q4 FY24, Total Revenue is Rs.440 Cr; up 34% Y -o-Y
• Q4 FY24, Profit before Tax is at Rs 268 Cr.; up 48% Y -o-Y and Profit after Tax is at

Rs 208 Cr.; up 54% Y -o-Y

We are pleased to announce that the board has proposed Dividend Rs. 13.5 per share for FY24 . With this I will now handover to Kamlesh Rao, MD and CEO of ABSLI.

Kamlesh Rao:
Thank You Bala and good evening to all of you. The premium growth for the Life Insurance industry was muted in FY24 as compared to the previous year. Individual first year premium growth for the overall industry was 5% and private industry was 8%. Individual FYP growth of ABSLI was 2%. The growth in the policy count was 17% as compared to last year, which was part of our strategy to manage the reduction of greater than 5 lacs business in our portfolio post regulatory changes. Over a 2 -year period, ABSLI has clocked a CAGR of 18% in individual business compared to 16% CAGR in private industry and 12% in overall industry.

In the Group Life Insurance segment, the private industry saw a growth of 20% in FY24, while Industry saw a growth of 1% in FY24 and ABSLI registered a growth rate of 9%. We continue to remain No.1 in ULIP AUM in the industry at an AUM size of close to Rs. 12000 Crs .

Our total premium of Rs. 17,260 crores has registered a growth rate of 15% over last year's same period, with a 2 -year CAGR of 19%, demonstrating our increasing business growth. This growth came from new business growth as well as renewal premium growing at 24% in FY24 . Our digital collections now account for 80% of our renewal premium. We continue to work on Customer Lifetime value, which is reflected in our upsell ratio which touched 29% and helped productivity growth in both proprietary and partnership c hannels.

In the product mix of the individual business, traditional business contributed 73% and ULIP was 24%. The robust performance of the equity markets saw an uptick in the sales of ULIP products across the industry. At ABSLI we also witnessed a similar trend. The proportion of ULIP after remaining at about 21% in the first nine months of the year increased to 24 % for the full year.

I had mentioned in an earlier quarter earnings call that there we had seen some slowdown of business sourced through our biggest Banca Partner in Q2, which slowed down our overall growth for last year. As the year has ended, the business has settled in this counter. We continue to invest in higher capacity in our Proprietary channels and other Banca partners. Axis bank will begin sourcing the business for us from May 2024 onwards. Bank of Maharashtra and IDFC First Bank are already live from Q3FY24, and we are in the process of scaling them up.

The decrease in G Sec rates in Q4 along with a higher prop

ortion of ULIPs led to a decline in
net VNB Margins to 20.2% in FY24 from 23% in FY23. On the back of strong quality of inforce book, EV increased by 28% year -on-year to Rs 11,539 Cr as of March 31, 2024. The RoEV was 18.8% in FY24.

Persistency across all buckets did well with the 13th month now at 88% and the 61st at 65%.

Our Asset under management now stands at close to Rs. 86,161 crores, with a YoY growth of 23%. 26% of this AUM is in equity and the balance 74% in debt. Our investment performance has been better than respective benchmarks across all three categories of Equity, Debt, or even Balanced funds, either from a 1 -year or 5 -year perspective.

Our digital adoption across various areas is demonstrated in Slide 47. 100% of new business customers are onboarded digitally, 83% of all our services are now available digitally, covering 67% of our customer transactions, and our customer self -service rat io now stands at 91%.

Going forward, we will drive our premium growth from a diversified mix of both proprietary and partnership channels backed by productivity and capacity. We will continue to invest in proprietary channels. Further, we expect the three new banca partners - Axis bank , Bank of Maharashtra and IDFC First Bank , to contribute 10% -15% of our topline in FY25. We expect continued improvement in the quality of the book . Our endeavor is to grow the business at a CAGR of more than 20% , helping us to get close to doubling our size from where we are present today over the next 3 years . We believe that VNB margins will settle at around 18% - 20% based on our expectations of G-sec rates and product mix. Our absolute net VNB growth will also be close to double, in line with our new business growth expectation. We will continue to be best -in-class in our digital infrastructure, across prospecting and onboarding in sales, underwriting, and customer service as well as claims. With this I handover to May ank Bathwal, CEO of Health Insurance business.

Mayank Bathwal :
Thanks, Kamlesh . In our Health Insurance business, the growth and momentum which we witnessed in Q3 continued in Q4 as well , and we clocked an impressive 52% YoY growth, solidifying our position as the fastest -growing SAHI player during the quarter. For FY24, we achieved a gross premium of Rs. 3 ,701 crores, experiencing a strong 36% year-over-year growth. So, over a 3-year period now our sales CAGR stands at 42% .

As I had guided at the beginning of the year that we will make some model changes/structural adjustments post introduction of new Expense of Management and commission guidelines. So, after a slightly muted H1 with a 23% year-on-year growth rate by our own standards, ABHI registered consistent high year-on-year growth of 43% in Q3 and 52% in Q4 with an overall year-on-year growth of 48% in H2. We were the fastest growing insurer in both Q3 and Q4 FY24 .

Our market share in SAHI in FY24 rose from 10.4% to 11.2% an increase in market share by 82 bps for the year.

The high growth in H2 is driven by strong growth in the retail business, registering an impressive year-on-year growth of 34% in Q3 and 43% in Q4 with an overall H2 year-on-year growth of 39%. The growth in retail is driven by our larger retail channels, especially the proprietary channel, which saw a 43% YoY increase in FY24 . Our proprietary channel share increased to nearly 31%, compared to 27% in FY23. In addition, all our large bank and digital alliance partnerships have experienced good growth. In FY24 we have also activated large new relationships of India Post Payment Bank (IPPB) and Yes Bank.

Our focus on diversifying product portfolio saw the launch of Activ One, the most comprehensive indemnity product in the industry with seven variants targeting various customer segments. Positioned on a theme of 100% Health and 100% Health Insuranc

e. The
product has been well received by the market and has within a short period of 5 months gained significant traction reflected in our market share increase . The early success of the product gives us confidence of growth in coming year as well .

With an emphasis on product mix our Fixed benefit products contribution increased to 17% as compared to 13% in FY23 and this will contribute positively to our profitability in the upcoming quarters.

Our Corporate business experienced 49% YoY growth, driven by a sharp focus on profitability through careful customer segmentation, cross -sell/upsell strategies, corporate wellness initiatives, and our industry -leading OPD business. We are strategically concentrating on Mid Corporate and SME segments to build a sustainable and profitable corporate and affinity business. We believe we have set up one of the very few profitable corporate businesses in the industry.

Balancing growth and profitability, our net loss saw an improvement with a loss of Rs 18 2 Crs in FY24 from Rs 220 Crs in the same period last year , in fact in Q4 FY24 we have a profit of Rs 88 Crs . The limited movement in CoR is on account of seasonality and business mix. Claims and Expense Ratios at the Company level have trended well, and we anticipate the CoR to continue improve in the coming year and we expect a COR of 100% by Mar ’26.

Our Health First model continues to show signs of maturity. The improved outcomes for some of the intervened cohorts are now visible. Customers participating in Activ Dayz exhibit lower. loss ratios, ranging from 10% to 35% or more. Likewise, customers earning Health Returns experience loss ratios up to 35% lower than the baseline case. Persistency trends for the

intervened cohorts continue to be encouraging with persistency improvements upto 800 basis points as compared to baselines cohorts . This is shown in slide 56. Overall, this has kept our loss ratio well in control and our endeavour is to increase the effort over a larger cohort of our customers.

We are sharing some more insights this time on our health first model on Slide 57. We have invested in building deep capabilities in managing customers with high health risk through a combination of first of its kind product offerings and human/digital capacities to manage the disease burden for th ese set of consumers. Through a combination of our inhouse health coaches and our partners, we have intervened in nearly 100K high risk lives to improve their health vitals along with claims ratios.

Our industry -leading claims settlement ratio of 96% reflects our commitment to prioritizing customer experience. To enhance customer experience and more importantly to manage claims cost better, we have invested in a state -of-the-art AI/ML driven claims auto adjudication engine which went live in March ’24.

As a tech -driven, digital -enabled, data -centric health -first business, we are committed to continuous investment in our tech and digital capabilities. Our consumer facing a pp downloads have increased by 41% YoY and MAU have also grown by 102% YoY. Our digital self-service transactions stand at an all -time high of 86% compared to 76% LY.

Leveraging high end analytics tools, we make informed decisions that positively impact our customers' lives through personalized product offerings, targeted health and wellness interventions, and a personalized service approach resulting in a better custom er experience. Investments in data augmentation and analytics are enhancing cross -sell, retention, and fraud management as is shown in slide 60.

There are many changes being proposed by the regulator for health insurance sector which are pro -consumer and will help in increasing penetration for the sector. However, some of them may lead to some adjustments in the short term. We continue to be very positive o

n the
growth outlook for the industry and more so given our differentiated and resilient business model. Our vision is to aggressively expand our franchise but will continue to hold our best-in-class unit economics.

Thank you, and I will now hand it back to Vishakha for her closing remarks.
Vishakha Muly e:
Thank you, Mayank . This concludes our remarks on the Q4 FY24 performance and we will be now happy to take your questions.

Moderator:

Thank you very much. We will now begin the question -and-answer session. We'll take a question from the line of Nischint Chawathe from Kotak Institutional Equities. Please go

ahead.

Nischint Chawathe:

Hi. First question, we kind of moved on to the finance business to around 17% of the ROE for this year and now with the merger, again your ROE will come down. So, what kind of ROE guidance would you give us for the next three years?

Vijay Deshwal :

See Nischint r ight now, we are not making any ROE guidance. What we are focused on is that each one of the businesses is we continue to improve our operating performance. As we mentioned earlier also, Rakesh has been saying that the ROA that we have in the NBFC at 2.5% broadly right now, our endeavor is to expand it to about 3% over the next three years. So that's what we'll be focused on. ROE will be a resultant of the overal l capital structure and I think that we will have to wait for how it will emerge.

Nischint Chawathe:

I know. But if you really go back 3 -4 years in time there was a very strong concerted effort to improve profitability, take the ROE to sort of 1 7-18% levels and we have actually achieved that. And now you know with this capital coming in probably we will probably take a couple of more years to get back to these levels. And that's where I think the question was.

Vijay Deshwal :

So, Nischint i t's very natural that when you augment your capital and there is an augmentation in capital base, in the interim, the ROE may look in the mid-teens, but eventually it will directionally move towards high teens as the leverage keeps on going up.

Nischint Chawathe:

Just a second small question was essentially in the GS2 and GS3 in the consumer unsecured business we are seeing a fairly sharp rise on sequential and a year -on-year basis. So, any color or any commentary on this?

Rakesh Singh :

Nischint your question is on personal and consumer the Stage -2 and Stage -3 increase?

Nischint Chawathe:

Yes.

Rakesh Singh :

See if you look at that has gone from 2.2 % to 2.9 % in GS -2 and 2.2 % to 2.8 %in GS -3. But that's primarily on the reduction in the book. So, if you see in Q3, our personal and consumer book was Rs. 19,600 crore and it came down to about Rs. 17,000 crore . So, that is a denominator effect, and we haven't seen any increase in delinquency in personal and consumer.

Nischint Chawathe:

So, if I look at the numbers, your loan book in this segment is down 11% quarter -on-quarter, but your GS2 is up 17% quarter -on-quarter and GS3 is up 13% quarter -on-quarter. So, the point essentially is that, do you see these ratios going up when you're really looking at the static pools probably that you have access to?

Rakesh Singh :

So, it's primarily a denominator effect and as we had mentioned earlier that we looked at the small ticket unsecured loan and we calibrated below Rs.50,000 ticket size and that's what we had reall y and we continue to grow our personal loans through our branches, through our ecosystem and now the ABCD App which we have launched, we will continue to grow this.

Nischint Chawathe:

So, is this like the bottom end or do you expect it to sort of run down a little bit more before the book starts growing and the ratio star ts improving ?

Rakesh Sin

gh :

So, Rs. 50,000 and above, there is nothing which is left now. So, if you look at our BNPL book is less than 1%, say 0.7 % of personal and consumer loans. So Rs.129-odd crores is left and that also by April it would have gone off. So, there is nothing, i t's not there in the portfolio now, the small ticket less than Rs.50,000 loan.

Nischint Chawathe:

And the final one on the life insurance side if I can see them and the margin compression that we've seen this year, is it purely because of the increase in share of ULIPs or would you also kind of say that payouts to distributors have gone up which is one of the things that some of the other peers in the industry have been talking about?

Kamlesh Rao :

It has no bearing because of any payout to the distributor that has gone up. That's not the trend that we are seeing, largely on two factors, one is that ULIP for the year went to 24%, which obviously means for the last quarter it would have touched about 30%. So larger ULIP

share in the last quarter and the fact that in Q4 the G -sec was lesser than where it is even standing today. Some impact of that on gross margins and product mix on account of ULIP is where the VNB is now at 20.2%.

Nischint Chawathe:

Perfect. Thank You so much and all the best.

Moderator:

Thank You. We'll take our next question from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh:

Hi. The first question is on your acquired portfolio. If I see you have almost acquired like 4.5 thousand odd crores consisting of 1.5 lakh accounts over the last one year. If you can just help us understand about some sort of what kind of a loan from, what kind of lenders you have acquired this portfolio so that's the question one ? The second question would be if you were to look in the housing finance business I mean, of course the AUM is growing but you are still sort of investing in branch and people so that cost ratio also is right. Right now, of course the negative credit cost has kind of driven the ROA comparable to where it was last year. So, if you can provide clarity or color on how these cost-opex ratios are going to behave over FY'25?

Vijay Deshwal:

We understood your second question well. If you can reframe your first one, it will be helpful.

Avinash Singh:

So first one, I mean, if I look at our NBFC disclosures you have acquired nearly 4.5 thousand odd crores of loan in the last one year consisting of some 1.5 -1.6 lakh number of loan accounts. So just wanted to know what kind of product, customer you are acquiring in these sorts of loan and what kind of lender / originator from which you are acquiring?

Vijay Deshwal:

Okay Thanks . Rakesh.

Rakesh Singh :

So, these are small ticket loan against property primarily that's the nature of the loans which we would have acquired. These would be seasoned , where we do 100% sampling and we cherry pick the portfolio. So that's how we really look at it and this can be done across different institutions.

Avinash Singh:

But the average ticket size if I look at 1.5 lakh loans acquired , the average ticket size, works out to be close to 3 odd lakhs and also if I look at the disclosure in terms of the security cover, it suggests less than 100%, that means there's reasonable size of unsecured also, that is where my question was that I mean if some mix of unsecured and secured then what kind o f unsecured book you're acquiring?

Rakesh Singh:

So unsecured, if you look at, out of this, is a small portfolio of unsecured which is I can get back to you with the exact, but there's a small portfolio, Rs. 798 crores out of this is unsecured, remaining is secured.

Avinash Singh:

Okay. And my question on housing finance opex ?

Pankaj Gadgil :

So, I think the que

stion that you asked was about the ROA and how we've managed the credit cost and how is it going to be like.

Avinash Singh:

No operating costs despite performance.

Pankaj Gadgil :

Yeah, I will come to opex also. As I have observed, I think the growth trajectory is clearly back at ABHFL and last year (FY23) we grew by 14%, this year (FY24) we have grown by 33%. So, while that is clearly happening, you would have also seen that the NII for us versus 5.3 0% of last year, we have actually grown it to 5.39% this year, which is of course a combination of how we have been able to price our loan products, and also the other income that you know we are kind of capturing through what we are sourcing. So, the way I think we've been articulating earlier as well, I think the strategy for us has been to focus on opportunities across the spectrum. So, across the segments, prime, affordable, informal and CF, I think we are looking at maximizing the opportunity. And when we do that, I thi nk we are very conscious about a) working on our existing portfolio and therefore you would have seen that the credit quality has significantly improved in the last almost six quarters both sequentially as well as on a YoY basis. That gives us of course ro om as far as credit cost is concerned. So, the strategy for us really was to get the growth momentum back which is a double tick that we have kind of got. Got a very, very clear hold as far as the credit cost is concerned both on portfolio and also on orig ination and if you would know each time, we've been talking about what percentage of customers do we originate at 700 -plus in NTC and clearly that is significantly better as compared to the market.

So, while we have established both the origination as well as portfolio quality that we are talking here, the idea is you know as the book grows further, of course, the fixed cost will get apportioned towards the larger book, we will get an operating leverage in times to come and of course then the ROA will stabilize further. So that's kind of the guidance. Of course, in the short term, it may slightly come down as we have seen in Q4 . If you look at the ROA, it's at 1.76% in Q4 versus 1.92% in FY24 . So, we are seeing some NIM compressions, but as the book grows with the right portfolio quality, I think there are lots of reasons for us to come to the conclusion and we're really, really focusing towards getting ROA back to the trajectory of 2 - 2.1% in the next 24 -36 months.

Avinash Singh:

Okay. So just o ne follow up on life insurance. So, if you can just help sort of a breakdown of your operating and economic variances which are also changing, and also, I mean your rate of unwinding at 9% plus is relatively higher to your peers. So, if you can shed some color on that?

Kamlesh Rao :

So, 18.8% roughly is unwind, obviously our operating variance has been positive of about contributing 1.5% and it has been positive for the last three years consecutively. The remaining part is the net VNB contribution of about absolute 700 crores. So, 18.8 % is RoEV which has roughly 9.5 % of unwind pr ofit, about 8 % is from net VNB contribution and 1.5% is from the operating variance. The reason the unwind on the book is a little higher because we carry a reasonable book on non -PAR and if the non -PAR book for a portfolio was slightly higher, then obviously the rate of unwind in that you will see slightly abo ut 100 to 150 basis points higher than some of the peers. That's the rough break up in the ROEV of 18.8 %.

Avinash Singh:

Yes, a nd in operating variance, if you can sort of provide some breakup like how much is coming from cost, persistency and mortality, because it is reasonably a big number?

Kamlesh Rao :

So, our mortality assumption is positive, but the bulk of the upside actually is coming from all our variances, whic

h are better in terms of lower lapses, better persistency. So, bulk of the operating variance is coming from our assumptions, experience bei ng better than what we would have planned for, and mortality is not giving any negative thing in the operating variance.

Avinash Singh:

Okay. Thanks.

Moderator:

Thank You. We'll take our next question from the line of Manoj Bahety from Carnelian Asset Management. Please go ahead.

Manoj Bahety:

Hi Vishakha. First of all, congratulations on a good set of numbers and as well as good asset quality. So, I have two questions. First is i f I see like the last four -five quarters, the kind of acceleration which we have seen in our overall loan growth and especially a large portion of the loan growth is coming from retail, personal, SMEs as well as the unsecured portion. So just wanted to get some understanding, like w ith this phase of growth, obviously you need to introduce new risk controls, whether it ma y be technology -driven, whether it may be like some other measures of control. So, if you can help us understand what kind of additional risk controls at a corporate level you have introduced which will tackle your balance sheet, which will be like 3 x of its size in the next few years?

Rakesh Singh :

So, if you look at the growth in fact and that's what I have mentioned it in my opening remark on the personal and consumer segment, especially the unsecured small ticket segment, we have really dialed down. And if you look at December'23, our book was Rs. 19,606 crore which we have brought it down, we tightened our underwriting, we tightened our scorecards and sourcing and we have brought it down to Rs. 17,434 crores . So, it's almost 11% decline QoQ. And if you look at, we were growing quite strongly in Q1, Q2 and the trajectory has moderated because of this dialing down of the small ticket unsecured credit. So, we are very mindful of the credit quality. We will continue to grow within our risk appetite and in terms of managing our portfolios through the cycle. So, tightening of underwriting, tightening of our scorecards also, th e collections infrastructure and the capacity building which we have done in collections, so we have taken all the right calls in terms of building a very strong and robust underwriting process for our retail and MSME business.

Vishakha Mulye:

Manoj, now of course at the platform level that is our approach. Clearly, we had said that return on capital is important, but return of capital is going to be the cornerstone of our strategy. So, a couple of things. One is controlling the origination as Rakesh said. So, we are very focused on to say t hat which class of asset we originate. So, if you see we on our own before even the whole thing started on the small ticket side unsecured loan, we had started bringing down that portfolio for us in the last f our quarters. We had also brought it out in our September call to say that most of these loans are less than 30 to 60 days and we would be able to wind down that portfolio. As Rakesh said, today that portfolio is virtually nil in our book. So, one is identifying the allocation of capital to which class of asset is very critical and taking those swift decisions. Second is actually controlling your underwriting models and we continuously look at our underwriting model, look at our experience and really try to fine tune them as we go forward.

So that is the second thing that we keep doing. The third important thing is monitoring of the portfolio. So, we have a separate team, whether it is on the retail side or an SME side or on the corporate side who continuously monitor s our portfolio to say if we need to intervene and take certain decisions. And the fourth, as Rakesh said, is now we have virtually in -housed our entire collecti

on. We have something called pre -delinquency management. That is by using the data, digital, we try to identify the c ustomers whom we believe will have the propensity to default and start actually allocating those customers even before the due date. So, we start our engagement with the customer almost 30 days before even the payments fall due. And of course, there are vari ous other initiatives that we have taken on the digital and analytics side to identify the customer. We also have i n case of many customers; we do the scrubs much more frequently. We look at the total liability that the customer has at their level. We look at what are the loans that they have , of us and on us. So, these kinds of measures that we have taken. I think will go a long way in managing our portfolio and I am very happy to say that it has already reflected in our asset quality, but I think these are the four steps that we will continue to follow as we go forward.

Manoj Bahety:

Great that is very insightful Vishakha and Rakesh. I have two more questions. The first one is a quick one for our health insurance. What is the path to profitability? Already I think we are at almost Rs. 3600 -3700 crore kind of GWP. So, when can we expect this to start contributing on a bottom -line basis?

Mayank Bathwal :

Yes, so a s I have mentioned earlier and even Vijay mentioned that we're looking at 100% CoR by FY26, the next 24 months. The fact that like in the last quarter of F Y23, we had a marginal loss, in the last quarter FY24 we had a profit of Rs. 88 crores, clearly showing that our unit economics are working very well , which should put us well on course for this guidance that I've just given.

Manoj Bahety:

So, in the next 24 months, we can expect this entity to start generating profits, right?

Mayank Bathwal :

Yes.

Manoj Bahety:

Okay. And the last question is on our distribution strategy, especially personal loans for BNPL or SMEs. So earlier I think everybody in the system was aggressively using fintech partners. With RBI tightening norms on fintech partners, is there a significant cha nge in our strategy and how we are dealing with the situation, if you can help me some insights into this?

Rakesh Singh :

So, our distribution for personal loans, if you look at, as I mentioned in my opening remarks, we are looking at our branches, the branch distribution which we have , the direct sales team which we have , the entire ecosystem platforms which we have created, now ABCD which has gone live, it will have the entire lo an journey end -to-end on this platform for personal loans and for business loans. So clearly, we are looking at in -house distribution for building our personal and consumer business. We will still leverage some ecosystems where we have comfort and where we h ave 100% ownership of the customers and 100% ownership of the processes, we will still look at those. But as we have mentioned clearly, post the DLG guidelines and all, we looked at all our partnerships and BNPL you can see the numbers that's come down significantly, it's almost negligible at this point in time. So, we don't have these small ticket sizes . So just to answer, we will look at our internal ecosystems, branches, ABCD app, Udyog Plus, all of these platforms on which we will really to source business.

Manoj Bahety:

Great. Thank you so much for taking my questions.

Moderator:

Thank You. We'll take our next question from the line of Anuj Singla from Bank of America. Please go ahead.

Anuj Singla:

Thank You. Good evening, everyone. So, I think a couple of questions on the lending business first. So, I don't recall if I missed the growth target for NBFC and HFC side for the next year. Have you articulated any numbers there?

Rakesh Singh :

On the loan book growth?

Anuj Singla:

Yes, AUM growth f

or FY25.

Rakesh Singh :

We have given a guidance that we will double our loan book in three years from March'23 to March '26.

Anuj Singla:

Okay got it an d Rakesh, the second question on the personal and consumer loan, obviously

you have managed the book well on the small ticket size loans and these now constitute 17%. How should we look at the growth trajectory from here, should the proportion stabilize here in terms of the percentage of the AUM? And secondly, what does that imply for NIMs because this is obviously the hig her lending book and we also have seen some cost of funding pressure, so how should we see the NIM trajectory maybe for FY25?

Rakesh Singh :

So, we are quite positive on the loan book growth, and we will continue to focus on MSME and retail and consumer segment. Yes, the small ticket unsecured loans comes at a higher margin, so higher yield, so you have a better margin on that. But I think the credit cost also is associated in similar proportion. So, if we slowdown that and we will dial down on that business. The other business which we will onboard have similar kind of margins, not high unsecured margins or yield, but our B2B and MSME unsecured business which we are growing now and if you look at the B2B platform which we have built and we are really looking at growing our small business loans on tha t platform, that al so comes at a very attractive rate and the credit cost also is quite well within control. So, we don't see any challenge on both growth and the margins. We should be able to manage both growth and margins.

Anuj Singla:

Okay got it. Secondly, on the health side, so just one question. Y ou have guided for 100% combined ratio by FY26. Can you also give some more details, is there some kind of price hikes we are building in this guidance or this is more driven by gaining sale and operating leverage?

Mayank Bathwal:

No, I mean our growth has been consistent; as I said we've had a growth of about 42% CAGR in the last three years, that growth will continue given the opportunity. Price hike is the subject of regular action that insurance companies take and like all other health insurance companies , if the medical inflation does demand , the claims ratios are going up and we need to reprice, which has always been in line with market. We will do that. So, it's not something unusual. All insurance companies do. In fact, our p rice hikes have been generally slightly below what you see in the industry, which means that we have managed our portfolio and the quality of it and the related loss ratios reasonably well. In fact, this year also our retail claims ratio has trended very w ell because of all the actions that we have taken.

Anuj Singla:

Yes Mayank, the context here is that one of the largest S AHI companies has taken a 25% price hike in one of the major products. They're talking about more price hikes in the coming quarter. So, I thought that given that the industry price levels are going there, you might also be contemplating. So just to understand is that one of the key drivers towards moving that 100% combined ratio?

Mayank Bathwal:

No, I will not be able to comment on the other company. I can only say that we have managed our portfolio quality, business mix, and product mix reasonably well for us. In fact, our last price hikes have been in the range of 10% to 12%, which is actually well below the medical inflation that we've seen.

Anuj Singla:

Okay got it. Thank You.

Moderator:

Thank You. We'll take our next question from the line of Bhaskar Basu from Jefferies. Please go ahead.

Bhaskar Basu:

Yes thanks. Good evening. I have three questions. So firstly, just dwelling back on one of the earlier questions essentially around the portfolio acquired. This quarter,

it seems you've
acquired about Rs. 2,300 crores, works out to average ticket size of about Rs. 6.5 lakhs with an average tenure of about 12 years. So just wanted to understand and this seems to be almost 50% of the sequential growth if I assume this is all secured and coming from SME. So, if you could give a little more texture around these loans, what kind of yields do they generate because at the ABFL level there seems to be a yield compression on a sequential basis? So that is my question one.

Rakesh Singh :

Yes, go ahead.

Bhaskar Basu:

Yes. Secondly, in the same context, what is the product mix or loan mix in the next three years, given that you're dialing down on the personal side? And third was just a housekeeping question on the write -off number for the quarter?

Rakesh Singh :

So, first of all, the buyout portfolio these are in Q4 all secured portfolio which is what we have acquired. And in terms of what yield it will differ . But it will be in the range of what we acquired. So, the customer yield will be 11% to 12% for these portfolios. Your second question was how do we see the product mix? We have guided for 75% of retail and SME product mix in the next two to three years. We continue to stay guided on that. We have dialed down our consumer and personal loan business primarily on the small ticket unsecured business, especially below Rs. 50,000 ticket size. We will continue to do business on the consumer

side, especially personal loans, business loans and all. So, we don't see any change in our guidance from 75% of retail and SME business.

Bhaskar Basu:

Okay and j ust the write -off number, please?

Rakesh Singh :

It's around Rs. 400 crores. It's in line with the earlier quarter, it's Rs. 411 crores.

Bhaskar Basu:

Okay thanks. That’s all from my side.

Moderator:

Thank You. We'll take our next question from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise:

Hi. Thanks for the opportunity and congrats on the good quarter. I just wanted to make sense on the coverage levels at ABFL. How do you see it moving ahead? We've stabilized at around 50% level. So, some direction here would be helpful. And also, if you could share Stage -1 and Stage -2 coverage on an overall basis?

Rakesh Singh :

So, if you look at and w e have provided this segment wise provision cover which we have provided in our presentation. And if you look at personal and consumer, we have a provision cover of 83%, unsecured business is 35.3%, but this is we have to take into account that business loans and that also we have mentioned on a slide and where 43% of this book is covered under CGTSME, which is a guarantee d premium which we pay to SIDBI and 75% of the principal is guaranteed. So, if you exclude that then the provisio n will look quite good in the unsecured business as well. Secured business is 38.8 %. This is as per our ECL model and our data which has been there over the last 5 -6 years. On the corporate and mid - corporate, it's almost close to 50%. So, since our close to 70% of the portfolio is secured by real estate collateral and listed securities, we believe this is quite an adequate provision cover.

Sameer Bhise:

So fair to assume that 50% is a good threshold to have over the medium -term?

Rakesh Singh :

Yes, it also depends on how things pan out, but at this point in time it looks quite adequate.

Sameer Bhise:

Okay. That’s helpful. That’s it from my side. Thank You.

Moderator:

Thank You. We'll take our next question from the line of Pranuj Shah from J.P. Morgan. Please go ahead.

Pranuj Shah:

Thank you for the presentation. So, three questions here. The first one is on construction finance. That book has grown very sharply quarter -on-quarter and year -ov

er-year. So, could
you give a sense of the average ticket size over here and what kind of vintage of the developers that you look at when you finance? And also, is there any difference in the customer profile between the NBFC construction finance and the housing finance book?

Rakesh Singh :

Yes, I think there will be a difference between the two entities. Construction finance in the NBFC is primarily to Category -A developer and this is primarily in Bangalore, Chennai, Mumbai, Pune. So that's where the segment is. See, this business you might see from a 18%, it might have gone to 20% above, but this is we sanctioned it throughout the year depending upon when the construction and when the pickup demand is , that the customer utilizes. So that's how it is. If you look at overall of our corporate b ook, this is about 20% and the average ticket size will be around Rs. 60-70 crores in this segment.

Pankaj Gadgil :

For us, Aditya Birla H ousing finance portfolio contribution is about 11% of the total book and the ticket size is quite granular here. So, our ticket size on disbursement is about Rs. 24.5 crores and AUM it is Rs. 9 crores. So typically, developers who are doing projects, the cost of construction is about anywhere between Rs. 150 to 200 crores typically for whom the requirement of the CF will be about Rs. 25 to 30 crores are the average profiles that we look at. Of course it's very diversified. So, across all the major centers o f the country, starting from Ahmedabad to Bombay, Pune, Bangalore, Hyderabad, Chennai, Delhi, I think we have presence in all these markets. And I think when I was talking about the digital platforms, I think one thing that we have realized is that of cour se, we have to make sure that monitoring in this portfolio has to be top of the line and therefore we have launched a platform which is FinCF which actually helps us to monitor the platform both on event -based and frequency - based triggers. So, I think that gives us the confidence to keep growing this book, of course with fully keeping in mind return on capital.

Rakesh Singh :

For NBFC this portfolio is around 6% of our overall loan book.

Pranuj Shah:

Is there a vintage of developers that you also look at like they need to have minimum x number of years of development experience and then you sort of lend to them or there's no such criteria?

Pankaj Gadgil :

So, there are two things. One, we've kind of created a proprietary model which has both qualitative as well as quantitative aspects when we look at the developer, and we look at it from both the dimensions, one is the developer profile, which includes the vintage, which includes the number of square feet that they have and have already built in the market, we also look at type of projects that they have also undertaken, the quantum o f residential units that they have done, the experience in commercial versu s residential that the experience that they have in a particular catchment. I think all of the things that we anyways look at and then we also look at the viability of individual projects. So, it's going to be underwriting, which is two dimensional. One is developer profile and second, it is to do with the project viability. And I think both those dimensions are considered and extensive interacti ons happen. And the basis of the model that we have created, we actually rate these developers internally and the n we appropriately take calls on the developers.

Rakesh Singh :

And similar for NBFC, these developers are all A+, A category developers, primarily the top developers in these markets, which I have mentioned.

Pranuj Shah:

Thanks a lot for that. Second one was on the yields like what the average yields we are at, assuming the RBI guidelines are implemented as it is , as there is no relaxation over here. And if you pass it on 100% to the d

evelopers, what could be the rise in yields from there on if there is some sort of a calculation that's already done?

Rakesh Singh :

So, these are still in the draft guidelines and the RBI has asked for input from all the institutions. Since we are on Ind AS and also, we don't see any impact on our books.

Pranuj Shah:

But there would still be a capital requirement if I am not wrong?

Vishakha Mulye :

No, it's a provisioning .

Pankaj Gadgil :

No, it's a provisioning requirement which has to be taken over the next three years , that's the recommended one.

Rakesh Singh :
It's a provisioning requirement .

Pranuj Shah:

Okay I understood. And one last on the unsecured business loans, your disbursals have moderated a bit quarter -on-quarter and year -on-year is also 6%. So, is there a call that you're making at a company level just to stay away from unsecured loans in general be it business or personal?

Rakesh Singh :

No, we are not saying that. And again, I mentioned that if you look at personal and consumer portfolio was growing quite strongly and if you look at Q4 of not last year before that year was, we were growing at 21%, then we brought it down to 15%, then 9%, then 1% and last quarter was negative 11%. And the reason for that was because of the risk weights and the noise around small ticket unsecured loans because we had not s een any performance d eterioration on our books, but still looking at the environment, we dialed down, and we tightened our sourcing on this book. But we still continue to be bullish on the unsecured business and we will continue to do that in a much more c ontrolled environment as I mentioned through our branches, through our digital platforms and through our ecosystem.

Pranuj Shah:

I was looking more from an unsecured business loan perspective. Consumer, I think you well explained it even earlier. Just on the unsecured business loans?

Rakesh Singh :

So unsecured business loan, we will continue to grow that business. If you look at its in Rs.10,000 odd crores of portfolio which we have in unsecured business . Out of that if you look at Rs. 2000 -2500 crores is supply chain business, which is a very short term 60 -90 day loan sourced from the ABG ecosystem also. So remaining if you look at, the business loans which we do almost 80% odd of our business loans is backed by a credit guarantee provided by SIDBI. So, we pay a guarantee d premium for these loans. S o, we are quite confident, and we have seen over the last 6 -7 years during COVID also we have seen the performance of this portfolio and we have managed it quite well.

Looking at the way the formalization of economy is taking place and the way the GST collection is growing, we have also built a B2B platform Udyog Plus to really onboard small businesses which grow as the economy grows. So, we are quite confident and bulli sh on this segment.

Pranuj Shah:

Understood. Thank you so much for answering the question. That's it from my side.

Moderator:

Thank You, we will take our next question from Kunal Shah from Carnelian Asset Management. Please go ahead.

Kunal Shah:

No. My questions have been answered.

Moderator:

Thank you, ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to Ms. Vishakha Mulye for closing comments. Over to you.

Vishakha Mulye:

Thank you, everybody for joining us today evening, and if any of you have any questions, please feel to reach out to any of us. Thank you.

Moderator:

On behalf of Aditya Birla Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Aug 2024

Moderator:
Ladies and gentlemen, good day and welcome to the Q 1 FY25 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Vishakha Mulye , CEO, Aditya Birla Capital Limited , over to you ma'am.
Vishakha Mulye:
Thank you so much. Good evening, everyone and welcome to the earnings call of Aditya Birla Capital for Q1 FY25.
Joining me today are senior members of my team Bala, Rakesh, Tushar, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Sanchita. I will cover our strategy and business performance and Vijay will cover our key financial highlights followed by a discussion on the performance of our key businesses by our business CEOs.
The Indian economy continues to remain resilient showing strong fundamentals, financial stability and growth momentum even in an unsettled global environment. The real GDP growth rate was 8.2% in FY24 and various factors such as improving productivity, technological development and conducive policy environment provide bright prospects for the Indian economy. In the recent Union Budget, the government has announced various measures towards affordable housing, MSMEs and digital public infrastructure which wil l give further boost to the economy.
At Aditya Birla Capital, we continue to focus on driving quality and profitable growth by leveraging data, digital and technology. An unwavering commitment to customer -centricity is a key element underpinning our strategy to grow our business . As I have mentioned earlier, prudent risk management practices form the bedrock of our approach which has enabled us to pursue growth, protect capital and deliver risk -calibrated and sustainable returns across our businesses. We continue to strengthen our omnichannel architecture . Coming to the performance highlights for the quarter :
1. Growth and profitability
a. Consolidated profit after tax, excluding one -off items, grew by 15% year -on-year to 745 Crore Rupees in the quarter. The total consolidated revenue grew by 26% year-on-year to 10,258 Crore Rupees
PRESS RELEASE Aditya Birla Capital Ltd. (ABCL)
Q1 FY25 Earnings Conference Call
Transcript
Aug 01, 2024

b. Our NBFC portfolio grew by 25% year -on-year. We continue to remain focused on the SME segment and our business loans to SMEs grew by 39% year -on-year and 3% sequentially . As we have highlighted in our previous earnings calls, we have been calibrating our approach towards sourcing personal loans from digital partners over the past few quarters. As a result, we have seen a decline in the personal loan portfolio. However, we are focused on increasing our sourcing from direct channels including the newly launc hed ABCD app and we expect the growth in personal loans to normalize and pick up in the quarters to come . The profit after tax of the NBFC business grew by 20% year -on-year to 621 Crore Rupees. The RoA and ROE remain stable at 2.41% and 16.13% respectively
c. In our HFC business, we have built significant capacity over the past few quarters by making investments in digital properties, technology, people and distribution. This has resulted in a robust growth of 41% year -on-year in our loan portfolio and an incre ase in our market share. The demand for housing continues to remain strong in India and the recently announced measures by the government such as expansion in PMAY and investments in affordable urban housing will create ample opportunities in th

e housing s ector. We believe the investments made by us over the last year will enable us to capture these opportunities as we go forward
d. Our mutual fund average AUM grew by 19% year -on-year and crossed a mark of 3.5 Trillion Rupees in Q1 of FY25. Monthly SIP flows increased by 39% year -on-

year to 1,367 Crore Rupees in June. We have strengthened our investments and sales teams. During the quarter, we successfully completed our NFO of the Quant fund by raising more than 2,400 Crore Rupees and it is currently the largest scheme in the quant fund category in the industry

e. The individual first year premium in the life insurance business grew by 19% year -on-year which is a shade lower compared to the industry growth mainly due to the muted growth that we have seen with one of our banca partner. However, our premium growth across proprietary channels remains robust at 33% year -on-year. With a new banca relationship going live, we expect the growth in banca channel to increase going forward. This will give a boost to overall premium growth as we go forward . We will continue to m ake investments in proprietary channels and diversify our distribution mix. We remain in the top quartile in terms of 13th and 61st month persistency among private players. The new surrender guideline s announced by IRDAI is likely to make life insurance products simpler, more transparent and attractive to prospective customers and is expected to have limited impact on insurers with high persistency levels

f. In our health insurance business, we saw a robust growth of 35% year -on-year in gross written premium driven by our health first and data -based approach. The retail premium grew by more than 50% year -on-year. Our market share among SAHIs has increased by a bout 25 bps sequentially and about 90 bps year -on-year to 12.5% in the current quarter

2. Prudent risk management with focus on return of capital

Our prudent risk management practices have enabled us to pursue growth while protecting capital. Proactive interventions and tightened underwriting norms made over the past few quarters to improve our customer selection have held us in good stead in

this environment. The gross stage 2 and stage 3 ratio of the NBFC portfolio improved by about 100 bps year-on-year and 4 bps sequentially to 4.45%. Our total credit cost in the NBFC business was 1.43% in the current quarter, which is well within our stated guidance of 1.5%. The credit quality in our HFC business remains robust with gross stage 2 and stage 3 ratio improving by 214 bps year-on-year and 27 b ps sequentially to 2.64% .

3. Omnichannel architecture for distribution

Our omnichannel architecture allows customers to choose the channel of their choice and interact with us seamlessly across digital platforms, branches , VRM s and fostering engagement and loyalty. During the quarter, we commercially launched our D2C platform, ABCD. It offers a comprehensive portfolio of more than 20 products and services such as payments, loans, insurance, and investments. Its unique feature 'My Tr ack' helps users to track their personal finance, credit history and health. It helps customers to fulfill their financial needs and serves as an acquisition engine for us. It has witnessed a strong response with about 8 Lakh registrations till date.

Our comprehensive B2B platform for MSME ecosystem, Udyog Plus, which was launched about a year ago, continues to scale up quite well , we now have 10 Lakh registrations. We are also seeing an increas e in adoption from our existing customers as well and as a result the total portfolio of Udyog Plus today crossed around 2,600 Crore Rupees. We are seeing an uptick in cross sell of various products such as life insurance, health insurance and wellness solutions through Udyog Plus platform . We have further enhanced our integration with the ABG ecosystem t

o provide credit and supply chain financing solutions
to their dealers and vendors.

While we continue to strengthen our digital offerings, we are also expanding our branch network to continue to cover the white spaces. Our overall branch count increased by 31 during the quarter and we now have 1,505 branches across businesses as of June end.

In line with our One ABC approach, we continue to expand our co -located branches, which increased by 29 during the quarter to 825 branches across 231 locations.

Our Board of Directors had approved an amalgamation of Aditya Birla Finance with Aditya Birla Capital in March, subject to regulatory and other approvals. We are happy to share that the proposed amalgamation has received no adverse observations from BSE an d no objections from NSE and we are now awaiting other approvals.

In July, Aditya Birla Capital received an approval from IRDAI for the sale of its stake of 50% in ABIBL. The enterprise value of ABIBL as per the transaction is 455 Crore Rupees and the transaction is expected to be completed in Q2 of FY25.

Going forward, we will continue with our approach of asset quality and profitable growth.

Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarte r, over to you Vijay.

Vijay Deshwal:
Thank you Vishakha and good evening to all of you.

The total consolidated revenue grew by 26% year -on-year to 10,258 Crore Rupees during the quarter. Consolidated profit after tax, excluding one -off items, grew by 15% year -on-year to 745 Crore Rupees.
As Vishakha mentioned i n our NBFC business, the total loan portfolio grew by 25% year -on-year to 1,07,306 Crore Rupees as of June -end. The NBFC business had a healthy RoA of 2.41% and delivered RoE of 16.13% in Q1 FY25.
Our Housing Finance Business continues to see strong momentum. The loan portfolio grew by more than 40% year -on-year to 20,399 Crore Rupees as of June end. The RoA was 1.44% in Q1 FY25. During Q1 FY25 we infused equity capital amounting to 300 Crore Rupees in our HFC subsidiary to support the growth momentum and maximize our share of opportunities.
Coming to our AMC business, the average AUM increased by 6% sequentially and 19% year -on-year to 3,52,542 Crore Rupees in the current quarter, of which equity AUM expanded to 46%.
In the life insurance business, our first -year premium increased by 19% year -on-year and group new business premium grew by 41% year -on-year in Q1. The year -on-year growth in total premium was 28%.
In our health insurance business, our unique and differentiated “Health First” model helped us to deliver a growth of 35% year -on-year in gross written premium during Q1 of FY25 , this was an industry leading growth . The combined ratio improved from 118% in Q1 of last year to 112% in the current quarter.
I now hand over to Rakesh Singh , MD and CEO ABFL to cover the NBFC business performance in detail, over to you Rakesh.
Rakesh Singh :
Thanks Vijay, and good evening, everyone.
In our NBFC business, we saw a 25% year -on-year and 2% sequential growth in our AUM, taking it to 1,07,306 Crore Rupees in Q1 FY25 . We continue to focus on the SME segment where business loans to SMEs grew at a market leading rate of 39% year -on-year. This segment now comprises 54% of our overall portfolio. A large share of growth in this segment has come from secured loans which grew by 43% year -on-year. Our disbursements in Q1 FY25 were at 13,443 Crore Rupees with secured business loans to SMEs contributing 4 1%. More than 60% of our sourcing in business loans is done through direct c hannels and we foresee this to inch upward with continued scale -up of our B2B platform for MSMEs Udyog Plus. I am happy to share that we now have more than 10 Lakh MSMEs registered on th is platform. As we have highlighted in our previous call, we have tak

en several steps to calibrate
sourcing from digital partners in the smaller ticket size segment. We are in the process of scaling up our direct sourcing model and I am confident that the gr owth in this segment will pick up in the next few quarters.
As Vishakha highlighted, we follow prudent risk management practices with emphasis on protecting our capital. We have tightened our scorecards and credit filters to improve customer selection over the past few quarters. This approach has held us in good stead in the current quarter. For us, credit costs have remained stable at 1.43% , which is well within

our stated guidance of 1.5%. Our asset quality has shown consistent improvement with stage 2 + stage 3 book reducing by 101 bps year -on-year and 4 bps sequentially to 4.45%. The gross stage 3 loans also declined by 28 bps year -on-year and remained stable sequentially at 2.54%. We have maintained our stage 3 PCR at nearly 50%, which is higher by about 289 bps over Q1 of last year.
Our PAT registered a strong growth of 20% year -on-year and 6% sequentially to 621 Crore Rupees . The ROA for the quarter was 2.41%. The RoE for the quarter expanded by 2 8 bps sequentially to 16.1 3%. Our net interest margin was 6.56% and the cost -to-income ratio stood at 29.74%. Our Tier 1 capital adequacy ratio st ood at 14.4 8% and has improved by 3 5 bps sequentially .
Moving forward, our focus will be on developing a granular portfolio and increasing the mix of business loans to MSMEs. This will be supported by the scale up of our Udyog Plus B2B platform with new product offerings and increased investment in distribution across emerging regions, aimed at driving growth. In the personal and consumer loans segment, our strategy will shift towards acquiring customers through platform -based approaches via our branches, ABG ecosystem, and the newly launched ABCD App. All digi tal customer acquisition processes on the App and Udyog Plus are designed for end -to-end control, covering everything from underwriting to collections, ensuring complete customer ownership. As we

have mentioned in our previous earnings calls, we remain con fident to grow the overall portfolio at a CAGR of 25% over the next two to three years. As we scale up, strengthen our capabilities, and invest in technology, our primary commitment remains to deliver sustainable returns in the upcoming quarters.

With that, I will now hand it over to Mr. Pankaj Gadgil, MD and CEO of Housing Finance Business.

Pankaj Gadgil:

Thank you, Rakesh, and good evening, everyone. I'll now present ABHFL's performance for Q1 FY25. I'm pleased to report that we've achieved the highest -ever disbursals and book growth in a single quarter since our inception. GNPA has reduced both in absolute and percentage terms, which is now at its lowest level in the past 12 quarters. This underscores our consistent improvement in book growth and asset quality over the past 3 quarters.

Key highlights for Q1 FY25 are as follows

• We recorded highest ever quarterly disbursement of 3,068 Crore Rupees , which is an increase of 89% year-on-year and 5% sequentially

• We have surpassed the 20,000 Crore Rupees mark in AUM, with a total of 20,399 Crore Rupees as of June 2024, an increase of 41% year-on-year and 11% sequentially

• Our customer base now stands at 69,700 and has grown by about 23% year-on-year, with a focus on maintaining granularity , the average ticket size is at 29 Lakh Rupees

• Net interest income to average loan book is 4.98% and our PBT for the quarter is 85 Crore Rupees

• Asset quality has improved with stage 3 reducing to 1.60%, a reduction of 107 bps year-on-year and 22 bps sequentially . We maintain ed a stage 3 PCR of 3 4.6%

• ROA for the quarter is 1.44% and ROE is at 11.04%

Going forward we will further continue to focu

s on accelerating book growth and strengthening asset quality, which will result in better operating leverage with improvement in RoA over the next few quarters. For more detailed financial information, please refer to slide 26 of the presentation.

I would now like to provide a brief update on the pillars of our growth:

Firstly, on portfolio quality, with an emphasis on quality at origination, 95% of our retail disbursements in Q1 FY25 are towards 700+ CIBIL or new to credit. The contribution of 730+ CIBIL to origination is at 78% which is significantly higher than the industry average of ~48%.

On our second pillar distribu tion, 'Sales CRM' has facilitated last -mile planning within 48 hours of the start of month, yielding promising results with a 26% year-on-year increase in productivity. Also, I'm happy to share that 10.5% of the retail disburs ements are generated from the ABG ecosystem in Q1 FY25.

Moving on to the third pillar , digital reinvention, we have achieved 100% adoption of unified digital lending platform, 'Finverse', covering all stages right from prospecting to disbursement. This quarter, we have also introduced a DIY customer onboarding journey for home loans up to 3 Crore Rupees via WhatsApp, making us one of the first HFCs to offer this option.

Lastly on fourth pillar , data and analytics, we've successfully deployed 10 data marts and developed 18 models till date, spanning across the customer journey from demand generation to collections. The adoption of our initial models covering attrition, pre -delinquency management and lead scoring is encouraging and aligns with our overall strategy.

In summary, we remain committed to long -term growth and profitability while maintaining robust portfolio quality and a strong focus on customer centricity.

Thank you for your attention, with that, I now hand over to Bala, MD and CEO of our Asset Management Company.

A. Balasubramanian :

Thank you, Pankaj . With respect to the quarter ending Q1 FY25 of AMC business , overall average assets under management, including alternate assets, reached 3.68 Lakh Crore Rupees , reflecting a 19% year -on-year growth. Our mutual fund quarterly average A UM reached 3.5 2 Lakh Crore Rupees , with equity quarterly average A UM at 1.62 Lakh Crore Rupees .

SIP numbers during the quarter crossed the 1,300 Crore Rupees mark, showing a 39% year - on-year increase, from 987 Crore Rupees in June 2023 to 1,367 Crore Rupees in June 2024. We added around 8.39 Lakh new SIPs, nearly a 3x increase from the previous year.

We have witnessed a healthy growth in our investor folios , have added around 9 Lakh new folios during the quarter, bringing our total serviced folios to 94 Lakh . Our quarterly folio growth was 9%, compared to the industry growth of 7%.

In the Alternat e segment, PMS and AIF remains a key focus. We have strengthened our team and appointed a Head of Fixed Income Credit and aim to offer a variety of products, including Category II and Category III Alternative Investment Funds. Fundraising is underway for the

ABSL India Special Opportunities Fund, and we also have several products in the pipeline to be launched .
By establishing our presence in GIFT City, we aim to manage and attract overseas invest ors into India to meet the growing needs of NRI and foreign investors. We are using GIFT City to launch a variety of innovative financial products, including sustainability, index -linked funds and thematic funds. These products are designed to meet the evolvi ng preferences of global investors and tap into niche markets.
We have launched funds like ABSL Global Emerging Market Equity Fund , ABSL Index Linked Fund and ABSL India Opportunities Fund . We are also preparing to launch new funds in GIFT City, including ABS L India ESG Engagement Fund , ABSL Flexi Cap Fund and ABSL Global Blue-chip Fund for inward

remittance to India from NRIs front .

On the passive front, as of June 2024, our passive assets total ~ 29,900 Crore Rupees . Our customer base has materially grown to over 7.53 Lakh folios and have a diverse product portfolio ownership of over 44 products.
We are focused on driving growth in the passives segment and have enhanced our core team by bringing in a head of passive s from abroad . He has got rich experience in managing passive funds. We are also looking to expand our product offering to capture the opportunities in the thematic segment as well , we are deep on launches.
Moving on to the financials, we at ABSLAMC have achieved our highest ever quarterly profitability in Q1 FY25. This is driven by an improvement in the overall asset mix and a strong focus on cost management. Our total revenue is 481 Crore Rupees vs 389 Crore Rupees in Q1 FY2 4, grew up 24% year-on-year. Our profit after tax is at 23 6 Crore Rupees vs 185 Crore Rupees in Q1 FY24 , up 28% year-on-year.
With this I will now handover to Kamlesh Rao, MD and CEO of ABSLI company .
Kamlesh Rao:
Thank You Bala and I will spend the next few minutes on the performance of the life insurance business . The overall life insurance industry saw robust growth in Q1 of FY25. Individual first year premium grew for the overall industry by 20% year-on-year and for the private players by 24% year-on-year. As Vishakha mentioned, the individual FYP growth of ABSLI was 19% year-on-year for this quarter.
For ABSLI the proprietary channels saw a robust growth of 33% year-on-year on the back of both increased capacity as well as productivity improvement. Our direct business grew by 100% over last year. The Bancassurance channel registered a growth of 11% year-on-year . Axis Bank has c ommenced sourcing for us in Ju ly and as it scales up along with our other new tie ups of IDFC First Bank and Bank of Maharashtra we expect a higher growth in the bancassurance channel in Q2.
In the group life insurance business , the private industry grew by 7% year-on-year, overall industry grew by 25% year-on-year in Q1 FY25 and ABSLI registered a growth rate of 41% year-on-year. Better growth was contributed by superior performance both in the fund as well

as the credit life business. We continue to remain No.1 in ULIP AUM in the industry at an AUM size of more than 12,000 Crore Rupees .

Our total premium for the quarter was 3,986 Crore Rupees, registered a growth rate of 28% over last year's same period, demonstrating our increasing business growth. This growth came from new business growth as well as renewal premium growing at 17% year-on-year. Our digital collections now account for 78% of our renewal premium. We continue to work on customer lifetime value, which is reflected in our upsell ratio which touched 32% and helped productivity growth in both proprietary a s well as partnership channels.
In the product mix of the individual business, traditional business including protection contributed 70% and ULIP was 30%. The current quarter in continuation of last year 's last quarter has seen an uptick in sales of ULIP business across the industry on account of buoyant equity markets. We expect our ULIP mix to remain on the same lines as this trend continues. We will continue to recalibrate our mix in line with the demand and our extensive product suite to cater to the best interests of our customers.
The reductions in G -Sec rates and higher ULIP mix has led to a net VNB margins of 6.5% in this quarter vs 11.8% last year.
The reforms in the product regulation brought forward about by IRDAI are a welcome step for the life insurance industry and like Vishakha mentioned will make life insurance products simpler and more transparent as well as promote life insurance to new customers.
Based on these regulations, we may see an impact on margins generate

d in our traditional
products. Possible mitigants for this impact include realigning commission structure, relooking at the channel mix and re -evaluating product construct. We will ensure that the measures we undertake will be in the best interests of our customers. We continue to maintain our guidance on net VNB margin for the end of the year to be in the range of 18% -20%.
Our quality parameters now trend better than last year across various areas, persistency across all buckets did well with the 13th month at 88% and the 61st month persistency at 66% which will make us top quartile in the industry, our consistent efforts on bringing cost efficiency into the business has resulted in opex to premium to 19.9% vs 20.9% last year .
Our Asset under management now stands at 90,682 Crore Rupees , with a growth of 22% year-on-year. 25% of this AUM is in equity and the balance 75% is in debt. We continue to outperform in our investment performance in respective benchmarks across all three categories of Equity, Debt, or even Balanced funds, either from a 1-year or 5 -year perspective.
Our digital adoption across various areas is demonstrated in Slide 42. 100% of new business customers are onboarded digitally, 83% of all our services are now available digitally, covering 67% of our customer transactions, and our customer self -service ratio now stands at 93%.
As we move ahead, we will continue to be best -in-class in our digital infrastructure, across prospecting and onboarding in sales, underwriting, and customer service as well as claims.
With this I will hand over to May ank Bathwal, CEO of Health Insurance business.

Mayank Bathwal :
Thanks, Kamlesh and I would like to now share an overview of the performance of our Health Insurance Business.
We had a very strong first quarter. We continue to build on the momentum that we saw in H2 FY24. In Q1 of FY25, we achieved a gross premium of 1,041 Crore Rupees , marking a robust 35% year-on-year growth. This performance stands out against SAHI's 25% year-on-year growth and reinforcing our position as the fastest -growing SAHI player consistently over the last many years.
Growth continues to be driven by robust performance in our retail franchise, which experienced a growth of 51% year-on-year. The retail growth continues to be diversified across various retail distribution channels. The Proprietary channel with an agent base of 1.2 Lakh agents registered a 41% year-on-year growth. In addition, a ll our major bank and digital alliance partnerships also experienced impressive growth as have been given in the presentation . Our market share in SAHI in Q1 rose from 11.6% to 12.5%, a n increase of 92 bps year-on-year.
Our strategic focus on diversifying our product portfolio led to the launch of Activ One in FY24, the most comprehensive indemnity product in the industry today . The product positioned under the theme of 100% Health:100% Health Insurance, continues to be exceptionally well received by the market, helping us penetrate the newer customer segments, including the HNI segment and also segment comprising of people with existing chronic conditions.
With an emphasis on product mix, our retail f ixed benefit products contribution on an enlarged retail base is now at 20% as compared to 16% in Q1 FY24, this will lead to a positive impact on future profitability.
The Corporate business experienced a strategically controlled 20% year-on-year growth, driven by a sharp focus on profitability through careful customer segmentation, cross -sell/upsell strategies, corporate wellness initiatives, and our industry -leading outpatient (OPD) business. We are strategically concentrating on mid-corporate s and SME segments to continue to build one of the very few sustainable and profitable corporate and affinity business in the industry.
By prioritizing both growth and pro

fitability, we are building a resilient franchise. Our net loss
improved to 51 Crore Rupees in Q1, compared to 62 Crore Rupees in the same period last year. The combined ratio also improved to 112%, from 118% in the previous year. Given all the efforts that we have taken over the last 24 months , both our claims and expense ratios have trended positively at the company level, and we continue to maintain positive outlook especially in the retail business which is an importan t part of what will create value in the business . We continue to project strong growth in FY25, coupled with consistent improvement in profitability, towards a combined ratio of 100% in FY26 as we have guided earlier .
Our Health First model continues to show signs of maturity. The outcomes for some of the intervened cohorts are now visible. We are now able to scale up digital health assessment providing us valuable insights into c onsumer health. The consumers who are engaging with us on the ir health , are now exhibit ing lower loss ratios, ranging from 10% -25% at various cohort s. Likewise, the consumers earning Health Returns experience loss ratios up to 30%

lower than the baseline case. This is shown in slide 52. Our effort now is to increase the engagement with a larger cohort of our customers.
Similarly, we have invested in building deep capabilities in managing customers with high health risk through a combination of first of its kind product offerings and human/digital capacities to manage the disease burden of these customers . The customer engagement capabilities and insights are disclosed on Slide 52. Through a combination of our inhouse health coaches and our partners, we have intervened in more than 100K high risk lives to improve their health vitals leading to lower claim ratios.
Our 'Promise of Insurance' is centered on providing industry leading experience and by investments in state -of-the-art AI/ML -driven claims auto -adjudication engine , we witnessed encouraging results in both . This will further enhance customer satisfaction and manage claims costs more effectively. We continue to invest in several key projects leveraging data and analytics focused on revenue enhancement, claims management, fraud management and improving custom er experience, which are in various stages of imple mentation and are shown in slide 57.
The industry leading Activ Health App has been relaunched with 15+ freemium services. The App now provides an opportunity for non -policy holders to experience our comprehensive app ecosystem. Our App downloads have increased by 131% year-on-year and monthly average users have also grown by 70% year-on-year.
Overall and as , I look ahead we remain positive about the growth opportunities in the sector also enabled by the multiple regulatory changes made over the last couple of years.
Thank you, and I will now hand it back to Vishakha for her closing remarks.
Vishakha Muly e:
Thank you everybody for joining us today evening and will be happy to take any questions.

Moderator:

Thank you very much. We will now begin the question and answer session. The first question is from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah:
Hello. Thank you for the opportunity and congratulations on the quarter. First ma'am, I had a question on the merger. So currently, what approvals are pending? And how much time do we anticipate, I think by March 2025, we expect the merger to be over. So, are we through with the timeline?
And secondly, related to the merger only, we have around 45% stake in AM C and around 46% stake in Health Insurance and 51% in Sun Life Insurance. So, any thoughts on whether the regulator , RBI, would be comfortable with our main NBFC lending arm having almost 50% stake in other subsidiaries. Usually, we have seen in case of some banks wherein RBI

restricts the stake in insurance to 20%. So, what are your thoughts on that?

Vishakha Mulye:
Okay. So, first is on the status. As we said, we have already got an in -principle approval from both BSE and NSE, which is the first step. Going forward now, first, we need to get a no objection from RBI. After we get no objection from RBI, our registered office is in Gujarat, so we will have to file the merger proposal in the NCLT of Gujarat, which is at Ahmedabad. And then, of course, as you know that there is a process which the NCLT will go through. My expectation is, since this is the merger of our 100 % subsidiary into ABC, typically the time required is shorter than the normal merger.
The second is, both the companies have their registered office in Gujarat. So that makes it a little simpler because both will be applying to the Ahmedabad NCLT. As you rightly said, our endeavor would be to complete the process by March 31, 2025. And we will keep you informed about the progress in every quarter. So that's the s tatus of the merger .
Talking about the specific approval, I don't want to pre -empt and really comment on how RBI will look at it. The only thing I would say is that regulation does not prohibit NBFCs from holding the percentages that we are holding today in the companies that you mentioned. In the case of banks, typically, there is a banking regulation act which prohibits the banks to hold more than 30% in any company. It can either be a subsidiary or what you hold in any company has to be less than 30%. So that's the act.
And therefore, whatever that you spoke about is applicable to the banks and not necessarily to NBFC. In our case, of course, as we had mentioned before, in case of insurance, we are allowed to hold more than 50% with a specific approval from the Reserve Ba nk of India. There is no prohibition. And in our merger proposal, we have asked for that specific approval. So again, we are very hopeful, and we have no reason to believe that they will have any objection

to what we have made an application for. But again, we will keep you informed about the progress on that front as well.
Chintan Shah:
Sure ma'am. That is actually quite helpful. Now a specific on the NBFC business. If you look at the growth in the NBFC business, it was around 2% sequentially and still we are guiding for around 25% year-on-year CAGR over the next 2 -3 years? So how do we look at it? What would be the main driver? If we look at the AUM mix, it seems that we are defocusing, or we are g rowing slowly on the unsecured p iece and that is also high yielding. So given that the margins also have given up quite a bit in the current qu arter. So, is that due to the unsecured mix change? And will that continue or are we again going to build the unsecured mix?
Rakesh Singh:
So, if you look at it, we have grown 25% year -on-year. Yes, sequentially, it is 2%, but that's a calibrated growth . We had done some calibration in Q3 of last year, that small ticket unsecured loan, where the risk weights had gone up and also RBI had concern on this segment, and that's the reason we had recalibrated growth. And as you see in the last 2 -3 quarters, we have dialed this segment down.

But as we have committed, we continue to be very positive in terms of growing 25% + year-on-year, with a clear focus on SME segment, which we will continue to grow. So, if you look at our secured business has grown by 43% year -on-year and MSME segment if you look at, that's grown 39% year -on-year.
And also with the recalibration, which has already been done in the person al and consumer, and we have really built our direct sourcing channels , as I spoke that in the initial comments that the branches which we are setting up, the direct open market acquisition engines which we have built , the ABCD app

which we have launched , all of this will help us to grow our
personal and consumer business. So yes, it's a recalibration in the last couple of quarters, but we expect this to grow and with the clear direct acquisition models, which I spoke about. Also, on the unsecured business, we are very positive in terms of growth on the unsecured business, and that should help us in terms of mitigating the margin compression, which you mentioned. Yes, the margins have compressed because of the change in the product mix. But as we grow our unsecured business and scale up our direct sourcing channel for personal and consumer, we should be able to manage our margin.
Chintan Shah :
Sure. That is quite helpful. So, for FY24 we had a margin of 6.9%. So, do we expect margins to stabilize around similar levels for FY25 or there will be some compression on yield level ?
Rakesh Singh:
So, it should be around these levels is what we see this year. Yes, in the next few quarters, it will be in this range itself.
Chintan Shah:
Sure. This is quite helpful and all the best for future quarters .
Rakesh Singh:
Thank you.
Moderator:
Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh:
Hi. Thanks for the opportunity. I have two questions. The first one is again on NBFC. Now you have some sort of recalibrated growth, both in unsecured business and unsecured personal and consumer loans. Now if you can just provide some color, on your strategy changes post recalibration, how the growth in terms of AUM in these two unsecured businesses and unsecured personal is going to look?

And in this kind of recalibration or running down some passbooks, how is this delinquency or GS 3 target going? I mean, is this the number what we are seeing, particularly the GS 3 numbers in these two segments kind of peak or still, as sort of, until the time the growth comes back full throttle, it will kind of inch up further? So that is the first question on NBFC, I will come back with life insurance question later.
Rakesh Singh:
First question was on the growth of these two segments, which is the personal and consumer and unsecured business. In terms of as I mentioned, we continue to be very bullish on both these segments, person al and consumer. We have built direct sourcing channels, and our focus will be completely dependent on acquiring customers directly rather than third party. That's the reason why the recalibration you see, we are seeing in Q1 also, we have seen that

our direct sourcing channels have started delivering.
Our branches, which we have invested in over the last couple of years have started delivering results. And, last quarter, we have launched ABCD app. Initial response is pretty good. And we are seeing conversion, especially on the consumer and personal loans, the conversion is pretty good. So, these platforms and these engines will fire up for us in the personal and consumer segment. If you see the unsecured business segment, as we have mentioned, this is our chosen segment, MSME is our chosen segment, and w e continue to build investments and platform for this segment.
We have launched last year, B2B platform Udyog Plus. And we have already seen almost 10.5 Lakh MSMEs registered on this platform. The new customers are being onboarded on this platform. And on this platform, there is a complete seamless digital journey, which we have built. Also, our existing customers are adapting to this platform and migrating on this platform. So, unsecured business segment will grow quite smartly for us in the coming quarters.
In Q1, because of supply chain, which is more seasonal in nature, there w ere some repayments, large repayments. That's the reason you see some degrowth .. But in the coming quarters, we look at very positive growth in this segment. In terms of the qu

ality, stage 3,
which you mentioned about person al, consumer and unsecured segment both if you look at, this is primarily because of the de -growth in the denominator. In terms of the normal flow and we track it on a month -on-month basis and quarterly basis the no rmal flow is quite stable. So, we don't see , but it's only in the percentage terms you see a slightly higher stage 3 . But it's quite normal if you see in terms of the quarterly flow.
Avinash Singh:
Okay. So, I mean you're saying that growth sort of sequentially will start from this quarter in both the segments?
Rakesh Singh:
Yes.

Avinash Singh:
Okay. Coming on life insurance now in Q1, if you were to look at the margins, of course, the margins have dipped quite a bit, could be due to product mix changes and due to the growth coming under some pressure in some banca channel. Now still you are guiding like for the full year, a very similar kind of margins. And if we try to look particularly in the backdrop that okay, from H2 FY25 you are going to sell a new variety of the non -linked products with the new surrender norms in place.
So, what gives you the confidence that you will be, by and large, able to come back to the same margin level? Is it that you are hoping for a big shift in the product mix? Or is it that you are expecting growth to come big time providing a better cost absorption . First quarter, there is a big shift, but for the full year, you are looking confident to achieving the flattish or slightly a minor decline in margins?
Kamlesh Rao :
So, the first quarter for us is if you look at even in the last three years, there are quarters in which you could have done 3%, but you still were able to reach 20% + VNB margins. So, we catch up on our net VNB margins through the year, as you would have seen in the previous few years itself. You have to remember that the G -Sec rates are coming down, we've also passed on the reduction in some of our benefits to customers in our traditional products. Some bit of it has already been happened . As I speak, in the month of June, which is in line with what the industry has done, plus incremental growth, like I said, we are thinking that the ULIP mix will continue to be where it is at 30%. But in the traditional products, because of the G-Sec rate coming down and whatever benefit we have passed, that's one element.
The absolute value of growth will catch up with the banca channel also in subsequent quarters, Axis has started in the month of July mid, IDFC and Bank of Maharashtra will scale up as well . So, the absolute value of what we will be able to generate in terms of premiums will help us generate those margins. If you look at it, the guidance is still 18% +.
Last year, we were at about 20.2%, so if you're in the 18% -19% range, we are still saying there could be a loss of about 100-250 bps, which we had said even before and we are in line with that trajectory to be able to get t here by the end of the year.
Avinash Singh:
Okay. Got it. Thank you.
Moderator:
Thank you. The next question is from the line of Bhaskar Basu from Jefferies. Please go ahead.
Bhaskar Basu:

Good evening. I had a couple of questions. Firstly, on the NBFC side, mainly around NBFC. So, this quarter also, you kind of bought loans of about 2%. Last quarter, there was about

2.2% of portfolio purchase. So, can you help us understand which segment were these loans purchased? And what is the strategy around loan purchases going forward?
Rakesh Singh:
We disbursed close to 13,000 -14,000 Crore Rupees in a quarter, and this (the buyout) is if you look at, it's a small part of the overall disbursement numbers. Your second question was which segment. This is primarily secured loans. A very small part would be unsecured, but primarily secured is what we ha

ve.
In terms of what is our strategy, these are portfolio interventions. We look at in terms of whether it's assignment of the portfolio or buyout of the portfolio. We look at both as an opportunity and our ability to cherry -pick good quality portfolio, that's what we look at.
Bhaskar Basu:
Yes. I mean, basically, the point was it's almost 2% of the book. I mean, so it's almost like 4% of book purchased in the last two quarters. And especially given that your own channels are building up. What is the driver for this essentially? I mean, I wou ld have probably expected more from the organic channel.
Rakesh Singh:
So, if you look at organic channel, almost 90% of the sourcing or disbursement, is happening through the organic channel. This is supplementary if you look at. And, Bhaskar, if you look at the repayment on this segment because if there is a PTC or D A transaction, the repayment is quite fast. So, disbursement might be slightly higher , but as you said, the net growth is very small for the quarter. So, it's not even 2000 Crore Rupees, almost 50% -60% of that comes back as a repayment.
Vishakha Mulye:
And Bhaskar, another thing from a strategy perspective, see one must keep looking at opportunity in addition the direct channel that we have, and we continue to leverage those channels. But if you look at the opportunity today in the market because of the liquidity position which is there, there are certain franchises which probably have no access to that liquidity. Whereas a franchise like us has access to that liquidity at a reasonable cost. Now naturally, people have started building those channels where they're in a position to actually originate the assets. We look at this as a great opportunity for our franchise who has access to capital, particularly the liability capital at a reasonable cost to leverage this opportunity. So, we'll continue to look for buying and selling of the portfolio in the market as an activity. Today, we believe there is an opportunity to buy. I f in the future, if our appetite is completed and we have built such a good franchise, we probably will continue to churn our portfolio as we go forward on both sides.
Bhaskar Basu:
Okay. So just following up on this, essentially the spreads you make on these pools purchased are comparable to less or higher than you r organic channel.

Vishakha Mulye:
So, we always do our unit economics, two or three things that we look at very clearly. One, we will never compromise on the quality. So, it has to match our credit underwriting standards that we would have done for our own assets. Second, in terms of unit economics, whether it's a return on asset or return on equity, it has to mark up and make that minimum hurdle that we have for own asset s. So, these are the two things that we continue to do. And to be frank, this we will do in both our lending companies , as we go forward.
Bhaskar Basu:
I have two more questions. I mean, one, on the opex side, opex has been obviously lower and is it more seasonal? Is it something to do with more acquisition to purchases? Or do you expect some of it to normalize? So, any guidance on the opex side?
Rakesh Singh:
This is for NBFCs, Bhaskar?
Bhaskar Basu:
Yes, NBFCs.
Rakesh Singh:
So, Bhaskar, if you look at last quarter, we had marketing costs, which were there. We had run a campaign. So, there was a marketing cost in the last quarter. We have always operated in the range of 30% -31% cost -income ratio, and we will continue to operate in that range. Yes, there will be one quarter where some marketing expense comes out or some payout comes out, but it will normalize. So, we will continue to operate in terms of guidance, 30% -

31% cost -income ratio is what we have always operated at, and we will continue to operate.
Bhaskar Basu:
Okay. Just my final question, if I may. On the p

rovision coverage, this has come down
sequentially. So is there a recalibration of PD/LGD or you expected it through. What would be kind of the steady -state provision coverage you expect from this book? And t he related question is also around the write -offs this quarter, please.
Rakesh Singh:
Bhaskar, if you look at our provision cover, it is quite in line. I think last quarter was 49.9%. This quarter is 49.5% . So this is in the same line and it hasn't come down. Because our portfolio is primarily secured, i.e 70% of our portfolio is secured , this is a very good provision coverage for our portfolio . And if you look at a higher risk segment, which is consumer and personal loans, there our provision coverage is almost 86%. So clear ly in line with the unsecured business, which you see 35% -36%, there we have a credit guarantee of almost 4300 odd Crore Rupees of portfolio, from SIDBI . So, it's been quite stable, and there's no reduction .

Bhaskar Basu:
Yes, sure. And just the write -off number, please.
Rakesh Singh:
It's not readily available with me , but Bhaskar we will come back.
Bhaskar Basu:
Okay. Thanks. Thanks a lot.
Moderator:
Thank you. The next question is from the line of Suresh Ganpat hy from Macquarie Capital. Please go ahead.
Suresh Ganpat hy:
Yes, hi. So, I just had a question on your ROA targets in the medium term, right? So, you had earlier guided that in the NBFC business, we wanted ROA to be 2.7% -3%. Now that's on an AUM basis. And as of now, the number is like 2.4% flat for the past couple of quarters. Now you're guiding for stable margin, stable credit cost , are you confident that you can meet this 2.7% -3% range? When will it happen? What would be the drivers? Because really it looks like we are not going to see that kind of a number happening anytime soon. So, any clarity on that would be great.
Rakesh Singh:
Suresh, we had always guided that we will come to 3% ROA in the next two to three years year. That's the period which we had always guided. On that front, we still are confident that we will be able to deliver. Yes, there has been some recalibration in ter ms of changes in the product mix. And that's on the backdrop of regulatory requirement because the risk weights went up. There was some concern on small ticket unsecured loans. And that's the reason we took that very calibrated call. So, we will continue t o follow 3%, and we will deliver that in the time period . And what will be the drivers, if we grow secured business, instead of, let's say, personal and consumer, then my credit cost will offset th is difference because my credit cost will be lower in the secured business. So clearly but as I had mentioned earlier that we are looking at growing both personal and consumer and also unsecured business. And if you look at, unsecured business comes primarily at the same yield range as of personal and consumer. So, we still are following that. And yes, for a few quarters we took this recalibration . But we are confident that we will deliver.
Suresh Ganpat hy:
Okay. Thank you.
Moderator:
Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh Jain:
Hello. Good evening, everyone. So, first is on NBFC, so do you expect the share of unsecured to remain at 25% from here onwards or do we expect share to reduce?
Rakesh Singh:
So, if you look at personal and consumer. Earlier, we had always guided that our cap on personal and consumer used to be 25% , 50% for MSME and 25% for corporate. But at this point in time, personal and consumer is at 15% , now MSME unsecured and secured is closer to 54% -55% and remaining is corporate. So, we will continue to work in that product mix, Nidhesh. At this point in time, as I said, because the last three quarters, we

have calibrated
the personal and consumer, which has come down. But as we leverage the platforms which we spoke about, branches, ABCD app and our direct sourcing channels, we will build t hat up as well , as we go forward.

Nidhesh Jain:

And what is the share of direct sourcing in unsecured today?

Rakesh Singh:

Just give me a minute, I have the number. So, if you look at personal and consumer, we source 53% of our loans through digital, direct is 28% and DS A is 19%. At the company level, if you look at, direct is 69%, almost 70% of our business at a company level, we do it directly. This was 67% last quarter. So, if you look at it, our direct sourcing has been increasing. The person al and consumer also, last quarter, we were at 22%, that's gone to 28%. So that's what we are really focusing on in terms of acquiring customers directly.

Nidhesh Jain:

Sure , next is on life insurance. Can you quantify the impact of surrender value regulation on a gross basis on overall company , on a full year basis of last year's margin. If we move to the new surrender value regime, what would be the impact on our margins?

Kamlesh Rao:

So, like I said, there are two impacts. One, of course, is the impact on the fact that the first year surrender value is available to the customer right now, which was not available before. Industry, obviously, will respond to that differently in terms of looking at what kind of commission structures should be paid, whether it should be brought back for whatever has not persisted . So that impact is not very large.

The second impact comes on account of high surrender value which will happen in the subsequent years, which is typically year 2, year 3, and year 4. If you look at our persistency numbers over the last few years, we typically now are in the top quartile , 13th month is at 88%, even our 61st month now is at 66% and these are overall persistenc y. Our persistency in the traditional part of our business is even higher than these numbers.

So typically, the impact on a portfolio could range basis our mix that we have of the product of traditional, roughly in the range of 100 -200 bps, inclusive of the impact on the first year money to be paid back to the customer, like I said, through multiple approaches, relooking, realigning at structures on distribution, business mix as well as what we want to do on our product offering. We don't t hink that will have an impact for us on the net VNB margins that we have guided 18%+ for this year.

Nidhesh Jain:

Sure. So, this 100 -200 bps impact that you mentioned is on a gross basis without making any changes to the structure?

Kamlesh Rao:

On a product construct basis, it will be a little higher because it impacts only 50% -60% of the mix because it doesn't impact you on ULIP, it doesn't impact you on protection or par. It impacts on you only on the non -par of the business. That will roughly come back to about 150-200 bps.

Nidhesh Jain:

Okay. Thank you. That’s it from my side.

Moderator:

Thank you. The next follow -up question is from Suresh Ganpat hy from Macquarie Capital. Please go ahead.

Suresh Ganpat hy:

Yes, thanks. Sorry. Forgot to ask one more question which is on capital. You're growing at 25%, your ROE is at 15% -16%. And your capital adequacy is just at 16.5%. So just wanted to understand what your thought process here? Because it is very precipitously close to that 15% mark, right? And I think you need to keep some margin of safety. So, are we looking at any kind of capital raising? What could be the amount? Any clarity on that?

Vijay Deshwal:

Yes, Suresh, Vijay here. Suresh, as you are aware that we had r aised our 3,000 Crore Rupees of equity capital, of which we infused 1,600 Crore Rupees in that NBFC in the last one year and about 300 Crore Rupees in the last quarter in HFC. Further, we did the OFS of our

AMC,
which got us another 600 Crore Rupees . We got the IRDA I approval to monetize the insurance broking firm, which will help us get another 200 odd Crore Rupees . So, we have close to about 1900 -2000 Crore Rupees of equity capital right now. I think this will suffice us for the next about 12-18 months of growth. And, as you know that we have announced the amalgamation of AB FL and ABCL. And as we had mentioned in the last call that it helps us release our capital close to about 3000 -3500 Crore Rupees . So, I don't see capital in near -term should be an issue, and we'll be able to manage that.

Suresh Ganpat hy:
Okay. But the stake in NBFC will go up. Again, you come back to the free float ratio, if that is the case.
Vijay Deshwal:
Sorry, come again .
Suresh Ganpati:
Sir, because you will have to infuse money. The holding company infuses the stake in NBFC further goes up, right?
Vijay Deshwal:
NBFC is a 100% subsidiary, Suresh,.
Suresh Ganpati:
Okay. Yes. Correct. I’m sorry about that. Sure .
Vijay Deshwal:
Thank you.
Moderator:
Thank you. The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.
Sameer Bhise:
Yes, hi. Thanks for the opportunity. So, the Stage 3 inch up in the personal and consumer loans is quite expected. Can you just elaborate what's causing the unsecured business loan delinquency inch up, and some thought there while it is guaranteed for yourself and should not cause any major credit issues, but I just wanted to understand that?
Rakesh Singh:
If you look at the 3.4%, which you're seeing, if I exclude the guarantee d portfolio, my Stage 3 is 1.5% , 1.5% Stage 3 for our 17% -18% yield loan book is a very good quality. So that's what I just want to share.
Sameer Bhise:
But any specific reason that you are saying, I mean on a gross basis, even if we don't include guarantees?
Rakesh Singh:
What is it, come again?

Sameer Bhise:
Any specific reason you wanted to highlight that why would one see inch up in the delinquencies for the unsecured business loan book?
Rakesh Singh:
So, if you look at it, it's just the denominator effect here as well in Q1, it is very normal in terms of flow, which we are seeing both in personal and consumer and unsecured business. This is the reason why we are waiting for the guarantee money to come from S IDBI when we can net it off and write off whatever accounts have gone ba d. So that's where it is. We don't see a 1.5% Stage 3 or gross NPA, whatever you call it, as a problem for an 18 % rate yield product .
Vijay Deshwal :
Sameer also t his is more or less flattish. So, it has not gone up in absolute terms. Just that the portfolio we have recalibrated and therefore, you are seeing a little bit of a percentage and even at an overall portfolio basis, if you look at GS3, it remained w here we were at around 2,700 Crore Rupees .
Sameer Bhise
Yes, overall, it's less. This is helpful. Thank you and all the best.
Moderator:
Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I would now like to hand the conference over to Ms. Vishakha Mulye for closing comments. Please go ahead.
Vishakha Mulye:
Thank you, once again, for joining us today evening. If there are any questions, which are pending, please feel free to reach out to me or Vijay or Pramod or A ashwij. We'll be very happy to take any questions. So, thank you. Look forward to continued interaction.
Moderator:
Thank you. On behalf of Aditya Birla Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Oct 2024

Moderator:
Ladies and gentlemen, good day and welcome to the Q 2 FY25 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Vishakha Mulye , CEO, Aditya Birla Capital Limited , over to you ma'am.
Vishakha Mulye:
Thank you so much. Good evening, everyone and welcome to the earnings call of Aditya Birla Capital for Q 2 FY25.
Joining me today are senior members of my team Bala, Rakesh, Tushar, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Sanchita. I will cover our strategy and business performance and Vijay will cover our key financial highlights followed by a discussion on the performance of our key businesses by our business CEOs.
The Indian economy has remained resilient. We were the fastest growing economy in Q1 with GDP growth rate of 6.7%. Manufacturing activity continues to gain ground on the back of improving domestic demand and services sector remains buoyant. Improved agricu ltural activity brighten the prospects of rural consumption. Central banks across the world have started reducing interest rates. RBI has changed its stance from withdrawal of 'accommodation' to 'neutral' while highlighting upside risks to inflation from f ood prices and crude oil prices among global uncertainties.
At Aditya Birla Capital, we continue to focus on driving quality and profitable growth by leveraging data, digital and technology. We follow a customer centric approach to build deep understanding of the needs of our customers and provide them simple and h olistic financial solutions in a seamless way. This approach has helped us to accelerate our growth trajectory, build scale and increase market share across businesses. Prudent risk management practices form the bedrock of our approach which has enabled us to protect capital and deliver risk-calibrated and sustainable returns across businesses. We also continue to strengthen our omnichannel based distribution network. Coming to the performance highlights for the quarter :

PRESS RELEASE Aditya Birla Capital Ltd. (ABCL)
Q2 FY25 Earnings Conference Call
Transcript
Oct 30, 2024

1. Growth and profitability

a. Consolidated profit after tax, excluding one -off items, grew by 18% year -on-year and 12% sequentially to 834 crore Rupees in the quarter. The total consolidated revenue grew by 34% year -on-year to 11,804 crore Rupees

b. As we had mentioned in our previous calls, we are focused on growing our portfolio with a strong emphasis on return of capital. We have been calibrating our portfolio over the last twelve months proactively. In our NBFC business, we made interventions and tightened underwriting norms in certain segments such as smaller ticket size unsecured personal and consumer loans to improve our customer selection. We identified target customer segments such as SMEs and increased our focus on growing secured business l oans to SMEs. Further looking at the market opportunities, we have also accelerated the growth of our HFC portfolio. These steps have held us in good stead in the current volatile and uncertain environment with an improvement in the gross stage 2 and stage 3 loans in both our lending businesses while maintaining the growth momentum.

c. Our NBFC portfolio grew by 23% year -on-year and 7% sequentially to about 1.15 trillion Rupees. The business loans to SMEs grew by 39% year -on-year and 9% sequentially. The corporate and mid -market portfolio grew by 25% year -

on-year
and 8% sequentially. As we had highlighted earlier, in personal loans business we are focused on increasing our sourcing from direct channels such as branches and

the newly launched ABCD app and we expect the growth in personal loans to normalize in the next few quarters. We rema in confident of growing the overall NBFC portfolio by a CAGR of 25% over the next two to three years.
The overall gross stage 2 and 3 loans in the NBFC business declined by about 100 bps year -on-year and 21 bps sequentially to 4.24 % as of September -end. Our credit cost has improved from 1.43% in Q1 to 1.25% in Q2 FY25 which is the best -in-class in the ind ustry. While our credit quality has held up very well, we remain watchful given the current environment and will continue to calibrate our portfolio with a paramount focus on return of capital.
The profit after tax of the NBFC business grew by 15% year -on-year to 629 crore Rupees. The RoA and ROE remain healthy at 2.34% and 15.6% respectively.
d. In our HFC business, we have built significant capacity over the past few quarters by making investments in digital properties, technology, people and distribution. I am delighted to share that we have reached a monthly disbursement run rate of about Rs. 1 ,400 crore. This has resulted in our HFC portfolio growing by 51% year -on-year to 23,236 crore Rupees as of September -end. The Indian housing sector continues to offer growth opportunities and is also aided by various government measure such as expansion o f PMAY and investments in affordable urban housing. We believe the investments which we have made will enable us to capture these opportunities and further accelerate our growth in the HFC portfolio. The credit quality in the HFC portfolio remains robust with gross stage 2 and 3 loans declining 218 bps year -on-year and 42 bps sequentially to 2.22% as of September -end.

Moving on to asset management business:
e. Our mutual fund average AUM grew by 23% year -on-year and 9% sequentially to about 3.8 trillion Rupees in Q2 of FY25. We had mentioned earlier that we had taken steps to strengthen our investments and retail sales team and investment

processes in FY24. These initiatives have started showing results. We have seen an uptick in equity fund performance across various categories. Monthly SIP flows increased by 47% year -on-year to about 1,425 Crore Rupees in September. The profit after tax g rew by 36% year -on-year to 242 Crore Rupees.

Moving on to the insurance businesses:

f. We have seen a strong revival in growth in the life insurance business. The individual first year premium grew by 33% year -on-year in H1 of FY25 which is significantly higher than the private industry growth. The year -on-year premium growth across in part nership channels was 34% as compared to 11% in Q1. We are seeing traction in the mind share in our new tie ups in Bank of Maharashtra and IDFC First Bank and we are commencing sourcing business at the Axis Bank counter as well. We continue to be in the top quartile in the industry in terms of 13th and 61st month persistency. The new surrender guidelines which came into effect from October 1 will impact net VNB margin to a certain extent. To address this and mitigate some of this impact, we have realigned ou r commission structure in line with most of the industry players and have also initiated changes in product construct and product mix. Kamlesh will cover these steps in detail. We remain confident of growing the individual first year premium by CAGR of 20% over the next two -three years and our endeavour is to maintain a VNB margin of about 17% - 18%.
g. In the health insurance business, we continue to be the fastest growing standalone health insurer. Our gross written premium grew by 39% year -on-year in H1 of FY25 driven by our differentiated health first model and data -enabled approac

h towards
customer a cquisition. Our market share among SAHIs has increased by about 120 bps year -on-year to 11.9% in H1 of FY25.

2. Omnichannel architecture for distribution
a. Our omnichannel architecture allows customers to choose the channel of their choice and interact with us seamlessly across digital platforms, branches and VRMs, fostering engagement and loyalty.
b. Our D2C platform, ABCD, went live in April 2024. It offers a comprehensive portfolio of more than 20 products and services such as payments, loans, insurance, and investments and helps customers to fulfill their financial needs. During the quarter we have introduced new products such as digigold gifting, family health scan and

pocket insurance. ABCD serves as an acquisition engine for us. As we had communicated earlier, we aim to acquire 30 million customers over three years. I am delighted to share that AB CD has witnessed a robust response with about 2.5 million customer acquisitions till date. We are seeing strong traction in payments with more than 1.2 million VPAs created till date. Our motto behind the design of UI and UX of the app has been "Everythin g Finance as simple as ABCD" and I am happy to share that ABCD has been awarded the Fintech Solution of the Year under 'Best in Class User Friendly Interface' category at Global Fintech Festival 2024. In line with our commitment to enhancing "One Experienc e" for our customers, we will launch a revamped servicing app in the next three to six months.

This app will be built on a modular platform offering a unified and common servicing infrastructure across all our businesses.
c. Our comprehensive B2B platform for MSME ecosystem, Udyog Plus, continues to scale up quite well with more than 1.6 million registrations. Udyog Plus has reached an AUM of 2,900 crore Rupees and it now contributes about 25% of the disbursements and the tota l portfolio of the unsecured business loans. We have further enhanced our integration with the ABG ecosystem to provide credit and supply chain financing solutions to dealers and vendors. About 45% of disbursements of Udyog Plus are sourced from ABG ecosys tem.
d. We had 1,470 branches across all businesses as of September -end. We are focused on capturing white spaces and driving penetration into tier 3 and tier 4 towns and new customer segments. In line with our One ABC approach, we continue to expand our co -located branches, w hich increased by 41 during the quarter to 866 branches across 238 locations.

3. Omnichannel architecture for distribution
a. Our Board of Directors approved an amalgamation of Aditya Birla Finance with Aditya Birla Capital in March, subject to regulatory and other approvals. We are happy to share that the proposed amalgamation has received no objection from RBI. We have made an application before NCLT Ahmedabad and expect the amalgamation to get completed in the next six months.
b. During the quarter, we concluded the sale of our broking insurance subsidiary, post the receipt of all regulatory approvals.
Going forward, we will continue with our approach of asset quality and profitable growth.
Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarte r, over to you Vijay.
Vijay Deshwal:
Thank you Vishakha and good evening to all of you.
The total consolidated revenue grew by 36% year -on-year to 12,007 crore Rupees during the quarter. Consolidated profit after tax grew by 42% year -on-year and 32% sequentially to 1,001 crore Rupees. The consolidated profit after tax in Q2 of the current year includes a one -time gain of 167 crore Rupees from sale of our entire stake in the insurance broking subsidiary.
In our NBFC business, the loan portfolio grew by 23% year -on-year and 7% sequentially to about 1.15 trillion Rupees. NIM including fee income was 6.28% for the quarter. The credit qual

ity of NBFC business continues to remain robust with a credit cost of 1. 25% in Q2. During the quarter, we infused, 500 Crore Rupees in NBFC to support its growth momentum.
Our Housing Finance Business continues to see strong momentum. The loan portfolio grew by 51% year -on-year to 23,236 Crore Rupees. During Q 2 FY25 we further infused equity capital amounting to 300 crore Rupees in our HFC subsidiary taking the cumulative infusion during the year to 600 Crore Rupees. This infusion was done to support the growth momentum and maximize our share of opportunities wh ich Vishakha mentioned earlier.

Coming to our AMC business, the average AUM increased by 9% sequentially and 23% year -on-year 3.8 trillion Rupees in the current quarter, of which equity AUM was approximately 47%. Alternate AUM (PMS & AIF) grew by 66% year -on-year to about 3,850 crores in Q2 FY25.
In the life insurance business, our first -year premium increased by 33% year -on-year and group new business premium grew by 45% year -on-year in H1. The VNB margin was 7.4% in H1 FY25.
In our health insurance business, our unique and differentiated "Health First" model helped us to deliver a growth of 39% year -on-year in gross written premium during H1 of FY25. Our combined ratio has improved from 119% in H1 FY24 to about 113% in H1 FY2 5.

I now hand over to Rakesh , MD&CEO, ABFL to cover the NBFC business performance.

Rakesh Singh :

Thanks Vijay, and good evening, everyone.

In our NBFC business, we saw a 23% year -on-year and 7% sequential growth in our AUM, taking it to Rs 1,14,710 Crore in Quarter 2. We continue to focus on SME segment and the business loans to SMEs grew at market leading rate of 39% year -on-year. This segme nt now comprises 55% of our overall portfolio. A large share of growth in this segment has come from secured loans which grew by 45% year -on-year.

Our disbursements in Quarter 2 were Rs. 19,322 Cr which are our highest ever quarterly disbursements. Disbursements grew 17% year -on-year and 10% as compared to H1 last year. This comes in despite the calibration measures in small ticket personal and consu mer loans which I have spoken about in our earlier interactions. Disbursements to MSMEs grew at 27% year -on-year. Secured business loans to SMEs contributed 38% to overall disbursements. More than 58% of our sourcing in business loans is done via direct ch annels and we foresee this to inch upward with continued scale -up of our B2B platform for MSMEs - “Udyog Plus”. I am happy to share that we now have more than 16 lakh MSMEs registered on the platform. As we have highlighted in our previous calls, we have t aken several steps to calibrate sourcing from digital partners in the smaller ticket size segment. We are in the process of scaling up our direct sourcing model and I am confident that the growth in this segment will pick up in the next few quarters.

Our efforts to tighten our scorecards and credit filters to improve the customer selection over the past few quarters have produced positive outcomes. Our credit cost has improved by 18 bps quarter -on-quarter to 1.25% which is well within our stated guidan ce of 1.5%.

However, we continue to calibrate our portfolio taking into account the current market environment. We continuously monitor off -us exposure of our customers and have carried out policy modifications to filter out customer cohorts with high leverage in our unsecured segment. As we have highlighted in our previous earnings call, we have taken various steps to calibrate sourcing from digital partners in smaller ticket size personal and consumer loans. To improve through the door quality, apart from leverage filters, we also continue to monitor, and when required, tighten underwriting rules such as number of enquiries, recency of

unsecured exposure count etc.

All these measures help us safeguard against any stress that might be getting created owing to extraneous reasons.

Our asset quality has shown consistent improvement with Stage 2 + Stage 3 book reducing by 100 bps year -on-year to 4.24%. The Gross Stage 3 book has declined by 14 bps year -on-year to 2.50%. Our Stage 3 book is well provided for with a PCR of 46%.

PAT for the quarter registered a strong growth of 15% year -on-year and stood at Rs. 629 Cr. The return on assets for the quarter was 2.34%. The return on equity for the quarter stood at 15.56%. Our net interest margin was 6.28% and cost -to-income ratio sto od at 31.02% for the quarter. Our Tier 1 capital adequacy ratio stands at 14.47%.

Moving forward, we remain focu sed on developing a granular portfolio and increasing the mix of business loans to SMEs. This will be supported by the scale up of our Udyog Plus platform with new product offerings and increased investment in distribution across emerging regions, aimed at driving growth. All digital customer acquisition processes on the ABCD App and Udyog Plus are designed for end -to-end control, covering everything from underwriting to collections, ensuring complete customer ownership.

As we have mentioned in our previous earnings calls, we remain confident to grow the overall portfolio at a CAGR of 25% over the next two years. As we scale up, strengthen our capabilities, and invest in technology, our primary commitment remains to delive r sustainable returns in the upcoming quarters.

With that, I will now hand it over to Mr. Pankaj Gadgil, MD and CEO of Housing Finance Business.

Pankaj Gadgil:

Thank you, Rakesh, and good evening, everyone. I’ll now present ABHFL's performance for Q2 FY25. I'm happy to share that we've achieved our highest -ever disbursements for five consecutive quarters, driven by our investments in digital and distribution. Business from ABG ecosystem has consistently contributed 9 -10% of disbursements over the last four quarters and we've consistently upheld strong performance in both portfolio and onboarding quality.

The key highlights for Q2 FY25 are as follows –

- We recorded highest ever quarterly disbursement of ■ 4,010 Cr, which is an increase of 113% YoY & 31% QoQ
- Our AUM as of Sep’24 stands at ■23,236 Cr., an increase of 51% YoY & 14% QoQ
- Our customer base is now at 75,300 and has grown by 29% YoY, with the average ticket size of retail segment at ■ 27 lakhs

• We also recorded the highest ever PBT of ■ 104 Cr, which is an increase of 7% YoY & 22% QoQ
• Net interest income to Average Loan book is 5.24%
• Stage 2 & 3 has reduced to 2.22%, which is a reduction of 218 bps YoY & 42 bps QoQ
• ROA for the quarter is 1.53% and ROE is at 11.54%

For more detailed financial information, please refer to slide 26 of the presentation .

I would now like to provide a brief update on a few pillars of our growth:

First on portfolio quality, with a focus on quality of originations, 95% of our disbursements in Q2FY25 remain directed towards 700+ CIBIL or new to credit. Gross NPA has reduced both in absolute and percentage terms, which is at 1.30% in Q2FY25, the lowes t level in the past 12+ quarters. As we are building our portfolio, we have increased our stage 3 provision coverage to 40.9%. This has resulted in a credit cost of 24 bps in this quarter. We expect our credit costs to normalise at current levels.
For more details on portfolio quality, please refer to slide 24 of the presentation.
On our second pillar, distribution, we now operate from 150 branches across 18 states. Our 'Sales CRM' has enabled last -mile planning leading to increased efficiency. The contribution of ABG ecosystem for Q2FY25 is at 9.2% of disbursements.
Moving to third pillar digital reinvention, Finverse', our unified digital lending platform continues to see 100% adoption. Wi

th 'Finverse', we are also now onboarding our channel
partners instantly, and it's encouraging to see positive adoption rates among them as well.
Lastly on data and analytics, we've successfully deployed various models till date, spanning across the customer journey from demand generation to collections. Our pre -delinquency model, and flow prediction model, has played an important role in improving portfolio quality, resulting in a 218 -bps yoy reduction in stage 2 + 3 compared to Sep'23.
Going forward, our growth momentum will be driven by evolving opportunities within the housing finance sector. This growth will be enabled by robust digital platforms, penetration led by ABC - ABG eco system, strong analytics and effective portfolio managem ent.
Thank you for your attention, with that, I now hand over to Bala, MD and CEO of our Asset Management Company.
A. Balasubramanian :
Thank you and good evening to everyone attending. I would like to share some highlights of ABSLAMC for Q2 FY25.
• At ABSLAMC, our Overall Average Assets under Management, including alternate assets, reached Rs. 4 lakh crores, reflecting a 24% year -on-year growth.
• Our Mutual Fund quarterly average AuM reached Rs. 3.83 lakh crores growing 23% year-on-year. The quarterly Equity average AuM stood at Rs. 1.81 lakh crores growing by 39% year -on-year.
• The SIP book during the quarter crossed Rs. 1,400 crores, a 47% year -on-year increase, from Rs. 968 crores in September 2023 to Rs. 1,425 crores in September 2024. We also added around 11.55 lakh new SIPs, a 5x increase compared to the previous year.

I am happy to share that our total investor folios have crossed 1 Crore with around 19 lakh new folios added during the quarter.
I would also like to mention that the strong investment performance supported by the increased level of engagement at the ground level, is helping us narrowing the dip in the market share on a quarter -on-quarter basis. This has in fact created a positive p erception, among our distribution partners and investors at large, leading to an increase in the overall Net Promoters Score.
As we have been highlighting about our commitment to building our Alternate Assets and Passives business, we are making good progress on this segment.
o Our PMS/ AIF assets grew by 66% from Rs. 2300 crores to Rs. 3900 crores.
o Our Offshore assets, grew by 31%, from Rs. 9700 crores to Rs. 12,700 crores.
o Our Gift City operations, the gateway for inward and outward remittances, has also gathered momentum. We are currently raising funds for Global Emerging Markets Equity Fund and India ESG Engagement Fund. We also have a ABSL Flexi Cap fund and ABSL Global B luechip fund in pipeline.
o On the credit front, we have launched the ABSL Structured Opportunities fund series II, under AIF.

o On the Passives front, as of September 2024, our assets total to approximately Rs. 30,000 crores. Our customer base has grown to over 9.5 lakh folios and we also have a diverse product portfolio of over 47 products.

I am also happy to share, that during the quarter we have also won the ESIC mandate under the advisory route and documentations are under progress.

Moving on to the financials for the quarter -

o Our Total Revenue is Rs. 520 crores v/s Rs. 391 crores in Q2 FY24; up 33% year on year.

o Our Profit after Tax is at Rs. 242 crores v/s Rs. 178 crores in Q2 FY24; up 36% year on year.

o For H1 FY25, our Total Revenue is at Rs. 1,001 crores up by 28% year on year and Profit After Tax is at Rs. 478 crores up by 32% year on year.

With this I will now handover to Kamlesh Rao, MD and CEO of ABSLI company .

Kamlesh Rao:

The overall Life Insurance Industry saw a robust growth in H1 FY25, Individual first year premium grew for the Overall industry by 21% and for the private players by 24%. For ABSLI during the same period it was at 33% with healthy growth

across proprietary and partnership
channels. Our new business policies have grown by 27% in H1. It was a very good second quarter for ABSLI as 19% growth for Q1 ended in a 33% growth for the first half of the year . For ABSLI the proprietary channels saw a robust growth of 30% and our Direct business grew by 69% over last year in H1FY25. As Vishakha mentioned, o ur new tie ups in Bank of Maharashtra and IDFC Bank saw us gain mind share in the first six months of launch and business has now started at the Axis Bank counter too, these combined with our existing bank partners saw growth of 34% in H1 for ABSLI

In the Group Life Insurance segment, the private industry grew by 2%, overall Industry grew by 20% in H1 FY25 and ABSLI registered a growth rate of 45%. Better growth was contributed by superior performance both in the Fund as well as the Credit Life Busin ess. Our Group AUM has now crossed 25,000 Crores as on Sep'24 and contributes to 25% of ABSLI overall AUM.

Our total premium for the period of ■ 8,657 crore has registered a growth rate of 27% over last year same period, with a 2 -year CAGR of 17%. This growth came from new business as well as renewal premium growing at 12%. Our digital collections now account f or 81% of our renewal premium. We continue to work on Customer Lifetime value, which is reflected in our upsell ratio which touched 29% and helped productivity growth in both proprietary and partnership channels.

In the product mix of the individual business, traditional business including protection contributed 64% and ULIP was 36%. The increasing trend in sale of ULIP business has continued into this quarter for the industry as well as for ABSLI. We launched a U LIP product – Param Suraksha which was a combination of ULIP with inbuilt higher protection as well as critical illness riders which was a big success in our BANCA counters.

We drove our ULIP mix with a combination of products to garner higher mind share at some of our large counters which worked successfully, having achieved this our outlook in the second half of the year is to optimize the ULIP mix to ensure sustainable valu e and growth. Some drop in margins was planned for in the first half and we have a plan in place to get to our projected Net margins for the year

Our quality parameters continue to trend better across various areas, persistency across all buckets did well with the 13th month at 88% and the 61st at 67% which will make us top quartile in the industry, our consistent efforts on bringing cost efficiency into the business has resulted in Opex to Premium being fairly consistent at 20.6% vs 20.2% last year same period .

Our Asset under management now stands ■ 95,553 crores, with a YoY growth of 24%. 25% of this AUM is in equity and the balance 75% in debt. We continue to outperform in our investment performance in respective benchmarks across all three categories of Equity, Debt, or even Balanced funds, either from a 1 -year or 5 -year perspective.

Our digital adoption across various areas is demonstrated in Slide 42. 100% of new business customers are onboarded digitally, 83% of all our services are now available digitally, covering 67% of our customer transactions, and our customer self -service ratio now stands at 94%.

As we move ahead, we will continue to be best -in-class in our digital infrastructure, across prospecting and onboarding in sales, underwriting, and customer service as well as claims.

Based on the new surrender regulations, as we called out last quarter, we do expect some impact on our margins. Approach on realignment of commission structures has been finalized for the distributors. We have also initiated changes in product constructs i n terms of customer benefits to ensure this impact is mitigated.

We have relaunched major top selling products in compliance with the new surrender regulations in Oct ober. as desired by the regulator No adverse impact is expected on the new business on account of this

We have raised sub debt of Rs 550 Crores in Q2 to support our growth aspirations and our solvency continues to remain at a healthy rate of 188%.

The H1 also focused on beefing up distribution by increasing capacity in our proprietary channels covering both agency as well as our direct business , we invested in capacity in our newly acquired bank partners which helped us garner incremental mind shar e , with this we have a reasonable ground set for penetrating in H2 and we have an opportunity to get triple digit premiums in the next 12 months time in some of these counters

All this has resulted in Net margins for H1 are at 7.4% given the preponed investments into channels as well as our planned higher ULIP sales. Focus on H2 will be on moderating ULIP and higher productivity of investments done in H1. For the full year we are estimat ing the same to be at projected levels of 17 - 18%. On the back of strong growth and quality of our book, we are reporting an EV of ■ 12,368 Cr with a growth of 21% over Sep 2023.

With this I now handover to Mayank, CEO of our health insurance business.

Mayank Bathwal :

Thanks, Kamlesh and I would like to now share an overview of the performance of our Health Insurance Business.

We had a very strong Q2. We continue to build on growth momentum from Q1 of this fiscal year. Our Q2 growth accelerated to 43% vs 35% growth experienced in Q1. We achieved a gross premium of Rs. 2,171 crores with a strong 39% YoY growth in first half of the year. This growth is significantly higher compared to the SAHI growth of 25%, thus further strengthening our position as the fastest -growing SAHI player.

Our market share in SAHI has increased from 10.7% to 11.9%, a YoY an increase by 123 bps. The growth continues to be driven by our retail franchise diversified across all major distribution channels.

The proprietary channel with an advisor count of over 1.25 lac agents has experienced at 38% YoY growth. All our major bank and digital alliance partnerships have also experienced impressive growth leading to our retail franchise growing at 51% in H1.

Our flagship product Activ One launched late last year continues to be the most comprehensive indemnity product in the industry. The product Positioned under the theme "100% Health: 100% Health Insurance," continues to be exceptionally well received by the market, helping us penetra te newer customer segments, including, the HNI segment and segment comprising of people with existing chronic conditions. Our recently, introduced category defining Maternity Product, aimed at expectant parents has been well rece ived in the market. We also have collaborated with India’s leading wearable device manufacturer to introduce a product, integrating wearable based health tracking to promote proactive health behaviour and to get access to a very large base of young and hea lthy customers.

The Corporate business experienced a strategically controlled 27% YoY growth, driven by a sharp focus on profitability through careful customer segmentation, cross -sell/upsell strategies, corporate wellness initiatives, and our industry -leading initiatives . We are strategically concentrating on Mid Corporate and SME segments to continue to build one of the very few sustainable and profitable corporate business in the industry.

By prioritizing both growth and profitability, we are building a resilient franchise. Our net loss improved to Rs 115 crore in H1, compared to Rs 140 crore in the same period last year. The Combined Ratio also improved to 113%, from 119% in the previous ye ar. Both our Claims and Expense Ratios have trended positively at the Company level and we continue to maintain a positive outlook as we work forward to meeting EOM g

uidelines in the next fiscal year.

Our Health First model continues to scale and mature and show visible improvements in bo th consumer engagement and therefore financial outcomes for the company . Our scaled digital health assessment provides us with valuable insights into customer health. The percentage of customers influenced by participating in healthy behaviour has reached to 33% on an enlarged customer base. These customers continue to exhibi t lower loss ratios, ranging from 20% to 40% at various cohort level. Likewise, customers earning Health behaviour based incentives experience loss ratios up to 34% lower than the baselin e case. This is shown in slide 53.

We have invested in building deep capabilities in managing customers with high health risk which also happens because of the ageing of the portfolio. We have also created a combination of first of its kind product offerings and human/digital capacities to manage the disease burden for those set of consumers. The customer engagement capabilities and insights are disclosed on Slide 54. Through a combination of our inhouse health Coaches and

our partners, we have intervened in more than 120 ,000 High risk lives to improve their health vitals leading to lower Claim ratios thus removing the challenges most of the health insurance companies with vintage in the market are facing today.
Our 'Promise of Insurance' is centered on providing industry leading experience. Investments in state -of-the-art AI/ML -driven claims auto -adjudication engine witnessed encouraging results. This will further enhance customer satisfaction and enable claims c osts management more effectively.
The industry leading Activ Health App has been relaunched with multiple Freemium Services. The Activ Health App now provides opportunity for non -policy holders to experience our comprehensive app ecosystem. Our YoY App downloads have increased by 95% with YoY MAU increas ing by 88%.
Looking ahead, we remain optimistic about the long -term growth prospects of the health insurance sector. The recent regulatory changes, including current changes, are laying the foundation for a more transparent and robust industry and we believe we are positioning us to capture future growth opportunities.
Thank you, and I will now hand it back to Vishakha for her closing remarks.
Vishakha Muly e:
Thank you everybody for joining us today evening and will be happy to take any questions.

Moderator:

Thank you very much. We will now begin the question -and-answer session. We'll take a first question from the line of Puneet Balani from Macquarie Capital.

Puneet Balani :
Your PCR has declined while the credit costs have also declined. PCR has declined and especially when I look at secured segments they are like close to 30% now. So, what's the reason, any guidance here like we are comfortable with these levels? And second is on earlier Stage -2 assets yes, they have declined. B ut has your Stage -2 coverage also declined based on that? That's it from my side.
Rakesh Singh :
So, Puneet if you look at, our secured book has grown from 67% to 74%. So now of the total loan book 74% of our loans are secured by real estate collateral or listed securities. So that is the reason why the PCR because this follows a ECL model and that is the reason why the PCR has dropped marginally because of the change in the product mix and there is no decline in terms of stage two provisioning.
Puneet Balani :
So, we can expect these levels to continue, as you are growing the secure book as well? So, we can expect the PCR levels around these to continue.
Rakesh Singh :
Yes, depending on the product mix and the ECL model is what our provisioning will be.
Moderator:
We'll take the next question from the line of Avinash Singh from Emkay Capital.
Avinash Singh :
So again, on PCR, I mean if you see the movem

ent, again in the two businesses, the Housing
Finance and Aditya Birla Finance. On the one hand Aditya Birla Finance Stage -3 PCR has been taken down to 46%, with a particularly sharp drop in secured where of course there is no government guarantee. But on the Housing Finance side you are taking it higher to close to 40%. Again, that's secured. So, what is the sort of change that your ECL model is showing just in the quarter ? There are kind of a divergent move s particularly if we compare secured with secured. So, I mean housing going to 40% whereas I mean in the secured piece of your NBFC, is going to 31%. And NBFC also disclosed that loan book acquired in the quarter still remains reasonably close to 11 billion or so. So, whe n you are tightening your credit filter, I mean what kind of a comfort do you have if I understand the SME LAP book has a kind of a 12 month or so holding period. So, what's the comfort you have on this acquired book?
Rakesh Singh :
So, Avinash your first question was on the provision cover in the NBFC. I will address that and maybe Pankaj can add on the housing one. The reason in NBFC what happens is what is the security. We have EAD, exposure at default into LGD loss given default w hich is basis the over last 5 -10 years of our recovery rates on the security. So, it depends on what is the security cover I have and that is the basis on which the provision is created. So, if my security

cover is 2 x or 2.25 x, the provision will be lower because the LGD will be lower. So that's the logic with which yes, both of the businesses are secured but on one side in the housing the LTV might be different for different customer segments, Pankaj can add there. But in the NBFC one it all depends on what is the security cover which we have. So that's the reason why the PCR or the ECL will change. Your second question was on the acquired portfolio. So, on the acqui red portfolio if you look at in the last q uarter, we have acquired securitization closer to Rs. 1,107 crores. That's what if you look at, out of the 19,000 crores of the disbursement which we would have done for the quarter 1,107 crores is buyout and if you look at sequentially it has come down significantly from Quarter 1, it's almost 50%.

Pankaj Gadgil :

Avinash, Pankaj here. I think the question is on the higher provisioning coverage ratio on housing which has gone to 40.94% from 34.55% which was there in Quarter 1. So here first I would want to say that if you look at Stage -2, Stage -3, it is true reflect ion of the portfolio and in Stage -3, you would have seen from 315 crores you would come down to 288 crores here. So that is one side of the story. The second side of the story is that while we use the ECL methodology, obviously we keep looking at each and every account and we also look at the ageing of the account and also the probabilities of recovery from time to time. And when we looked at specific accounts, we felt that in some of the accounts that we have, the probabilities of loss could be slightly higher there and that is where we have taken that higher coverage. That is the philosophy there. I think it is very range bound. If you look at the entire HFC industry, the PCRs range from between 35% to 50% as well. So, I think it is ver y range bound . We are at 40% and it's not only Stage -3, but we keep looking at the accounts also individually to look at the provision coverage ratio.

Avinash Singh :

I can just have one more question. That on life insurance I mean first half VNB margin 7%. You are hoping the margin uplift of 10% odd by the year end. Now if I see this kind of a margin uplift had happened in FY2 3 and then the situation was different that you had a kind of a strong sales of that non -par product in the month of March ‘23. But here if you look big time, ULIP continue to remain flavour of the season and in H2 the new surren

der regulation also
comes into picture. Now what is it that you are still hopeful of taking a margin from 7 to 17 because it has not happened last year, it has not happened earlier in FY22. It only happened in FY23 and there was a particular reason. This time the reason is just the other way. But if at all there could be some negative impact on the surrender regulation . So, what is giving you the confidence that the margin can actually go up by 10% in the second half?

Kamlesh Rao :

If you look at the last 2 - or 3-years' time, I think you validly raised the point saying that in one year there was an upt ick also on account of the new regulations setting in. But prior to that you would have instances of ABSLI would be in the rangebound margin of 7% to 8% and we have gone even actually to 23% in that year. But a fair point made that ULIP is on the growth angle . But like I said all the new products that are getting launched in the second half of the year are non ULIP products. Protection, we have launched a suite of two new products which actually happened in the month of September. So that will flow into the second half of the

year significantly better. Typically, the margins which accrue from our agency business is significantly higher and between the first half of the year and the second half of the year, the investment in capacity that we have done in the agency business has been about 40% -50% more. It takes time for that to fructify which we think will happen in the second half of the year. So, all of this would combine and of course like you rightly said the ULIP business will need to get moderated as compared to the ULIP bu siness that happened in the second quarter. And we actually did that as part of a strategy because in some of our large bank counters we wanted to garner additional mind share. Normally when you get additional mind share in a bank counter when you substitu te your products your mind share typically remains the same. But you get your combination of suite of products and that's the strategy that we have played and that's the reason why you see significantly larger growth rate in the second quarter. We want to use whatever we have created with the combination of products that we will launch in the second half of the year. And like I said in agency which will see traction in the second half of the year more than in the first half is where the upt ick of the margin is expected from 7.5% levels to about 17% -18% that we are projecting for the end of the year.

Moderator:

The next question is from the line of Subramanian Iyer from Morgan Stanley .

Subramanian Iyer :

Just had one data keeping question. Can I get the total ECL for the NBFC for both the quarters?

Rakesh Singh :

Subbu, we can share that. I don't have readily available. I can share that offline.

Moderator:
We'll take the next question from the line of Mayank Mistry from JM Finance .
Mayank Mistry :
My question is on the housing business, actually when we see from the March quarter, we have grown at 26%. So, what is our AUM guidance for over there and second also there had been concerns on aggressive lending in the housing space by RBI recently. So has t here been any communication with the regulators?
Pankaj Gadgil :
I think the growth has been very consistent if you see over the last six quarters and like you rightly said the growth is now 51% y-o-y, 14% q-o-q. So, like we have said earlier, the focus is on doubling the book in the next 18 to 24 months. That has been the guidance that we have been giving because this is coming on the back of the huge opportunity that the industry has and I think the investments that we have made on digital platfor ms and also distribution and also the ABG ecosystem we have seen, the contribution of the business coming in from the ABG ecosystem, also helping us in garnering shares. The growth is c

oming across all the
segments which is the affordable, informal , prime business as well as the CF business. So,

guidance is on that side. Particularly we have not received any such indication from the regulator on aggressive housing loan growth, etc. But they have been in the past, of course regulator has opined and just to also mention that this growth that we have done over the last six quarters, we would be one of the very few companies which also speaks about our onboarding quality consistently. And you would have noticed that 95% of our sourcing today which is happening is in the top quartile bureau and also new to credit. And that is clearly showing also in the Stage -2 and Stage -3. So, both in absolute numbers as well as in percentages at all points of time, we have been speaking about the portfolio quality in consonance with the growth that we have actually had .
Mayank Mistry :
But do we have any number on the growth that we are targeting?
Pankaj Gadgil :
I just mentioned that I just said that we have been speaking about growing the book and doubling the book in the next 18 to 24 months and that kind of stays on course and like I mentioned in the transcript also, we keep looking at the risk reward opportunity which exists in the sector and appropriately we look at leveraging the sector in the best possible way.
Moderator:
We'll take the next question from the line of Chintan Shah from ICICI Securities .
Chintan Shah :
So firstly, on the capital allocation, when we have after the latest fundraiser for roughly 3,000 crores which we have completed also how much of that has been allocated to NBFC and HFC?
Vijay Deshwal :
Chintan out of the total, we raised about 3,000 crores of capital in June ‘23 and after that we also got about 570 crores of capital from the AMC -OFS during March and June of this calendar year and about 167 crores recently from the ABIBL stake sale. So fa r, we have invested close to about 2,100 crores in the NBFC and about 600 crores in the Housing Finance business.
Chintan Shah :
How much of this would have gone into the digital arm, digital company?
Vijay Deshwal :
As we had mentioned during March that till March, we had spent about 100 crores and we would have additionally spent about 50 to 75 during the year in the digital proposition.

Chintan Shah :
And so, under the unsecured piece, I think in this quarter we have seen some growth coming up in the QOQ disbursements. So, I think last quarter we had mentioned that we would be changing. We are working on better sourcing it via internally and refraining from any external sourcing. So how does it g o now? Is it entirely internal sourcing for the unsecured and have we tightened the filters or how is it given that in current environment unsecured probably is not the flavor of the town right now?
Rakesh Singh :
So, I covered this in my opening script and covered that we have tightened underwriting whatever cohorts which was showing any performance which was not in line. So, we have

tightened it across in terms of underwriting in different cohorts. So that has bee n done. We have built our acquisition channel now. So, if you see majority of our loans are coming through our direct acquisition channel which is the digital journeys which we have built internally. Also, the branches which we have built over the last 2 -3 years have started yielding results. So that also is helping us . So majority of our disbursements in personal and consumer loan is coming through. Yes, some bit will be coming through DSA which is part of our branch network.
Chintan Shah :
I just wanted to understand this because in the last quarter also we had seen a steep decline in the disbursement and this quarter despite the environment, disbursements have been quite strong. So, anything which has changed very

much the cohorts and the t ightening of the filter
that has happened in this quarter itself or how is it?
Rakesh Singh :
The tightening has been happening over the last three -four quarters and that's the reason the disbursement has been coming down from —we used to do close to —5,000 -5,500 crores of disbursement that came down to 2,000 . So it's been coming down. We have been tightening our underwriting norms over the last three to four quarters and all the branch led disbursements and our own digital journey the ABCD app through which we acquire customers, those are the things which is gro wing at this point in time.
Chintan Shah :
Just a last question if I may ask. On the Housing Finance we have seen certain accounts where probably there are some signs of stress and that's why we have increased the higher provisions. So, under what segments these accounts would cater into affordable or prime? And given that we already have the security then probably why would we be so I would probably say concerned on the asset quality other on front for these accoun ts?
Pankaj Gadgil :
See the quantum is very minimal. We're talking about 8 -9 crores. That's how the PCR has changed broadly. We keep doing at all points of time , all those securities are there, LGDs we keep measuring, what could be the LGDs that you will be getting on some of these assets.

And I would just mention that it is spread across all three segments. But the quantum itself is very small.
Chintan Shah :
So, if we could just give the total provision on the HFC book for this quarter and the last quarter, I think that data is not handy, so you can share that with me as well. That would be helpful.
Pankaj Gadgil :
The credit cost was 6 crores earlier, this is now 12 for this quarter, that is the incremental which is there and on PCR anyways if you want to know on the PCR as well, then we can share that with you subsequently.
Chintan Shah :
Basically, entire ECL provisions on the book for the AB HFL business, how much has that increased probably QOQ?
Pankaj Gadgil :
6 and 12, 6 was the credit cost for Quarter 1 and 12 crores the credit cost for Quarter 4.
Moderator:
We'll take the next question from the line of Kishore Agarwal from Bajaj Finserv AMC
Chintan Shah :
I have two questions. One on the margins on the NBFC side, we have seen the second quarter of sequential decline in margins. So, is it primarily because of the increase in secured mix and where do you see the margins settling? And my second question is on asset quality. Do you think that this improvement in asset quality can continue even in the se cond half?
Rakesh Singh :
So, margins if you look at that's on the backdrop of change in the product mix. Our secured business going up from 67% to 74%. And also, on the other side unsecured business has declin ed 20% odd to 14%. So that's the reason , because of the change in the product mix why the margins have come down. As I mentioned in the earlier reply, we are building our own acquisition channels and we want to build up the personal consumer segment through our own channels and also the MSME, sma ll ticket MSME loans, the business loans which we call it. I think these two things should be able to offset the yield compression which is happening on account of the secured business growth. But it might take a quar ter or two because I think the shift will happen . In terms of also looking at the environment, the small ticket loans in unsecured we have completely stopped doing it, less than Rs. 50,000 unsecured loans we are not doing it. We have tightened our all -underwriting norms. So that's the reason why the margin s hav e declined. B ut once that starts picking up and also our

business loans picks up on our B2B Udyog Plus platform, we should be able to mitigate the

decline in margin. And

to your second question in terms of whether we will be able to sustain
the asset quality and the ECL, yes it will be range bound. Our guidance has been that the
credit cost will be around 1.5%. We have come down to 1.25 %. We expect it to be in the same
range and we don't see this going up.

Moderator:

Thank you. Ladies and gentlemen, I would now like to hand the conference over to Ms. Vishakha Mulye for closing comments. Over to you.

Vishakha Mulye:

Thank you so much for all of you to join us today evening and very Happy Diwali to all of you and your family.

Moderator:

Thank you. On behalf of Aditya Birla Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

include descriptions regarding the intent, belief or current expectations of the Company or its officers with respect to the consolidated results of operations and financial condition, and future events and plans of the Company. These statements can be recognised by the use of words such as “expects,” “plans,” “will,” “estimates,” or words of similar meaning. Such forwardlooking statements are not guarantees of future performa nce and involve risks and uncertainties and actual results, performances or events may differ from those in the forward -looking statements as a result of various factors, uncertainties and assumptions including but not limited to price fluctuations, actual demand, exchange rate fluctuations, competition, environmental risks, any change in legal, financial and regulatory frameworks, political risks and factors beyond the Company’s control. You are cautioned not to place undue reliance on these forward looking statements, which are based on the current view of the management of the Company on future events. No assurance can be given that future events will occur, or that assumptions are correct. The Company does not assume any responsibility to amend, modify or revise any forward -looking statements, on the basis of any subsequent developments, information or events, or otherwise .

Call: Feb 2025

Moderator:
Ladies and gentlemen, good day and welcome to the Q 3 FY25 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Vishakha Mulye , CEO, Aditya Birla Capital Limited , over to you ma'am .
Vishakha Mulye:
Good evening, everyone and welcome to the earnings call of Aditya Birla Capital for Q3 of FY2025.
Joining me today are senior members of my team Bala, Rakesh, Tushar, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Sanchita. I will cover our strategy and business performance and Vijay will cover key financial highlights followed by a discussion on performance of our key businesses by our business CEOs.
The Indian macro -economic environment remains very challenging with moderating urban demand, tight liquidity conditions, high capital market volatility, slow government capex offtake, weak private capex program and sharp depreciation in rupee. The GDP grow th rate of the Indian economy declined sharply in Q2 FY25. While CPI inflation cooled down marginally in December, food inflationary pressures continue. RBI continues to maintain a "neutral" stance in monetary policy. In order to revive economic growth, bo ost consumption and demand, the government has announced various measures in the Union budget such as income tax relief for salaried individuals, increased credit guarantee limit for MSMEs along with various other measures aimed at rural and urban developm ent, agriculture and infrastructure growth.
At Aditya Birla Capital, we continue to focus on driving quality and profitable growth by leveraging data, digital and technology. We follow a customer centric approach to build deep understanding of the needs of our customers and provide them simple and h olistic financial solutions in a seamless way. Prudent risk management practices form the bedrock of our approach which has enabled us to protect capital and deliver risk -calibrated and sustainable returns across businesses. We also continue to strengthen our omnichannel based distribution network. Coming to the performance highlights for the quarter.

PRESS RELEASE Aditya Birla Capital Ltd. (ABCL)
Q3 FY25 Earnings Conference Call
Transcript
Feb 3, 202 5

1. Growth and profitability
The consolidated profit after tax is 708 crore Rupees in the current quarter compared to 736 crore Rupees in Q3 last year. The total consolidated revenue grew by 10% year -on-year to 10,949 crore Rupees
We are focused on growing our portfolio with a strong emphasis on return of capital. Given the early warning signals and challenges in the operating and macro environment, as we had indicated earlier we have been calibrating our NBFC portfolio by reducing our exposure to smaller ticket size unsecured personal loans and increasing the proportion of secured business loans over the past few quarters. Further looking at the market opportunities, we have also accelerated the growth of our HFC portfolio. These st eps have held us in good stead over the past few quarters where we have demonstrated strong asset quality trends with an improvement in stage 2 and 3 loans.
Our NBFC portfolio grew by 21% year -on-year and 4% sequentially to about Rs. 1.19 trillion Rupees. The secured business loans to SMEs grew by 37% year -on-year and 4% sequentially. The corporate and mid -market portfolio grew by 31% year -on-year and 7% seque ntially.
The overall gross stage 2 and 3 loans in the NBFC business declined by

about 60 bps
year-on-year and remained flat sequentially at 4.25% as of December -end. Our gross stage 3 PCR was 45.6% as of December -end, at a similar level compared to the previous quarter. Our credit cost was 1.36% in Q3 which is well within our normalized threshold of

1.5%. We will continue to calibrate our portfolio with a focus on return of capital.
The profit after tax of the NBFC business grew by 5% year -on-year to 600 crore Rupees. The RoA and ROE were 2.10% and 13.87% respectively in Q3.
In our HFC business, we have built significant capacity over the past few quarters by making investments in digital properties, technology, people and distribution. I am delighted to share that we have crossed the monthly disbursement run rate of 1,500 cro re Rupees. This has resulted in our HFC portfolio growing by 62% year -on-year to 26,714 crore Rupees as of December -end. The Indian housing sector continues to offer growth opportunities and is also aided by various government measures such as expansion of PMAY and investments in affordable urban housing. We believe the investments which we have made will enable us to capture these opportunities and further accelerate our growth in the HFC portfolio.
The credit quality in the HFC portfolio remains robust with gross stage 2 and 3 loans declining by 177 bps year -on-year and 45 bps sequentially to 1.77% as of December - end.
Moving on to asset management business:
Our mutual fund average AUM grew by 23% year -on-year to about 3.83 trillion Rupees in Q3 of FY25. The profit after tax grew by 7% year -on-year to 224 Crore Rupees.
Moving on to the insurance businesses:
The growth in the life insurance business continues to remain strong. The individual first year premium grew by 31% year -on-year in 9M of FY25 and we are among the top 3

players in private industry in terms of growth. We have commenced sourcing in Axis Bank counters and our mind share in Bank of Maharashtra and IDFC First Bank counters continues to grow. We continue to be in the top quartile in the industry in terms of 13t h and 61st month persistency. As we had mentioned in our previous quarter's earnings call, we have taken steps to realign our commission structure, made changes in product pricing and increased rider attachments to mitigate the impact of the new surrender guidelines. These changes along with the high persistency levels have helped us to attain a VNB margin of 10.8% in 9M FY25. Our endeavour is to close FY25 with a VNB margin of about 17% -18%.
In the health insurance business, we continue to be the fastest growing standalone health insurer. Our gross written premium grew by 39% year -on-year in 9M of FY25 driven by our differentiated health first model and data -enabled approach towards customer acquisition. Our market share among SAHIs has increased by about 140 bps year -on- year to 12.0% in 9M of FY25.
2. Omnichannel architecture for distribution
Our omnichannel architecture allows customers to choose the channel of their choice and interact with us seamlessly across digital platforms, branches and VRMs, fostering engagement and loyalty.
Our D2C platform, ABCD, went live in April 2024. It offers a comprehensive portfolio of more than 24 products and services such as payments, loans, insurance, and investments and helps customers to fulfill their financial needs. Our motto behind the design of UI and UX of the app has been "Everything Finance as simple as ABCD". ABCD has witnessed a robust response with more than 4.1 million customer acquisitions till date. We are seeing strong traction in payments with more than 2.0 million VPAs created ti ll date. We had mentioned in our previous quarter's earnings call that we will be launching a revised servicing app for our existing customers in the next three to six months. We are happy to share that this app has gone live in December. It has

been built on a modular
platform offering a unified and common servicing infrastructure across all our businesses and has a single sign on with ABCD. It allows us to leverage our existing customer base for cross sell and upsell.
Our comprehensive B2B platform for MSME ecosystem, Udyog Plus, continues to scale up quite well with more than 2.2 million registrations. Udyog Plus has reached an AUM of 3,300 crore Rupees and it now contributes about 25% of the disbursements and the tota l portfolio of the unsecured business loans. We have further enhanced our integration with the ABG ecosystem to provide credit and supply chain financing solutions to dealers and vendors. ABG ecosystem now contributes about 50% of the disbursements on Udyo g Plus.
We have more than 2 lakh channel partners and we deeply value the vital role that they play in distributing our products. Our B2D digital integrated platform for our channel partners, Stellar, has gone live in January. It offers them a consolidated "One Vi ew" dashboard of their business. It helps them to manage their leads and track them till conversion and enables them to grow their business volumes. It will help us to increase

our product penetration among existing customers.

We had 1,482 branches across all businesses as of December -end. We are focused on capturing white spaces and driving penetration into tier 3 and tier 4 towns and new customer segments. About 60% of our branches are co -located across more than One ABC 240 l ocations.
3. Strategic initiatives
Our Board of Directors approved an amalgamation of Aditya Birla Finance with Aditya Birla Capital in March 2024, subject to regulatory and other approvals. We are happy to share that the proposed amalgamation has been approved by the shareholders in Januar y. We have made an application before NCLT Ahmedabad and expect the amalgamation to get completed by March 31, 2025.
Going forward, we will continue with our approach of driving quality and profitable growth.
Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarter.
Vijay Deshwal :
Thank you Vishakha and good evening to all of you.
The total consolidated revenue grew by 10% year -on-year to 10,949 crore Rupees during the quarter. The consolidated profit after tax was 708 crore Rupees in the current quarter, compared to 736 crore Rupees in Q3 of last year.
In our NBFC business, the loan portfolio grew by 21% year -on-year and 4% sequentially to about 1.19 trillion Rupees. NIM including fee income was 6.00% for the quarter. The credit quality of NBFC business continues to be healthy with a credit cost of 1.36% in Q3.
Our Housing Finance Business continues to see strong momentum. The loan portfolio grew by 62% year -on-year to 26,714 Crore Rupees. During Q3 FY25 we further infused equity capital amounting to 300 crore Rupees in our HFC subsidiary taking the cumulative infusion during the year to 900 Crore Rupees. This infusion was done to support the growth momentum and maximize our share of opportunities which Vishakha mentioned earlier.
Coming to our AMC business, the average AUM increased by 23% year -on-year 3.8 trillion Rupees in the current quarter, of which equity AUM was approximately 47%.
Alternate AUM grew by 32% year -on-year to more than 16,500 crore Rupees in Q3 FY25.
In the life insurance business, our first -year premium increased by 31% year -on-year and group new business premium grew by 32% year -on-year in 9M. The VNB margin was 10.8% in 9M FY25.
In our health insurance business, our unique and differentiated “Health First” model helped us to deliver a growth of 39% year -on-year in gross written premium during 9M of FY25. Our combined ratio has improved from 121% in 9M FY24 to 114% in 9M FY25.
I now hand over to Rakesh to cover the NBFC business performance.

Rakesh Singh :
Thanks Vijay, and good evening, everyone.
In our NBFC business, we saw a 21% year-on-year and 4% sequential growth in our AUM, taking it to Rs 1,19,437 Crore in Quarter 3. We continue to focus on the MSME segment and the business loans to MSMEs grew at 32% year -on-year which is better than the industry. This segment continues to co mprise 55% of our overall portfolio and is a focus area of growth for us.
Our disbursements in Quarter 3 were Rs. 15,233 Cr of which 36% was contributed by secured business loans to MSMEs. More than 53% of our sourcing in business loans is done via direct channels and we foresee this to inch upward with continued scale -up of our B2B platform for MSMEs - “Udyog Plus”. Number of MSMEs using Udyog Plus have been sequentially increasing and we now have more than 22 lakh MSMEs registered on the platform up from 16 lakh registration as of last quarter. More than 20% of disbursements in unsecured business loans segment in quarter 3 has been sourced through Udyog Plus platform.
In personal and consumer loans segment, the industry continues to witness a slowdown in growth to 13.8% year on year in H1 FY25 compared to near 30% growth levels for the same period last year. This drop is largely driven by caution on high -risk segments, and given the tightening measures we have pursued earlier in the year, our growth in this segment will continue to be calibrated.
Given the changes in the macro environment, we took advantage of the market opportunity to tactically calibrate our portfolio mix by reducing our exposure to smaller size unsecured personal and consumer loans and increasing the proportion of secured busine ss loans over

the past few quarters. In fact, 80% of disbursements to MSMEs in Q3 has come from the secured business loans segment which has grown by 37% year -on-year and the segment mix has improved to 83% compared to 80% last year. As a result, the overa ll secured portfolio at an entity level has improved from 69% last year to 74% in Q3 this year . During the last one year our portfolio mix has undergone a change where share of loans to MSMEs increased to 55% in Q3 from 50% an year earlier. Share of perso nal and consumer loans to overall AUM now stands at 13% as compared to 20% last year.

We continue to operate at very efficient cost income ratio of 31.2%. Our Opex to AUM ratio improved to 1.90% in quarter 3 from 2.24% last year, and this has largely been driven by operating leverage as we continue to sweat the new branches opened in last 1 2-18 months to scale distribution. The credit cost has increased by 11 bps quarter -on-quarter to 1.36% which is well within our stated guidance of 1.5%. PAT for the quarter grew by 5% year -on-year and stood at Rs. 600 Cr. The ROA for the quarter was 2.10%.

We continue to closely monitor our portfolio and the asset quality continues to remain strong. The Gross Stage 3 loans are at 2.27% which have declined by 32 bps year -on-year. Our Stage 3 book is well provided for with a PCR of 45.6%.

Moving forward, we remain focussed on developing a granular portfolio and increasing the mix of business loans to SMEs. This will be supported by the scale up of our Udyog Plus platform with new product offerings and increased investment in distribution ac ross emerging regions, aimed at driving growth. In the personal and consumer loans segment, we continue

pursuing the strategy of acquiring customers through platform -based approaches via our branches, ABG ecosystem, and ABCD App. All digital customer acquisition processes on the App and Udyog Plus are designed for end -to-end control, covering everything from underwriting to collections, ensuring complete customer ownership. As we scale up, strengthen our capabilities, and invest in technology, our primary commitment remains to deliver sustainable returns in the upcoming quart

ers.

With that, I will now handover to Mr Pankaj Gadgil, MD and CEO of Housing Finance business.

Pankaj Gadgil:

Thank you, Rakesh, and good evening, everyone. I'll now present ABHFL's performance for Q3 FY25. We have achieved all -time high disbursements for the sixth consecutive quarter, reaching ■4,750 Cr. Business from ABG ecosystem has contributed 13% of retail disbursements, up from 9 -10% in the recent quarters. GNPA has now reduced to below 1%, marking a consistent decline in absolute GNPA and reaching its lowest level in the past 15 quarters.

The key highlights for Q3 FY25 are as follows –

• We recorded highest ever quarterly disbursement of ■ 4,750 Cr, which is an increase of 136% YoY & 18% QoQ
• Our AUM as of Dec'24 stands at ■26,714 Cr., an increase of 62% YoY & 15% QoQ
• Our customer base is now at ~82,300 and has grown by 36% YoY, with the average ticket size of retail segment at ■ 28 lakhs
• We also recorded the highest ever PBT of ■ 110 Cr, which is an increase of 10% YoY
• Stage 2 & 3 has reduced to 1.77%, which is a reduction of 177 bps YoY & 45 bps QoQ
• ROA for the quarter is 1.42% and ROE is at 10.66%

For more detailed financial information, please refer to slide 28 of the presentation.

I would now like to provide a brief update on a few pillars of our growth:

First on portfolio quality, as mentioned earlier Gross NPA has reduced both in absolute and percentage terms, which is at 0.99% in Q3FY25, a reduction of 119 bps YoY & 30 bps QoQ. For more details on portfolio quality, please refer to slide 26 of the presentation.

Focusing on Digital Reinvention, data, and analytics, we have leveraged technology and data remains central to our strategy, as reflected in the growing platform adoption and initiatives like account aggregator, now at 35%+.

We have successfully implemented several models across the customer journey, from demand generation to collections. Application score card and collections score card have already started delivering gains reflected in the portfolio quality.

Lastly, in terms of our liability management strategy. With a competitive COB of 7.77%, the company's borrowing profile continues to be well diversified & cost effective. I am happy to share that we have successfully raised NCDs amounting to ■ 830 Cr from IFC in Dec'24.

These funds will be utilised towards providing housing loans to low -income and middle -income groups, with a particular focus on encouraging home ownership among women. A portion will also be allocated to supporting MSMEs, especially women -led enterprises, to drive

growth and economic progress.
We continued to demonstrate strong performance across all areas, including book growth, digital transformation, asset quality, and liability management.
Thank you for your attention, with that, I now hand over to Bala, MD and CEO of our Asset Management Company.
A. Balasubramanian :
Thank you and good evening to everyone attending. I would like to share some highlights of ABSLAMC for Q3 FY25.
o At ABSLAMC, our Overall Average Assets under Management, including alternate assets stood at Rs. 4 lakh crores, reflecting a 23% year -on-year growth.
o Our Mutual Fund quarterly average AuM reached Rs. 3.84 lakh crores growing 23% year-on-year. The quarterly Equity average AuM stood at Rs. 1.79 lakh crores growing by 32% year -on-year.
o Our SIP book grew by 38% year -on-year from Rs. 1,005 crores in December 2023 to Rs. 1,382 crores in December 2024. We also added around 6.70 lakh new SIPs, a 3x increase compared to the previous year.
o Our total investor folios stood at 1.05 Crore with around 24 lakh new folios added during the 9M FY25.
o The uptick in equity investment performance, driven by improved perceptions and stronger narratives, has helped us gain traction in equity net sales during the quarter.
o During the quarter, we

launched ABSL Conglomerate fund which garnered Rs. 1,375 crores. We also conceptualized and launched Industry first 3 - 6 months index fund which has garnered Rs. 715 crores.
The Retail sales team is focused on driving deeper market engagement and building lasting impact through key initiatives like -
o Yashaswi – for empowering women MFDs
o Fulcrum – for equipping MFDs with tools to build high -performing teams and drive growth
o Legacy Leap – for sharpening the skills of the next generation of MFDs.
Together, these initiatives will help us create a long -lasting impact across the retail sales channel.
On the Alternative business front, to meet the growing needs of HNIs and family offices, we continue to strengthen our team and enhance our PMS and AIF offerings, both in Equity and Fixed income.

o Our PMS/ AIF assets grew by 44% year -on-year from Rs. 2,671 crores to Rs. 3,853 crores.
o Our Offshore assets, grew by 28%, from Rs. 9,894 crores to Rs. 12,686 crores.
In line with our vision to scale the Passive business, we continue to offer a diverse product portfolio to our investors, delivering strong returns. As of December 2024, our passive assets totalled Rs. 31,600 crores, with a customer base of over 10.68 lakh folios. With 52 products currently availabl e, we plan to expand further with new fund launches in the coming quarters.
Moving on to the financials for the quarter -
o Our quarterly Revenue from Operations was at Rs. 445 crores v/s Rs. 342 crores in Q3 FY24; up 30% year on year.
o Our quarterly Operating Profit was at Rs. 262 crores v/s Rs. 184 crores in Q3 FY24; up 42% year on year.
o For 9M FY25, our Revenue from Operations was at Rs. 1,256 crores v/s Rs. 988 crores for 9M FY24; up by 27% year on year
o For 9M FY25, our Operating Profit was at Rs. 710 crores v/s Rs. 528 crores for 9M FY24; up by 35% year on year.
Thank you With this I will now handover to Kamlesh Rao, MD and CEO of ABSLI company .
Kamlesh Rao:
The overall Life Insurance Industry saw a robust growth in the 9M FY25 period, Individual first year premium grew for the Overall industry by 14% and for the private players by 19%. For ABSLI during the same period the growth was at 31% with healthy growth across proprietary and partnership channels. Our new business policies have grown by 28% till YTD Dec'24.
For ABSLI the proprietary channels saw a robust growth of 34% in YTD Dec'24 on the base of both better productivity and capacity. Our new tie -ups in Bank of Maharashtra and IDFC Bank continue to have positive traction every quarter and Axis Bank is expecte d to touch close to 100 cr by the year end. These combined with our existing 8 bank partners saw growth of 30% in YTD Dec'25 for ABSLI.
In the Group Life Insurance segment, the private industry grew by 9%, overall Industry grew by 7% in 9M FY25 and ABSLI registered a growth rate of 32%. Better growth was contributed

by superior performance both in the Fund as well as the Credit Life Busine ss. Our Group AUM is around 25,880 Crores as on Dec'24 and contributes to ~27% of ABSLI overall AUM. Our total premium for the year at ■ 13,605 crore has registered a growth rate of 23% over last year same period, with a 2 -year CAGR of 16%. This growth came from new business as well as renewal premium growing at 13%. Our digital collections now account f or 82% of our renewal premium. We continue to work on Customer Lifetime value, which is reflected in our upsell ratio which reached 28% and helped productivity growth in both proprietary and partnership channels.

In the product mix of the individual business, traditional business including protection contributed 65% and ULIP was 35%. In the credit life space, we have slowed down our micro

finance business counters whilst growth is being observed in all other retail counters. Our Ca

ptive businesses attachments have grown significantly in the last 9 months of this year

Our quality parameters continue to trend better across all areas. Persistency across all buckets did well in the 13th month at 87% and the 61st at 67% which will make us top quartile in the industry. Our consistent efforts on bringing cost efficiency along with optimum investments into the business have resulted in Opex to Premium at 20.8% vs 19.8% LYSP.

Our Asset under management now stands ■ 97,286 crores, with a YoY growth of 19%. Twenty -five percent of this AUM is in equity and the balance 75% in debt. We continue to outperform in our investment performance in respective benchmarks across all three categories of Equity, Debt, or even Balanced funds, either from a 1 -year or 5 -year perspective.

Our digital adoption across various areas is demonstrated in Slide xx. 100% of new business customers are onboarded digitally, 83% of all our services are now available digitally, covering 67% of our customer transactions, and our customer self -service rat io now stands at 93%. We went live with our New Service CRM powered by Sales Force from mid -November. As we move ahead, we will continue to be best -in-class in our digital infrastructure, across prospecting and onboarding in sales, underwriting, and customer service as well as claims.

I am happy to share that we have been awarded the best life insurer by Fortune India in their Jan'25 edition for our last year's performance in terms of business growth as well as our quality parameters like persistency, claim settlement ratios which have been backed by headways into digital and product innovation.

We raised capital via rights issue in Dec'24 to the tune of Rs 311 Crores. Both existing shareholders have subscribed to this issue.

Value and Guidance :

Our solvency continues to remain at a healthy rate of 194%.

As we said last quarter, our focus has been on beefing up distribution by increasing capacity in our proprietary channels covering both agency as well as our direct business, and investments in capacity in our newly acquired bank partners which helped us g arner incremental mind share.

Our Net Margins, which for the first 6 months was at 7.4 % has now moved for the 9M FY25 periods to 10.8% vs 15.6% LYSP. We saw significant expansion of margins in Q3, with Q4 being the largest quarter of the year we see even more expansion of margins in this quarter and continue to maintain our earlier guidance of 17 -18 % Net Margins for the year.

Regulations :

We have relaunched major top selling products in compliance with the new surrender regulations in Oct as directed by the regulator. We have also realigned commission structures with the distributors as mentioned last quarter. We do not foresee any adverse impact on New Business margins on account of the same.

With this I now handover to Mayank, CEO of our health insurance business.

Mayank Bathwal :

Thanks, Kamlesh and I would like to now share an overview of the performance of our Health Insurance Business.

With a strong Q3 we continue to build on the H1 FY25 growth momentum. In the first nine months of FY25, without the multiyear accounting norms we achieved a gross premium of 3505 crores, experiencing a strong 46% YoY growth. Our Q3 growth accelerated to 59 % vs 43% growth experienced in Q2, thus further strengthening our position as the fastest -growing SAHI player during the quarter. The performance is further amplified given the new long term accounting regulations introduced by the regulator in Q3.

Basis long term accounting norms 9M GWP with a YoY growth of 39% is at 3,337 crores. Similarly, our Q3 GWP is at 1,167 with a YoY growth of 39%.

Our market share in SAHI has increased from 10.7% to 12.0%, a YoY increase by 138 bps.

The growth continues to be driven by our retail franchise diversified across all major distributio

n channels.
The proprietary channel with an advisor count of over 1.34 lac agents experienced a 26% YoY growth. All our major bank and digital alliance partnerships have also experienced impressive growth leading to our retail franchise growing at 46% in 9M.
Our flagship product Activ One has successfully completed one year since its launch in November 2024. The product with seven variants continues to be one of the most comprehensive indemnity products in the industry and is enabling the organisation to penet rate newer customer segments. The product continues to inspire competition industry products.
The Corporate business experienced a strategically controlled 47% YoY growth, driven by a sharp focus on profitability through careful customer segmentation, and our industry -leading Outpatient Department (OPD) business. We are strategically concentrating on Mid Corporate and SME segments to continue to build a sustainable qnd profitable corporate business.
The recent IRDAI guidelines on revenue recognition for long -term policies represent an important regulatory shift. The unit economics of the business remains unchanged however the new accounting regulations do impact the accounting financials in the short to medium term till we migrate to IFRS.
Despite these regulatory adjustments, we are pleased to report that our net loss for the 9M period improved to Rs. 195 crore, compared to Rs. 270 crore in the same period last year. the reported CoR at 114% is a significant improvement over last yet nos an d this highlights our ongoing efforts to optimize performance in a challenging regulatory environment. But for the change in accounting norms our 9 M COR would have ended at 110%.
Our Health First model continues to scale and mature. The outcomes for some of the intervened cohorts are now visible. Our scaled digital health assessment provides us with valuable insights into customer health. The percentage of customers influenced by participating in healthy behaviour has reached to close to 24% on an enlarged customer base. These customers continue to exhibit lower loss ratios, up to 40% at various cohort level. Likewise, customers earning positive Health Behaviour based incentives exp erience loss

ratios up to 43% lower than the baseline case. This is shown in slide 55. Overall, this has kept our retail loss ratio well in control.
We have invested in building deep capabilities in managing customers with high health risk through a combination of first of its kind product offerings and human/digital capacities to manage the disease burden for those set of consumers. The customer engag ement capabilities and insights are disclosed on Slide 54. Through a combination of our inhouse health Coaches and our partners, we have intervened in more than 120K High risk lives to improve their health vitals leading to lower Claim ratios.
Our 'Promise of Insurance' is centered on providing industry leading experience. Investments in state -of-the-art AI/ML -driven claims auto -adjudication engine witnessed encouraging results. This will further enhance customer satisfaction and enable claims c osts management more effectively.
We are leveraging data analytics to optimize every step of the insurance lifecycle. From a Revenue Boost through advanced sales activity tool to Customer Selection based on risk analysis, our data -driven approach is transforming how we operate. Additionall y, our robust customer health data collection enables better customer profiling and tailored solutions, driving value across all areas of our business.
We continue to invest in our industry leading Activ Health App. The App now provides opportunity for non -policy holders to experience our comprehensive app ecosystem. Our YoY App downloads have increased by 183% with YoY MAU increase by 157%.
Looking ahead, we remain optimistic about the long -term growth prospect

s of the health
insurance sector. and more so given our differentiated and resilient business model. Our vision is to aggressively expand our franchise while upholding best -in-class uni t economics and a steadfast focus on profitability.
Thank you, and I will now hand it back to Vishakha for her closing remarks.
Vishakha Muly e:
Thank you everybody for joining us today evening and will be happy to take any questions.

Moderator:

Thank you very much. We will now begin the question -and-answer session. We'll take a first question from the line of Chintan Shah from ICICI Securities .

Chintan Shah :
A couple of questions. Firstly, ma'am, on the HFC growth, a question to Pankaj, sir, we have seen a robust growth of 62% probably Y -o-Y basis. So what are the potential drivers and so where we should see the growth over the medium term? What could be the s ustainable growth? And what are the key drivers for such a robust growth? Firstly, on that, so I'll ask together or separately?

Vijay Deshwal :
You may please go ahead, Chintan, you can give all your questions, and we'll answer them one by one.
Chintan Shah :
Yes. Secondly, on the PCR in the NBFC segment on Stage 3, it is around 4 5.6%. So probably it is stable Q -o-Q, but seems to be declining. So now I think we are moving to the secured segment, so how should we see this PCR going ahead? So what could be the stable number there? And also the Stage 2 has seen some inch up. So any thoughts there?
And then it is on the ROA front for the NBFC piece. So it is 2.1% ROA. So if you look at the margins, over the last 1 year margins have compressed around 90 bps Y -o-Y since probably we are moving to a secured mix versus the unsecured portfolio and running down the unsecured piece. But then the credit cost has not -- has declined only like around 10 bps Y -o-Y?
So the ROA has seen a massive hit. So what are the levers probably to expand? And so apart from starting the growth in the personal consumer segment are there any other levers? H ow should we see the ROA over the medium term? Yes, that's it from my side.
Pankaj Gadgil :
Chintan, Pankaj here. I'm taking the question on housing finance and then I will leave Rakesh to handle the next question. I think if you see the disbursement , this is a culmination of several consistent quarters on growth that we've seen in disbursement. So this quarter, we saw 18% Q-o-Q disbursement.
But if you see the last 6 to 7 quarters, you will see a similar trajectory. Now of course, the trajectory has even more accelerated. So it's a pretty consistent approach in growing the disbursements. It is coming on the back of 3 or 4 important things. I think over the last calls that we've had for the quarters, I've been speaking about it, but I just reemphasize those.
I think over the last 18 months to 24 months, we have made investments in widening our distribution. So the number of people that are there in sales , operations and the entire structure has been strengthened quite meaningfully. That, of course, by creating capacity is leading to high disbursements.
Second is we have invested quite significantly in digital platforms, both in terms of our sales processes. And we have the best -in-class customer relationship management that we're using to ensure that our sales processes are best in class. The third is we were also speaking about Finverse which is an end -to-end platform that we have launched from prospecting to disbursements.
And I'm very happy to share that not only is Finverse being used by our teams for sourcing applications, even our channel partners are also directly logging in our business on Finverse. That is clearly helping in decongesting the entire file flow and is gi ving face time for our teams

to focus on meeting customers and also channel partners. So prod

uctivity is also one thing
that we have seen significant growth, that's both on capacity and also productivity.
The last thing that I want to share is that, we've been also speaking about the contribution of our disbursements coming in from the ABC and ABG ecosystem. And in this quarter, you would have noticed that 13% of the disbursements actually are coming in fro m the ABC and ABG ecosystem.
So there are a huge set of opportunities which are coming into through ABCD, our ABC Select partners and ABG group ecosystem. I think with a combination of the digital platforms, and also the capacity that we've been able to bring.
I think all this put together is resulting in growth across the affordable, prime, and also developer finance business for us. When it comes to the guidance, I think we've been speaking that we will be seeing similar trajectories of growth in the next few quarters, and that is where we are.
I'll leave it to Rakesh for the next question.
Rakesh Singh :
So Chintan, your first question was on PCR that year -on-year, the PCR has come down by 3%-4%. That's primarily on the backdrop of a change in the product mix. If you see secured

book has gone up from 67% to 74%, and that is the result that PCR is at 46%. So this PCR is quite stable. We have of 74% or about 3/4 of our loan book is secured by collateral, real estate collateral, securities, and all and that's the reason even in the unsecured business, we have CGTSME guarantee as well. So that's the reason our PCR looks very, very comfortable.
Your second question was on Stage 2. That Stage 2 has gone up marginally q-o-q. If you look at year -on-year, it has come down. But yes, compared to the last quarter, it's gone up marginally. But by end of Jan, we have been able to pull back all these loans which had become stage 2. As you know, the definition of stage 2 is 30 plus. So even a customer goes up to 31, 32 days, it moves into Stage 2, it all has been pulled back.
The third question was on margin in terms of that we have seen 28 basis points lower margin compared to the last quarter and 90 -odd basis points compared to last year. This is, Chintan, again on the backdrop of change in the product mix. Our yield and NIM are a function of product mix. As I mentioned earlier, secured business has gone up from 67% to 74% . Also, if you see our personal and consumer business, which we had started in terms of tightening and dialing down post the RBI intervention on small ticket unsecured loans and some bit of partnership that's now started stabilizing, and we would expect that to grow in the next couple of quarters. So that should help us.
Also on the unsecured business, which has similar yields and margin, that piece also, if you see, has gone up, it's grown 12% year -on-year and 2% quarter -on-quarter. That should also start scaling up in the next couple of quarters. So that should help to i mprove and stabilize our margins.

Your question on credit costs. Credit cost is in the range as we had always guided that it will be below 1.5%. It's at 1.36%, so it's in the range. And yes, over a period of time, we will like to see that credit costs remain stable, margin expanding. That should help us improve our ROA.
Chintan Shah :
Sure. Thank you for a very detailed one. So probably, but any sense on the product mix, if I may ask, what would be the product mix from 67% to 74%, we have moved to secure, so any ballpark number which we are looking beyond which we won't move the secured mix or it could -- there is no such number in mind, yes?
Rakesh Singh :
So if you look at today, our personal and consumer has come down from 19% odd to 13% . We would like to grow it back to 18%, 20%, not immediately, but in the medium term. And also on the business loan-- unsecured business segment, if you look at, that's grown 12% year-on-year. We would like to grow that furt

her. And so that's how we are really looking at
managing the margins, Chintan.
Chintan Shah :
And so any ballpark number on the margin? So could it decline further from here on? Or should we expect some stability around current levels of 6%? Yes, that's the last one.
Rakesh Singh :
I think we should see stability around this number before it improves.
Moderator:
Next question is from Anuj Singla from Bank of America.
Anuj Singla :
So I'll start with the housing finance business. So a question for Pankaj, please. Firstly, if I look at the Y -o-Y growth, a lot of that has been driven by the non -housing segment LAP and construction finance, housing is down by around 850 basis points as pe r my calculations to 57%. Can you give us some sense of where this can settle down and you also have that criteria for the principal business. Where are we in that? And how much scope we have for reducing the housing proportion in the overall mix?
Pankaj Gadgil :
Anuj, Pankaj here. At the end of Q3 FY '24, if you look at what we have also listed in the slide, we had a 65% housing . It is now showing at around 58%. So the observation is -- you're right on that side. Having said that, I think like we also maintained -- we are a full stack player, who is operating in the housing, non-HL and also developer finance portfolio, all the 3.

So I think opportunities existing in all the 3, and we've been able to successfully ensure that we filled a presence across all the 3 segments. Having said that, there are 2 things that we'll have to keep in mind is, first, the quality mix across segments, which is appropriate. I think the numbers speak for themselves on the portfolio quality that we have been able to get.
So we are very, very conscious and while the earlier question was being asked, disbursements have grown. But I think we are very focused that we use analytics right across

the chain, right from onboarding. When you look at the onboarding bureau scores, the re are also bureau scorecard which gives us a very good indication of the criteria.
Also, we use data analytics on delinquency management and flows . I think your question on regulatory, what are the percentages for housing loans, the minimum threshold is 50%. Overall, housing including retail construction finance , the criteria is 60% .
On both the criteria, I think we are comfortable right now. In housing loans, we are in that range of about 53% to 54% and well above the 60% mark overall . So I think the opportunities are still there. But at the same time, we have to keep looking at both HL and LAP and across all the segments to see the growth trajectory.
Anuj Singla :
So will some mix change materially from here or it can settle down in the same level which we have seen for third quarter?
Pankaj Gadgil:
Because 50% is anyways the threshold. So we would want to remain in that 53 to 55 % kind of a range .
Anuj Singla :
Secondly, can you give us some sense of the margin risk from the rate cut, if it comes through on the liability side, what kind of flexibility you have on the variable costing and on the asset side as well?
Pankaj Gadgil:
So overall, if you see on the side of the asset, 95% is variable, 5% is fixed . On the side of liability, 39% is fixed and 61% is variable. Of the fixed, broadly 6% is NHB and 33% is NCD. That is the broad breakup of the liability. But currently, if you see and you are there in the market, you will know that there is a wide spread between the term loans and the NCDs.
So there is clearly a difference ins at which we are borrowing on NCD versus the term loans. That's not with us, but with the market. So I think we are fully placed on that side, and we've been able to factor that when we are managing our assets .
Anuj Singla :
Okay. Second question is on the life insurance business, to Kamlesh. So you did talk about changes on the d

istribution commission side as well as product structure because of the

surrender value regulations. Can you give us an idea if there is some impact of that surrender value regulation in this quarter margins as well? Or were you able to recoup everything out of that?
And when we look at the product level margins because of the new products, which you have launched, have you changed the IRR? Or is there a significant change in the product level margins, which have happened after the surrender value regulations are put in play?
Kamlesh Rao :
I'll answer the question in 2 parts. So obviously, when the new surrender regulations came in, all products had to be refiled and relaunched on 1st of October. So there would have been some timing mismatch between, first ensuring all the products are on th e table and then, of course, whatever we have to do with the surrender regulation incorporation. So some loss of time would have got incorporated in that, which is why I said that quarter 4 will look better because some bit of that we would have lost in qu arter 3 from a timing point of view. So it will only get better. I must say that margins have gone down on account of both the impact be on surrender regulation is changing and also on guarantee products, the G -Sec is lower than what it used to be, that impact also comes in. But for the second one, appropriate reduction in customer IRRs have been passed on again during the quarter. And again, there would have been some timing los s in that process in the quarter, which is like fully established right now for the quarter that we speak about, which should be in Q4.
So broadly on surrender, fully taken care of , on account of G -Sec incorporated through the quarter, and you will see the expansion of margin story that I would saying will fully reflect in Q4 of this year, apart from the size of the volume that we have.
Anuj Singla :
So is it possible to quantify the independent impacts like for the surrender value, if it were not to be there, what could be margins for 3Q would have been higher by, let's say, 15, 20 basis points or whatever the number is. And similarly, for the reprici ng impact on the non -par side, is it possible to quantify, these 2 in independent buckets?
Kamlesh Rao :
Possible. But like I said, we'll have to get through every period of 1 month because, like I said, when 23 products get launched, you have to launch that first before deciding the drop in the rate, but I can reach out to you separately for details.
Moderator:
Next question is from Abhijit Tibrewal from Motilal Oswal .

Abhijit Tibrewal :
First question is on NBFCs. Two sub questions there. First one is, if I look at our presentation, there has been a deceleration in the disbursements in this quarter. So I remember hearing in my opening remarks, we've been talking about calibration in our unsecured business areas

and growing our secured business. So -- but if I look at the segments and presentation, I see there is really broad -based deceleration in this quarter. So how should we read that?
And the related question here on NBFCs again is that there have been NBFCs who reported earlier during the quarter, and we've been talking about completely dialling down their partnership businesses. So I mean, I just wanted to understand how are we thinki ng about our basically consumer loan business that we do through partnerships? That is on NBFCs.
I have one more question. The second one is on the ABCD app. Again, I see on your slides, you've talked about introducing credit line and UPI from the next quarter. So I just wanted to understand if you can give some color of how we are thinking about that product? And lastly, out of our disbursements in the HFC in the third quarter and 9 months, what proportion of disbursements came from BTs? Those are my q

uestions.
Vishakha Mulye :
From where? Sorry?
Pankaj Gadgil :
Can you repeat the third part? Third question, can you repeat?
Abhijit Tibrewal :
The balance transfer, BTs, what proportion of disbursements came from BT?
Rakesh Singh:
So Abhijit, the first question on disbursement coming down in quarter 3. As you know, there are different cycles in terms of the business through the year. So yes, quarter 2 was stronger . If you compare year -on-year. I think primarily de-growth is coming from personal and consumer segment, which is 47% down year -on-year. Again, quarter 4 will be better. So we should be able to catch up on disbursements. So that's your first answer.
On consumer loans through partnerships, as I mentioned in my opening remarks, we have built capability in terms of sourcing through branches. So now we have almost 450 branches through which we sell consumer and MSME business. Also, we have built our own digital journeys for consumer loans, which is our direct consumer journey. So that's another piece which we are really building up and we have ABG ecosystem is another one through which we are trying to build scale.
And fourth is the ABCD app. So that's another platform through which we are sourcing and on the MSME side, Udyog Plus. So all of these 4-5 things is what will help us in terms of driving our consumer and small ticket MSME loans. So clearly, that's how the strategy is to own the customer, own the journey and clearly end -to-end ownership of the customer and the journey.

Pankaj Gadgil:
I will take the second and third question, Pankaj here. So the first question answers a bit nuance, credit line on UPI I'll just explain that you. When the customer opens an ABCD app and he's creating a handle, the handle is your mobile number@abcdicici. Currently, there are 2 options which come in for the customer. One is that you link your bank account. So you link your existing bank accounts which are there. That's one payment mode. The second is, of course, if you have got a RuPay credit card, then you are able to connect the RuPay card. What credit line UPI means is that currently, credit line on UPI is live with all the issuing banks. So if you are a customer and for your respective account, if a bank has given you a credit line on UPI, then when you are creating the UPI handle you can use it. The first option is bank account, second option could be RuPay credit if you have it and the third option will be the credit line, which has been given to you by your issuing bank which you can link. Once you link it on the ABCD app, then you can make payments from all the 3. So that's the first part of the story. So we'll be going live with that functionality. So if, let's say, a customer is an ICICI Bank customer, example, and he's already got a credit line for ICICI Bank and it's also having the credit line facility with UPI. When he opens up the ABCD app, he wil l be able to -- he or she will be able to link up the credit line. That's one.
Second is we are also going one step further. There could be some customers who may not have the credit line from the bank. It's not preauthorized. So working with the banks to ensure that this credit line can actually go that of the bank, and they can pro vide a credit line. And then instantly, we should be able to move it up on credit line on UPI facility.

Right now credit line on UPI is not there for NBFC. In time to come, we've also put in our request to NPCI to make sure that also gets done. When that happens, then that line could also be an ABFL line, which could make this complete in -house.
Coming to your third question, which is BT in. So like you're rightly asking, we also track disbursements which come to us, which is the first time and also the BT. So probably a BT disbursements, that number between 8% to 10% of the total disbursement tha t we do.
Abhi

jit Tibrewal :
Can you repeat that, please? What was the BT in?
Pankaj Gadgil:
The credit disbursement that we do, that proportion of BT in is between 8% to 10% of total disbursements that we do.
Moderator:
Next question is from Avinash Singh from Emkay Global Financial Services .
Avinash Singh :
A couple of questions. The first one on your lending businesses against what I want to understand I mean if I look from the profitability perspective and go back, say, 4 quarters. In

the NBFC, you were kind of delivering nearly 2.4% -odd kind of ROA. Now at this juncture, of course, that unsecured business winding down had an impact.
But today, kind of you are at a 2.1% -odd ROA. Now from here to, say, 2.5% because I recall even at 2.4% -odd the ambition was to further improve eventually, I mean, more towards 3%. But now from this 2.1%, if you are aiming for, say, 2.5% -odd, I mean, how t his road is going to be because if I look from interest rate perspective, by and large, I mean, on the asset and liability side, fixed and floating are matched.
So I mean, the rate cut cycle is also not going to help. So rather improvement has to come from, I mean, largely, I would expect from the margins because on the opex side, you are already reasonably good. So how is this journey and how long will this take again, say, maybe 2.1% to 2.5% journey. That's on the NBFC side.
On HFC side now, of course, I mean you have been investing a lot in capacity building, and that is delivering growth, but that is also leading to sort of a currently opex ratio being elevated. So at what scale, what time line, I mean, you would expect and what is that optimal your opex to AUM or cost to income ? I mean, currently, you are running more closer to 2.9% kind of opex to AUM and for HFC to be kind of a reasonably, I would say, respectabl y profitable you need to significantly lower it down.
So what could be the time line, at what scale probably you would be hitting that and what is that desire of opex to AUM? These are sort of a question for lending. And just one data keeping kind of a question, if you can just provide some color on the ARC t ransactions that you have done in this quarter in NBFC. I mean what was the underlying asset, what sort of recoveries, cash or like what the structure with ARC based?
Rakesh Singh :
First question was on ROA, come down to 2.1% from 2.4% , and that's primarily a result of the margin compression, which we spoke earlier. As we change the product mix and improve our disbursement and growth in personal and consumer and also the MSME unsecured, I think that margin expansion should happen. Also, if you look at the overall product mix at this point in time, almost 74% - 75% is secured. That should also help us at least in the near future in terms of bringing down the credit cost. So I think thes e are the 2 levers, which should help us to go from 2.1% to 2.4% to 2.5%. So that's a question you had on NBFC.
Pankaj Gadgil:
Yes. I'll go next. So I think the question that you had raised was what is the long -term -- how do we see the ROAs going up? So if you see the numbers, I think currently, the NII for us is 4.94%. And as you had mentioned, the opex to average loan book is 290 basis points and credit cost is about 19 bps . I think we've been speaking about this and to your question at what capacities the operating leverage will come in , when t he proportion of new disbursements to the overall book keeps reducing because the book becomes larger , the current opex to average loan book, which is 2.8% is bound to get to in the range of somewhere between 1.6% to 1.7% in the next 18 to 24 months, which is about 110 to 120 basis points reduction.

We also expect that the NII which is now 4.94% to be in the range of between 4.6% to 4.7% due to competitive intensity and cost

of borrowings changing a bit . So if that is the number
the NII -4.65% -4.7% , and 165 to 170 basis points is the opex with a similar kind of a credit

cost, the ROA post tax will be in the range of between 2% to 2.1%.
That is the guidance, probably that we are working towards. And those numbers should get achieved between the next 18 to 24 months. That is where we are on this. I think the growth I already spoke , about the consumer trajectory of growth. So the next 18 to 24 months where the book size will be one can estimate that .
Tushar Shah :
On the ARC front, there's no new transaction we have done. The profitability is due to the increase in the net asset value of the assets we are holding. So that's the reason for the profitability. Otherwise, we have not done any new transaction in Q 3.
Moderator:
Next question is from Punit Bahlani from Macquarie Capital .
Punit Bahlani :
Mainly on the PCR bit, you said that because you are going to -- sorry, since you're going into a secured mode, PCR is low. But as we plan to expand our personal loan business, is it fair to assume we'll be adding back towards the 50% PCR level? Or what's the plan there? And accordingly, should we bake in maybe some 10 bps to 12 bps increase in our credit cost?
When I look at the unsecured business, the Stage 2 and Stage 3 has increased by around 20-30 bps. So what's -- like are there any forward flows? Is there any cause of concern here in this business?
And thirdly, on the overall Stage 2 -- like Stage 2 has increased, but the Stage 3 has declined. So while you clarified that Stage 2, you have managed to pull it off in January. But is the Stage 3 decline because of higher write -offs? Or is it any other re ason? Yes, those are my 3 questions.
Rakesh Singh :
So first question on PCR, when we grow consumer and personal loans, whether the PCR will go back to 50%, see the PCR as an outcome of the ECL model. With the unsecured business growth , the PCR will grow. So to answer your question is that if the personal and consumer and unsecured business es grow, PCR will grow.
The second question which you had on the forward flow of the unsecured business, so if you look at the personal and consumer, that has been quite stable in spite of book not growing and de -growing I think that is quite stable, both Stage 2 and Stage 3.
On unsecured business, there has been a marginal increase in Stage 2 and Stage 3 . The forward flow in that segment is anywhere between 40 crores to 60 crores on a quarterly basis. And last quarter also, the forward flow is 50 crores . So there is nothing new or nothing

worrying which we are seeing. It's because of the denominator effect, you are seeing the percentages looking slightly higher.
Punit Bahlani :
And since this is credit guaranteed like what is the timeline? I think last quarter, we had highlighted we get the recoveries in 12 to 15 months. Is that also may be a reason that the recoveries once they come in, then you account and the number swings down, something like that?
Rakesh Singh :
Yes. So this is a question about cash flow of SIDBI and when and how it releases the funds, In the new financial year, I think there will be release of funds . But to answer your question, there can be a question on the cash flow. It's only a timing issue.
Moderator:
Thank you very much. Due to time constraints, we'll have to take that as the last question. I would now like to hand the conference over M s. Vishakha Mulye for closing comments.
Vishakha Mulye:
Thank you, everybody, for joining us. If there are any more questions, please feel free to reach out to any of us, and we look forward to answering all your questions. Thank you so much.
Moderator:
Thank you very much. On behalf of Aditya Birla Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: May 2025

Moderator:
Ladies and gentlemen, good day and welcome to the Q 4 FY25 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Vishakha Mulye , MD & CEO, Aditya Birla Capital Limited , over to you ma'am .
Vishakha Mulye:
Good evening, everyone and welcome to the earnings call of Aditya Birla Capital for Q 4 of FY2025.
Joining me today are senior members of my team Bala, Rakesh, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Deep. I will cover our strategy, financial and business performance and Vijay will cover key financial and business highlights followed by a disc ussion on performance of our key businesses by our business CEOs.
The economic environment remains volatile due to recent tariff measures and geo political tensions in the region which pose uncertainties for growth. Amidst this turbulence, bond yields have softened and crude oil prices have fallen. CPI inflation has cool ed significantly and RBI has reduced repo rate by 50 bps along with a change in stance from neutral to accommodative and has also taken various measures to improve system liquidity and stimulate growth.
At Aditya Birla Capital, we continue to focus on driving quality and profitable growth by leveraging data, digital and technology. We follow a customer centric approach to build deep understanding of the needs of our customers and provide them simple and h olistic financial solutions in a seamless way. Prudent risk management practices form the bedrock of our approach which has enabled us to protect capital and deliver risk -calibrated and sustainable returns across businesses. We also continue to strengthen our omnichannel based distribution network.
Before we talk about the financial performance, I am pleased to announce that we have successfully completed the amalgamation of Aditya Birla Finance with Aditya Birla Capital, following all requisite approvals. The appointed date of amalgamation is April 1, 2024 and effective date is April 1, 2025. Aditya Birla Capital now has two business segments, first - the NBFC lending business and second -the investment business through which it will continue to hold investments in all its subsidiaries and associate bu sinesses. This marks a significant step in our transformative growth journey, increasing our strength and agility as a unified
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Transcript
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larger operating entity. With a simplified corporate structure, we now have better access to capital to drive operational synergies, long -term growth and enhanced value creation for all stakeholders. Coming to the financial and business performance .
1. Growth and profitability
a) During Q4 of FY25, the consolidated profit after tax, excluding one -off items, grew by 24% sequentially and 6% year -on-year to 865 crore Rupees and the total consolidated revenue grew by 29% sequentially and 13% year -on-year to 14,138 crore Rupees. For FY25, the consolidated profit after tax, excluding one -off items, grew by 8% year -on-year to 3,142 crore Rupees and consolidated revenue grew by 20% to 47,369 cr ore Rupees.
b) In our NBFC business disbursements increased by 28% sequentially to 19,523 crore Rupees in Q4 FY25. The NBFC portfolio grew by 20% year -on-year and 6% sequentially to about 1.26 trillion Rupees. The secured business loans to SMEs grew by 28% year -on-year a nd 7% sequenti

ally. The corporate and mid -market portfolio grew by 27% year -on-year and 6% sequentially. The unsecured business loans to SMEs grew by 10% year -on-year and 8% sequentially.
We have highlighted in our previous quarters' earnings call that given the early warning signals and challenges in the operating and macro environment, we had calibrated our sourcing from certain digital partners and reduced our exposure to smaller ticket size

personal, consumer and unsecured MSME loans. This approach has held us in good stead. Our portfolio quality continues to remain robust with credit cost improving by 22 bps year -on-year and 15 bps sequentially to 1.21% in Q4 FY25. Gross stage 2 and 3 loans declined by 71 bps year -on-year and 47 bps sequentially to 3.78% as of March -end. Our gross stage 3 PCR was 45%, at a similar level compared to the previous quarter.

We now believe that operating environment has stabilized. In the personal loans and unsecured MSME segment, we are focusing on strengthening our internal sourcing channels and acquiring customers through our branches, ABCD App and ABG ecosystem. Our ABCD a pp continues to scale up well and contributed about 5% of the personal loans disbursements in March. We have seen the disbursements in the personal and consumer segment grow by 4% sequentially to more than 3,000 crore Rupees in Q4 FY25. Further, we are als o looking at collaborating with a few marquee digital platforms. In these arrangements, while the sourcing will be done by the partners, the underwriting, fulfillment and collections lies with us. We have also strengthened our retail and SME products, unde rwriting, sales, and distribution teams. We believe that these actions will help us to grow our personal and unsecured SME loans and gradually increase their mix going forward.

The profit after tax of the NBFC segment grew by 11% year -on-year and 9% sequentially to 652 crore Rupees in Q4 FY25. The RoA of the NBFC segment increased by 15 bps sequentially to 2.25% in the current quarter. For FY25, RoA of the NBFC business was 2.27% .

Going forward, we remain confident of growing the overall portfolio by CAGR of 25% over the next three years. Further, we expect the RoA to expand gradually mainly

driven by expansion in margins, improvement in productivity and the change in the product mix.

c) Coming to our HFC business, we have created a full -stack franchise focused on both prime and affordable segments. In Q4 FY25, we continued to deliver on the strong growth momentum and gained market share as seen in previous quarters. I am delighted to shar e that we have crossed the monthly disbursement run rate of 2,200 crore Rupees in March. This has resulted in our HFC AUM growing by 69% year -on-year to more than 31,000 crore Rupees. The credit quality in the HFC portfolio is among the best -in-class with stage 3 loans declining by 33 bps sequentially to 0.66%. We have made significant investments in distribution, data, digital and emerging technologies to sustain the growth momentum in the future. The RoA of HFC business was 1.46% and RoE was 11.03% in FY2 5.

Going forward, we expect the current growth momentum to continue and gain market share. As the portfolio scales up further, we expect operating leverage to kick in and RoA to improve significantly. Our aim is to achieve an RoA to 2.0% -2.2% in the next eight to ten quarters.

Moving on to asset management business:

d) Our mutual fund average AUM grew by 15% year -on-year to about 3.81 trillion Rupees in Q4 of FY25. We have a seen a positive momentum in sales driven by improved investment performance and strong engagements of our sales team. This has resulted in our marke t share improving by 6 bps sequentially to 5.66% in the current quarter. We added about 27 lakh folios during the year and our total investor folios crossed 1 crore as of March -end. Our monthly SIP flows

grew by 5% year -on-year in March to
1,316 Crore Rupe es and we added more than 5.4 lakh SIP accounts in the current quarter. The profit after tax grew by 19% year -on-year to 931 Crore Rupees in FY25.

Moving on to the insurance businesses:

e) The growth in the life insurance business continues to remain strong. We are the fastest growing player with an individual first year premium growth of 34% year -on-year in FY25. Growth was strong across banca and proprietary channels. We continue to be in the top quartile in the industry in terms of 13th and 61st month persistency. Post the applicability of new surrender guidelines from October, we have taken steps to realign our commission structure, made changes in product pricing and increased rider atta chments to mitigate the impact of the new surrender guidelines. We are happy to share that these changes along with the high quality of business have helped us to achieve a healthy net VNB margin of 18% in FY25. In absolute terms, VNB grew by 17% year -on-year to 818 crore Rupees in FY25. Going forward, we are confident to grow the individual FYP by a CAGR 20% -25% over the next three years and expand the VNB margin to more than 18%.

f) In the health insurance business, we continue to be the fastest growing standalone health insurer. Our gross written premium grew by 33% year -on-year in driven by our differentiated health first model and data -enabled approach towards customer acquisition. Excluding the impact of multi -year guidelines, the growth in GWP was 42%. Our market share among SAHIs has increased by about 140 bps year -on-year to

12.6% in FY25. Our combined ratio improved from 110% in FY24 to 105% in FY25 and I am delighted to share that we have achieved break even for the first time in FY25. But for the change in regulatory guidelines, we were on track to achieve a combined ratio of 100% in FY26. However, our endevaor still remains to achieve a combined ratio of 100% at the earliest. Going forward, we will continue to grow our business driven by our differentiated health first model and gain market share.

2. Omnichannel architecture for distribution

a. Our omnichannel architecture allows customers to choose the channel of their choice and interact with us seamlessly across digital platforms, branches and VRMs, fostering engagement and loyalty.

b. Our D2C platform, ABCD, went live about a year ago. It offers a comprehensive portfolio of more than 25 products and services such as payments, loans, insurance, and investments and helps customers to fulfill their financial needs. ABCD has witnessed a rob ust response with about 5.5 million customer acquisitions till date.

c. Our comprehensive B2B platform for MSME ecosystem, Udyog Plus, continues to scale up quite well with 2.3 million registrations. It has reached an AUM of more than 3,500 crore Rupees in less than two years of its launch. Udyog Plus now contributes about 21% of the disbursements the unsecured business loans. ABG ecosystem now contributes about 50% of the disbursements on Udyog Plus.

d. We had 1,623 branches across all businesses as of March -end. We are focused on capturing white spaces and driving penetration into tier 3 and tier 4 towns and new customer segments. About 60% of our branches are co -located across more than One ABC 250 loca tions.

Going forward, we will continue with our approach of driving quality and profitable growth. Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarter.

Vijay Deshwal :

Thank you Vishakha and good evening to all of you. Vishakha covered the consolidated highlights, I will cover the standalone financials and key business highlights

During Q4 of FY25, the standalone profit after tax of the merged entity, excluding one -off items, grew by 6% year -on-year to 654 crore Rupees. For the FY25, the standalone profi

t

after tax, excluding one -off items grew by 15% year -on-year to 2,714 crore Ru pees. On a standalone basis, the tier 1 capad ratio for the merged entity is 15.93% and total CRAR ratio is 18.22%. Standalone return on equity adjusted for investments in subsidiaries and associates and excluding one -off items is 14.2% in Q4 FY25.

In our NBFC business, the portfolio grew by 20% year -on-year and 6% sequentially to about 1.26 trillion Rupees. NIM including fee income expanded by 7 bps sequentially to 6.07% for the quarter. The credit quality of NBFC business segment continues to be he althy with a credit cost of 1.21% in Q4.

Our Housing Finance Business continues to see strong momentum. The loan portfolio grew by 69% year -on-year to 31,053 Crore Rupees. During Q4 FY25 we further infused equity capital amounting to 300 crore Rupees in our HFC subsidiary taking the cumulative in fusion during the year to 1,200 Crore Rupees. This infusion was done to support the growth momentum and maximize our share of opportunities which Vishakha mentioned earlier.

Coming to our AMC business, the average AUM increased by 15% year -on-year 3.8 trillion Rupees in the current quarter, of which equity AUM was approximately 44%. Alternate AUM grew by 70 % year -on-year to more than 23,900 crore Rupees in Q4 FY25.

In the life insurance business, our first -year premium increased by 34% year -on-year and group new business premium grew by 23% year -on-year in FY25. The embedded value increased by 20% to 13,812 Crore Rupees and the return on embedded value was 19.2% in FY25.

In our health insurance business, our unique and differentiated “Health First” model helped us to deliver a growth of 33% year -on-year in gross written premium during FY25. Excluding the impact of multi -year guidelines, the growth in GWP was 42%.

I now hand over to Rakesh, to cover the NBFC business performance.

Rakesh Singh :

Thanks Vijay, and good evening, everyone.
The NBFC business grew by 6% quarter -on-quarter taking the AUM to Rs. 1,26,351 Crore in Q4 FY25. Profit delivery was strong, registering a 9% sequential growth in quarter PAT. Over the last 3 years, we have doubled on both AUM and profit growth, which translates to a 30%+ 3-year CAGR. This consistent and sustainable track record has been achieved by building a granular r etail and MSME portfolio with strong customer focus and a disciplined approach towards improving asset quality.
We aspire to be a top lender of choice for MSMEs. The AUM for business loans to MSMEs grew by 25% year -on-year, which is substantially higher than industry growth for the year. This growth has come largely through scale up of direct sourcing through our br anches and building scalable digital sourcing platforms. The MSME segment comprises 56% of our overall AUM as of March'25.
We registered our highest ever disbursements of Rs. 19,523 Crore in Quarter 4. 49% of it was contributed by business loans to MSMEs, and 87% of our disbursements to MSMEs was secured in nature. We have continued to scale up sourcing through direct and digi tal channels which now contribute 39% and 58% of unsecured and secured business loan disbursements respectively. Udyog Plus, our B2B platform, which was launched 2 years back has scaled up and contributes to nearly 30% of the unsecured business loan segmen t AUM today. With over 23 lakh MSMEs registered and a comprehensive product offering available on the platform, Udyog Plus will be a significant sourcing engine for the MSME segment going forward.
In the Personal and Consumer Loans segment, FY25 was a year where we exercised caution by tightening our sourcing from high -risk segments. Post all calibrations undertaken, this segment has now stabilised at an AUM of Rs. 15,532 Cr and is poised for growth hereon. In fact, if we look at our disbursement in this segment in Q4, we registered a 26% year -on-y

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growth with the share of direct sourcing improving progressively. As Vishakha mentioned earlier, the ABCD App contributed nearly 5% of the overall sourcing in the personal and consumer segment in March'25. Our focus will be to improve this share progressiv ely. Further, we are exploring new partnerships with marquee digital platforms where we will continue to have end to end control from underwriting to collections, ensuring complete customer ownership. Thus, with multiple growth levers in place, I am confid ent that the Personal and Consumer Loans segment will start registering calibrated growth going forward.
In FY25, we were agile in responding to changing credit environment and leveraged the opportunity to scale up our secured business across segments. As a result, the overall secured AUM mix at an entity level has improved from 72% last year to 74% this year . The MSME segment contributes significantly towards the secured portfolio mix where 83% of the overall MSME AUM was contributed by secured business loans, where the asset quality continues to be robust and amongst the best in the industry.
We continue to operate at a very efficient cost income ratio of 30.8%. Our Opex to AUM ratio improved from 2.26% last year to 1.92% in quarter 4, and this has largely been driven by operating leverage as we continue to sweat new branches opened in last 12 -18 months.
Our continued endeavour to improve our asset quality reflects in the sequential and yearly reduction in GS2 and GS3 book of 47 bps quarter -on-quarter and 71 bps year -on-year respectively. The Gross Stage 3 loans are at 2.24% which have declined 27 bps year -on-year. As a result of our continued calibrations in sourcing and improvement in asset quality, the credit cost has reduced by 15 bps quarter -on-quarter to 1.21%. The credit cost for the year was 1.31% which is 19 basis points lower than that in FY24 and is well within our stated guidance of 1.5%. As I mentioned earlier that 74% of our book is secured, our Stage 3 book is well provided for with a PCR of 45%.
In Quarter 4, we delivered our highest ever Profit After Tax of Rs 652 Crore, registering a growth of 9% quarter -on-quarter. Full year PAT grew by 13% year -on-year and stood at Rs. 2,501 Crore. The ROA for the quarter was 2.25% which improved by 15 bps seq uentially.
Moving forward, we expect all business segments to grow in FY26 with share of retail and MSME segments to improve. We will continue to leverage our proprietary digital platforms viz. ABCD App and Udyog Plus platform and invest in branches to further improv e share of direct sourcing. We expect operating leverage to play out from our investments in emerging locations. As we scale up, strengthen our capabilities, and invest in technology, our primary commitment remains to deliver sustainable returns in the upc oming quarters.
With that, I will now handover to Mr Pankaj Gadgil, MD and CEO of Housing Finance business.
Pankaj Gadgil:
Thank you, Rakesh, and good evening, everyone. I'm happy to share that we have continued to make consistent progress across all key aspects of book growth, asset quality, and profitability for 11 consecutive quarters now. FY25 is a landmark year for us, un derscoring

the strength and momentum of our growth journey. We've crossed a significant milestone, achieving an AUM of over ■30,000 crore. Asset quality has consistently improved over the last 10 quarters in a row. We've further strengthened our balance sh eet by diversifying our

liabilities and onboarding IFC. Business origination from within the ABG ecosystem has remained steady, contributing to 12% of retail disbursements.

Key Highlights for FY25 are as follows:

- Disbursements for the full year stood at ■17,648 crore, an increase of 109% growth YoY
- Q4 disbursements record highest ever quarterly

disbursements of ■5,820 crore, growing 98%
YoY and 23% QoQ

- AUM as of March 31, 2025, stood at ■31,053 crore, reflecting a strong 69% YoY and 16% QoQ growth
- We achieved our highest -ever PBT of ■419 crore, marking an 11% increase YoY
- Stage 2 & 3 assets reduced to 1.39%, an improvement of 152 bps YoY and 38 bps QoQ
- ROA is at 1.46% and ROE at 11.03% for FY25

This performance is underpinned by a strong foundation of governance, digital capabilities, data intelligence, and technology. The strategic initiatives and investments we've made are beginning to yield tangible results.

I would now like to provide a brief update on a few pillars of our growth:

First on portfolio quality. As noted earlier, Gross NPA has improved both in absolute terms and as a percentage, now at 0.66% —our lowest level since 2018. This reflects a reduction of 116 bps YoY and 33 bps QoQ. The improvement in asset quality has enabled us to comfortably maintain a Stage 3 PCR at 55%. Additionally, over 95% of collections are now conducted via our mobile app, supported by robust collection propensity models.

Secondly moving to distribution, growth has been well -balanced across both prime and affordable segments. We are now present in 18 states with 175 branches. The average retail ticket size stands at ■29 lakh, highlighting the granularity of our portfolio. Our active customer base reached approximately 91,200 as of March 2025, representing a 40% YoY increase.

Next focusing on Digital reinvention, data and analytics. We have achieved 100% adoption of our digital platforms and analytics models. This has led to a significant reduction in turnaround times across the customer lifecycle. At the same time, we've seen a strong improvement in our Net Promoter Score, which now stands at 79. We have deployed co -pilots leveraging GenAI capabilities to enrich the experiences for both customers and channel partners. These tools help with sales pitches, real -time credit and te chnical support, and query resolution —all in a more seamless and efficient way.

As seen over the past eleven quarters, we've delivered consistent growth across segments, alongside continued improvements in portfolio quality and customer advocacy.

Our focus remains on strengthening all key areas — from business expansion and digital reinvention to asset quality and customer experience — all while enhancing profitability in FY26.

Thank you for your attention, with that, I now hand over to Bala, MD and CEO of our Asset Management Company.

A. Balasubramanian :

Thank you and good evening to everyone attending. I would like to share some highlights of ABSLAMC Q4 FY25.

At ABSLAMC, our Overall Average Assets under Management, including alternate assets stood at Rs. 4.06 lakh crores, reflecting a 17% year -on-year growth.

- Our Mutual Fund quarterly average AuM reached Rs. 3.82 lakh crores growing 15% year -on-year. The quarterly Equity average AuM stood at Rs. 1.69 lakh crores growing by 11% year -on-year.
- Our SIP book for March -25 stood at Rs. 1,316 crores and we added around 5.43 lakh new SIPs in Q4 FY25.
- Our total investor folios stood at 1.06 Crore with around 27 lakh new folios added during FY25.
- I am pleased to share that we have observed positive momentum in sales, driven by improved investment performance and strong, on -the-ground engagement from our sales team. This has also resulted in a quarter -on-quarter increase in our AUM market share.
- On the alternative business front, we are continuously enhancing our PMS and AIF offerings across both Equity and Fixed Income, to better serve the evolving needs of HNIs and family offices

• Following the receipt of the ESIC mandate, we commenced management of debt portfolio, and its AUM stood at Rs. 7,456 crores for the quarter ended March 31, 2025.
• Consequently, our PMS/AIF assets witnessed a year -on-y

ear growth of 268%, rising from Rs.
3,075 crores to Rs. 11,330 crores.
• Additionally, we are also preparing to launch the ABSL India Equity Innovation Fund.
• Our Offshore assets, grew by 14%, from Rs. 10,545 crores to Rs. 12,070 crores. Under the GIFT City platform, we successfully completed the final closure of the ABSL Global Emerging Market Equity Fund under the LRS scheme, with an AUM of USD 65 million. Fun draising is currently underway for our other offshore funds.
• Our passive business has grown, with total assets now reaching approximately Rs. 34,700 Crs. We are proud to serve a expanding customer base, now surpassing 11.60 lakh folios. Our diverse product suite, consisting of 53 distinct offerings, is strategically crafted to cater to the full spectrum of investment needs, ensuring we provide tailored solutions for every investor.

Moving on to the financials for FY25 –
• For FY25, we achieved a profit after tax of Rs. 931 crores, reflecting a 19% year -on-year growth.
• Operating Revenue is at Rs. 1685 crores; up 25% Y -o-Y and Total Revenue is Rs. 1986 crores; up 21% Y -o-Y.
• Operating Profit before Tax is at Rs. 944 crores; up 31% Y -o-Y and Profit before Tax is Rs. 1245 crores; up 23% Y -o-Y.

For Q4 FY25:
• Operating Revenue is at Rs. 429 crores; up 17% Y -o-Y Total Revenue is Rs. 501 crores; up 14% Y -o-Y.

• Operating Profit before Tax is at Rs. 233 crores; up 21% Y -o-Y and Profit before Tax is at Rs. 305 crores; up 14% Y -o-Y.

Thank you With this I will now handover to Kamlesh Rao, MD and CEO of ABSLI company .
Kamlesh Rao:
The overall Life Insurance Industry saw a balanced growth in FY25, Individual first year premium grew for the Overall industry by 10% and for the private players by 15%. ABSLI for the Ind LI business grew at 34 % contributed by growth across Proprietary and Partnership channels. Along with this, we also expanded our market share by 68 bps last year.
ABSLI's proprietary channels of agency and Direct combined grew at 33% in FY25, driven by better productivity as well as by capacity added last year.
The partnership business grew at 34% with robust growth across all our existing partners as well as the new partnerships in BOM, IDFC Bank and Axis Bank where we managed respectable mindshare in our first full year of operations.
We now have 11 bank partnerships with a reasonable mix of large pvt sector banks as well as regional pvt sector banks and 2 PSU banks. We added 3 banks last year and are happy to share that we have recently entered a new partnership with Equitas Small Fina nce Bank in FY25, which will begin business in Q1 FY26.
During the year we opened 60 new branches and invested capacity in new tie -ups to fuel our growth. In the next year we intend to capitalize on this and grow largely on the back of enhanced productivity. The year also saw a healthy growth of 24% in the numb er of new policies sourced.
In the product mix of the individual business, traditional and term business contributed 65% and ULIP was 35%. We are seeing a healthy growth in annuity segment with 7% of our business now coming from this growing segment. We launched 4 new products - 2 Unit linked & 2 Protection segments during the year. We successfully launched our Group to Retail product – Insta Digi Plan `as a specialized term plan for employees of our group term clients. The new products launched contributed to 12% of the individual b usiness we did last year.
In the Group Life Insurance segment, the private industry grew by 5%, overall Industry grew by 1% in FY25 and ABSLI registered a growth rate of 23%, and resulted in our market share expanding by 112 bps. Better growth was contributed by superior performanc e both in the Fund as well as the Credit Life Business. In credit life, we have slowed down our micro -finance business counters whilst growth is being observed in al

l other retail counters. Our Captive
businesses’ attachments have grown significantly durin g the year. Our Group AUM has crossed 26,000 Crores as on Mar’25 with 15% growth and contributes to ~27% of ABSLI overall AUM.

Our total premium for the year at ■ 20,639 crore has registered a growth rate of 20% over last year, with a 2 -year CAGR of 17%. This growth came from new business as well as renewal premium growing at 14%. Our digital collections now account for 81% of our individual renewal premium. We continue to work on Customer Lifetime value, which is reflected in our upselling which reached 28% and helped productivity growth in both proprietary and partnership channels.

Our quality parameters have improved, with 13th -month persistency at 88% and 61st -month at 62%, placing us in the industry's top quartile. Our Opex to Premium ratio was 20.4% (up from 18.5% last year).
Our Asset under management now stands ■ 99,486 crores, with a YoY growth of 15%. Twenty -four percent of this AUM is in equity and the balance 76% in debt. Happy to share that we crossed ■ 100,000 Crore AUM in April 2025, more than half of which was added i n the last 5 years alone. We continue to outperform in our investment performance in respective benchmarks across all three categories of Equity, Debt, or even Balanced funds, either from a 1-year or 5 -year perspective.
Our digital adoption across various areas is demonstrated in Slide 47. 100% of new business customers are onboarded digitally, 83% of all our services are now available digitally, covering 67% of our customer transactions, and our customer self -service rat io has now increased to 94%.
We have made significant investments in AI and analytics in areas of sales training as well as customer experience keeping both internal employees as well as policy holders in mind. As we move ahead, we will continue to be best -in-class in our digital infr astructure, across prospecting and onboarding in sales, underwriting, and customer service as well as claims.
Value and Guidance
Our solvency continues to remain at a healthy rate of 188%.
Our net margins for the year are now at 18.0%, consistent with our guidance. We observed significant margin expansion in H2 due to a controlled ULIP mix, increasing topline growth, and rider attachments. The reduction in margins from FY24 is largely due to a higher ULIP mix and lower interest rates during the year.
As mentioned in the last quarter, we will continue to focus on our Proprietary Business Encompassing Agency as well as Direct channels with investments in value accretive verticals and productivity increase across all cohorts. For our Partnership Business, we will continue to invest in our Bank partners to increase our mindshare and drive productivity across all partners.
Our guidance is to achieve a CAGR of 20 -25% for the next 3 years in terms of business growth , whilst achieving this growth we intend expanding our current VNB margins of 18%+ and in absolute numbers double the value of our Net VNB in the next 3 years' tim e
As we enter the 25th year of operations this year, we look forward to further expanding the immense trust placed in ABSLI by our large expanse of Employees, Customers and Distributors over the years. We will continue to be provide best -in-class products an d experiences to all stakeholders and positively contribute to the Indian Insurance Sector.
Mayank Bathwal :
Thanks, Kamlesh and I would like to now share an overview of the performance of our Health Insurance Business.

ABHI has always been differentiated from other insurance players on account of its unique Health First Model. The model has enabled the Company to grow faster than the market and deliver superior unit economics as well.
We had a milestone year in 24 -25 in many regards and it is my pleasure t

o state that the
Company has achieved full year breakeven with a profit of Rs. 6 crores as per new accounting regulations (1/n) for the FY25. As per the old accounting regulations (wit hout 1/n), the profit for the year stands at Rs. 75 crores. This breakeven in our 8th full year of operations is one of the fastest in the industry with 2 times the GWP of closest competition in their similar stage of operations. The profit of Rs. 6 crores is in comparison to a reported loss of Rs. 182 crores in FY24. Our Combined Ratio for FY25 as per old accounting regulations is at 102% vs 105% as per new 1/n accounting, is a marked improvement over 110% reported in FY24. This improvement underscores our continued focus on performance optimization and disciplined execution, even in a challenging regulatory environment.
The recent IRDAI guidelines on revenue recognition for long -term policies represent an important regulatory shift. The unit economics of the business remains unchanged however the new accounting regulations do impact the accounting financials in the short to medium term till we migrate to IFRS.

On the revenue front the growth momentum witnessed in Q3 continued in Q4, and we clocked a strong 34% YoY growth, solidifying our position as the fastest -growing SAHI player during the year.

For FY25, we crossed the coveted Rs. 5,000 crores benchmark and achieved a gross premium of Rs. 5,252 crores, experiencing a strong 42% Year -over-Year (YoY) growth. The GWP as per the new accounting norms is at Rs. 4,940 crores, a YoY growth of 33%. Our market share in SAHI in FY25 rose from 11.2% to 12.6% an increase in market share by 138 bps for the year. The high growth is driven by strong growth in the retail business, registering an impressive growth of 44% in FY25. The growth in retail is driven by a ll our retail channels, The proprietary channel with an advisor count of over 1.4 lacs agents experienced a 38% YoY growth. All our major banks and digital alliance partnerships have also experienced impressive growth.

The Group business delivered an industry leading CoR of 99% with 40% YoY growth. The 99% CoR in Group based corporate business is driven by a sharp focus on profitability through careful customer segmentation, and our industry -leading Outpatient Department (OPD) business. We are strategically concentrating on Mid Corporate and SME segments.

We have one of the most comprehensive suite of retail products. Our flagship product Activ One with seven variants continues to be a big success for us.

Our Differentiated Health -First model continues to show maturity. In FY25, 9% of eligible customers earned good health -based incentives - HealthReturns, up from 6% last year, reflecting deeper engagement with our wellness ecosystem. The outcomes for some o f the intervened cohorts are now visible. The percentage of customers influenced by participating in healthy behaviour has crossed 25% on an enlarged customer base. These customers continue to exhibit lower loss ratios and better persistency. This is shown in slide 58. Overall, this has kept our retail loss ratio well in control.

We have invested in building deep capabilities in managing customers with high health risk. Through a combination of our inhouse health Coaches and our partners, we have intervened in more than 130K High risk lives to improve their health vitals leading to lower Claim ratios.

Our industry -leading claims settlement ratio of 96% and a customer NPS of 60 across 5 engagement points reflects our commitment to prioritizing customer experience. To further enhance customer experience and manage claims cost better, we have invested in a state of the AI/ML driven claims auto adjudication engine which now process 43% of our cashless claims.

We are leveraging data analytics to optimize every step of the insurance lifecycle. From a Revenue Boost through advance

d sales activity tool to Customer Selection based on risk analysis, our data -driven approach is transforming how we operate. Additionall y, our robust customer health data collection enables better customer profiling and tailored solutions, driving value across all areas of our business.

We continue to invest in our industry leading Activ Health App. The App now provides opportunity for non -policy holders to experience our comprehensive app ecosystem. Our YoY App downloads have increased by 125% with YoY MAU increase by 48%.

Looking ahead, we remain optimistic about the long -term growth prospects of the health insurance sector. Our differentiated business model will help us in striving to continue to be the fastest growing health insurer. As we had guided earlier, we continue to be optimistic about reaching less than 100 CoR as per the old accounting regulations and endeavour to achieve this as per the new standards also.

Thank you, and I will now hand it back to Vishakha for her closing remarks.

Vishakha Muly e:

Thank you everybody for joining us today evening and will be happy to take any questions.

Moderator:

Thank you very much. We'll take our first question from the line of Avinash Singh from Emkay Global Financial Services.

Avinash Singh :

A few questions. The first one is on NBFC margins. So I mean, the fee income has seen a strong increase. But on the core, if we see net interest income or the margins are still kind of weaker and that particularly in the backdrop of a December quarter that was already pretty low.

So can you please help us understand what is sort of keeping these margins at a lower level, particularly, I mean, even when the Q4 growth has come up from your SME segment, I mean, that has grown in Q4. So is it something I mean, still the margins are und er pressure?

And going forward, given that, your asset liability are pretty balanced as far as the fixed to floating are concerned, that means the rate cut benefit will not be material. So how the margin

outlook appears at the moment? And what will sort of drive the going forward margin upward? So that's the question on margin.
And second is, if I look at the NPA in that unsecured business loan, you have some 45 -odd percent guaranteed by central government. That's fine. But the q-o-q spike or increase continues for last 4 quarters. And if we were to kind of again go look down further, probably from the disclosure, it seems that the government guaranteed part has a 6.5% kind of GS3. So what is sort of driving this kind of a high NPA ratio in this -- the book that is guaranteed by government? So I mean, is some sort of the customer profile or some kind of underwriting filter what's driving that? So that's on the business on unsecured.
And thirdly, on the growth side, yes, I mean, on a 3 -year basis, growth is very, very impressive. But if we look back this year, of course, one part was that, okay, on the personal and consumer side, there has been decline because of various issues. But th e growth at 20%, and out of that 20%, buyout contributes 2 -3%, close to about 6,000 -odd crores for the full year. So what is sort of -- I mean, because you have been taking various initiatives, I mean, within Aditya Birla Group, ABCD, direct and all, yet, I mean, what I would say that, self - originated growth has been kind of moderat ing. So again, looking forward, how will this growth will appear in FY '26?
Rakesh Singh :
First question was on the yield and the margins. So if you look at our yields for quarter 3 and quarter 4 is quite stable at 12.9% and the margins expanding from 6% to 6.07%. And as we had mentioned to you in the last call as well, that the decline which we have seen over the past twelve months is on account of the change in the product mix. So our personal and consumer, which used to be almost 20% -- 19% of our overall loan boo

k has come down to
12%, 13%, and that has impacted the yields. We were slightly ahead in terms of the market in terms of taking corrective actions. We strengthened and tightened our underwriting, and that's the reason.
But if you see quarter 4, it's almost now stabilized, and we are poised to grow in this segment. So going forward, you will see expansion as this segment grows, the expansion in terms of the yields and the margin. So that's the answer of your first questio n.
In the unsecured segment, where you mentioned that there is an increase in the NPA stage 3. So if you look at the unsecured segment, it comprises of 3 segments. There is 20%, which is supply chain business, 80%, which is the term loans, where we have busin ess loans and small ticket unsecured loans.
And looking at the stress in the industry, this we had tightened in terms of underwriting and we had slowed down our sourcing. We have seen some amount of stress over the last 2, 3 quarters. But if you see almost 50% of that portfolio is backed by the credit guarantee and strengthening of the scorecard s and the recalibration which has happened in that segment. Going forward, there will be improvement as we go along. And the reason why it looks elevated is because it does not get written off at 180 days, and that's the reason it keeps

looking elevated. So that's because this is backed by a guarantee from the SIDBI. So that was your question number two.
The third question was on the growth. So if you look in the last 3 years, almost 32% was our compounded annual growth, which is what we have demonstrated. And this year, in spite of recalibrating our personal consumer and the unsecured business, we have achieved a 20% growth year -on-year. And as we have guided that in the next 3 years, we are looking at doubling our loan book. So clearl y, that's the kind of momentum which we are looking at going forward as well.
In terms of your question on the portfolio buyout, that's a very small part of our over all disbursements . We are both on the selling side and the buying side. So we look at whatever the opportunity which is there in the market, we evaluate that, we assess that. So net -net, between sale and buyout, I think the net book is very, small. It's around 5% - 6% of the overall disbursement of INR67,000 crores of annual disbursement, which we have achieved last year.
Moderator:

Thank you very much. We'll take our first question from the line of Chintan Shah from ICICI Securities .
Chintan Shah :
So firstly, on the NBFC, so there is some 60 bps rise in the unsecured business stage 3. So what would explain this increase from 4.1% to 4.7%?

Rakesh Singh :
I just answered that question, Chintan. If you look at the segment, supply chain which is a short term business is 20%, where the credit quality is pretty good. Then we have a business loan and the small unsecured ticket loans, where looking at the stress in the industry and on the backdrop of leverage , we have tightened the underwriting, the scorecards and the policies. And this looks elevated because it does not get written off at 180 days, the way we do our other unsecured segment because this is guaranteed by the government and the SIDBI. So that's the reason why it looks elevated. As we go al ong, I think this should get corrected. And it should come in the -- yes, it should get normalized.
Chintan Shah :
Sure. Sorry for the repetition. And two, three questions on the HFC business. So HFC, I think this quarter, the tier 1 capital adequacy ratio is around 14.3%. So what is the minimum threshold there or will we be infusing further capital? So firstly, on there. The developer book in the HFC business, has more than doubled on a Y -o-Y basis . So what are the typical yields here and the average ticket size and what kind of developers are we dealing with? Because the growth looks quite

robust and the yields have declined. So just wanted to get some sense on that, yes?
Pankaj Gadgil :

So I think the first question, Chintan, will have to repeat. I'll first answer the second question. The second question was towards the developers that you say.
Chintan Shah :
Yes, developer base .
Pankaj Gadgil :
Yes. So growth in disbursements has been quite uniform. If you see retail also, retail has grown by 94% actually and developers have increased by 106%. So on both the sides, the growth is quite significant, and that is why the overall disbursement growth is 109% Y -o-Y. That's the first part of the question.
Now coming to the type of developers that we typically source. So, it is a fairly granular portfolio between 280 to 300 developers that are there in the book. So , the average ticket size will be in the range of about 25 to 30 crores. So typical projects where the cost of construction will be anywhere between 200 crores to 250 crores will be the typical developers that we'll be financing.
And I think last time I had also spoken about this that in this business, like you rightly said, I think monitoring is very critical. And we do this with a platform that we have launched. I am not seeing many companies using it, but we have created one, which is called FinCF. The platform allows our developers to undertake many of the activities on their side digitally and most importantly, for our teams, who also monitor the portfolio both event wise and also frequency wise. So I think this is how we are m onitoring the portfolio and monitoring the growth. Could you repeat the first question? I think you said something of 14.3%, if you could.
Chintan Shah :
Sure. Yes. I will . On the yields also, I think if you would just help us with what would be the typical yields in the developer book?
Pankaj Gadgil :
So on the developer book, the yields are anywhere between 13% to 13.25% .
Chintan Shah :
13% to 13.25%
Pankaj Gadgil :
That’s right .
Chintan Shah :
Sure. And so on the retail portfolio, what will be the blended yield?
Pankaj Gadgil :

It will be about 10.25%
Chintan Shah :
10.25%. Sure. And so firstly, I had mentioned on the capital adequacy ratio, that is around 14.3%. So what is the minimum threshold of the regulatory requirement? And so how much capital are we looking to infuse in FY '26?
Pankaj Gadgil :
So total CRAR requirement is 15%. On that, we have 16.54%. And we've infused INR1,200 crores. And internally, while the regulatory guidance is 15%, I think we are comfortable in that range of between 16.5% to 17%. That is the internal guideline that we have.
Vijay Deshwal :

If you look at the Tier 1 ratio is 14.3%, and we have sufficient headroom to raise even sub debt from the market. And whatever growth capital in the HFC will be required during the next year, we will also support from ABC from the operating and the holding company. So no worries on the capital requirement of the HFC for meeting the growth requirements.
Chintan Shah :
Okay. And just lastly, on the ROA front, we have mentioned that ROA will inch up to 200 to 220 for the next 8 to 10 quarters from 146 currently. So what would be the key drivers? Would it be opex or yields or credit costs? Just could you throw some light o n that, yes? That's it from my side.
Pankaj Gadgil :
If you see the financials, which have been provided, you will see that the NII is 5.07%. The opex to average loan book is 2.94%. The credit cost is 24 basis points. That is how the ROA today is 1.46%. So the improvement in ROA will essentially come with op erating leverage. So what is opex to average loan book, which is 2.94%. The endeavor in the next 8 to 10 quarters is to reduce that by between 100 to 130 basis points.
And this will naturally come with the book building and the plan of the gro

wth, which is there.
Credit costs will be range bound. Anyway, it is at 24 basis points. So in my assessment, they will be in a similar range. In fact, the NIMs from 5.07% may come down by 30 basis points. So the net would be 100 basis points difference, 130 less 30, and that's 100 basis points. So post tax, we should be able to get about 60 to 70 basis points additionally over where we are. So that's the broad calculation of our ROA that Vishakha mentioned in opening.
Chintan Shah :
Sure. So just a follow -up on this. So basically, the opex has almost increased by around 50%, 47-odd percent in this year for the HFC business. So it means a large front -loading of the expense or the initial capex has been done and the productivity and eff iciency should follow, right? Is that a fair assumption?

Pankaj Gadgil :
That's right. You are absolutely correct.
Chintan Shah :
Sure. That's it from my side. Thank you for answering all the questions. All the best.
Moderator :
Thank you. We'll take our next question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal :
Thanks for taking my questions and good evening everyone. Firstly on NBFCs, just trying to understand, you explained earlier that as the mix of personal and consumer improves, we will see yields improve and margins improve. So just trying to understand ove r the next maybe 1 to 2 years in a declining rate environment, while one tailwind will be improving proportion of P&C in the loan mix. How are we placed on the liability side? And how will that impact margins is one thing I wanted to understand.
The other thing is on NBFCs, I think we've guided for again this year doubling the loan book over the next 3 years. So just trying to understand will the existing product suite suffice or are there any new products that you would look to pilot doubl e the AUM over the next 3 years? .
Rakesh Singh :
So I think I'll take your second question first because I think doubling of the loan book, the way we have the entire range of product on the personal consumer side and also on the MSME side. We might look at one or two more products, but the way we are looking at, we want to sweat our existing branches, the branches which we have set up in the last 12 to 18 months and also branches which we will open in the next 6 to 12 months.
Also the digital assets, which we have created both on the personal and consumer side and for MSME side, the Udyog Plus, which we have set up. So we want to sweat up these -- the channels, the platforms which we have created and also the productivity as we -- if you look at these branches, a lot of branches have been opened in the last 12 to 18 months.
I think the productivity should get improved. And so that's how we are looking at doubling. That's the reason the guidance is for 3 years in terms of doubling. There might have been a slowdown looking at the environment the way we did it in the last year, looking at the environment and the leverage going up, we had really recalibrated our strategy for unsecured loans.
But going forward, in the next 3 years, we are quite confident that we should be able to deliver the numbers within the range of products which we have with addition of few products and just setting out the infrastructure or the platforms which we have cre ated. What was the first question? Cost of funds, if you look at our liability, our borrowing is 65% is floating and asset is 71% floating. So in a way, it's very balanced. In terms of as we grow personal and consumer

segment, short -term unsecured loans, primarily they are fixed in nature . As we keep getting the benefit on the cost of funds and it will get locked in for 2, 3 years, our margins should expand. And also the product mix, more than -- I think the product mix only should help us impro

ve our yields and margins. So that's how we are looking at margins going forward.
Abhijit Tibrewal :
And just a related question, while we are at around 12% personal and consumer loans in the mix, and like you said earlier, at the peak, we were at around 20%, 21%. Is the idea, I mean, go in a calibrated manner, the intent will be that over a course of tim e, take it back to 20% and then, I mean, how would the interplay be on the ROAs ? On the HFC , I think we guided for 2% to 2.2% over the next 8 to 10 quarters? How should we look at ROAs in the NBFC business?
Rakesh Singh :
So the stated, I think, guid ance or whatever which we have in terms of the product mix is 75% of our loan book has to be retail and SME and 25% is on the corporate side. That's how we -- that should help. Within that, if you look at retail and SME, as you rightly mentioned, personal and consumer can go to around close to 20% and unsecured business will again grow.
So both these segments are growing and the margins improving, that will expand our ROAs. In terms of guidance on the ROA, we will, I think, wait and see how the next couple of quarters goes, and then we should be able to -- but we are looking at expanding the ROAs from here on.
Abhijit Tibrewal :
Got it. And then the last question that I had was on our HFC business. So I mean, just trying to understand this principal business criteria, which says that 60% of the company's total assets should be dedicated to providing finance for housing. Where are we placed in the PBC in our housing business?
And just trying to understand in terms of mix, we have seen, I mean, over the last 1 year, very good traction on the CF side, the construction finance side. So maybe over the next 2 to 3 years, how are you looking at this mix evolving, particularly the CF side and the affordable businesses that we have?
Pankaj Gadgil :
Right now on the PBC, we have two criteria, one is on total HL you have to be at 60% , we are at 61.1%. When it comes to individual housing loans, it has to be higher than 50%. We are 52.4% on that side. So the idea is that, of course, even in the developer financing, if the financing is for residential projects, it gets classified as HL on that side.
On the mix, right now, we are at a mix of 14.3% for the CF business and prime is at about 47% and 38% is affordable. The mix is going to be in that similar range only. It will be that range of 45% to 47% of prime, 30% to 40% of affordable and between 14% t o 15% of developers. The objective, obviously, is to leverage the opportunities which are coming in on

both the housing and on the LAP side and ensuring that we are ahead of the regulatory percentages on PB C.
Abhijit Tibrewal :
Got it. This is useful. And if I can just squeeze in just one last question. We've done exceedingly well, almost a 70% kind of a Y -o-Y growth in our housing business. Just trying to understand, I mean, are we a little aggressive in the market, especially w hen it comes to housing loans and particularly in those projects where we had given construction finance? What I'm trying to understand is usually kind of when we look at other housing finance companies, more often than not, the LTVs are in that range of 75% to 80%. For us, are those LTVs higher than our peer set? Is that also something which is helping us get faster growth?
Pankaj Gadgil :
So I think the first question is that we've been always talking about in the last almost 6 to 8 quarters that we have built capacity in the housing finance. So building capacity and the platforms that we have earlier spoken have improved the productivity of teams. So significant increase in capacity and that also shows in the opex, which was earlier put out by one of the other questions that I answered. So it's a function of capacity and productivity that has helped us in growing this business.
On the LTVs, ther

e are regulatory guidelines around LTV. So there is not too much of a play
which is available on th at. We have seen the last 2 years on the way LTVs have progressed. And I can give you comfort that our overall LTV, if I say all cohorts put together, is in between 50% to 60% in '24 and '25. So we have not seen a change.

The growth is coming on the back of capacity, productivity and 12% of our disbursements, we have been saying we've been able to leverage the ABG ecosystem as well, that gives us an opportunity also to improve our growth versus the competition in the market place.
Abhijit Tibrewal :
Got it. This is very useful. Thank you very much patiently answering all the questions. I wish you and your team all the best.
Moderator :
Thank you. We'll take our next question from the line of Sameer Bhise from Dymon Asia. Please go ahead.
Sameer Bhise :
Yes. Hi, thanks for the opportunity and congrats on a good set of numbers. Just wanted to ask on the flow rates on the unsecured business loans. Rakesh, could you comment it while we understand that headline GS3 is slightly higher, but some understanding o n flow rates would be helpful?
Rakesh Singh :

So can I just come back on this flow rate for business loan, which you are talking about?
Sameer Bhise :
Yes, the unsecured...
Rakesh Singh :
I will get back to you on this.
Sameer Bhise :
Sure. And secondly, how should one think on credit cost incrementally? I mean you have mentioned that the environment has improved and you are more confident to grow on the unsecured piece. Would that mean -- obviously, it means a lower credit cost for nex t year. So how should one think about it? That's all from my side .
Rakesh Singh :
So on the business loan, the earlier question, the flow rate is 0.8%. So that's how it's stacking up quite well, and we should see some improvement there. In terms of your question in credit cost. Credit cost, if you see in a difficult environment also las t year when the stress was seen in the industry in unsecured loans , we have reduced our credit cost from 1.5% to 1.31%.
So we have clearly demonstrated that we had the agility to move away from low ticket, unsecured where the customers were leveraged to move away from that and build our secured business. We have strengthened our underwriting. We have put all the criteria in terms of looking at the leverage, I think those are the inputs which has gone into the scorecard.
So clearly, we are looking at sustained credit costs over the next year or so. We have been tracking the portfolio not only on the bounce rate, but the first EMI bounce, second EMI bounce and tracking each and every cohort very, very closely. We have stren gthened our collections infrastructure, pre -emptive telecalling for customers on collections.
So I think a lot of actions have been taken, and we are quite confident that post calibration. And also, we have cut out the higher risk segments from our underwriting and sourcing. So we have cut that out. And so we should be able to sustain the credit cost next year as well.
Sameer Bhise :
Okay. Fair enough. And the flow rates that you mentioned, is it fair to assume that they have been largely stable?

Rakesh Singh :
They have been largely stable, yes.
Sameer Bhise :

Okay. Fair enough. Thank you and all the best.
Moderator :
Thank you. We'll take our next question from the line of Gaurav Kochar from Mirae Asset mutual funds. Please go ahead.
Gaurav Kochar :
Hi, sir. Good evening and I just wanted to understand a little bit about the unsecured personal loan. You mentioned that last 1 year has been -- you've been a little cautious on this portfolio and the share has come down from 17% to 12%. So going forward, while you've indicated 20% over the next 3 years. But just wanted to understand its dynamics on yield. L

et's say, if
we improve the share by 200 or 300 basis points in the coming year, what kind of yield this portfolio runs at, just to understand how much can it benefit on margins?
Rakesh Singh :

This portfolio runs at closer to 18% -19%. And this should -- I think 200 basis point improvement in the product mix should help us expand our margins. And that's what I stated earlier. In terms of absolute margin expansion, I think we can just simulate that.
Gaurav Kochar :
Sure. On coming to the funding mix, if I look at almost half of your borrowing is from bank. And if I include working capital, that's about 57%. So what percentage of this liability would be linked to repo? And what would be the other piece, let's say, MCL R? Is it 1 -year MCLR or 6-month MCLR? If you can give some split of the borrowing?
Rakesh Singh :
Primarily, most of our borrowing from the banks is 3 months MCLR and 1 -month MCLR and not 1 -year MCLR. Repo would be quite low , closer to around 10% or so.
Gaurav Kochar :
Sure. So coming to -- let's say, today, we've seen a 50 basis point rate cut. Let's say, this may take for banks to reprice, it may take about 6 months to 9 months on the MCLR front. So as and when it happens, so can we expect, let's say, this half of it at least flowing through in this year, your cost of funds, at least from the bank borrowing side, half of the rate cut benefit flowing through in FY '26? Is that a fair assumption?
Rakesh Singh :
As the rate comes down, yes, the benefit should come to us. But apart from the bank loans, I think we have the NCDs, the money market, which we borrow from, I think that is at a slightly lower cost. So that's another short -term borrowing because we also ha ve short -term assets on the supply chain and on the consumer loan side. So there are many avenues to improve our borrowing mix and reduce our borrowing costs.

Gaurav Kochar:
Understood. And just final question, the merger with the holding company, is there any sort of benefit on either funding cost or maybe some operating synergies that you can speak about that can benefit us over the next 2, 3 years?
Vijay Deshwal :
Gaurav, on the part of the merger we had explained earlier also that ABFL was AAA rated from CRISIL, ICRA and all the rating agencies and ABCL is also AAA rated. So there won't be any benefit as such on the rating or something, but what definitely we have -- it's a large unified NBFC now and the operating company with a better access to capital.
Also, the larger benefit of the merger was on account of release of capital. So close to about 3,000 to 3,500 crores worth of capital got released and that has helped us to take care of at least 1 to 1.5 years of growth requirement. I think that was the major benefit other than that we've always operated on a lean model at the Holdco.
So synergies will, of course, be there in terms of the horizontals that we carry at Holdco. But largely, the benefit will be of being a large unified operating NBFC or direct access to capital and also the capital release that we explained.
Gaurav Kochar:
Understood. Perfect. Thank you so much and all the very best.
Moderator :
Thank you. We'll take our next question from the line of Nidhesh Jain from Investec. Please go ahead.
Nidesh Jain :
First question is on the ABCD app. Can you share some data around customer engagement? What is our monthly active users and some business data as well, what is the quantum of disbursements that we have done? What is the quantum of mutual fund AUM or life i nsurance premium, health insurance premium that we have generated in FY '25 from the app?
Pankaj Gadgil :
So currently, we are tracking the number of customers that we've onboarded. And of course, we've also spoken about the number of VPAs that we've had from the customers who have experienced the app. We have just completed a year of the launch. La

st year, we launched it
on 16th of April. I think in the subsequent quarters, we'll come up with the GMV numbers and also the questions that you are asking.
Vijay Deshwal :
Just to give some clarity here, Nidhesh, for now, you can say that the origination on the personal loan on the NBFC side and having created the journeys for the personal loan, a

large contribution to the housing loan and also to the asset management business in that order. And we are also looking at growing the insurance and the rest of the businesses also on the app. And as Pankaj said, the numbers we'll be able to share in the s ubsequent

quarters.
Nidesh Jain :
Sure. So you mentioned 5% of personal and consumer loans have come from this app. Can you quantify in rupees crores?
Vijay Deshwal :
It's about 100 crores run rate per month, Nidhesh. I think we'll keep it here.
Nidesh Jain :
Sure. Secondly, can you share Stage 1 and Stage 2 PCR movement from FY '24 to FY '25 for NBFC and housing finance business? In percentage terms, what was the Stage 1 and Stage 2 PCR?
Rakesh Singh:
Nidhesh, we'll come back to you on this .
Nidesh Jain :
Sure. And lastly, in the life insurance business, can you share the reason for positive operating variance and positive assumption change variance for FY '25?
Kamlesh Rao:
So positive operating variance is largely on account of better experience in lapses and contribution of group business profit. So that's largely the contribution coming on the operating variance side. On the assumption variance, basically persistency, laps e in some of our products, specifically in non -par. And also on portfolio, our mortality experience has been better.
So typically, what we do is we look at consistency of that variance that we see over a year or two before actually taking the benefit of that. So we've got some higher on account of assumption variance, but operating variance for us has always been positiv e over the last few years. So a combination of both of this is the explanation of your operating variance as well as the assumption variance difference
Nidesh Jain :
Sure. So what will be the margin expansion because of the assumption changes for FY -- for the current year?

Kamlesh Rao:
So basically, if you look at the large contributor still comes from the net VNB of the portfolio. If you're asking me in the bridge, then I'm saying we would have got roughly about 100 basis points extra on account of the assumption variance change .
Nidesh Jain :
Okay. Thank you. That's it from my side.
Moderator :
Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Ms. Vishakha Mulye for closing comments. Over to you, ma'am.
Vishakha Mulye :
Thank you so much for joining us. And if there are any more questions, all of us are available. We will get in touch and you can contact any of us. Thank you.
Moderator :
Thank you. On behalf of Aditya Birla Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Aug 2025

Moderator:

Ladies and gentlemen, good day and welcome to the Q1 FY26 Earnings Conference Call hosted by Aditya Birla Capital Limited. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touc htone phone.

I now hand the conference over to Ms. Vishakha Mulye, MD & CEO, Aditya Birla Capital Limited. Thank you and over to you Ms. Vishakha.

Vishakha Mulye:

Good evening, everyone and welcome to the earnings call of Aditya Birla Capital for Q1 of FY26. Joining me today are senior members of my team Bala, Rakesh, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Deep. I will cover our strategy, financial and business performance and Vijay will cover key financial and business highlights followed by a disc ussion on the performance of our key businesses by our business CEOs.

The global macro -economic environment continues to remain uncertain due to tariff related negotiations and geo -political tensions. In this global backdrop, the Indian economy presents a picture of strength, stability, and opportunity. CPI inflation has sof tened significantly over the last six months, and the progress of monsoon shows encouraging signs for a strong kharif output. RBI has reduced repo rate by 50 bps and has taken various measures to improve system liquidity and stimulate growth.

At Aditya Birla Capital, we continue to focus on driving quality and profitable growth by leveraging data, digital and technology. Our customer centric approach enables us to provide simple and holistic financial solutions in a seamless way. Prudent risk m anagement practices form the bedrock of our approach which has enabled us to protect capital and deliver risk -calibrated and sustainable returns across businesses. We also continue to strengthen our omnichannel based distribution network.

Coming to the financial and business performance for the quarter:

1. Growth and profitability

a. During Q1 of FY26, the consolidated profit after tax grew by 10% year -on-year to 835 crore Rupees and the total consolidated revenue grew by 10% year -on-year to 11,333 crore Rupees.

b. In our NBFC business disbursements increased by 18% year -on-year to 15,851 crore Rupees in Q1 of the current year. The NBFC portfolio grew by 22% year -on-year and 4% sequentially to about 1.31 trillion Rupees. We had mentioned in our previous quarter's earnings call that we have taken several proactive interventions over the last few quarters in the unsecured loan segments, that is personal and consumers loans and business loans to

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Q1 FY26 Earnings Conference Call

Transcript

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SMEs by tightening the underwriting norms, calibrating the sourcing and reducing the exposure to smaller ticket size loans. Now talking about personal and consumer loans, the environment seems to have settled. We have put in place several building blocks t o pursue growth. We strengthened our internal sourcing channels and our products, underwriting, sales, and distribution teams and recalibrated our sourcing from digital partners. I am happy to share that these steps have resulted in disbursements in the pe rsonal and consumer segment growing by 28% sequentially and 65% year -on-year to 3,947 crore Rupees in the current quarter. We will continue to monitor the macro -economic conditions in this segment closely.

However, there are still uncertainties in the smaller ticket size unsecured MSME segment and we continue with our cautious approach towards growth and tighten our underwriting norms in this portfolio. Disbursements in unsecured l

oans to SMEs grew by 1% yea r-on-year

and declined 8% sequentially. The secur ed SME and corporate and mid -market segments continue to show steady growth. The secured business loans to SMEs grew by 27% year -on-year and 4% sequentially. The corporate and mid -market portfolio grew by 28% year -on-year and 4% sequentially.

Our portfolio quality continues to remain stable. Gross stage 2 and 3 loans declined by 75 bps year -on-year and 8 bps sequentially to 3.70% as of June -end. About 74% of our portfolio is secured and the provision coverage on stage 3 loans is 41.2% as of Jun e-end. Furt her, about 53% of our stage 3 loans in unsecured SME business loan segment are covered by the central government's guarantee schemes. Our credit cost in the current quarter is 1.30% and we expect that it will remain in a similar range for FY26.

The profit after tax of the NBFC segment grew by 11% year -on-year and 6% sequentially to 689 crore Rupees in Q1 of FY26. The RoA of the NBFC segment was 2.25%, which is at a similar level compared to the previous quarter.

c. Coming to our HFC business, we have created a full -stack franchise focused on both prime and affordable segments. In Q1 FY26, we continued to deliver on the strong growth momentum and gained market share as seen in FY25. Our disbursements grew by 76% year -on-year to more than 5,400 crore Rupees during the quarter. This has resulted in our HFC portfolio growing by 70% year -on-year and 11% sequentially to 34,605 crore Rupees. The credit quality in the HFC portfolio is among the best -in-class with stage 3 loan s declining by 97 bps year -on-year and 4 bps sequentially to 0.62%. The net stage 3 ratio was 0.30%. We are seeing benefits of the investments made in distribution, data, digital and emerging technologies over the past two years in the form of operating le verage kicking in. The opex -to-assets improved by 32 bps sequentially to 2.59% in the current quarter. The RoA of HFC business increased by 15 bps to 1.59% and RoE increased 132 bps 12.27%.

d. Moving on to the asset management business: During Q1 of FY26 our average AUM grew by 14% year -on-year and 6% sequentially and crossed 4 trillion Rupees. Equity AUM increased by 11% year -on-year and 7% sequentially. We have seen a strong momentum in net sa les and an improvement in the performance of our funds with 80 -85% AUM in the top 2 quartiles for 6-month returns. The profit after tax grew by 18% year -on-year to 277 Crore Rupees in Q1 FY26.

e. Moving on to the insurance businesses: The growth in the life insurance business continues

to remain strong. Our individual first year premium growth of 23% year -on-year in Q1 FY26 was significantly higher than the private industry growth of 8%. Our market share increased by about 60 bps year -on-year to 5.1%. We continue to be in the top quartil e in the industry in terms of 13th and 61st month persistency. The high quality of business along with the well -calibrated product mix and product construct and an increase in rider attachments have led to 110 bps year -on-year increase in net VNB margin to 7.5% in the current quarter.

f. In the health insurance business, we continue to be the fastest growing standalone health insurer. Our gross written premium grew by 30% year -on-year in driven by our differentiated health first model and data -enabled approach towards customer acquisition. Excluding the impact of multi -year guidelines, the growth in GWP was 40%. Our market share among SAHIs has increased by about 200 bps year -on-year to 14.5% in Q1 of FY26. Our combined ratio improved to 111% in Q1 of FY26. Going forward, we will continue t o grow our business driven by our differentiated health first model and gain market share.

2. Omnichannel architecture for distribution

a. Our omnichannel architecture allows customers to choose the channel of their choice and interact

with us seamlessly across digital platforms, branches and VRMs, fostering engagement and loyalty.

b. Our D2C platform, ABCD, went live about a year ago. It offers a comprehensive portfolio of more than 25 products and services such as payments, loans, insurance, and investments and helps customers to fulfill their financial needs. ABCD has witnessed a rob ust response with about 6.4 million customer acquisitions till date.

c. Our comprehensive B2B platform for MSME ecosystem, Udyog Plus, continues to scale up quite well. It has reached an AUM of 3,658 crore Rupees in two years of its launch. Udyog Plus now contributes about 30% of the AUM of unsecured business loans. ABG ecosys tem now contributes about 37% of the disbursements on Udyog Plus.

d. We added 67 branches during the quarter, and we had 1,690 branches across all businesses as of June -end. We are focused on capturing white spaces and driving penetration into tier 3 and tier 4 towns and new customer segments. We now have over 1,000 co -located branches across more than One ABC 250 locations.

Going forward, we will continue with our approach of driving quality and profitable growth.

Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarter.

Vijay Deshwal:

Thank you Vishakha and good evening to all of you. Vishakha covered the consolidated highlights, I will cover the standalone financials and key business highlights.

During Q1 of FY26, the standalone profit after tax grew by 3% year -on-year to 676 crore Rupees. On

a standalone basis, the tier 1 ratio is 15.62% and total CRAR ratio is 18.11%. Standalone return on equity adjusted for investments in subsidiaries and assoc iates is 14.4% in Q1 FY26.
In our NBFC business, the portfolio grew by 22% year -on-year and 4% sequentially to about 1.31 trillion Rupees. NIM, including fee income, was 5.97% for the quarter. The credit quality of NBFC business segment continues to be healthy with GS2 & GS3 loans declining by 8 bps sequentially to 3.70% as of June end . RoA of the NBFC business segment was 2.25%.

Our Housing Finance Business continues to see strong momentum. The loan portfolio grew by 70% year-on-year to 34,605 Crore Rupees. During Q1 FY26 we further infused equity capital amounting to 250 crore Rupees in our HFC subsidiary. This infusion was done to support the growth momentum and maximize our share of opportunities which Vishakha mentioned earlier. We are seeing operating leverage kicking in with opex -to-AUM improving by 32 bps sequentially. The RoA of the HFC business increased by 15 bps sequenti ally to 1.59% in Q1 of FY26
Coming to our AMC business, 14% year -on-year and 6% sequentially to more than 4 trillion Rupees, of which equity AUM was approximately 44.7%. Alternate AUM, including real estate, grew 2.64 times year-on-year to 39,784 crore Rupees in Q1 FY26.
In the life insurance business, our first -year premium increased by 23% year -on-year. The net VNB margin increased by 110 bps year -on-year to 7.5% and absolute net VNB increased by 27% year -on-year to 66 crore Rupees.
In our health insurance business, our unique and differentiated “Health First” model helped us to deliver a growth of 30% year -on-year in gross written premium during Q1 of FY26 . Excluding the impact of multi -year guidelines, the growth in GWP was 40%.
I now hand over to Rakesh, Executive Director & CEO (NBFC) to cover the NBFC business performance.
Rakesh Singh :
Thanks Vijay, and good evening, everyone.
The NBFC business grew by 4% quarter -on-quarter and 22% year -on-year taking the AUM to Rs. 1,31,227 Crore in Q1 FY26. Profit delivery was strong, registering a 6% sequential growth in quarter PAT.
In Q1 FY26, we disbursed Rs. 15,851 Crore which was 18% higher Year -on-Year. Of the total disbursements, secured business loans to SME was 38%, personal and consume

r segment was 25%
and corporate & mid -market was 30%. In the Personal and Consumer Loans seg ment, we have been on the calibration journey since last few quarters. We reached an inflection point last quarter where de-growth was arrested. I am pleased to share that disbursements in this segment expanded 65% Y -o-Y and 28% Q -o-Q and the AUM grew by 6 % sequentially to Rs. 16,446 crore. This was supported by our disciplined approach to customer segment selection, a revamped underwriting policy and proprietary journeys -designed to deliver a superior customer experience and maintain end to end control th roughout the lending lifecycle - from underwriting to collections.
While we believe the environment is attaining stability, we will continue to monitor the trends in macro -economic environment. As Vishakha highlighted, there are still some uncertainties in the macro environment in the smaller ticket size unsecured MSME se gment, where we continue with our cautious approach towards growth and tighten the underwriting norms for this portfolio. Disbursements in unsecured loans to SMEs declined 8% sequentially. The AUM for secured business loans to SMEs grew 4% sequentially a nd 27% year -on-year. The growth has been largely driven by scaling direct sourcing efforts through our branch network.
Coming to credit quality, our GS2 and GS3 book declined by 8 bps quarter -on-quarter and 75 bps year-on-year to 3.70%. About 74% of our book is secured and our Stage 3 book is well provided for

with a PCR of 41.2%. About 55% of our portfolio comprises of business loans to SMEs. Of this 46% is secured, where the asset quality continues to be robust on the back of strong cash flows and collaterals and is amongst the best in the industry. The unsecu red SME business loan portfolio is about 9% of the overall NBFC portfolio. Of this supply chain financing, with underlying trade is 1.6%, business loan is 6.5% and small ticket unsecured loans is 1.3%. The credit quality of the supply chain and business lo ans continues to be resilient in terms of bounce rates, forward flow rates and delinquencies.
As we have highlighted in our previous calls, we have taken several proactive interventions in the unsecured loan segments, that is personal and consumer loans an d business loans to SMEs, over the last few quarters, which Vishakha also highlighted in the opening remarks. We have been pre -emptive in making these interventions and will continue to have a cautious approach in the small ticket unsecured business loan s egment, which we would like to reiterate, is less than 1.5% of the total portfolio. The gross stage 3 loans in the unsecured business loan segment were 5.4% and the provision coverage is 35.7%. Further, about 53% of our stage 3 loans in this segment are co vered by the central government’s guarantee schemes. As a result, we believe Stage 3 loans in this segment are adequately provided for.

In the personal and consumer loan segment, we have largely run down our legacy portfolio sourced from digital partners. The credit quality indicators such as bounce rates, forward flow rates and delinquency rates in the portfolio are now stacking up well. Gross Stage 3 for PL and CL segment has improved by 30 bps sequentially and 70 bps year on year to 2.5% as of June 2025.
The credit cost has reduced by 13 bps year -on-year to 1.30% and we believe that credit cost for FY26 will be in a similar range.
Moving to profitability, our net interest income has increased by 9% year on year and 4% sequentially to Rs. 1,859 Crore. Net interest margin including fee, was 5.97% in the current quarter. Our Opex to AUM ratio improved 18 bps sequentially and 23 bps yea r-on-year to 1.74% and this has largely been driven by operating leverage as we continue to sweat new branches opened in last 12 -18 months. In Quarter 1, we delivered Profit After Tax of Rs 689 Crore, r

egistering a growth of 6% quarter -on-quarter
and 11% year -on-year. The ROA for the quarter was 2.25%.
Moving forward, we expect the mix of retail and MSME segments to improve and we will continue to leverage our proprietary digital platforms viz. ABCD App and Udyog Plus and invest in branches to further improve share of direct sourcing. As we scale up, str engthen our capabilities, and invest in technology, our primary commitment remains to deliver sustainable returns in the upcoming quarters.
With that, I will now handover to Pankaj, MD and CEO of Housing Finance business.
Pankaj Gadgil:
Thank you, Rakesh, and good evening to everyone on the call.
I am pleased to share that Q1Y26 is yet again a strong quarter in terms of disbursements, book growth and asset quality.
Key Highlights for Q1FY26 are:
• Disbursements for the quarter stood at ■5,404 crore, a 76% YoY increase versus ■3,068 crore in Q1 FY25. Now we are amongst top 3 private HFCs in terms of disbursements

• The ABG ecosystem accounted for 15.4% of retail disbursements in Q1FY26
• AUM as of June 2025 reached ■34,605 crore, reflecting robust growth of 70% YoY and 11% QoQ
• Profit before tax at ■154 crore, up 82% YoY and 27% QoQ
• Stage 2 & 3 assets reduced to 1.34%, improving 129 bps YoY and 5 bps QoQ
• ROA stood at 1.59%, and ROE at 12.27% for the quarter

As communicated earlier, last year was a year of strategic investments for us and we are now beginning to see the operating leverage play out. This is reflected in a 32bps sequential improvement in operating expenses as a percentage of average loan book. O ur cost -to-income ratio reduced by 530 bps QoQ and ROA improved by 15 bps QoQ. With this we remain well on track to achieve a ROA of 2 to 2.2% over the next eight quarters in line with our guidance.
For more detailed financials, please refer to Slide 30.
Let me now provide a quick update on a few key aspects of our growth:
During the quarter, AUM growth is at ■3,553 crore, versus ■1,979 crore in Q1FY25. This growth has been well -balanced across both the prime and affordable segments. Our portfolio remains well - diversified with retail home loans at 55%, loan against property at 30%, and construction finance at 15%. We expect to maintain the construction finance book within this range. Our average retail ticket size stands at ■30 lakh, reflecting the granularity of the portfolio. As of today, we have crossed 1 lakh active retai l customers.
On Asset Quality, Gross NPAs have improved significantly from 1.60% in June 2024 to 0.62% in June 2025 which is a reduction of 97 bps. Our Stage 3 provision coverage ratio stands at 52.4%. Proactive pre-delinquency management measures, powered by analytics and strengthened by digital collections infrastructure, continue to support improvements in asset quality.
Next moving to liability side, the share of NCDs in our funding mix has increased from 27% in Q1FY25 to 45% in Q1FY26. Term loans correspondingly reduced from 37% in Q1FY25 to 31% in Q1FY26. Our cost of borrowing has improved by 11 bps QoQ and now stands a t 7.69%. In line with reduction in cost of borrowing, we have passed on a 15 -bps rate cut to our retail customers, effective from July 2025.
On the digital front, we continued to see higher adoption of our digital platforms by employees, customers, and Channel partners. We are also seeing early traction in the adoption of AI co -pilots for employees, resulting in higher productivity.
In summary, we have delivered strong, consistent performance across all business segments — supported by growth in AUM, improving asset quality, advancing digital capabilities, and increased profitability.
Thank you for your attention. With that, I will now hand over to Bala, MD and CEO of our Asset Management Company.
A. Balasubramanian :
Thank you and good evening to everyone attending. I would like to sh

are some highlights of
ABSLAMC Q1 FY26.

At ABSLAMC, we have witnessed healthy business momentum in Q1 FY26 with the Net sales for the first quarter exceeding the total net sales for FY25 driven by improved fund performance across

categories and various ongoing initiatives to increase engagement. We have also maintained our overall market share over the last two quarters.

• We have achieved a significant milestone by crossing Rs. 4 lakh crores in Mutual fund AuM during the quarter, with our Quarterly Average AuM reaching Rs. 4.03 lakh crores – a robust 14% year -on-year growth that demonstrates our unwavering commitment to sus tained growth.

• Our Overall Average AUM including alternate assets, stood at Rs. 4.43 lakh crores, growing by 21% on a year -on-year basis.

• The quarterly Equity average AuM stood at Rs. 1.80 lakh crores, growing by 11% year -on-year.

• Our SIP contribution for June'25 is at Rs. 1,140 crores with 38.6 lakh accounts. Our SIP AUM contributes around 45% of our total AUM, reflecting the stickiness of the assets.

• The total number of investor folios for June 2025 stood at 1.06 crore, witnessing 14% year -on-year growth.

• On the Equity Investment front, we are witnessing consistent improvement with strong returns delivered across multiple categories, while Fixed Income performance continues to be robust across categories. We continue to focus on expanding our product offeri ngs, to meet the investment needs of our diverse and growing investor base.

• On the alternative side, we are continuously enhancing our PMS and AIF offerings across equity and fixed income segments to serve HNIs and family offices. Strong interest in our AIF product offerings at Growth Summit events signals significant scaling oppo rtunities ahead.

• Following the receipt of the ESIC mandate, we commenced managing the debt portfolio, and its AUM stood at Rs. 24,260 crores for the quarter ended June 30, 2025.

• Consequently, our PMS/AIF assets witnessed an impressive 8x growth, rising from Rs. 3,368 crores in Q1 FY25 to Rs. 28,657 crores in Q1 FY26.

• As we present, we have completed the first close of ABSL Structured Opportunities Fund Series II (Fixed Income – Credit) and are preparing to launch the ABSL India Equity Innovation Fund, building a comprehensive product portfolio that addresses evolving c lient needs and accelerates our PMS/AIF business growth.

• Our Offshore assets stood at Rs. 10,588 crores for Q1 FY26. Under the GIFT City platform, we have fundraising underway for the India ESG Engagement, ABSL Flexi Cap and ABSL Global Blue - Chip fund.

• On the Passives front, we have reached Rs. 36,400 crores in AuM as of June 2025 - a 22% year -on-year growth with 12.30 lakh folios across 52 distinct products. We continue building scale through innovative ETF, Index funds, and Fund -of-Fund launches while driving acquisition via digital platforms and distributors.

Moving on to the financials,

• Q1 FY26 Revenue from Operations is at Rs. 447 crores; up 16% Y -o-Y.
• Q1 FY26 Operating Profit is at Rs. 254 crores; up 21% Y -o-Y.
• Q1 FY26 Profit Before Tax is at Rs. 372 crores up by 22% Y -o-Y.
• Q1 FY26 Profit After Tax is at Rs. 277 crores; up 18% Y -o-Y.

With this, I'll hand it over to Kamlesh Rao, MD and CEO of Aditya Birla Life Insurance.

Kamlesh Rao:

Thank you, Bala, and good evening to all of you. The overall Life Insurance Industry delivered a modest growth rate of 4% in Q1 FY'26. Individual first year premium for the overall industry grew by 5% and for the private players by 8%. ABSLI clocked the highest Individual premium growth of 23.4% in Q1 FY'26 amongst top 10 private players

Growth for the first quarter was across channels with the proprietary channels showing a growth of 9% for the quarter whilst the partnership business gre

w at 34% with robust growth across all our
existing partners as well as the new partnerships in BOM, ID FC Bank and Axis Bank where we have increased our mindshare in the current quarter.

Agency business had a slow start in Apr'25 and then gradually caught up with double digit growth in the next 2 months, our growth was slightly better as compared to Agency performance for the entire industry for Q1 which remained largely flat during this period.

During the quarter, we have added 17 branches continuing our focus on expanding the Proprietary business, on the partnership side we now have 12 banca tie -ups and the most recent one, Equitas Small Finance Bank started business with us from Jun'25 onwards

In the product mix of the individual business, traditional business including protection contributed 69% and ULIP was 31%. We launched 2 new products during the quarter, one in the Par Portfolio named Akshaya Plan and second in the protection segment named Super Term Plan. Akshaya PAR plan contributed 20% mix in the Individual business portfolio whilst the Super Term Plan launched in June took our Protection mix to 4%, we have bundled all desirable features in one term plan including health management servi ces and have launched our digital campaign for this product under the tagline of "YehAkelaHiKaafiHai"

We will continue recalibrating our product mix in line with customer demand and our extensive product suite will ensure that the demands of the customer are catered to.

In the Group Life Insurance segment, while both the private sector and overall industry saw modest growth of 3%, ABSLI reported a 51% decline. This was largely strategic for the traditional fund business wherein we have decided to slow down the momentum on account of the reducing interest rate scenario as large acquisitions now would bring down the YTM of the portfolio, the Group Fund business across the industry remained largely flat during this period.

We continue to be at rank 2 in ULIP AUM in the industry with an AUM size of 13,500+ Crores. Credit Life business had a growth of 20% with attachment ratios going up in all counters. On GTL business, we continue to remain focused on expanding the margins an d have done well this quarter. Group AUM contributes 27% of the overall AUM at ABSLI

Renewal Premium grew by 18% with growth across Individual and Group segment. Our total premium for the quarter stands at Rs. 3,594 Crore, down 10% from last year, again on account of lower Group Trad Fund business as planned and mentioned earlier

Our digital collections now account for 81% of our renewal premium. We continue to work on Customer Lifetime value, which is reflected in our upsell ratio of 30%

On quality parameters, our overall customer NPS now stands at 62 (compared with 55 LYSP). While the 13th and 61st month cohorts have seen a marginal dip, all other cohorts of persistency of 25th, 37th and 49th have gone up, we continue being in the top tier in terms of overall persistency for the quarter Our Opex to Premium ratio stands at 27.6% which is higher than last year due to the lower Group Trad fund business as planned.

ABSLI crossed AUM of 1 Lakh Crore in Apr'25 and now stands Rs. 103,817 crores, with a YoY growth of 14%. 25% of this AUM is in equity and the balance 75% in debt. We continue to outperform in our investment performance in respective benchmarks across all t hree categories of Equity, Debt, or even Balanced funds, either from a 1 -year or 5 -year perspective.

Our digital adoption across various areas is demonstrated in Investor Deck in slide 46. 100% of new business customers are onboarded digitally, 83% of all our services are now available digitally, 67% services are STP, and our customer self -service ratio now stands at 93%. As we move ahead, we will continue to be best -in-class in our digital infrastructure, acr

oss prospecting and onboarding in sales,
underwriting, and customer service as well as claims

During the quarter, we raised Rs 200 crores via listed subordinate debt with Ind AAA/Stable rating to fund our business growth. Our solvency continues to remain healthy at 192%.
Our net margins are now at 7.5%, 109 bps higher than LYSP. We observed margin expansion due to a controlled ULIP mix, value accretive growth in Partnership business and rider attachments.
We maintain our guidance to expand our Net VNB margins through the year to achieve 18% plus for the year, we also maintain our guidance to grow Individual FYP at a CAGR of 20%+ for the next 3

years and in absolute numbers double the value of our Net VNB in the same time period.

With this, I'll hand over to Mayank, MD and CEO of our health insurance
Mayank Bathwal :
Thanks, Kamlesh and I would like to now share an overview of the performance of our Health Insurance Business.

We had a very strong start to FY 25 -26 in Q1, maintaining our track record of consistently outpacing the market growth while sustaining the momentum of improved profitability. In Q1 FY26, without the multiyear accounting norms we achieved a gross premium o f Rs. 1,461 crores, delivering a strong 40% YoY growth. On a 1/n basis our gross premium stood at 1357 cr ores with 30% growth. Thus, our market share amongst SAHI cos has increased from 12.5% to 14.2% basis, a YoY increase by 170 bps.

Excluding the impact of multi -year accounting norms, we achieved the highest market accretion (as shown in slide 53 amongst all SAHI players in Q1 FY26, highlighting our underlying growth momentum.

We registered a strong growth momentum across both retail and group businesses. The retail business registered an impressive growth of 39% in Q1 FY26. The growth in retail is driven across all our retail channels . The proprietary channel with an advisor count of over 1.5 lacs agents experienced a 26% YoY growth. All our major banks and digital alliance partnerships have also experienced strong growth of 50%. To further expand our PSU bank distribution, we have successfully onboarded Bank of India in Q1.

Our Corporate business delivered a strong 42% YoY growth in Q1, driven by our focused and disciplined strategy in this segment. At times we are asked about our relatively higher proportion of group business to which I will like to reiterate that our strategic choices in this segment are to create a very sustainable business. We are as we understand amongst very few players to have a profitable Group business in the industry. We do this by playing in very specific corporate segments like mid corporate and SME and specific industries more in the services sector. As we now take our differentiated health first insurance model to corporates also, we will further improve our competitive strength here.

We are also pleased to report that our net loss for Q1 FY26 stands at Rs. 36 crores as per new accounting regulations (1/n). As per the old accounting regulations (without 1/n), the net loss for Q1 stands at Rs. 24 crores which is 50% lower than same period loss of Rs 51 crores last year. Our Combined Ratio f or Q1 FY26 as per old accounting regulations is at 107% vs 112% on a comparable basis in the previous year. These improvements underscore our continued focus on unit economics and thus overall profitabi lity ahead of market as we demonstrated last year by one of the fastest breakeven given the scale we are operating at.

We strongly believe our robust growth and superior unit economics are driven by our digitally enabled and differentiated health first business model, which our customers experience through our flagship product Activ One. This model gives us a selection adv antage with larger share of the more health - conscious customers and then based on very hyper -personalized but scale health

engagement access
to a deeper understanding of the health profile of our inforce base. In Q1 FY26, 9.1% of eligible customers earned good health -based incentives - HealthReturns, up from 6.6% last year, reflecting deeper engagement with our wellness ecosystem. These customers continue to exhibit 4% lower loss ratios and 10% better persistency. This is shown in slides 56 and 57. Similarly when we invest in managing our customers with high health risk their loss ratios improve by more than 4.9%. Overall, this has kept our retail loss ratio well in control.

In our bid to expand the scale of impact of the model we continue to innovate. For example, in our recent collaboration with a leading wearable brand in India, we now have customers who get access to wearables as part of our product offering and this is further helping us in getting access to a larger pool of customer health data.

The hyper -personalized scale health engagement with customers is mainly enabled by our industry leading customer app Activ Health. The App now provides opportunity for non -policy holders to also experience our comprehensive health and wellness ecosystem.

Given our large data focus we have been investing consistently in our data and analytics play to consistently create efficiencies across the entire business lifecycle. We have given some examples of the key use cases across sales, customer engagement and c laims processing in slide 60.

Looking ahead, we remain optimistic about the long -term growth prospects of the health insurance sector, which continues to have large tailwinds. Our differentiated business model will help us grow well ahead of market health insurer. As we guided earlier, we will continue to strive for 100% COR as per the old accounting regulations in the current year itself.

Thank you, and I will now hand it back to Vishakha for her closing remarks.
Vishakha Muly e:
Thank you, Mayank. This concludes our remarks on the Q1 FY26 performance and we will be happy to take any questions.
Moderator:
Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mr. Chintan Shah from ICICI Securities.
Chintan Shah:

Yes. Firstly, congratulations on the good set of numbers. On this unsecured MSME piece where we have told that there are some uncertainties in the portfolio and we are seeing some kind of stress and adopting a cautious approach. So just wanted to understand, what is the customer profile here? Typically, how much w ould be the unsecured self -employed mix in the total pool?
And secondly, on the guarantee scheme, which we are highlighting, 53% of the portfolio is covered in the guarantee. So how does this guarantee actually work? And what is the typical timeline to get the money? And what is the final cost, which you have to bear in case of this guarantee? Yes, that's the first question .
Rakesh Singh:
So, your first question on the unsecured SME. If you look at our total book is about 12,000 crores. Out of that the total portfolio , 1.6% is supply chain, which is short term with our underlying treat, our invoices, so very low risk. Then we have 6.5%, which is business loans, where the portfolio performance is very, very good in terms of bounce rate of forward flows or delinquencies are looking pretty good.
The small ticket unsecured loan, we call it STUL, that is around 1.3% of our overall loan book. We had started taking actions from two, three quarters prior, and we have tightened our underwriting , collections, score cards. So, all of that, we took proactive action on this portfolio. So that's the only portfolio where we are slightly cautious at this point in time.
In terms of your second question, how much is the guarantee d portfolio? So, if you look at the Stage 3 portfolio in unsecured business, close to 53% of the Stage 3 is guaranteed

by the CGTSME or the
government guarantees, which we spoke about. How much of that gets covered? 75% of the principal gets covered by the guarantee. It takes between 12 to 18 months in terms of getting the refund and all at times. Our track record has been pretty good on this, and we have been getting the refund and the claims from the CGTSME.

Chintan Shah:
Sure. And so, on this portfolio, when can we see normalization of disbursement? So where do you see the kind of picking out of normalcy kicking in for this portfolio?
Rakesh Singh:
So, if you look at our business loans, we will continue to grow our business loan portfolio in that segment. That's holding up very well, and it's performing. And that's quite our old portfolio. We have been doing that business for the last 8 years or so. Tha t's holding up quite well from bounce rates, forward flows and delinquency.
So, we will continue to grow that business loan portfolio. We will continue to grow the short -term unsecured business. What we are tightening is the small ticket unsecured loan, and we will continue to watch that and see how it performs.
Chintan Shah:
Sure. So, in the small ticket lap, how much of the total unsecured MSME?
Rakesh Singh:
So that's close to INR 1,700 odd crores, which is there on the total portfolio. And it's not that the performance is , we are watching it. We have taken all the corrective actions in terms of tightening, and we have slowed down the sourcing in that segment.
Chintan Shah:
So basically, the risk is only on the INR 1,700 crores portfolio where we envisage some uncertainties or where we are cautious, right?

Rakesh Singh:
Yes. From a sourcing point of view, yes, in terms of portfolio, this is a rich portfolio, this would have been underwritten 12, 18 months back or 24 months back. So yes, we are watching it very closely.
Chintan Shah:
Yes. And the tenure would be 3 years typically, right?
Rakesh Singh:
Yes.
Chintan Shah:
Sure. And so just now on the housing part, just one last question. Actually, exceptional performance on the housing portfolio, and the growth has been quite robust. But now given the repo rate cut and probably some players have also highlighted, there are higher instances of BT out, particularly in the prime portfolio. So how are we seeing the competition panning out?
And I think more growth for us is also led by the developer pool rather than the prime pool. So yes,

any thoughts on whether that could grow or slow down over the remaining part of the year? And what kind of growth trajectory could we be looking at for housing portfolio?
Pankaj Gadgil :
Chintan, for us, the growth is coming in all the three segments, affordable, prime and developer. Yes, you're right, with the repo rates going down, we saw naturally some elevation in the foreclosures that we saw in the prime segment. And those ratios over all on the prime are in the range of about 14% of the opening book.
But since we are a full stack player, the balancing act also happens in the affordable and informal. Therefore, we don't see a very significant change as far as the foreclosures are concerned, also BT outs are concerned. In fact, till the BT in that we tra ck versus BT out ratio, the ratio remains quite similar to where we were in the month of quarter 3.
So, coming to your next question, which is how do you see growth panning out? I think what we have been articulating earlier in the last 8 quarters, I think what we have done is build capacity. And with the advent of 6 digital platforms that we have across the customer life cycle, we are seeing, in combination of the capacity that we have built, productivity is significantly coming up.
And as you would have noticed, 15.5% of our business that we do disbursements that are coming in are also from the ABCL and AB

G ecosystem. So, I think we are very well placed to take advantage
here. Clearly, the market share gain is what we are getting. So riding on the 14%, 15% growth, which is there in industry .
And with the capacity and productivity moving up for us, combined with the ABC ecosystem and with the right eye on portfolio quality, I think we can see the growth momentum remaining quite consistent for us.
Moderator:
The next question is from the line of Avinash Singh from Emkay Global.
Avinash Singh:
Yes. A few questions. The first one is on NIM. I mean, in the lending business, the NIM is still falling. So now, based on what is happening sort of on the borrowing side and how business mix is changing, can you provide some kind of a guidance that if this NIM has bottomed out and what sort of trajectory do we expect, I mean, as we exit this financial year ?
And in that context, one question is that now you have tried to increase or rather that your disbursement in consumer finance and PL bottomed out, you are starting to increase, but there remains some bit of a debate among various lenders that the consumer leverage is still higher. So how do you see, I mean, our path going forward in this consumer and PL?
And the second question is your current capital adequacy is, I mean, near 18%, so Tier 1 will be slightly lower. What kind of growth are you envisaging? And at what juncture will you be looking to raise capital?

Rakesh Singh:
So, thanks, Avinash. Your first question was on the NIM. So, if you look at NIM is an outcome of the product mix which we have. The mix of higher -yielding unsecured loan, that is personal and consumer loans and business loans to SME, was at 22% as of June '25 and this was at a similar level compared to March '25.
The personal and consumer business, as we just mentioned, has grown well in terms of in quarter 1. And the disbursements in the personal loan segment grew at 28% sequentially, and the portfolio has grown by 6%. So, we expect that as this portfolio grows and our unsecured business, which is business loans , grows, our margins should start improving. So, in the next few quarters, you will see margins improving from here on.

Your second question was on personal loans and consumer loans and leverage at a client level is still high. So, I think Avinash, we were ahead of the curve in terms of tightening, recognizing that there is a leverage, which is going up. We build the leverage in our underwriting and all our metrics in terms of tracking and unsecured enquiries. All of that, we have built it over the last four, five quarters, and we track customers leverage very, very closely.

And in this segment, if you look at it, we have largely run down our legacy portfolio source from the digital partner s. We have tightened our underwriting norms, as I mentioned, and reduced the exposure to small ticket size segment in this portfolio. Given that the environment in this segment is stabilizing and we are seeing that the credit quality indicators, which I had mentioned in my opening remarks, that bounce rate, forward flows and delinquency rates are stacking up quite well. We track in terms of FEMI, which is first EMI default, second, third. So, we really track this portfolio very, very closely, and we will con tinue to watch this portfolio as we grow our business .

Vijay Deshwal:

Avinash, Vijay here. On the capital question, yes, our Tier 1 ratio is 15.62% and total cap add is at about 18.11%. During the quarter, we infused INR250 crores in our HFC subsidiary, which is the only company which in a wa y, needs capital infusion because the asset management company returns dividend. In our insurance companies, we have JV partners and if at all, there will be very minimal capital requirement. So, I would say that looking at the overall capital plan for us, we are sufficiently funded for our growth

requirements for the next 9 to 12 months, and we will look at any capital situation post that.

Moderator:

The next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal:

Congratulations on a good quarter. Sir, the first thing is a clarification where you said that there are three products that we are doing in unsecured MSME, which is your supply chain finance, then we do business loans and then we called out small ticket unsecured loans. So, I'm just trying to understand, it is only in this small ticket unsecured loans, where we are seeing some stress building up. Otherwise, in business loans that we do in unsecured MSME, we are not seeing any stress building up is it, whic h you called out is about 6.5% of the portfolio?

Rakesh Singh :

Yes, Abhijit, you are right. We are not seeing any stress in any other portfolio.

Vijay Deshwal :

And then in this portfolio also, what Rakesh mentioned, is that wha tever it is, it's anticipated. There is nothing which is out of the way and the portfolio is well within our control, adequately provided. So we don't see any undue worry here, it's in control. We are being cautious.

Abhijit Tibrewal:

Got it. And then, I mean, I think on one of the slides and also in your opening remarks, you spelled out that close to 52% of your Stage 3 in unsecured MSMEs covered in the government schemes. So, at the overall portfolio level, what is covered under these government schemes?

Rakesh Singh :

It's similar, upwards of 50% is covered in the overall portfolio on the business and STUL.

Abhijit Tibrewal:

Got it. And then one last question. That is that if I look at your secured businesses, close to 60% of your secured business has LAP. So, I was just trying to understand what are we seeing in the LAP portfolio today? Because given how things have moved, right, in the last 12, 18 months from credit cards to PL to MFI to micro -LAP to unsecured MSME.

Just trying to understand, is there anything that you are seeing today in the LAP segment? And sir, why I ask this is LAP as a segment over the last 12, 18 months has seen very, very strong growth across the industry. So that is one. And the related questi on, in our HFC business, are we doing micro -LAP or in the NBFC, are we doing micro -LAP? And if yes, how big is that portfolio, micro -LAP?

Rakesh Singh :

So, Abhijit, first, your question on LAP, if you look at , touch wood, I think the performance is very, very strong, in terms of overall performance. And this is our oldest portfolio. So it is a very vintage portfolio and this portfolio has seen difficult cycles, whether it was demonetization or the NBFC crisis or COVID, and it has stood the test of the time and is very, very strong in terms of the performance. Even if you see the time period which you just mentioned, both our Stage 2 and Stage 3 has come down significantly. So very, very good. This is backed by the cash flows of the customer and the collaterals of the customer. So very good performance and has been stacking up very, very well.

Pankaj Gadgil :

So, on the HFC question, LAP, as I mentioned, the ticket size for LAP is about INR 54 lakhs. So it is a very small proportion of that is the micro -LAP. And if you see the slide, which is there, which depicts the composition of LAP that we've got, you would see that in the affordable segment, LAP is about 9.6%. So, a very small subset of the 9.6% will be micro -LAP.

And to also speak on how we are seeing this, of course, the growth has been strong, but we monitor the portfolio both on on -boarding. In fact, we have created our own proprietary score, which ensures that right quality of customers are voted in.
And then, of course, back that up with a very strong off-us analysis, not only for our own portfolio , but also look at what portfo

lio we have created as to how the customers are behaving outside. And I
also spoke about pre-delinquency management and also the utilization also on post -delinquency management, which is overall helping in managing the portfolio. So, we are not seeing any different trends in the LAP portfolio of ours in the housing segment.
Abhijit Tibrewal:
Got it. And sir, then if I can just squeeze in one last question. If you could also share what is the write -offs that we did in the quarter in NBFC and HFC? And if you could just answer that, and I had a follow -up question on this?
Vijay Deshwal :
We do not disclose write -offs as of now. So, I think we will stay with that.
Abhijit Tibrewal:
Sure. And then lastly, I mean, how much have we recovered in CGTSME scheme so far? In other words, how much have we claimed so far? And how much has been the recovery?
Rakesh Singh :
I think this is ongoing , in terms of depending on every quarter, whatever claim which we put up, it goes through its own verification and everything , so I think we see it over the period of full year and full cycle. We can share that later with you some time.
Abhijit Tibrewal:
Sure. And like you suggested, it typically takes between 12 to 18 months, right?
Rakesh Singh :
Yes. Yes.
Moderator:
The next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh:
Just a data question. If you could share the slippages during the quarter for the NBFC as well as the total Stage 1, 2 and 3 ECL? That would be helpful .
Rakesh Singh :
Stage 1, 2 and 3 segment -wise, we provide that, and we have provided this time as well.

Kushan Parikh:
Sorry, I'm talking about the provisioning against Stage 1, 2 and 3?
Vijay Deshwal :
That we do not disclose. A s of now, we don't publish that. But I think what we have given, for sure is the stage wise, whatever are the Stage 1, Stage 2, Stage 3 across various segments and also the provision cover that we carry for stage 3 in these segments.
Moderator:
The next question is from the line of Mr. Punit Bahlani from Macquarie.
Punit Bahlani:
Yes. Just firstly, on the NBFC bit. The unsecured business, the NPAs have increased and the PCR at 35% appears to be low. I know like over 50% is government guarantee, but my understanding is it might require some level of provisioning, right, even if it's government guaranteed. So, 35% for the unsecured appears to be a bit low.
And over time, like if I look at FY '24, like it was at 2.9%, the NPAs, it has gone up to 5.4% now. And so what is the tenor of receiving these claims so that when we can remove this from our NPA pool as in does it take 12 to 18 months or more than that, i f you could give any comment on that?
And thirdly on the housing finance bit, there has been a big improvement in opex this quarter. Is it primarily driven by operating leverage or is there any component that is like we have saved on some opex component? If anything, you could highlight on that. That's all .
Rakesh Singh :
Punit, your first question was about the provision coverage on the unsecured business. As I mentioned, 75% of the principal is guaranteed, so we believe that 35.7% or 36% PCR is quite sufficient in this. But at some point in time, if we believe that the claim is delayed or claim is not coming in and we will have to evaluate, we will do that. But at this point in time, because 75% of the principal is guaranteed, I think this provision coverage is sufficient.
Punit Bahlani:

So how much time does it take for the claim to come in?
Rakesh Singh :
As I mentioned, it's anywhere between 12 to 18 months.
Punit Bahlani:
Okay. Got it.
Pankaj Gadgil :
On the question on housing finance, as you rightly said, if you look at the operating expenditure for

quarter 4 and quarter 1, in absolute amou

nts, it is INR 194 crores and INR 190 crores. So INR 4
crores additional. And as you will know that in the last year, when the book grew from INR 18,400 crores to about INR 31,000 crores.
The expenditure for generating the business, most of it gets booked in the year in which the disbursements happen. And as you will see, the proportion of new disbursements to the overall book as because the book is also increasing, as the proportion keeps reducing, you will start seeing operating leverage kicking in even more.
That is the reason why earlier as well when we've been speaking about how the ROAs will stack up, we've been speaking about this 2.91%, which was the earlier opex on average loan book in quarter 4, how that we foresee will come down to 1.6% in the next eig ht quarters which is 130 basis points of reduction. And we've already seen a shift in one quarter itself to about 31 -32 basis points. And that is how it will stack up.
Moderator:
Thank you. Due to time constraints, we will take this as the last question. I now hand over the conference to Ms. Vishakha for closing comments.

Vishakha Mulye:
Thank you so much for joining us. And if there are any other questions, all of us are available. Please reach out to us. Thank you.
Moderator:
Thank you. On behalf of Aditya Birla Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Nov 2025

Moderator :
Ladies and gentlemen, good day, and welcome to the Q2 FY26 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on you r touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Ms. Vishakha M ulye, MD and CEO, Aditya Birla Capital Limited. Thank you, and over to you, ma'am.
Vishakha Mulye:
Good evening, everyone and welcome to the earnings call of Aditya Birla Capital for Q2 of FY2026. Joining me today are senior members of my team Bala, Rakesh, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Deep. I will cover our strategy, financial and business performance and Vijay will cover key financial and business highlights followed by a disc ussion on performance of our key businesses by our business CEOs.
The Indian economy continues to exhibit resilience with strong GDP growth in an uncertain global macro -economic environment. Headline CPI inflation has remained benign. The Government has rationalized GST rates with the objective of stimulating consumption and growth. We are starting to see some of the benefits of these measures in terms of record automobiles and white goods sales since the last week of September. The growth outlook for the second half of FY26 remains strong driven by implementation of stru ctural reforms, including streamlining GST rates, above normal monsoon and rising capacity utilization . However, ongoing tariff and trade policy uncertainties will impact external demand and need to be monitored closely.
At Aditya Birla Capital, we continue to focus on driving quality and profitable growth by leveraging data, digital and technology. Our customer centric approach enables us to provide simple and holistic financial solutions in a seamless way. Prudent risk m anagement practices form the bedrock of our approach which has enabled us to protect capital and deliver risk -calibrated and sustainable returns across businesses. We also continue to strengthen our omnichannel based distribution network.
Coming to the financial and business performance for the quarter
1. Growth and profitability
a. During Q2 of FY26, the consolidated profit after tax increased by 3% year -on-year to 855 crore Rupees. The total consolidated revenue grew by 4% year -on-year and 10% sequentially to 12,481 crore Rupees.
PRESS RELEASE Aditya Birla Capital Ltd. (ABCL)
Q2 FY26 Earnings Conference Call
Transcript
October 30 , 202 5

b. In our NBFC business disbursements increased by 39% sequentially to 21,990 crore Rupees in Q2 of the current year. The NBFC portfolio grew by 22% year -on-year and 6% sequentially to about 1.4 trillion Rupees. We had mentioned in our previous quarter’s earn ings calls that given the uncertainties in the operating environment, we had taken various proactive interventions in the personal and consumer loan and unsecured business loan segments such as tightening the underwriting norms, strengthening our internal sourcing channels and teams and recalibrating the sourcing from digital partners. The credit environment in the personal and consumer loan segment has settled since March and remains stable. We continue to build on the growth momentum in personal and consu mer loans seen in Q1 with disbursements growing by 52% year -on-year and 26% sequentially to about 4,970 crore Rupees in Q2. The personal loan portfolio grew by 15% year -on-year and 11% sequentially to 18,218 crore Rupees and comprises 13% of our total port folio. We are also seeing signs of the environment stabilizin

g in the unsecured business loan segment. Disbursements in this segment grew by 32% year -on-year and 37% sequentially to about 1,500 crore Rupees. The unsecured business loan portfolio grew by 24 % year -on-year and 11% sequentially to 13,663 crore Rupees and comprises 10% of our total portfolio.
The secured SME and corporate and mid -market segments continue to show steady growth. The secured business loans to SMEs grew by 22% year -on-year and 6% sequentially. The corporate and mid -market portfolio grew by 23% year -on-year and 4% sequentially.
I am happy to share that our asset quality continues to remain strong. The credit quality

indicators such as bounce rates, forward flow and delinquency rates across all segments are stacking up well. Gross stage 2 and 3 loans declined by 121 bps year -on-year and 67 bps sequentially to 3.03% as of September -end. During the quarter, we have sold gross stage 3 assets from our business loan portfolio which Rakesh will cover in detail later. Our provision coverage on stage 3 loans has improved from 41.2% as of J une-end to 44.2% as of September -end. Our credit cost in the current quarter is 1.16% and we expect the credit cost to be in the range of 1.2% to 1.3% in FY26.
The profit after tax of the NBFC segment grew by 14% year -on-year to 714 crore Rupees in Q2 of FY26. The RoA of the NBFC segment was 2.20% in the current quarter.
c. Coming to our HFC business, we have created a full -stack franchise focused on both prime and affordable segments. In Q2 FY26, we continued to deliver on the strong growth momentum and gained market share. Our disbursements grew by 44% year -on-year to 5,786 crore Rupees during the quarter. This has resulted in our HFC portfolio growing by 65% year -on-year and 11% sequentially to 38,270 crore Rupees. The credit quality in the HFC portfolio is among the best-in-class with stage 3 loans declining by 69 bps year -on-year and 2 bps sequentially to 0.61%. The net stage 3 loans were 0.26% as of September -end. We continue to see the operating leverage kicking in because of the investments made in distribution, data, digital and emerging technologies over the past two years. The opex -to-assets improved by 62 bps year -on-year and 20 bps sequentially to 2.39% in the current quarter. The RoA of HFC business increased by 23 bps sequentially to 1.82% and RoE increased by 168 bps 13.95%.
d. Moving on to the asset management business:
During Q2 of FY26 our average AUM grew by 11% year -on-year and 5% sequentially to more than 4.25 trillion Rupees. Equity AUM increased by 7% sequentially to 1.92 trillion Rupees. We continue to see an improvement in the performance of our funds with 70 -75% of equity AUM

in the top 2 quartiles for 6 -month and 9 -month returns. The operating profit grew by 13% year -on-year and 6% sequentially to 270 crore Rupees. The profit after tax was 241 Crore Rupees in Q2 of the current year.
e. Moving on to the insurance businesses:
The growth in the life insurance business continues to remain strong. We were the fastest growing private life insurer with individual first year premium growth of 19% year -on-year in H1 FY26. Our market share increased by about 50 bps year -on-year to 4.9% . We continue to be in the top quartile in the industry in terms of 13th and 61st month persistency. A well -calibrated product mix, increase in rider attachments and favorable movement in interest rates have led to 420 bps year -on-year increase in net VNB margin to 11.6% in H1 FY26.
f. In the health insurance business, we continue to be the fastest growing standalone health insurer. Our gross written premium grew by 31% year -on-year, driven by our differentiated health first model and data -enabled approach towards customer acquisition. E xcluding the impact of multi -year guidelines, the growth in GWP was 41%. Our combined ratio was 112% in H1 of FY26

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g. In a landmark and citizen -centric move, the government has recently waived GST on all individual life and health insurance products. This progressive reform is expected to enhance affordability, stimulate demand, drive growth and increase penetration in th e long run. We are assessing the impact from unavailability of input tax credit on our profitability and are in a dialogue with various stakeholders to mitigate the same. Taking into consideration the above, in the life insurance business, we remain confid ent to achieve a net VNB margin of more than 18% in FY26. In the health insurance business, we remain confident of improving our combined ratio in the current year from 105% in the previous year.
2. Omnichannel architecture for distribution
a. Our omnichannel architecture allows customers to choose the channel of their choice and interact with us seamlessly across digital platforms, branches and VRMs, fostering engagement and loyalty.
b. Our D2C platform, ABCD, went live about a year ago. It offers a comprehensive portfolio of more than 26 products and services such as payments, loans, insurance, and investments and helps customers to fulfil their financial needs. ABCD has witnessed a robust response with more than 7.6 million customer acquisitions till date.
c. Our comprehensive B2B platform for MSME ecosystem, Udyog Plus, continues to scale up quite well. It has reached an AUM of about 4,400 crore Rupees. Udyog Plus now contributes about 32% of the AUM of unsecured business loans. ABG ecosystem now contributes a bout 38% of the disbursements on Udyog Plus.
d. Our branch count increased by 22 during the quarter, and we had 1,712 branches across all businesses as of September -end. We are focused on capturing white spaces and driving penetration into tier 3 and tier 4 towns and new customer segments. We now have 1 ,028 co -located branches across more than One ABC 260 locations.

Going forward, we will continue with our approach of driving quality and profitable growth.
Now I request Vijay to briefly cover the financial performance of our key subsidiaries for the quarter.

Vijay Deshwal:

Thank you Vishakha and good evening to all of you. Vishakha covered the consolidated highlights, I will cover the standalone financials and key business highlights.

During Q2 of FY26, the standalone profit after tax grew by 12% year -on-year to 916 crore Rupees. During Q2 of FY26 we received a dividend income of 311 crore Rupees from Aditya Birla Sun Life Asset Management Company compared to 237 crore Rupees in Q2 of l ast year. On a standalone basis, the tier 1 ratio was 15.39% and total CRAR ratio was 17.98%. Standalone return on equity adjusted for investments in subsidiaries and associates was 14.2% in Q2 FY26.

In our NBFC business, the portfolio grew by 22% year -on-year and 6% sequentially to about 1.4 trillion Rupees. NIM, including fee income, improved by 9 bps sequentially to 6.06% for the quarter. The credit quality of NBFC business segment continues to be healthy with GS2 & GS3 loans improving by 67 bps sequentially to 3.03% as of September -end. RoA of the NBFC business segment was 2.20%.

Our Housing Finance Business continues to see strong momentum. The loan portfolio grew by 65% year-on-year to 38,270 Crore Rupees. During Q2 FY26 we further infused equity capital amounting to 250 crore Rupees in our HFC subsidiary, taking the total infusion to 500 crore Rupees for H1 FY26. This infusion was done to support the growth momentum and maximize our share of opportunities. We are seeing operating leverage kicking in with opex -to-AUM further improving by 20 bps sequentially . The RoA of the HFC business increased by 23 bps sequentially to 1.82% in Q2 of FY26

Coming to our AMC business, our AUM grew by 11% year -on-year and 5% sequentially to about 4.25 trillion Rupees, of which equity AUM was approximately 45

.3%.

In the life insurance business, our first -year premium increased by 19% year -on-year in H1 FY26. The net VNB margin increased by 420 bps year -on-year to 11.4% and absolute net VNB increased by 74% year-on-year to 237 crore Rupees in H1 FY26.

In our health insurance business, our unique and differentiated “Health First” model helped us to deliver a growth of 31% year -on-year in gross written premium during H1 FY26. Excluding the impact of multi -year guidelines, the growth in GWP was 41%.

I now hand over to Rakesh, Executive Director & CEO (NBFC) to cover the NBFC business performance.

Rakesh Singh :

Thanks Vijay, and good evening, everyone.

The NBFC business grew by 6% quarter -on-quarter and 22% year -on-year taking the AUM to Rs. 1,39,585 Crore in Q2 FY26. Profit delivery was healthy, registering a 4% sequential growth in quarter PAT.

In Q2 FY26, we disbursed Rs. 21,990 Crore which was highest ever quarterly disbursement and 39% higher sequentially. Of the total disbursements, secured and unsecured business loans to SME was 42%, personal and consumer segment was 23% and corporate & mid -market was 34%.

We continue to see the momentum in our personal and consumer loans business post strategic calibrations. I am happy to share that in Q2, disbursement in this segment registered a sequential growth of 26% which was largely driven by improvements in branch b usiness and scale up of direct

digital business through proprietary journeys. The AUM grew by 11% sequentially and 15% year -on-year to Rs. 18,218 crores.

About 56% of our portfolio comprises of business loans to MSMEs which has grown 7% sequentially and 23% year -on-year to Rs. 77,532 Cr. Out of this, 82% is secured and 18% is unsecured.

Disbursements in unsecured business loans grew 37% sequentially. The portfolio grew 11% quarter -on-quarter and 24% year -on-year and comprises about 10% of the overall NBFC portfolio. Of this, supply chain financing is about 1.5%, business loan is about 7.3 % and small ticket unsecured loans is about 1%.

The disbursements for secured business loans to SMEs grew 33% sequentially, resulting in AUM growth of 6% quarter -on-quarter and 22% year -on-year. The growth has been largely driven by scaling direct sourcing efforts through our branch network.

Coming to credit quality, in personal and consumer loans segment, we continue to see a sustained improvement in credit quality parameters. The Gross stage 2 and 3 reduced by 100 bps sequentially and 180 bps year on year. GS3 for this segment stands at 2.1% as of September 2025.

The GS2 + GS3 of the unsecured business loan portfolio reduced by 380 bps sequentially and 230 bps year on year. Gross stage 3 for this portfolio stands at 1.9%. of which 42% of the GS 3 book is covered under government guarantee schemes.

The asset quality of the secured SME loan segment continues to be healthy on the back of strong cashflows & collaterals and is amongst the best in the industry. GS3 for this portfolio stands at 1.2%,

down by 40 bps sequentially and 80 bps year -on-year.
As a result of improving portfolio quality trends in each of our segments, overall GS2 and GS3 book declined by 67 bps quarter -on-quarter and 121 bps year -on-year to 3.03%. About 73% of our book is secured and our overall Stage 3 book is well provided for with a PCR of 44.2% which increased by 300 bps sequentially.
During the quarter, we executed sale of Rs. 500 Cr from our unsecured business loan book. This was covered under government guarantee and classified in Stage 3. These assets were adequately provided for as per our ECL policy. Following this transaction, th e proportion of Stage 3 assets within the unsecured business declined significantly —from 5.4% in Q1 to 1.9% in Q2. For the total book, Stage 3 assets reduced from 2.3% in Q1 to 1.7% in Q2. We have aligned our provisioning norms for unse

cured business loans covered under government guarantee schemes in line with the rest of the unsecured loan portfolio. We write -off all unsecured business loans when they are overdue for more than 180 days.
Going forward, we remain confident to maintain the credit cost in the range of 1.2% -1.3% at the company level.
Moving to profitability, our net interest income has increased by 17% year on year and 7% sequentially to Rs. 1,994 Crore. Net interest margin including fee, was 6.06% in the current quarter, up by 9 bps sequentially. Our Opex to AUM ratio increased 29 bps sequentially and 5 bps year -on-year. On a half yearly basis, this ratio has declined by 9 bps year -on-year to 1.89%.

In Quarter 2, we delivered Profit After Tax of Rs 714 Crore, registering a growth of 4% quarter -on-quarter and 14% year -on-year. The ROA for the quarter was 2.20%.
Moving forward, we expect the mix of retail and MSME segments to improve and we will continue to leverage our proprietary digital platforms viz. ABCD App and Udyog Plus and invest in branches to further improve share of direct sourcing. As we scale up, str engthen our capabilities, and invest in technology, our primary commitment remains to deliver sustainable returns in the upcoming quarters.
With that, I will now handover to Pankaj, MD and CEO of Housing Finance business.
Pankaj Gadgil:
Thank you, Rakesh, and good evening to everyone on the call. I am pleased to share that Q2 FY26 is yet again a strong quarter for us in terms of disbursements growth and asset quality. We've continued to grow consistently for the last 12 quarters and percentage GNPA is now at its lowest level.
The key highlights for Q2 FY26 are as follows:
Disbursements for the quarter stood at Rs. 5,786 crores, an increase of 44% Y -o-Y and 7% Q -o-Q.
The ABG ecosystem accounted for 15.9% of retail disbursement in Q2 FY26. AUM as of September 2025 is at Rs. 38,270 crores, reflecting a robust growth of 65% Y -o-Y and 11% Q -o-Q. PBT at Rs. 194 crores, up 87% Y -o-Y and 26% Q -o-Q. On asset quality, Stage 2 and 3 assets reduced to 1.10%, improving 112 basis points Y -o-Y and 24 basis points Q -o-Q.
ROA stood at 1.82% and ROE at 13.95%. As mentioned by me earlier, the strategic investments that we made in the last 2 years are starting to deliver results. We are clearly seeing signs of operating leverage coming through. In Q1, operating expenses as a p ercentage of the average loan book improved by 32 basis points sequentially. In Q2 FY26 as well, we saw a further 20 basis point improvement in operating leverage.
Cost-to-income ratio also reduced further by 442 basis points Q -o-Q and ROA improved by 22 basis points sequentially. Given this consistent improvement, we are on track to achieve ROA of 2% to 2.2% over the next 6 to 8 quarters, consistent with our guidanc e.
Let me now provide a quick update on a few key pillars. During the quarter, absolute AUM growth is at Rs. 3,665 crores. The growth is well balanced across both the prime and affordable segments, and our average retail ticket size stands at Rs. 30 lakhs, reflecting the granularity of the portfolio.
On the digital front, we have achieved deep adoption of our digital platforms across the customer journey. We are already seeing strong early gains with our AI copilots across sales, underwriting, customer service and audit. These initiatives have started giving us early gains in sales by productivity, reduction in repeat service requests and implementation of continuous control monitoring objectives.
On asset quality, gross NPAs have improved significantly from 1.3% in September 2024 to 61 basis points in September 2025, which is a reduction of 69 basis points. Our Stage 3 provision coverage ratio stands at 57.6%.
Lastly, moving to the liability side. The share of NCDs in our funding mix has increased from 33% in Q2 FY25 to 50% in Q2 FY26. Our c

ost of borrowing correspondingly has improved by 17 basis points

Q-o-Q and now stands at 7.52%. We have continued to deliver strong and consistent performance across all business segments and improved profitability driven by focused execution across all key pillars of digital asset quality and liability management.

Thank you for your attention. And with that, I now hand over to Bala, MD and CEO of our Asset Management company.
A. Balasubramanian :
Thank you and good evening to everyone attending. I would like to share some highlights of ABSLAMC Q2 FY26.
At ABSLAMC, I am pleased to announce that we have sustained and crossed the remarkable milestone of Rs. 4.25 lakh crores in average AuM. This achievement is a testament to our team's dedication and commitment to growth.
• Our Overall Average Assets under Management, including alternate assets, stood at Rs. 4.61 lakh crores, growing by 15% on a year -on-year basis.
• Our Mutual Fund quarterly average AuM reached Rs. 4.25 lakh crores, growing by 11% year -on-year. The quarterly Equity average AuM crossed Rs. 2 lakh crores, including Alternate Assets.
• Our SIP contribution for September 2025 is at Rs. 1,100 crores, with 39 lakh contributing SIP accounts. Our SIP AUM contributes around 44% of our total Equity AUM, reflecting the stickiness of our assets.
• The total number of investor folios for September 2025 stood at 1.07 crore, witnessing 5% year-on-year growth.
• Our Alternatives business is a key growth driver, with a high -calibre team and deep expertise. PMS/AIF assets surged 8x from ■3,852 crores in Q2 FY25 to ■30,250 crores in Q2 FY26, fuelled by strong momentum in both Equity and Credit segments. The ESIC mand ate contributed ■25,800 crores, while excluding ESIC, AUM grew 15% Y -o-Y, highlighting robust organic growth.
• We are proud to have been selected by EPFO to manage its debt portfolio for the next five years, pending formal confirmation. This milestone underscores the trust in our capabilities.
• We also completed the first close of the ABSL Structured Opportunities Fund II and are set to launch the ABSL India Equity Innovation Fund. Our real estate business is gaining strong momentum, with a 23% Y -o-Y growth in the book and a clear path to double its size by year -end, driven by robust investor interest and a solid pipeline.
• Our Offshore Average AuM reached ■4,795 crores in Q2 FY26. While we saw some withdrawals due to portfolio restructuring and a shift towards other Emerging Market economies, we are actively fundraising for the India ESG Engagement Fund, ABSL Flexi Cap Fund, and ABSL Global Bluechip Fund under the GIFT City platform.
• On the Passives front, we launched the ABSL BSE 500 Momentum 50 Index Fund and ABSL BSE 500 Quality 50 Index Fund to grow our Passive AuM. As of September 2025, our total Passive QAAuM stood at ■36,000 crores, reflecting a 20% Y -o-Y growth, with a customer base of 13.5 lakh folios.

Moving to the financials:
• Q2 FY26 Revenue from Operations stood at Rs. 461 crores, up by 9% year -on-year.
• Q2 FY26 Operating Profit stood at Rs. 270 crores, up by 13% year -on-year.
• Q2 FY26 Profit before Tax stood at Rs. 316 crores, and Profit After Tax stood at Rs. 241 crores.
With this, I'll hand it over to Kamlesh Rao, MD and CEO of Birla Sun Life Insurance.
Kamlesh Rao:
Thank you, Bala, and good evening all. I'll give you some highlights of the life insurance business.
The first half year of the year saw muted growth for overall life insurance industry at 2% with the private Life Insurance Industry growing at 8% . During the same period ABSLI clocked a premium growth rate of 19.2% and we saw a balanced growth with our proprietary business growing at 13% and the partnership business growing at 23% .
The partnership growth of 23% came across all our existing

partners as well as the recent partnerships
in BOM, IDFC Bank and Axis Bank where we have increased our mindshare significantly in the first half of the year .
We now have 12 banca tie -ups and the most recent one, Equitas Small Finance Bank started business with us from July '25 onwards .
During the half year, we have added 17 branches continuing our focus on expanding the Proprietary business . With this we are now at 444 branches across the entire country .
In the product mix of the individual business, traditional business including protection increased to 69% and ULIP came down to 31% helping expand margins for the first half of the year. Our recently launched Par Product named Akshaya Par contributed 15% of our overall H1 business and our Protection mix stands at 5% with the successful launch of Super Term P lan
In the Group Life Insurance segment, the private industry grew by 19% and overall industry grew by 11%. As we articulated in Q1, we have calibrated the interest rate sensitive business as part of our strategy, so whilst the degrowth was 51% in Q1 , we have brought that down to 22% in H1 . We will

continue to grow the interest rate sensitive fund business in a measured manner in a low-interest rate environment as part of our overall group business strategy. We continue to be at rank 2 in ULIP AUM in the industry with an AUM size of 14,000+ Crores. Credit Life business registered a growth of 28% despite no captive bank with attachment ratios going up in most counters with the exception of microfinance segment. On GTL business, we continue to remain focused on expanding the margins. Group AUM contributes ~26% of the overall AUM at Rs. 27,058 Crore.

Our total premium for H1 stands at Rs. 8,941 Crore, up by 3% from last year with a 13th month persistency at 86.4%. Renewal premium grew by 18% with growth across Individual and Group segment. Our digital collections now account for 83% of our renewal premium. We continue to work on customer lifetime value, which is reflected in our upsell ratio of 32% .

On quality parameters, our overall customer NPS now stands at 61 (compared with 55 LYSP). While the 13th and 61st month cohorts have seen a marginal dip , all other cohorts are growing compared with LYSP. Our Opex to Premium ratio stands at 24.6% due to lower Group Trad fund business as narrated before, the retail opex to premium ratio is progressing as per plan .

ABSLI crossed AUM of 1 Lakh Crore in Apr' 25 and now stands Rs. 104,492 crores, with a YoY growth of 9%. 24% of this AUM is in equity and the balance 76% in debt. 93% of our funds continue to outperform in our investment performance in respective benchmarks.

Our digital adoption across various areas is demonstrated in Investor Deck in slide 46. 100% of new business customers are onboarded digitally, 93% of all our services are now available digitally, 67% services are STP, and our customer self -service ratio n ow stands at 93%.

As we move ahead, we will continue to be best -in-class in our digital infrastructure, across prospecting and onboarding in sales, underwriting, and customer service as well as claims

Regulatory changes :

The recent GST exemption on life insurance premiums, is a welcome step towards making life insurance more affordable and accessible to a larger segment of the population, aligning well with the government's broader objective of financial inclusion and soci al security. We expect it to support long - term demand and improve insurance penetration in the country.

We also believe that this move will expand the overall market in the long run, strengthen customer trust in life insurance as a value proposition, and create a more sustainable growth environment for the industry.

The exemption does lead to some short -term margin pressure given the inability to currently reprice products and the loss of input tax credits as compared t

o before. However, we believe these are

transitional in nature. Various methods are being evaluated including distribution costs to mitigate the same impact and all of these are in various stages of execution .

With our strong focus on cost efficiency, digital enablement, and balanced product mix, we remain optimistic about our growth and margin expansion trajectory for the second half of the year.

Value and Guidance :

Our solvency continues to remain healthy at 188%.

Our net margins for H1 FY'26 are at 11.6%, 420 bps higher than LYSP at 7.4 %. We observed margin expansion due to a controlled ULIP mix and increase in Protection mix, value accretive growth in Partnership business and rider attachments. On the back of str ong growth and quality of our book, we are reporting an EV of ■ 14,585 Cr with a growth of 18% over LYSP .

We will continue to focus on increasing productivity across all cohorts in our Proprietary business. For our Partnership Business, we will continue to invest in our Bank partners to increase our mindshare and drive better productivity across all partners .

Our guidance is to grow Individual FYP at a CAGR of 20%+ for the next 3 years, whilst achieving this growth we intend expanding our current VNB margins of 18%+ and in absolute numbers double the value of our Net VNB in the next 3 years' time .

With this, I hand over to Mayank, MD and CEO of Health Insurance.

Mayank Bathwal :

Thanks, Kamlesh and I would like to now share an overview of the performance of our Health Insurance Business.

We had a very strong Q2 as we continued to build on the growth momentum from Q1 of this FY, maintaining our track record of consistently outpacing market growth whilst continuing to improved profitability metrics as well. For the first half of the year as per the old accounting regulations (without 1/n), we achieved a gross premium of Rs. 3,070 crores, representing a strong 41% Y -o-Y growth. On a 1/N basis, our gross premium stood at Rs. 2,839 crores, reflecting a healthy 31% growth. Thus , our market share in SAHI has increased from 11.9% to 13.9%, a YoY an increase by 200 bps.

We registered a strong growth momentum across both retail and group businesses. The retail

business registered an impressive growth of 35% in H1 FY26. The growth in retail is driven across all our retail channels.
Our Corporate business delivered a strong 49% YoY growth in H1, driven by our focused and disciplined strategy to create a sustainable franchise in this segment. We do this by playing in very specific corporate segments and industries. We have now taken ou r differentiated health first insurance model to corporates also and this will only further improve our competitive strength here.
On the profitability front, our net loss for the H1 FY26 stands at Rs. 10 2 crores as per new accounting regulations (1/n). As per the old accounting regulations (without 1/n), the net loss for Q1 stands at Rs. 76 crores compared to loss of Rs 115 crores last year. Our Combined Ratio for H1 FY26 as per old accounting regulations is at 108% vs 113% on a comparable basis in the previous year.
These improvements underscore our continued focus on unit economics and thus overall profitability ahead of market. We strongly believe our robust growth and superior unit economics are driven by our digitally enabled and differentiated health first busine ss model. This model gives us a selection advantage with larger share of the more health -conscious customers and then based on a hyper - personalised health engagement access to a deeper understanding of the health profile of our in -force base.
In H1 FY26, 9.4% of eligible customers earned good health -based incentives - Health Returns, up from 7.4% last year, reflecting deeper engagement with our wellness ecosystem. These customers continue to exhibit 8%+ lower loss ratios and 11%+ better persistency.

This is shown in slides 56 and 57.
Similarly, our investments in managi ng customers with high health risks, through interventions with more than 180K lives, have led to an improvement in their loss ratios by more than 6%. Overall, this has helped kee p our retail loss ratios well under control.
We continue to innovate to expand the scale of the differentiated health first model. Our collaboration with a leading wearable brand has experienced very encouraging results with increasing sales

volumes helping us in getting access to a larger pool of customer health data. The hyper personalised scale health engagement with customers is mainly enabled by our industry leading customer app Activ Health.
The App now provides opportunity for non -policy holders to also experience our comprehensive health and wellness ecosystem. Given our large data focus we have been investing consistently in our data and analytics play to consistently create efficiencies ac ross the entire business lifecycle. We have given some examples of the key use cases across sales, customer engagement and claims processing in slide 60.
The recent structural GST changes effective from 22nd September 25 are expected to benefit the health insurance sector in the medium to long term. Short term impact of the GST reforms is being reviewed with various stakeholders.
Looking ahead, we remain very optimistic about the long -term growth prospects of the health insurance sector, with our differentiated, health -first model and sharp execution focus, ABHI is well positioned to grow ahead of the market.
Thank you, and I will now hand it back to Vishakha for her closing remarks .
Vishakha Muly e:
Thank you, Mayank. This concludes our remarks on the Q2 FY26 performance and we will be happy to take any questions.
Moderator:
Thank you very much. The first question is from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah:
Congratulations on a very strong set of numbers. So, on the NBFC piece, firstly, on the Opex cost, I think there is a jump of more than 25% sequentially on the operating expense front. So, I just wanted to understand, is there any one -off here? Firstly, on that.
And secondly, on the yields part. So, yields have been kind of declining for now almost 5, 6 quarters. Hence, now given that we are increasing focus on the unsecured business, personal and consumer loans, business and unsecured business loans as well, and it's in the second quarter of strong growth in these businesses. So, when do we see this reflecting in the yields part? Yes, and that's on the NBFC business.
Rakesh Singh:
So Chintan, on opex, it's one -off. And if you look at the H1 number , it is 1.9% opex to AUM. Going forward, we will be in this range. So, since the last quarter, 1.74% was slightly muted. If you see last year, it was above 2%. And if you look at it in H1, it is 1.9%. So going forward, it should be at 1.9% in that range. So, this one -off should get normalized going forward.

Your second question was on the yields. If you look at our yield, in fact, when compared to quarter 1,

I think it's in the same range, 12.71% and 12.68%. So that's the range. Our margin, if you look at it, has improved by 9 b ps from 5.97% to 6.06%. So clearly, as our personal and consumer and unsecured business grows the way it has grown in quarter 2, we will see improvement in yield going forward.
Chintan Shah:
Okay , sure. Sir, if you could just quantify the amount of opex mix and exactly in terms of some qualitative aspect on what was it exactly? That would be helpful.
Rakesh Singh:
So, these will be primarily on the business side, retail operations and investment in branches, technology and all, and that's slightly one -off, which we did. So , I think we can take you through that separately.

Chintan Shah:
Sure. And so, sir, you said that the margins have improved, but I think they have improved largely because of the borrowing cost, while yields have compressed even 3 bps Q -o-Q in this quarter. So , if you could just give the breakup of the yields into the 4 segments, if that is possible?
Rakesh Singh:
Segment -wise yield, if you look at EIR , it's in the same range, like personal and consumer, if you look at, it's around the 16% to 17% range is what we had. Our corporate is in the same range. We have always mentioned 10.75% to 11% , so it's in that range. Secured was in the range of around 12%, and it is at around 11.96%.
So, I think the NIMs are quite stable, Chintan. As I said, as we grow our personal and consumer, we will start seeing the benefit in quarter 3, quarter 4 with the growth which we have seen in quarter 2. So yes, so I think the yields will start improving in th e coming quarter.
Moderator:
Ladies and gentlemen, we will move on to the next question, which is from the line of Avinash Singh from Emkay Global Financial Services Limited.
Avinash Singh:
Thank you for the opportunity. The first one is regarding your NPA sale, some Rs. 700-odd crores out of that, you highlighted Rs. 500-odd crores from unsecured business. So can you help us understand the rationale and strategy behind doing this kind of ARC sale particularly when the portfolio had the CGTSME guarantee backing. So , why this change of strategy rather than getting recovery from guarantees or sending it to ARCs? So that's one.
Second question is on Housing Finance. Can you provide some color on the competitive intensity there? And does that mean that in this falling rate environment, there will be kind of pressure on your NIMs. So, I mean, of course, so far in the last 4 quarters, the profitability improvement has been very, very impressive. But going forward, do you see this competitive intensity kind of bringing some sort of a pressure on margins?

Rakesh Singh:
So, Avinash, the rationale was we wanted to align the ECL policy and the write -off policy, and that's the reason why we did it because there used to be a cash flow mismatch in terms of when the claim comes back and all of that, and it used to look elevated. T hat's the reason one, we have taken a one-time decision to align it with all our other businesses.
Pankaj Gadgil:
Yes. Avinash, Pankaj here on the housing question that you asked on whether there's a compression in yields that is expected. So, I think what we have done here is while logically, there has been a lot of competitive intensity. If you look at our EIR also, it has come down from 10.77 b ps to 10.62. So, there's a 15 bps decrease that has happened there because we also made a change in EIR of 15 basis points that has showed up here.
But as the competitive intensity moves up, I will maintain that the opportunity in the HFC segment is continuing to be very, very large. As of June, the industry was still at about Rs. 1 0.5 lakh crores, our AUM is Rs. 38,000 crores. So, the market share is still at about 3.8%, 3.9%. So, opportunity is quite significant. I think we need to find our own space there, which we have been doing quite well, backed by our entire product range as being a full stack player, we're having best -in-class digital platform s. And also, most importantly, I think the distribution structure, which is giving and providing us this growth. Having said that, I think, Avinash, in the last call also, I had mentioned that in the way we are looking at the business, while currently, the NI Is are looking at 5.07% and the ROA is looking at 1.82% with operating leverage coming in quite sharply in the last 2 quarters. I think the idea is that there will be naturally some reduction in the NII. So, 5.07% that we're talking, realistically, we shou ld be seeing it somewhere in the range of betwee

n 4.75% to 4.80% at the end of the year.
So that's the broad range. But that will get compensated by the operating leverage that we will get. So right now, 1.82, which is the ROA. We've guided that in the next 6 quarters; this number will be close to anywhere between 2% to 2.2%. So that is where we are on the HFC business.

Avinash Singh:
Yes. Rakesh, just I mean, this sale to ARC of this government guarantee backed portfolio, is kind of a onetime nature, but your kind of your reliance or your willingness to get this CGTMSE backing, that does not change. I mean, in future growth also, you w ill continue to take this guaranteed scheme or is there a rethink on that strategy?
Rakesh Singh:
Yes, Avinash, we will continue to leverage that. And the only change is that we have aligned the provisioning policy in terms of the writing off at a guaranteed portfolio also at 180 days.
Moderator:
The next question is from the line of Nidhesh Jain from Investec.

Nidhesh Jain:
My first question is on NBFC. So out of Rs. 735 crores, you mentioned Rs. 500 crores is unsecured business loan s. What was the rest of the book? And what is the sort of haircut that we have seen in unsecured business loan book, which was by CGTSME?
Rakesh Singh:
Nidhesh, I think the remaining is SME , secured SME, which was the old portfolio. So that's the remaining .
Nidhesh Jain:
Sure. And the book that was backed by CGTSME, what is the haircut that ARC has taken?
Rakesh Singh:
No, there is no haircut. As I mentioned, the reason why we have done it is because there's always a claim mismatch in terms of the timing mismatch, that's the reason one time we have taken this call to align with all our other portfolio.
And going forward, we will stick to that. And we will leverage that credit guarantee, as I mentioned . But from a provisioning point of view, from a write -off point of view, we will treat it exactly the same as what we do with all other unsecured portfolio s.
Nidhesh Jain:
Sure. The second question on NBFC is how are you seeing cost of funds moving? Because you mentioned the yield should start to improve and the cost of funds , if they further reduce going forward, there could be a sharp expansion in margins. So, what is the trajectory of cost of funds that you see over the next 2, 3 quarters?
Rakesh Singh:
So, cost of fund, we operate in a competitive environment. And if the cost of funds comes down, if the floating rate interest is there, we need to pass it on to our customers. So, it's a fine balance, Nidhesh, and we will continue to do that. But as I mentioned, with the change in the product mix, our yield should improve, and that should help our margins to improve.
Nidhesh Jain:
So, margin trajectory should be upwards going forward, right, in next few quarters?
Rakesh Singh:
Yes. I think in quarter 4, we will start seeing some bit of improvement in margins because I think the way we have grown in quarter 2 and we will continue, we'll see some improvement, sure.
Nidhesh Jain:
Sure. The next question is on Housing Finance business. Since we have witnessed pretty significant

operating leverage this quarter, ROEs have already reached pretty decent numbers. So why are we guiding that we will still take 6 quarters? I think if we see a similar amount of operating leverage, we should be able to reach 2% ROA in the next 3 quarters.
Pankaj Gadgil:
So, I think we will not stop there on the lighter side. But what we are seeing is in any business that you run, actually the first impact that we saw was quite significant because the gains in operating leverage typically come in 2 ways.
One it comes with increase in productivity. So, that has improved significantly for us in the last 12 to 18 months. The other advantage that also comes in is that as the disbu

rsement to opening book for
that particular year keeps going down, while the overall absolute disbursement is high. But last year , you would have noticed that number was 57% of the overall books that is disbursed.
So, our disbursements to overall book is Rs. 18,000 crores and Rs. 31,000 crores was the overall book. That number was 57%. As the disbursement to the opening book keeps reducing, you also get operating leverage. So, these are the 2 levels from where the operating leverage will actually come in. So naturally, the impact has been sharper in the first quarter and the second quarter. The impact may not be 20 basis points in the third and the fourth quarter. It will be there, but we feel strongly that when

I said ROA , I said 2% and 2.2%. So, for 2.2%, it will take that much of time to reach between 5 to 6 quarters. So , that is the way in which we are looking at the numbers right now.
Nidhesh Jain:
Sure, sure. And the last question is on Life Insurance. What is the impact of GST on our margins that you anticipate? Because of the GST impact, what is the VNB margin guidance for the full year now?
Kamlesh Rao:
So, the VNB margins for the next 6 months will also be a function of how we'll moderate the product mix. And like I said, we are in negotiations on distribution costs and all of them have not fully fallen in place at this point in time. Typically, impact on VNB margins could range between 200 to 250 basis points.
But like I said, depending on what we are negotiating right now and what discussions that we are doing, we continue to maintain our guidance . We have guided above 18% margins of net VNB, we still are giving the same guidance to say we'll get there by the end of the year.
Moderator:
The next question is from the line of Sameer Bhise from Dymon Asia.
Sameer Bhise:
Congrats on a strong set of numbers. Just wanted to pick your brains on slightly medium -term picture now that credit costs are fairly under control, we are entering a period of margin expansion. How should one think on the 6 - to 8-quarter margin trajectory for the NBFC piece? I think that is one.

Rakesh Singh:
Yes. So, as we improve our personal and consumer and unsecured business loan, that will help us improve our yields and margins. Also, the opex, which we mentioned, which is 2.03%, if that comes down to 1.9%, we will see some expansion in our ROAs.
Sameer Bhise:
Okay. I think that would be a fairly linear outcome. Secondly, in terms of this policy change on the CGTSME, the guaranteed part, any incremental impact that you expect from a P&L perspective? Good to see that it hasn't impacted credit cost this quarter, but even going forward?
Rakesh Singh:
We don't see any incremental impa ct.
Sameer Bhise:
Okay. And the recoveries will accrue as they accrue when the payouts happen from the government side?
Rakesh Singh:
We'll continue to focus on the collections and claims from the guarantees.
Sameer Bhise:
Okay. This is helpful.
Rakesh Singh:
We have given a guidance at a company level as we grow our retail portfolio, the credit cost at a company level will be at 1.2% to 1.3% range.
Moderator:
The next question is from the line of Suresh Ganapathy from Macquarie.
Suresh Ganapathy:
Just a continuation of the previous question on ROA. Some of the math doesn't add because for last 4 quarters, you have stuck in this 2.2% ROA range. And if I look at it this quarter, your margins went up, credit costs came down. But still, you are at 2.2%, in fact, lower than the previous quarter ROA marginally.
Now, you have given a medium -term aspiration of 3%. How do you take it up by 80 b ps because interest rate cyclicality will also be there. Can you really structurally for this business aspire a 3% ROA because you are saying your credit cost is also not going to come down. It is going to go up from the current levels of 1.16% to 1.2% to 1. 3%. So, 2.2% to 3%, that 80 b ps gap, how are you going to bridge over the next 3, 4 years?

Rakesh Singh:
Suresh, we had given a guidance of 2.5% . By the end of this quarter 4, we should be closer to around 2.4%. And from there on, we will look at how do we expand the margins. But in the given environment, we had mentioned about 2.5% in the medium term. In slightly longer term, we will have to recalib rate and see how we expand the ROAs from there.
Suresh Ganapathy:
Okay. So, 2.4% to 2.5% is what you're saying over the medium term. Okay, cool. The other thing is that on the SEBI regulations on mutual funds, can Bala say what could be the impact? Have you guys done any preliminary assessment? How are you going to tackle it? I know it's draft, but any

deliberations here on that?
A. Balasubramanian:
Yes. What we have done, Suresh, is one of course , welcome what they have proposed in terms of various changes that they have made with respect to improving the compliance standards, governance, reporting, and other stuff. With respect to the change of TER calculation, making the statutory obligations out of the TER, also will make it relatively easy for the MF industry from a monitoring point of view.
At the same time, given the fact that they have proposed some changes in the TER structure, we have, of course, taken it up with SEBI through the committee which is formed under the AMFI to make a holistic representation. And we are, at this point in time, a little confident that they will be quite amenable to the changes that will be proposed .
I think their intention is not to hurt the mode of the industry, which is, of course, one of the largest supporters of the Indian capital market. But having said that, we will take it up with SEBI for proper discussion . That's the plan.
Moderator:
The next question is from the line of Punit Bahlani from Macquarie.
Punit Bahlani:
Yes. Just one question on the margins bit. Over the past 2 quarters, your personal loan disbursements have been pretty good, but yields, if I might be more specific, have declined. So, I know part of it has got to do with the repricing bit. But is it fair to assume that like this half, we are done with the repricing and now we'll directly see the impact of these increased disbursements flow into the yields from next quarter onwards? Like the increase in yields will be like in a significant proportion? That's the only question I have.
Rakesh Singh:
Yes. We have to look at the overall mix of the portfolio. So, I think with that going up, personal and consumer growing, unsecured business growing, we will start seeing improvement in yields and margins as we go along in quarter 3 and quarter 4.

Moderator:
Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Vishakha Mulye for closing comments. Thank you, and over to you, ma'am.
Vishakha Mulye:
Thank you so much for joining us today evening. And if there are any more questions, all of us are here, and please feel free to reach out to us. So, thanks a lot again.
Moderator:
Thank you members of the management. Ladies and gentlemen, on behalf of Aditya Birla Capital Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Feb 2026

Moderator :
Ladies and gentlemen, good day. And welcome to the Q3 FY26 Earnings Conference Call of Aditya Birla Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Vishakha Mulye, MD and CEO of Aditya Birla Capital Limited. Thank you, and over to you, ma'am.
Vishakha Mulye:
Thank you. Good evening, everyone, and welcome to the earnings call of Aditya Birla Capital for Q3 of 2026. Joining me today are the senior members of my team, Bala, Rakesh, Pankaj, Kamlesh, Mayank, Pinky, Vijay, Ramesh and Deep. I will cover our strategy, financial and business performance followed by a discussion and performance of our key businesses by our business CEOs.
The Indian economy has maintained a strong growth momentum despite of a challenging external environment. Rural consumption has benefited from a good monsoon and improved agricultural output, while urban spending surged during the festive season which was further facilitated by the rationalization of GST rates. Inflation remains well -contained. The Government in its Union Budget has announced investments for electronics, textiles, infrastructure and MSME sectors and measures to boost manufacturing, tourism, youth skilling and medical tourism to further improve economic growth.
At Aditya Birla Capital, we continue to focus on driving quality and profitable growth by leveraging data, digital and technology.
Now coming to the financial and business performance :
a. The consolidated profit after tax, excluding exceptional and one -off items increased by 41% year-on-year and 15% sequentially to 983 crore Rupees in Q3 of FY26
b. The total consolidated revenue grew by 30% year -on-year and 14% sequentially to 14,181 crore Rupees
c. On a standalone basis, the profit after tax, excluding exception and one -off items, grew by 24% year -on-year to 749 crore Rupees
d. We saw a strong momentum in our lending business with NBFC portfolio growing by 24% year-over-year to 1.48 lakh crore Rupees and HFC portfolio growing by 58% year -on-year to 42,204 crore Rupees

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e. We continue to see strong asset quality trends in both our lending businesses with improvement in GS2 and GS3 ratios
f. In our AMC business, we continue to see an improvement in the fund performance along with healthy growth in AUM
g. In insurance businesses, we remain among fastest growing companies. The individual first year premium of the life insurance business grew by 19% year -over-year, and gross written premium of the health insurance business grew by 39% year -on-year
h. Despite the changes in GST, we saw an improvement in the profitability of our insurance businesses. In life insurance business our VNB margin expanded by 380 bps year -on-year to 14.2% and in the health insurance business we saw an improvement in combined ratio to 111% from 114% in 9M of FY25
I am happy to share that the Board of Directors of Aditya Birla Capital and Aditya Birla Housing Finance at their meetings today approved a proposal for primary capital infusion of 2,750 Crore Rupees in ABHFL from one of the entities of Advent Internationa l subject to requisite approvals. The transaction announced today values ABHFL at 19,250 crore Rupees on a post -money basis. Upon completion of the transaction, ABCL will hold about 85.7% and Advent International will hold about 14.3% stake in ABHFL.

As we had mentioned in our earlier calls, we had identified housing finance as one of the major drivers for growth for ABCL given the opportunities in this sector. Over the past three years, at ABHFL we have created a full stack franchise focusing on prime and affordable segments and construction

finance. We have made significant investments in technology, digital properties, people and distribution. We have built a strong distribution fully equipped for deeper penetration.
Today, we are one of the fastest growing HFCs in India and are among the top 3 players in terms of incremental loan book growth. Our monthly disbursements have grown by more than 6 times since June 2022 to more than 2,250 crore Rupees in December 2025. Our portfolio has grown by a CAGR of 48% over the last three years to 42,204 crore Rupees. Our asset quality remains best -in-class with gross stage 3 ratio of 0.54% and net stage 3 ratio of 0.23%. We had indicated in our earlier calls that we would be seeing benefits of operating leverage this year and a gradual expansion in RoA on the back of strong growth in AUM. I am delighted to share that the opex -to-loan book has improved by 51 bps year -on-year to 2.37% in Q3 FY26. The RoA increased by 54 bps year -on-year and 14 bps sequentially to 1.96%.
We believe we are now fully geared up for the next phase of growth. Going forward, we believe our strengthened balance sheet will enable us to sustain the current growth momentum, gain market share and improve our profitability while maintaining best -in-class asset quality.
Now I request Rakesh to talk about the performance of the NBFC business. Over to you, Rakesh.

Rakesh Singh :
Good evening, everyone.
The NBFC business grew by 6.2% quarter -on-quarter and 24% year -on-year taking the AUM to Rs. 1,48,182 Crore in Q3 FY26. Profit delivery for the quarter was healthy, registering a growth of 8% sequentially and 29% year -on-year.

Our strong business momentum continued in Q3 FY26, with quarterly disbursements Rs. 21,417 Crore, up 41% year on year. Of the total disbursements, secured and unsecured business loans to SME was 46%, personal and consumer segment was 23% and corporate & mi d-market was 31%.
We continue to see the momentum in our personal and consumer loans business post strategic calibrations. For Q 3, the disbursement in this segment was ~Rs. 4,900 Cr ore which was largely driven by improvements in branch business and scale up of direct digital business through proprietary journeys. The AUM grew by 9% sequentially and 28% year -on-year to Rs. 19,9 21 crores.
As one of the leading lenders to the MSMEs, we continue to strengthen our position in the NBFC space and consistently outpace the industry growth in this segment.
Our expansion in this segment is driven by offering carefully chosen business expansion and working capital solutions for different profiles of MSMEs. The recent measures announced in the Union Budget to enhance liquidity support for MSMEs through the TReD S platform position us well to capture large and growing opportunities in this segment through our holistic suite of supply chain finance solutions comprising of invoice discounting, channel financing, merchant cash advance etc spreading across MSME value chain.
Supported by a robust underwriting framework powered by new age scorecards and rule engines, we have enabled faster credit decisioning and reduced disbursement timelines while maintaining one of the best -in-class asset quality in the industry.
About 56% of our portfolio comprises of business loans to MSMEs which has grown 7% sequentially and 26% year -on-year to Rs. 82,809 Cr. Out of this, 82% is secured and 18% is unsecured.
The unsecured business loan portfolio grew 12% quarter -on-quarter and 36% year -on-year and comprises about 10.3% of the overall NBFC portfolio.
The disbursements for secured business

loans to SMEs grew 6% sequentially, resulting in AUM growth
of 6% quarter -on-quarter and 24% year -on-year. The growth has been largely driven by scaling direct sourcing efforts through our branch network.
Coming to portfolio quality, in personal and consumer loans segment, we continue to see a sustained improvement in asset quality parameters. The Gross stage 2 and 3 reduced by 60 bps sequentially and 220 bps year on year. GS3 for this segment stands at 1.7 % as of December 2025.
The GS2 + GS3 of the unsecured business loan portfolio reduced by 20 bps sequentially and 300 bps year on year. Gross stage 3 for this portfolio stands at 1.9%. of which 40% of the GS 3 book is covered under government guarantee schemes.
The asset quality of the secured business loan segment continues to be healthy and best in class on the back of strong cashflows & collaterals. GS3 for this portfolio stands at 1.2%, down by 50 bps year -on-year.
Asset quality in our wholesale business also continued to improve where GS2+GS3 reduced by 100 bps year -on-year.

As a result of improving portfolio quality trends in each of our segments, overall GS2 and GS3 book declined by 20 bps quarter -on-quarter and 150 bps year -on-year to 2.8%. About 73% of our book is secured and our overall Stage 3 book is well provided for with a PCR of 44.3%.
Our credit costs have reduced by 13 bps year -on-year to 1.23% for the quarter which is well within

the guided range of 1.2 - 1.3%. Going forward, we remain confident to maintain the credit cost in the same range at the company level.
Moving to profitability, our net interest income has increased by 23% year on year and 7% sequentially to Rs. 2,127 Crore. Net interest margin including fee, was 6.12% in the current quarter, up by 6 bps sequentially and 13 bps year on year. Our Opex to AU M ratio reduced 8 bps sequentially despite the impact of the new labour code.
In Quarter 3, we delivered Profit After Tax of Rs 772 Crore, registering a growth of 8% quarter -on-quarter and 29% year -on-year. The ROA for the quarter increased by 15 bps year -on-year to 2.25%.
Moving forward, we expect the mix of retail and MSME segments to improve and we will continue to leverage our proprietary digital platforms viz. ABCD App and Udyog Plus and invest in branches to further improve share of direct sourcing. As we scale up, str engthen our capabilities, and invest in technology, our primary commitment remains to deliver sustainable returns in the upcoming quarters.
With that, I will now handover to Pankaj, MD and CEO of Housing Finance business.
Pankaj Gadgil:
Thank you, Rakesh, and good evening to everyone on the call.
Q3 FY26 was a landmark quarter for ABHFL and a defining step forward in our long ■term strategic journey. During the quarter, we have successfully signed one of the largest capital infusion deals in the Indian housing finance sector and are pleased to welcome Advent International as a new minority shareholder.
Advent's investment reflects their strong conviction in ABHFL's business model, governance framework, and execution capabilities, as well as the structural growth opportunity in the Indian housing finance market. Their global experience, institutional dept h, and strategic orientation will significantly strengthen our ability to scale responsibly and accelerate the next phase of our growth and innovation agenda.
On the performance front, Q3 FY26 has been yet another strong quarter, marked by healthy disbursements, robust book growth and continued improvement in asset quality reflecting consistency of execution across all key business levers.
In line with our guidance of consistent growth leadership with best -in-class portfolio quality, let me take you through the key highlights for the quarter:
• We recorded highest ever disbursements at ■6,165 crore, registering a growth of 30% YoY and 7% QoQ

• ABG ecosystem contribution at 17.6% of retail disbursements

• AUM crossed the ■40,000 ■crore milestone to reach ■42,204 crore, registering a 58% YoY and 10% QoQ growth
• Stage 2 & 3 reduced to 0.95%, improving by 82 bps YoY and 15 bps QoQ
• PBT of ■229 crore, increasing 109% YoY and 18% QoQ
• ROA at 1.96% and ROE at 14.94%
For more detailed financials, please refer to Slide 31.
Let me now provide a brief update across our key strategic pillars.
Digital, Data and Analytics
Digital & AI continues to be a core pillar of our strategy. We are witnessing encouraging traction from our AI -enabled co -pilots across sales, underwriting, customer service and audit. Additionally, account aggregator usage is now at 62% from 39% in FY25. These initiatives have resulted in a 1.3x increase in sales manager productivity YoY.
I would also like to highlight that during the quarter, we migrated to the ABC Stellar platform, which is a next -gen channel onboarding & engagement platform. This is expected to further enhance turnaround time, scalability and partner experience.
Asset Quality
We have successfully implemented multiple analytical models across the customer journey from demand generation and underwriting to collections. Our application scorecard and collections scorecard are already delivering tangible outcomes, reflected in impro ved portfolio quality.
FinCollect, our end -to-end digital collections management platform, is driving an effective collections strategy, resulting in reduced Stage 2+3 from 1.77% in December 2024 to 0.95% in December 2025, a reduction of 82 bps.
Liability Franchise
On the liability side, we continue to strengthen and diversify our funding profile. The share of NCDs in the borrowing mix increased to 48% in Q3 FY26 from 39% in Q3 FY25. Our cost of borrowing further improved by 11 bps QoQ and stood at 7.41% for the quar ter.
To conclude, we have delivered consistent performance across growth, asset quality and profitability.
Thank you for your attention. With that, I will now hand over the call to Bala, MD and CEO of our Asset Management Company.
A. Balasubramanian :
Thank you and good evening to everyone attending. I would like to share some highlights of ABSLAMC

Q3 FY26.
• At ABSLAMC, our overall Average Assets under Management, including alternate assets, now stands at ■ 4.81 lakh crores growing at 20% year -on-year

• Our Mutual Fund quarterly average AuM has reached ■ 4.43 lakh crores, representing a 15% year-on-year increase
• Within this, our Equity mutual fund quarterly average AuM stands at approximately ■ 2 lakh crores, growing by 11% year -on-year
• As an AMC, we firmly believe that SIPs continue to remain a cornerstone of long -term investing in India. Our SIP contribution for December 2025 stood at ■ 1,080 crores, supported by 40 lakh contributing SIP accounts
• Our total number of investor folios for December 2025 stood at 1.08 crores, witnessing 3% year -on-year growth. We are driving growth by building scale through increased market traction and adding customer base
• Improved fund performance has strengthened market perception and driven higher inflows into our core products. Building on this momentum, our priority is to scale core equity offerings through consistent SIP inflows, broad -based distribution participation, sustained performance and deeper market engagement
• Turning to the Alternative business, the PMS and AIF Equity segments have demonstrated robust momentum, supported by a steadily expanding suite of Credit offerings. We continue to enhance and refine our solutions to address the evolving and sophisticated r equirements of HNIs and family offices
• Our PMS/AIF/Advisory assets experienced substantial growth, expanding from ■ 3,853 crores in Q3 FY25 to ■ 32,663 crores in Q3 FY2 6, representi

ng 8 times increase.
• The ESIC mandate stood at approximately ■ 28,000 crores as of December 31, 2025, while PMS/AIF AUM (excluding ESIC) grew 17% year -on-year, reflecting strong organic momentum in our core alternatives business
• During the quarter, we received the EPFO allocation letter for fixed -income mandates. We are now progressing through the required regulatory formalities and expect to onboard the assets in due course
• On the Fixed Income Credit side, we completed the final close of ABSL India Special Opportunities Fund Series I with commitments of approximately ■ 500 crore during the quarter. Fundraising is underway for Series II, ABSL India Structured Opportunities Fun d II and the Money Manager Fund, alongside preparations to launch the ABSL India Select Sector Fund
• Our real estate business continues to build momentum, supported by strong investor interest and a healthy deal pipeline. The real estate portfolio stood at ■ 700 crores, reflecting approximately 44% year -on-year growth
• Offshore Average AUM stood at ■ 4,847 crores in Q3 FY26. We incorporated a wholly owned subsidiary, Aditya Birla Sun Life AMC International (IFSC) Limited, to expand GIFT City operations and are in the process of securing regulatory approvals. Flows contin ue through our existing branch setup, supporting delivery of globally competitive investment solutions

• Our Passives business continues to gain strong momentum, with QAAuM at ■ 38,600 crores, up 28% year -on-year, and a growing customer base of 15.1 lakh folios. ETF QAAuM grew 40% Y-o-Y, significantly outpacing industry growth of 24%. Our focus remains on del ivering superior long-term outcomes through tighter tracking difference and lower tracking error. Additionally, sustained investor interest in precious metals such as gold and silver has reinforced the diversification value of our passive offerings in this segment
• As of today, our passive product suite comprises 52 distinct offerings across Equities, Fixed Income, Commodities, and Multi -Asset solutions, designed to address the diverse investment needs of our investors
Moving to the financials:
• Q3 FY26 Total Revenue from Operations stood at ■ 562 crores, up by 16% year -on-year
• Q3 FY26 Profit Before Tax at ■ 358 crores, up by 19% year -on-year
• Q3 FY26 Profit After Tax stood at ■ 270 crores, up by 20% year -on-year
With this, I'll hand it over to Kamlesh Rao, MD and CEO of Birla Sun Life Insurance.
Kamlesh Rao:
The overall industry registered a growth of 10% in the first nine months of FY26 with the private Life Insurance Industry growing at 13% . During the same period ABSLI clocked a premium growth rate of 19%, with proprietary business growing at 8% and the partnership business growing at 26% .
In our proprietary business we are growing in line with the market, the product mix is favourable and we are now planning to scale this business even further, during the first 9M of FY26, we have added 20 branches continuing our focus on expanding the Prop rietary business, with this we are now at 445+

branches across the entire country .
The partnership growth of 26% came across all our existing partners as well as the new partnerships in BOM, IDFC Bank and Axis Bank wherein we now have reasonable mindshare. In the existing bank partnerships also, we have gained reasonable mindshare consis tently throughout the 9 months of this year.
At Axis Bank, until now we were present in selective zones which contributed to 20% of their total business, we have now got access to 3 new zones and with this we will be present in 50% of their business going forward .
The partnership business had a balanced product mix with margins going up through the year . We now have 12 banca tie -ups and like I mentioned we will expand our presence at Axis Bank going forward .
In the product mix of the individual business, traditional

business including protection increased to
70% and ULIP came down to 30% helping expand margins for the 9M of the year. We will continue

calibrating our product mix in line with customer demand as well as the need to optimize margins for the firm .
In the Group Life Insurance segment, the private industry grew by 17% and overall industry grew by 15%. Like we have mentioned in previous quarters too, we have had a calibrated approach to interest -rate-sensitive business, we are happy to state we have mo ved from a de -growth for the first half of the year to a 8% growth for 9M YTD Dec enabling us to reclaim Rank 4 and large part of this growth has come from market facing ULIP business.
We continue to be at rank 2 in ULIP AUM in the industry with an AUM size of Rs. 15,000+ Crores.
Credit Life business registered a growth of 37% with attachment ratios going up in large counters and even more significantly in our own NBFC as well as housing business. On G roup Term Life Insurance business, we continue to remain focused on expanding the margins. Group AUM contributes 26% of the overall AUM at Rs. 28,218 Cr .
Our total premium for first 9M stands at ■ 15,471 Crore, up by 14% from last year with a 13th M Persistency at 84.4%. Renewal Premium grew by 18% with growth across Individual and Group segment. Our digital collections now account for 83% of our renewal premium. We continue to work on Customer Lifetime value, which is reflected in our upsell ratio of 32% .
On quality parameters, our overall customer NPS now stands at 62 (compared with 57 LYSP). While the 13th and 61st month cohorts have seen a marginal dip , all other cohorts are growing compared with LYSP. Our Opex to Premium ratio stands at 22.9% and adjusted for Lower Group business, GST impact and Labour laws impact , the retail opex to premium ratio is progressing well in line with plan.
ABSLI crossed AUM of 1 Lakh Crore in Apr'25 and now stands Rs. 1 ,10,048 crores, with a YoY growth of 13%. 25% of this AUM is in equity and the balance 75% in debt. On YTD basis, 100% of our funds continue to outperform as compared to the respective benchmarks.
Our digital adoption across various areas is demonstrated in Investor Deck in slide 47. 100% of new business customers are onboarded digitally, 83% of all our services are now available digitally, 67% services are STP, and our customer self -service ratio now stands at 93%.
Value and Guidance :
Our solvency continues to remain healthy at 210%.
Our net margins are now at 14.6%, 380 bps higher than LYSP at 10.8 %. We observed margin expansion due to a controlled ULIP mix and increase in Protection mix, value accretive growth in Partnership business and rider attachments.
The expansion in Net VNB margins is despite the GST impact in the second half. As we speak, we have resolved 40% of the GST impact through our commercial arrangements with the distributors and the balance going forward will be managed through both product strategy and management actions.
We will continue to focus on increasing productivity across all cohorts in our Proprietary business. For our Partnership Business, we will continue to invest in our Bank partners to increase our mindshare and drive better productivity across all partners .

Our guidance continues to grow Individual FYP at a CAGR of 20%+ for the next 3 years . Whilst achieving this growth we intend expanding our current VNB margins of 18%+ and in absolute numbers double the value of our Net VNB in 3 years ' time.
With this, I hand over to Mayank, MD and CEO of Health Insurance.
Mayank Bathwal :
Thanks, Kamlesh and I would like to now share an overview of the performance of our Health Insurance Business.
Coming to performance, with a strong Q3 we continue to build on the H1 FY25 growth momentum, maintaining our track record of consistently

growing faster than the market whilst continuing to
improve profitability metrics as well.
For the first nine months of the year as per the old accounting regulations (without 1/n), we achieved a gross premium of Rs. 4,956 crores, representing a strong 41% Y -o-Y growth. On a 1/N basis, our gross premium stood at Rs. 4,651 crores, reflecting a he althy 39% growth. Our market share in SAHI has increased from 12.0% to 14.2%, a YoY an increase by 220bps.
We registered a strong growth momentum across both retail and group businesses. The retail franchise experienced an impressive 42% YoY growth. The retail growth continues to be diversified across retail distribution channels. The Proprietary channel with an agent base over 1.6 Lakh agents registered a 35% YoY growth. All our major bank and digital alliance partnerships also experienced impressive growth.
Our Corporate business delivered a strong 41% YoY growth in 9M FY26, driven by our focused and disciplined strategy to create a sustainable franchise in this segment. We do this by playing in very specific corporate segments and industries. We have now tak en our differentiated health first insurance model to corporates also and this will only further improve our competitive strength here.
On the profitability front, our net loss for the 9M FY26 stands at Rs. 178 crores as per new accounting regulations (1/n). The loss includes an impact due to implementation of new labour codes & loss of GST input. As per the old accounting regulations (wi thout 1/n), the net loss for 9M FY26 stands at Rs. 145 crores compared to loss of Rs 195 crores last year. Our combined ratio for 9M FY26 under the old accounting regulations (without 1/n), stood at 108%, whereas under the new accounting framework (with 1/ n), the combined ratio was 111%, vs 114% on a comparable basis.
These improvements underscore our continued focus on unit economics and thus overall profitability ahead of market. We strongly believe our robust growth and superior unit economics are driven by our digitally enabled and differentiated health first busine ss model. This model gives us a selection advantage with larger share of the more health -conscious customers and then based on a hyper -personalised health engagement access to a deeper understanding of the health profile of our in -force base.
Our Health First model is resonating with our consumers with ~40% of our consumers are engaging with us for their health. 9.9% of our eligible customers earned good health -based incentives - Health Returns, up from 8.4% last year, reflecting deeper engagem ent with our wellness ecosystem. These customers continue to exhibit 8%+ lower loss ratios and 11%+ better persistency. This is shown in

slides 57 and 58. Similarly, our investments in managing customers with high health risks, through interventions with more than 210K lives, have led to an improvement in their loss ratios by more than 9%. Overall, this has helped keep our retail loss ratios well under con trol.
Our ‘Promise of Insurance’ is centred on providing industry leading experience. Continued Investments in state -of-the-art AI/ML -driven claims auto -adjudication engine will further enhance customer satisfaction and enable claims costs management more effect ively.
We continue to adopt a digital -first approach across revenue, engagement, and claims, driving higher renewals, stronger customer engagement, and greater self -service through our Activ Health app .
Given our large data focus we are investing consistently in data and analytics capabilities to create efficiencies across the entire business lifecycle. We continue to embed Gen -AI capabilities across key processes such as sales governance, claims manageme nt, underwriting and customer engagement helping us to scale faster and operate more efficiently.
Looking ahead, we remain very optimistic about the long

-term growth prospects of the health
insurance sector, with our differentiated, health -first model and sharp execution focus . We believe ABHI is well positioned to grow ahead of the market.
Thank you, and I will now hand it back to Vishakha for her closing remarks.
Vishakha Muly e:
Thank you, Mayank. This concludes our remarks on Q3 FY26 performance, and we'll be happy to take any questions.
Moderator:
First question comes from the line of Chintan Shah from ICICI Securities.
Chintan Shah:
Congratulations on the quarter and on the HFC deal. So just on the HFC deal, one thing for now, what are the timelines and when can we expect the money flowing ? And secondly, for now, HFC seems to be well capitalized at least for the next few quarters. But in terms of NBFC, are we also looking to include any capital?
Vijay Deshwal :
Thank you, Chintan . Vijay here. So first, on the timeline for the deal completion, today, both the Board and the shareholders of Aditya Birla Home Finance, which is 100% owned currently by ABCL have approved the transaction. It will be subject to CCI approval for the investor that application will be filed subse quently in the next few days.
We believe that CCI will take about 45 days to grant approval and the approval should come by end of March. And once the CCI approval comes, the transaction will be closed. At the same time, I mean,

whether it comes end of March or it comes in the week of April, we are sufficiently capitalized for the time being in the housing finance company.

For the second question , Rs. 2,750 crores in housing finance will take care of our growth capital requirements for the next 2 to 2.5 years. For rest of the businesses, on a stand -alone basis, our total capad right now is at 17.34%. Our AMC business continues to pay dividends.
It does not need any capital. In the insurance business, as we have said earlier, we have a JV partner who is equally committed to supporting the growth need. We will keep evaluating our capital requirements and take suitable actions in due course, keeping in mind the interest of all the stakeholders.
Chintan Shah:
And on the margin piece, for the NBFC business, I think the overall margins have ended up including the fee income. Margins are up almost 6 bps, but could you provide any ballpark number on what could be the yields? What could be the fee income component in the overall average yield ? So excluding that, have you seen an uptick because it looks like despite those and unsecured, it is not translating into a meaningful uptick in the end. So, I just wanted to understand that piece .
Rakesh Singh:
Chintan, it's the product mix, which will drive the yields and the margin s. Until quarter 1, we were calibrating our personal consumer and unsecured business. Post that, if you see the growth has come back quite strongly. It will take a couple of more quarters for the yield to improve at a company level and the portfolio level and that should result in an improvement in margin as well. So, it will take a couple of quarters before you will start seeing it because in a large portfolio of almost Rs. 1.5 lakh crores, I think it will take some time to reflect.
Chintan Shah:
Understood. And just one last thing on the credit cost . We have seen a benign credit cost for us as well and the environment also remains favorable for us but given that in the context of the global uncertainty of the macros, are we looking to make any provision buffers or there could be any reset in an ECL model, or it looks adequate as of now?
Rakesh Singh:
So Chintan, I mean, if you look at it in our growing book, if you look at both Stage 2 and Stage 3 ha ve come down significantly. If you look at Stage 2, it has come down from almost Rs. 2,329 crores to Rs. 1,819 crores , a drop of Rs. 510 crores and in Stage 3 from Rs. 2,674 crores to Rs. 2,140 crores.

And I think the business has scaled up quite well in the same period year -on-year and our Stage 2 and Stage 3 have come down significantly. So, I think that credit profile and the credit performance looks quite stable and good. We don't think we need it at this point in time.
Also, as you know, 73% of our exposures are secured by collaterals and 82% of our exposure to MSMEs is secured by collateral. So, we don't think we need any enhancement of provision coverage at this point in time.
Moderator:
Next question comes from the line of Gaurav from MLP.

Gaurav :
Congratulations on the housing finance deal and the quarter. I have 3 questions. And just taking forward Chintan's question earlier regarding margins , if I look at the yield profile, yields have remained broadly flat in the last 2 quarters despite the mix change being favorable. If I look at the mix of unsecured business loans and personal loans have moved up every quarter in the last couple of quarters . So, when do we start seeing the impact on yields ? The entire NIM expansion that we've seen in the last c ouple of quarters is largely driven by the cost of funds benefit that you got. So, when do we start seeing the yield kind of moving up? Is it next quarter because the 200 basis points of improvement in the mix have already happened?
Rakesh Singh:
So, as I mentioned, it will take a couple of quarter s. Within the personal and consumer and also unsecured business, we have been cutting down a high risk and wherever the portfolio has not been stacking up. We have been recalibrating our unsecured portfolio over the last 18 months or so. So high-risk segment across our personal and consumer and unsecured business, we are cutting off.
So, as I mentione d, the credit quality and if you look at Stage 1, Stage 2 is stacking up quite well . The bounce rates and everything else is stacking up quite well at this point in time, and that's the reason why we are growing these segments. But it will take a couple of quarters at least to see improvement in yields and improvement in margins.
Gaurav :
Sure, sure. And on the other side, where do you see the cost of funds moving in the next couple of quarters? Have we kind of repriced borrowings completely?
Rakesh Singh:

We are one of the most efficient borrowers in the market. And we look at all the opportunities in terms of bringing our cost of funds down. We are looking at the liquidity in the market and everything else, we will see how it goes forward. So can't comment at this point in time the way the liquidity is there in terms of how much and by when the cos t of funds will come down.
But as you know, we are, I think, almost 70% of our loans are floating. So even if the cost of funds comes down, I think we need to pass on that to our customers. As you have seen in the last 2, 3 quarters, the cost of funds has been coming down. We will continue to leverage the opportunity in terms of bringing the cost of funds down.
Gaurav :
Got it. Can you highlight the delta between the stock cost of funds and the incremental cost of funds?
Rakesh Singh:
Cost of borrowing on the stock and the incremental. I'll come back to you on this.
Gaurav :
Sure, sure. And my next question is on the Stage 1, Stage 2 and Stage 3 ECL. I understand you've given the Stage 3 PCR. Can you provide the total ECL breakdown into Stage 1, Stage 2 and Stage 3

maybe for this quarter and the previous quarters? This is just to understand the overall movement in ECL and perhaps back calculate the write -offs.
Rakesh Singh:
So far, we have not shared this, and we will see at what point of time this information can be shared. I think you can clearly see that staging has improved. This is all basis the portfolio performance basis the ECL model. So, I think that's what drives our PCR.
Gaura

v :
Understood. One of your competitors has taken an ECL reset and I think Chintan alluded to that question earlier. In terms of the ECL, how should we look at it incrementally, are there any sort of changes in PD or LGD assumptions that you are undertaking?
Rakesh Singh:
So again, if you look at our portfolio quality, it's very stable. And especially the MSME segment where the issues will raise , 82% of our exposure is secured. This is secured by cash flows and collaterals . So, we don't expect anything at this point in time.
Gaurav :
Understood. Just last question , any growth guidance for F Y27 given that this year you're already on a strong footing. The asset quality, you mentioned , is looking good. So , what kind of growth can we expect?
Rakesh Singh:
For NBFC, we have grown 24% year -on-year. Our guidance is in the similar range of 24% - 25%. We have guided that we will double our loan book in 3 years . That means 25% growth is what we're looking at.
Moderator:
Next question comes from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal :
Congratulations on a good quarter. So just trying to understand, .
We have seen a sudden increase in provision cover from one of the peers who reported earlier today. So just trying to understand this better that at least from the regulator, there has been no nudge to kind of increase the provision cover, especially on your unsecured business and including your personal incomes?
Rakesh Singh:
If you look at our personal and consumer segment, we have a provision cover of 68.1%. Our unsecured business is almost 45%. And here, almost 40% of this portfolio is backed by the credit guarantee. Taking this into account, both unsecured portfolios are well provided and well covered.

Abhijit Tibrewal:
Got it. And this 45% cover in unsecured business that you spoke about is a little lower than peers predominantly because what you mentioned also shared in the PPT that 40% of the Stage 3 book is actually covered in the different government schemes?
Rakesh Singh:
Yes. That's the credit guarantee which we have on unsecured business.
Abhijit Tibrewal:
Got it. If you look at your disbursements in NBFCs across different products this quarter . Sequentially seeing a moderation in your unsecured business, personal loans are slightly flattish. I'm just trying to understand, is this some kind of an internal recalibration or some seasonality that you see in this quarter? Or how should we interpret?
Rakesh Singh:

So, Abhijit, our disbursement has grown 41% year -on-year. So , there is a very strong momentum on disbursement. To answer your question on unsecured business, we should look at the AUM growth in the same segment. The AUM growth in this segment is 12% quarter -on-quarter and 36% year -on-year. The reason why sequentially is looking slightly down is because we don't include the line of credit products or supply chain where there's a high churn in the reported disbursements . If we include that, I think our disbursement will be much higher sequentially as well. But you should look at the AUM growth.

Abhijit Tibrewal:

One l ast question on the housing business. What is the LTV that you are doing in the housing business today? Basi cally, y our portfolio LTV in the home loan book and what are the incremental LTVs that you do? And lastly, out of total home loans that you source, what proportion of that actually comes from the construction finance business ?

Pankaj Gadgil :

As you will know, LTVs in the housing business are regulated for housing purpose and that guidance is around LTV. But overall, to answer your question, we are at the average LTV of between 50% to 52% on the portfolio. On construction finance, as you will s ee, we have also given this breakup in the slide that we have presented. 15.8% of portfolio is the construction finance p

ortfolio in the overall Rs.
42,204 crores of AUM.

Abhijit Tibrewal:

No sir, my question was a little different. What I was trying to understand is out of the total home loans that you source across both prime and affordable, what proportion comes from those projects where you have given construction finance?

Pankaj Gadgil :

So currently, that proportion is low. In fact, that's a potential area for us. And we have more than 400 developer relationships and we are present in almost similar amount of projects. We've started this journey where we are trying to leverage the developers also working for retail penetration. So that's the focus area for us.

Moderator:

Next question comes from the line of Nidhesh Jain from Investec.

Nidhesh Jain :

My first question is on sourcing mix in the NBFC book. If I look at personal and consumer loan, there is a sharp increase in digital sourcing. What is driving that? And how are we looking to increase the share of direct sourcing because that still remains a bit low in both personal and consumer and unsecured business loan? That is the first question.

And second question , we have seen pretty good ROAs of 2% in housing finance business . We have guided a range of 2% -2.2% and have already reached that number. How do you see ROA in the housing finance business going forward? And similarly, RO A guidance for the NBFC business?

Rakesh Singh:

So Nidhesh, personal and consumer business is getting completely digitized in terms of the way it's being driven to the score card and the analytics and the campaigns which we run. So clearly, that's what is showing here that we have insta PL journeys which we have built for our business. So that's driving the digital sourcing here.

In terms of the unsecured business, a lot of customers depend on their chartered accountants to really help them source the funding. And that's the reason why you see sourcing of DSA slightly higher.

Nidhesh Jain :

Just a follow -up on the sourcing thing that the digital sourcing, it is on fin -tech partners, right? The 66% digital sourcing that we are showing in personal and consumer, it's fin -tech partners?

Rakesh Singh:

We have our own journey. So, we source a lot through our customers. Wherever we have fin -tech partners option, which is selective , the scorecard is ours, sourcing is ours, process is ours, collection is ours.. But this is not reflection of sourcing through the digital partner. We do a lot of business through ABCD app, which is our in-house app. We have the campaigns which we run on our existing ABC customer base, all of that. So insta PL journey which we have built, it's not a reflection of only the partner ship business.

Pankaj Gadgil :

On the question that you asked on housing, I think your observation is right in March 2025, we had all guided towards reaching our targeted ROA of between 2.1% and 2.2% in 6 to 8 quarters. But I think given the progress that we've made both on scale and pr ofitability, and you would have seen the numbers, the ROA has grown consistently 1.46% was the ROA for FY25. And right throughout the 3

quarters, we have been consistently moving this up. And now we've reached 1.96% on Q3. But overall, on a full year basis, roa is at 1.8%. But like I said earlier, I think given the progress that we've made on both scale and profitability, we believe we could achieve this slightly earlier than the guided timestamp.
Rakesh Singh:
And ROA for the NBFC business, I think if we look at excluding the one -off of the labor code impact, it's almost 2.28%. We are looking at expanding it closer to 2.5% in the next 4 -5 quarters.
Moderator:
Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to M s. Vishakha Mulye for closing comments.
Vishakha Mul

ye :
Thank you, everybody for joining us so late. And if there are any questions, all of us are available. Kindly reach to Vijay, Pramod or Aashwij. Thank you.
Moderator:
Thank you. On behalf of Aditya Birla Capital Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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